SATIA INDUSTRIES LIMITED
An ISO 9001, 14001 & 45001 company
CIN : L21012PB1980PLC004329
Manufacturer of Quality Writing, Printing & Speciality Paper
www.satiagroup.com
IS 1848

SILCS

Dated 07/09/2026

The Manager, Listing Department, BSE Limited, Phiroze Jeejeebhoy Towers Dalal Street, Mumbai-400001	**The Manager Listing Department National Stock Exchange of India Ltd Exchange Plaza, Plot no. C/1, G Block, Bandra-Kurla Complex, Bandra (E)**
Scrip Code: 539201	**Symbol: SATIA**

Sub: Annual Report for the Year ended 31st March, 2026

Dear Sir/ Madam,

The 45thAnnual General Meeting ('AGM') of the Company is scheduled to be held on Wednesday. September, 30, 2026, At 10:30 AM (IST) At the Registered Office of the Company At VPO: Rupana, Malout Muktsar Road, Dist: Muktsar Punjab-152032

In terms of Regulation 29, Regulation 30, read with, Regulation 34 and other applicable provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Annual Report for the Financial Year 2025-26 including BRSR, other prescribed reports and Notice of 45thAnnual General Meeting, which is being circulated to the Members of the Company.

The Schedule of 45th Annual General Meeting of the Company is as under:

Particulars	**Detail of Day, Date and Time**
Annual General Meeting	Wednesday, 30th September, 2026, 10.30AM
Commencement of E-Voting	Sunday, 27th September, 2026
End of E-Voting	Tuesday, 29th September, 2026
Cut-off date to determine eligible members for e-voting on Annual General Meeting Resolution(s)	Wednesday, 23rd September, 2026
Book Closure Date(s)	Thursday, 24th September, 2026 to Wednesday, 30th September, 2026 The Book Closure is for the purpose of AGM and Payment of Final Dividend for the financial year ending 31st March, 2026 if declared at the AGM of the Company to be held on 30th September, 2026

Kindly also consider this letter as compliance of prior intimation in accordance with proviso to Regulation 29(1)(d) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Yours faithfully,
For Satia Industries Limited

(Rakesh Kumar Dhuria)
Company Secretary

SATIA
INDUSTRIES LIMITED

45th ANNUAL REPORT
2025-26

Building Today. Shaping Tomorrow.

GROWTH

INNOVATION

SUSTAINABILITY

TABLE OF CONTENTS

CORPORATE OVERVIEW

STATUTORY REPORTS

FINANCIAL REPORTS

CORPORATE INFORMATION

Scan the QR Code to view the report online

BOARD OF DIRECTORS

Dr. Ajay Satia – Chairman Cum Managing Director
Mr. R.K. Bhandari – Joint Managing Director
Mr. Chirag Satia - Executive Director
Mr. Hardev Singh – Director (Technical)
Mr. Ashok Kumar Gupta – Independent Director
Dr. Mrs. Priti Lal Shivhare - Independent Director
Mr. Vinod Kumar Kathuria – Independent Director
Mr. Ajay Vyas – Independent Director
Mr. Rajeev Kumar- Independent Director
Mr. Deepak Kumar Kakkar- Independent Director
Mr. Vibhor Kapoor - Independent Director

COMPANY SECRETARY & COMPLIANCE OFFICER

Mr. Rakesh Kumar Dhuria

CHIEF FINANCIAL OFFICER

Mr. Rachit Nagpal

STATUTORY AUDITORS

N. Kumar Chhabra & Co.
Office: # 1081, Sector 27B,
Chandigarh-160019
E-mail: info@nkumarca.com
Phone No: +91 172 5088800

REGISTERED/ CORPORATE OFFICE

Malout – Muktsar Road, Village Rupana,
Sri Muktsar Sahib - 152032
Tel. 01633-262001, 262215, 263585
Fax: 01633-263499
Website: www.satiagroup.com
E- mail : satiapaper@satiagroup.com

REGISTRAR AND TRANSFER AGENTS

Beetal Financial & Computer Services (P) Limited
Beetal House, 3rd Floor, 99 Madangir,
Behind Local Shopping Complex,
Near Dada Harsukhdas Mandir, New Delhi-110062
Contact No: - 011-29961281-83,
FAX 011-29961284
E-mail: beetalrta@gmail.com,beetal@beetalfinancial.com
Website: www.beetalfinancial.com

BANKERS

Punjab National Bank
HDFC Bank Ltd
Bajaj Finance Ltd
IndusInd Bank Ltd.
UCO Bank

COMPANY OVERVIEW

Satia Industries Limited (SIL), located in the District of Muktsar, Punjab, was **incorporated by Dr. Ajay Satia** and commenced its operations in 1984.

SIL supplies its production to the open market through a pan-India network of **100+ dealers** and also caters to institutional customers, supported by three branch offices located in Delhi, Chandigarh and Jaipur. The company has a total employee strength of over 2,600.

SIL has more than approximately **550 acres of eucalyptus plantations.** Besides, under Project Green, we distributed 1 lac Eucalyptus saplings to farmers for plantation over thousands of acres under our Social Forestry Initiative.

SIL is one of India's **leading Writing and Printing paper manufacturers,** with a completely integrated manufacturing setup with 4 paper machines, 100% in-house power generation, chemical recovery plant and one of the best effluent treatment facilities in the nation.

In FY22, the company added a **4th state of the art paper machinery** to its production facilities with a capacity of 100,000 MTPA. With a **diverse Capex program** to modernize and scale up its capacities, SIL now has a total installed capacity of over 2,00,000 MTPA.

VISION

"To become a leader in its segment with excellence in all-round performance creating value for all stakeholders of the company, society and the economy."

MISSION

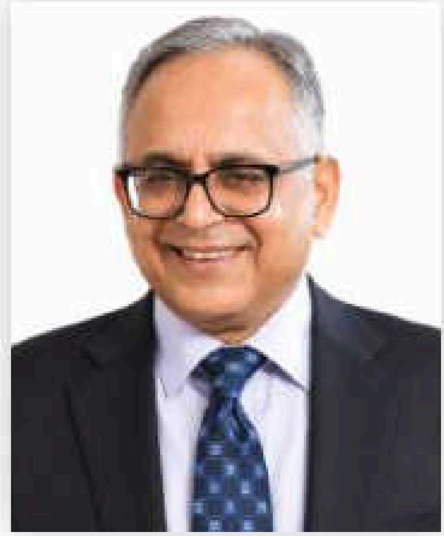
"To sustain growth with technological upgradation and innovation continuously for achieving cost competitiveness with sustained profitability, excellence in quality and win customer satisfaction and loyalty."

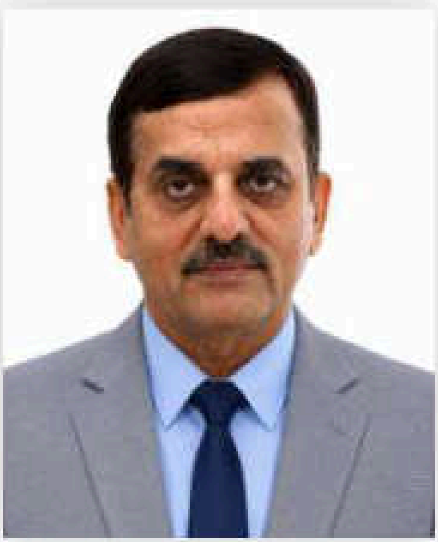
CORE LEADERSHIP TEAM

Dr. Ajay Satia

Chairman & MD

Dr. Satia is an MBBS. He was the pioneer in setting up this integrated paper mill. Dr. Satia has a passion for work, flair for technology and possesses unparalleled enterprising spirit for expansion and modernization.





Mr. R.K. Bhandari

Joint MD

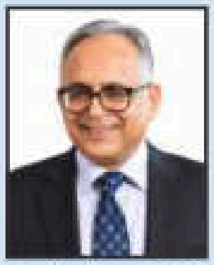
Mr. Bhandari is a MBA with extensive experience in marketing. He has been instrumental in the formulation and execution of SIL's core business strategies for the past 39 years. Additionally, he has fostered strong industry relationships and driven continuous improvement initiatives.

Mr. Chirag Satia

Executive Director

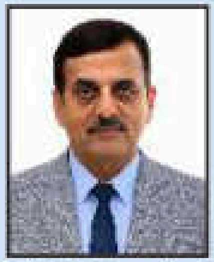
He has been the driving force behind new initiatives since he joined in 2015 and looks after Finance, Accounts and Commercial Operations. His enterprising spirit and visionary outlook have added new energy to the workforce.

BOARD OF DIRECTORS & MANAGEMENT TEAM



Dr. Ajay Kumar Satia
(Chairman cum Managing Director)

Dr. Ajay Kumar Satia, Chairman-cum-Managing Director of Satia Industries Limited, is an MBBS graduate and the pioneer behind the establishment of the Company's integrated paper mill. He has played a pivotal role in the growth and development of the Company since its inception. Dr. Satia is known for his strong passion for work, technological acumen, and exceptional entrepreneurial spirit. His visionary leadership has been instrumental in driving the Company's expansion, modernization, and technological advancement.



Mr. Rajinder Kumar Bhandari
(Joint Managing Director)

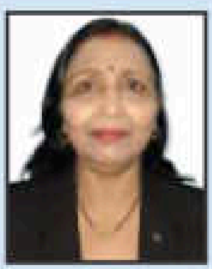
Mr. Rajinder Kumar Bhandari, Joint Managing Director, holds an MBA and has over 40 years of extensive experience in marketing and business management. He has been instrumental in shaping and executing the core business strategies of Satia Industries Limited (SIL) over the past four decades. He has played a significant role in fostering strong industry relationships, strengthening the Company's market presence, and driving continuous improvement and business growth initiatives.

Mr. Chirag Satia
(Executive Director)

Mr. Chirag Satia, Executive Director, is a CA (Inter) and Bachelor of Commerce (B.Com.) with extensive experience in Finance, Accounts and Commercial Operations. He has been associated with Satia Industries Limited since 2015 and has been a driving force behind the Company's financial and commercial operations. His entrepreneurial spirit, strategic vision and dynamic leadership have brought renewed energy and momentum to the organization. He has played a significant role in strengthening the Company's commercial functions and supporting its continued growth and development.

Mr. Ajay Vyas
(Independent Director)

Mr. Ajay Vyas, Independent Director , holds a Bachelor of Engineering (Civil) degree and an MBA. He has been serving as an Executive Director of UCO Bank since April 2019 and brings extensive experience in the banking and financial services sector. His rich professional experience and expertise in banking and financial management contribute significantly to the Company's strategic and financial oversight..



Dr. Mrs. Priti Lal Shivhare
(Independent Director)

Dr. Mrs. Priti Lal Shivhare, Independent Director ,holds an M.Sc. in Chemistry and a Ph.D. in Chemistry. She is presently working as Scientist E-1 in the Pulping and Bleaching Division at the Central Pulp and Paper Research Institute (CPPRI), Saharanpur, Uttar Pradesh, India.

Mr. Ashok Kumar Gupta
(Independent Director)

Mr. Ashok Kumar Gupta , Independent Director ,holds an MBA (Finance) and is a Certified Associate of the Indian Institute of Bankers (CAIIB). He has over 35 years of extensive experience with Punjab National Bank, where he has worked across diverse areas of banking, including Retail Banking, Corporate Credit, Foreign Exchange (Forex), Import & Export Business, Risk Management, Management of Stressed Assets and Non-Performing Assets (NPAs), and Recovery. His extensive experience encompasses banking operations, credit management, risk assessment, stressed asset management and recovery.

Mr. Vinod Kumar Kathuria
(Independent Director)

Mr. Vinod Kumar Kathuria, Independent Director, is a Master of Commerce (M.Com) and Certified Associate of the Indian Institute of Bankers (CAIIB). He has over 36 years of extensive experience in the banking sector, including a distinguished career with Punjab National Bank and subsequently serving as Executive Director of Union Bank of India. He brings rich expertise and extensive experience in banking, finance, and strategic management

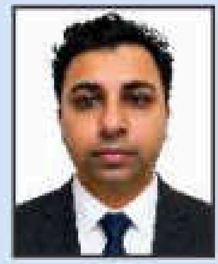
BOARD OF DIRECTORS & MANAGEMENT TEAM

Mr. Rajeev Kumar
(Independent Director)

Mr. Rajeev Kumar, Independent Director, is a B.Tech. in Chemical Technology (1986), MBA (Finance) and CAIIB. He has extensive experience in the banking and financial services sector and is an Executive Director of IDBI Bank Ltd., Mumbai.

Mr. Deepak Kumar Kakkar
(Independent Director)

Mr. Deepak Kumar Kakkar ,Independent Director, is a B. Com and CAIIB and has rich and extensive experience in the banking sector. He possesses comprehensive knowledge and expertise in various areas of banking and financial services..



Mr. Vibhor Kapoor
(Independent Director)

Mr. Vibhor Kapoor, Indepen-dent Director, is a Chartered Accountant (C.A.) and holds a CFA Institute – USA Level II qualification, LL.B. and B.Com. (Hons.). He has over 20 years of extensive experience in Corporate Banking and Financial Advisory. He has held senior positions with reputed financial institutions, including IndusInd Bank, ING Vysya Bank, Barclays and ICICI Bank, where he has led large teams and managed multi-billion-dollar portfolios. His experience en-compasses corporate banking, financial advisory, portfolio management and strategic business leadership

Mr. Hardev Singh
(Technical Director)

Mr. Hardev Singh, (Technical Director) holds a Diploma in Mechanical Engineering and a Post Graduate qualification in Production Management. He has over 39 years of rich and extensive experience in the technical and production functions of the industry. He has been a key pillar of the Company's technical operations and has played a pivotal role in the installation and commissioning of various projects undertaken by the Company. His extensive technical expertise and practical experience have contributed significantly to the Company's operational capabilities and project execution

Mr. Rakesh Kumar Dhuria
Sr. G.M (Secretarial) & Company Secretary

Mr. Rakesh Kumar Dhuria, Sr. General Manager (Secretarial) and Company Secretary is a Bachelor of Laws (LL.B.) and Associate Member of the Institute of Company Secretaries of India (ACS). He has over 35 years of rich professional experience in corporate secretarial, legal, compliance, and regulatory matters. He has been instrumental in ensuring effective corporate governance and compliance with applicable statutory and regulatory requirements of the Company.

Mr. Rachit Nagpal
(CFO)

Mr. Rachit Nagpal (Chief Financial Officer) is a Chartered Accountant (C.A.) with over 15 years of rich professional experience in finance, accounting, taxation, financial management, and corporate matters. He has extensive experience in managing financial operations and contributing to the Company's overall financial planning and strategic decision-making

CHAIRMAN CUM MANAGING DIRECTOR'S MESSAGE

Dear Shareholders,

It gives me immense pleasure to present the Annual Report for the Financial Year 2025-26. The year was challenging for the paper industry due to high raw material costs and continued pressure from cheap imports. Despite these headwinds, your Company delivered a resilient performance with continued focus on efficiency and sustainability.

During the year, your Company achieved revenue from operations of Rs. 1,451.91 crore with an EBITDA margin of 9.08% and a net profit margin of 2.69% and in line with our commitment to shareholders for consistent returns, the Board has recommended a dividend of 40%.

Your Company continues to hold an 'A+ Stable' rating from India Ratings, reflecting the financial trust and credibility of your company.

To further strengthen our position in the Writing & Printing paper segment, the Board approved renovation and technological upgradation of PM-3 will be carried out in the next financial year.

On the lines of PM-4 which is one of the most technologically advanced and energy efficient machines in the country and its quality products have already made a name and goodwill in the market; we are quite optimistic that PM-3 upgradation will bear the same results. The renovation is scheduled for completion latest by September 2026.

Your Company's current installed capacity stands at 2,19,000 MT and with this PM3 renovation, there will be substantial increase in production capacity along with increase in our operational flexibility and product mix.

Sustainability remains central to our operations. During the year, we utilized over 3.5 lakh tons of rice straw as fuel. This initiative not only resulted in significant fuel cost savings but also contributed to environmental protection by reducing stubble burning, a key contributor to air pollution in the region including Delhi-NCR.

Your Company continued to contribute to society with a focus on Education, Health, and Social Welfare, particularly for the underprivileged and rural communities.

With investments in technology, sustainable practices, and capacity enhancement, your Company is well-positioned for long-term growth. We remain committed to serving all stakeholders and creating enduring value.

With Best Wishes,

Dr. Ajay Satia

Chairman cum Managing Director
Satia Industries Limited

JOURNEY AND MILESTONES

1980-2000

1980

- Incorporation of Satia Industries

1984

- Started production With Paper Machine-1; capacity 4,950 MTPA

1989

- Second Paper Machine-2 installed

1993

- Production Crossed 10,000 MTPA

1998

- Installed Paper Machine-3

2000-2015

2002-03

- Power co-generation plant (5 MW) installed/ 150 TPD continue digester

2006

- CRP and power plant 5 MW TG Installed
- 220 MT agro Pulp mill (unbleached and bleached plant)

2011-12

- Increased power plant to 23.30 MW.
- 200 TPD continue digester

2014-15

- Capacity of Chemical Recovery Plant was enhanced

2015-2019

2015-16

- Listing of SIL's Equity Shares on BSE in September 2015

2016-17

- Additional Power generation of 10.45 MW and New Solar plant of 2.29 MW.
- 120 TPD Wood pulp Mill

2017-2018

- Added Solar Capacity of 3.25 MW.
- Increased PM2 Speed from 400-650 MPM

2018-19

- PM-1 speed increased upgrading from 500 to 700 MPM

2019-2021

2019-20

- Recorded Highest Production of 1,33,191 MT and the capacity of CRP plant increased from 400- 650 TPD.
- Listing of SIL's Equity Shares on NSE in July 2019

2020-21

- Installation of Multifuel Boiler (Cost Saving of approx. INR 250 Mn Per Year)
- 14 MW turbine
- Machinery Procured for Table Cutlery Segment

2021-2026

2021-22

- Commencement of Commercial Production from Paper Machine 4 with capacity of 1,00,000 tons.
- Enhancement of Pulping Capacity to 150 TPD

2023-24

- Completed the expansion of 75 TPH multi fuel boiler unit

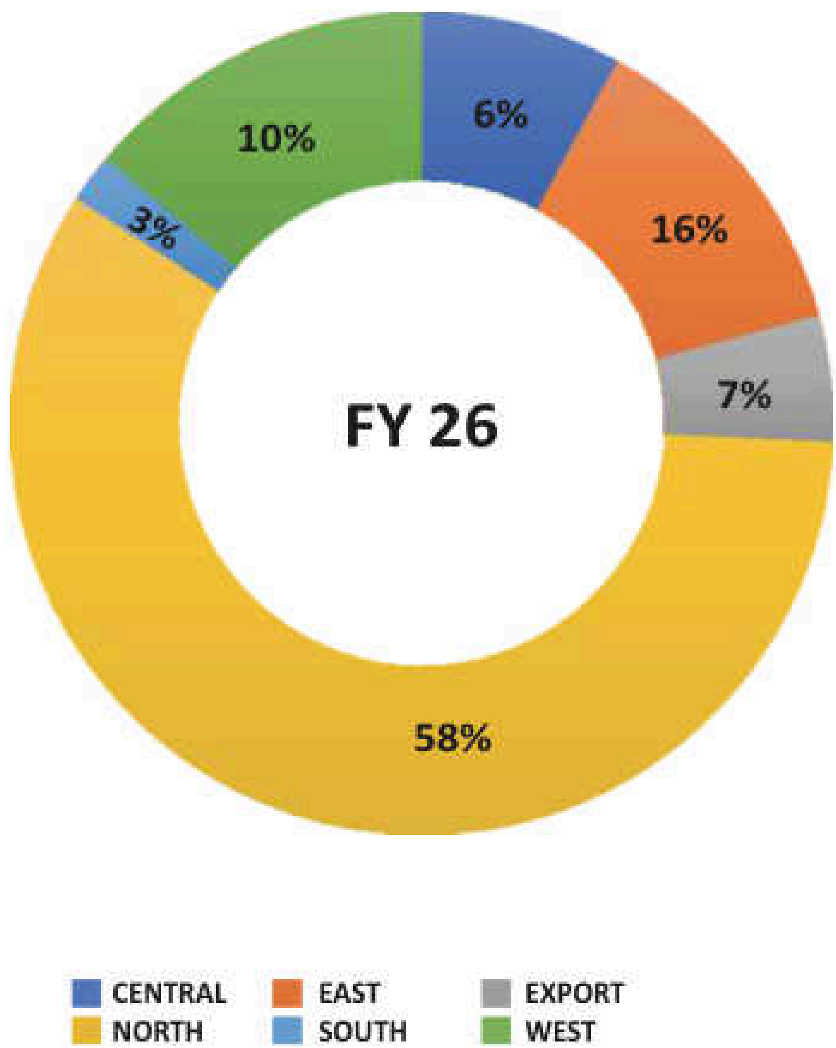
2025-26

- Added five more cutlery machines taking the total to 14

STRATEGIC AND SUSTAINABLE REVENUE MODEL

Open Market Supplies

- SIL supplies retail traders through its strong Pan-India distribution network with 100+ dealers and three branch offices in Delhi, Chandigarh & Jaipur.
- Out of total sales from Open Market Supplies, ~5-10% of sale comes from Rajasthan and Delhi in a Direct sale, to end users, and facilitated by the SIL's employees.
- A variety of paper grades are manufactured for this vertical ,i.e. exercise book paper, Snow white paper, SS Maplitho paper, Ledger paper, Copier paper, Colour printing paper etc.
- SIL has unique strength supplying watermark paper on its paper machines.



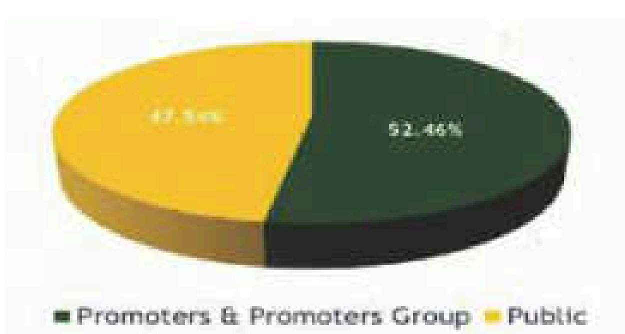
BALANCE SHEET HIGHLIGHTS

Particulars (INR Mn)	FY25	FY26
Fixed Assets		
Tangible Assets	7,337	6,460
Right of Use Assets	155	131
Intangible Assets	**14**	9
Capital Work in Progress	994	2,569
Investment property under development		300
Total Fixed Assets	8,500	**9,470**
Non-Current Investment & Other Financial Assets	432	962
Deferred Tax & Other Tax Assets	675	831
Other Non-Current Assets	531	429
Total Non-Current Assets	1,639	**2,222**
Current Assets		
Inventories	1,568	1,732
Biological Assets other than bearer plants	480	483
Trade Receivable	1,211	1,286
Cash & Cash Equivalent	36	43
Bank Balances	766	223
Other Financial Assets	14	19
Current Tax Assets	0	11
Other Current Assets	238	91
Total Current Assets	**4,312**	3,886
Total Assets	**14,451**	**15,578**

Particulars (INR Mn)	FY25	FY26
Shareholders Fund		
Share Capital	100	100
Reserves and Surplus	10,387	10,780
Total Shareholders Fund	**10,487**	**10,880**
Non Current Liabilities		
Long Term Borrowings	1,381	1,958
Other Financial Liabilities	440	218
Long Term Provision	145	212
Other non current Liabilities	1	32
Total Non Current Liability	**1,968**	**2,420**
Current Liabilities		
Short Term Borrowings	886	1,024
Trade Payable	761	634
Lease Liability	47	31
Other Current Liabilities	61	229
Other Financial Liabilities	206	319
Short Term Provision	14	42
Current Tax Liabilities	21	0
Total Current Liabilities	**1,996**	**2,278**
Total Liabilities	**14,451**	**15,578**

SHAREHOLDING INFORMATION

Shareholding as of 31st March 2026



Economic Overview

Global Economy

The global economy in FY 2025-26 remained resilient despite heightened geopolitical tensions, ongoing trade policy uncertainty and volatility in energy and commodity markets. Economic activity was impacted by disruptions to global supply chains and shipping routes following the escalation of conflict in West Asia during the second half of the year, contributing to higher freight and fuel costs and increased uncertainty across international markets. The International Monetary Fund (IMF), in its April 2026 World Economic Outlook, projected global growth at 3.1% in 2026, reflecting the economy's ability to withstand external shocks while remaining exposed to significant risks.

Global inflation moderated from the elevated levels witnessed in recent years, although price pressures persisted in several regions due to energy market fluctuations, geopolitical developments and trade-related disruptions. Financial conditions remained relatively tight in major economies, while governments and central banks continued to balance growth objectives with price stability concerns. Against this backdrop, global economic growth remained uneven across regions, with demand conditions, trade flows and investment activity varying significantly across markets.

Outlook

The global economic outlook remains cautiously positive, with the IMF expecting modest improvement in growth to 3.2% in 2027. However, downside risks continue to outweigh upside potential and include a prolonged or broader geopolitical conflict, renewed trade barriers, persistent inflationary pressures, tighter financial conditions and increased market volatility. As a result, the global economy is expected to remain resilient but operate within an environment of elevated uncertainty, requiring continued policy support, international cooperation and adaptability across businesses and markets.

Indian Economy

Against the backdrop of a volatile global environment, India continued to stand out as one of the fastest-growing major economies during FY 2025-26. While several economies grappled with slower growth, trade disruptions and geopolitical uncertainties, India's growth remained supported by resilient domestic consumption, sustained public infrastructure spending, healthy services sector activity and a gradual improvement in manufacturing. The International Monetary Fund (IMF) estimated India's growth at around 6.3% during the year, significantly ahead of the global growth rate. This resilience reinforced India's position as an important contributor to global economic growth.

The country's economic momentum was supported by continued government focus on infrastructure development, logistics improvement, manufacturing competitiveness and investment-led growth. Capital expenditure on roads, railways, ports, power infrastructure and industrial corridors continued to support economic activity, while ongoing policy initiatives aimed at strengthening domestic manufacturing and reducing supply-chain vulnerabilities encouraged investment across sectors. Rising urbanisation, improving formalisation of the economy and increasing consumption also continued to support medium-term growth prospects.

Key Economic Factors Influencing Manufacturing Activity

Infrastructure and Logistics

India's continued investment in transport, logistics and industrial infrastructure remained an important positive for the manufacturing sector. Improvements in road connectivity, freight movement, port infrastructure and warehousing efficiency have the potential to reduce logistics costs, improve supply-chain reliability and enhance competitiveness for domestic manufacturers over the long term. [indiabudget.gov.in], [ibef.org]

Commodity and Energy Prices

While domestic growth remained resilient, businesses continued to operate against a backdrop of volatility in global energy, commodity and freight markets. Developments in West Asia during FY 2025-26 led to periodic fluctuations in fuel prices and international shipping costs, highlighting the continued sensitivity of manufacturing sectors to global supply-chain disruptions and energy market movements.

Currency Movements and External Trade

Global trade conditions remained uncertain during the year due to tariff actions, geopolitical developments and shifting trade relationships among major economies. Currency movements and changes in international trade flows continued to influence the competitiveness of domestic manufacturers and the landed cost of imported raw materials and finished goods. As global supply chains adjusted to trade restrictions in developed markets, India increasingly became a destination for surplus production from certain exporting nations, intensifying competitive pressures in several manufacturing segments.

Trade Policy and Import Dynamics

Trade policy continued to remain an important area of focus for Indian industry during FY 2025-26. Industry associations across several sectors raised concerns regarding the growing influx of low-cost imports from countries benefiting from preferential trade arrangements. In the paper and paperboard segment specifically, imports from ASEAN countries continued to increase, aided by duty concessions available under the ASEAN-India Trade in Goods Agreement (AITIGA), prompting renewed discussions around trade remedial measures, anti-dumping mechanisms and the broader review of existing free trade arrangements. Industry bodies have argued that these imports have created competitive challenges for domestic manufacturers, particularly in segments facing global oversupply.

Outlook

India is expected to remain among the fastest-growing major economies, supported by favourable demographics, rising domestic consumption, infrastructure investment, manufacturing initiatives and ongoing economic reforms. While external risks arising from geopolitical tensions, global trade fragmentation, commodity price volatility and international economic conditions remain relevant, the country's strong domestic demand base, improving infrastructure and policy support for industrial growth provide a favourable foundation for sustained economic expansion over the medium term.

Global Pulp and Paper Industry

Market Overview

The global pulp and paper industry continued to operate in a dynamic environment during FY 2025-26, shaped by evolving consumption patterns, sustainability initiatives, changing trade flows and a volatile cost environment. According to Fortune Business Insights, the global pulp and paper market is estimated at approximately USD 357.6 billion in 2026 and is projected to reach USD 416.6 billion by 2035, reflecting the continued relevance of paper-based products across packaging, hygiene, publishing and industrial applications.

Demand Trends

Demand growth continued to be driven by packaging, tissue and specialty paper grades, while graphic paper and newsprint remained under structural pressure from increasing digitisation. Packaging remained the industry's largest end-use segment, accounting for an estimated 55.1% of global demand, supported by the expansion of e-commerce, organised retail, food-service applications and the increasing adoption of fibre-based alternatives to plastic packaging.

The sanitary paper segment continued to benefit from growing awareness of hygiene, rising disposable incomes and urbanisation across developing economies. In contrast, demand for printing and writing paper remained relatively subdued in several mature markets as businesses, educational institutions and consumers increasingly adopted digital platforms for communication and information consumption.

Regional Dynamics

Asia Pacific remained the dominant region in the global pulp and paper industry, accounting for approximately 56% of global market value in 2025. The region continued to be the primary engine of industry growth, supported by rising consumption, urbanisation, manufacturing activity and growing demand for packaging solutions across China, India and Southeast Asia. China remained the largest producer and consumer globally, while India continued to emerge as an important growth market driven by rising consumption and expanding end-use sectors.

At the same time, capacity additions in certain paper and packaging grades across Asia contributed to increased competitive intensity and pricing pressure in some markets. Export-oriented producers increasingly sought international markets for surplus production, contributing to greater competition across importing regions

Sustainability and Industry Transformation

Sustainability remained a defining theme across the global paper industry. Growing regulatory focus on reducing plastic waste, increasing consumer preference for environmentally responsible products and rising adoption of circular economy practices continued to support demand for recyclable and renewable paper-based solutions. According to the American Forest & Paper Association, approximately 67.9% of paper consumed in the United States was recycled, highlighting the industry's progress towards greater resource efficiency and circularity.

Manufacturers also continued to invest in recycling infrastructure, process automation, digitalisation and energy-efficient technologies to improve productivity, reduce environmental impact and enhance long-term competitiveness. Increasing research into alternative fibres and sustainable packaging solutions further reflected the industry's focus on innovation and resource optimisation.

Cost Environment

The industry continued to operate in a volatile cost environment during FY 2025-26. Wood pulp prices softened during the middle part of the year before firming towards the end of the year, while energy prices, freight costs and logistics expenses remained influenced by geopolitical developments and supply chain disruptions. Freight disruptions linked to the conflict in West Asia affected established shipping routes and increased transportation costs across several regions, contributing to cost pressures across the global value chain.

Opportunities

- Growing adoption of paper-based packaging as businesses and consumers shift towards more sustainable alternatives.
- Expansion of e-commerce, food-service and retail channels supporting demand for fibre-based packaging solutions.
- Increasing investments in automation, digitalisation and process optimisation to enhance operating efficiency.
- Growth in specialty paper applications catering to evolving industrial and consumer requirements.
- Rising preference for recyclable and renewable materials supporting long-term demand growth.

Threats

- Continued structural decline in newsprint and certain graphic paper grades due to increasing digital consumption.
- Volatility in pulp, fibre, energy, chemical and freight costs.
- Excess capacity in certain regions leading to pricing pressure and increased export competition.
- Geopolitical uncertainty and changing trade policies affecting supply chains and market access.
- Increasing environmental compliance requirements and sustainability-related investments.

Outlook

According to Fortune Business Insights, the global pulp and paper market is expected to grow steadily over the medium term, supported by demand from packaging, sanitary and specialty paper applications. Asia Pacific is expected to remain the principal growth region, while sustainability initiatives, increasing adoption of recyclable packaging solutions and evolving consumer preferences continue to support industry growth. Industry profitability, however, is expected to remain influenced by fibre availability, energy costs, freight rates, capacity additions and changing global trade dynamics

Indian Pulp and Paper Industry

Overview

According to the Indian Paper Manufacturers Association (IPMA), domestic paper demand has been growing at approximately 6-7% annually, supported by rising literacy levels, expanding education infrastructure, growth in organised retail and increasing adoption of paper-based packaging. Demand growth has been strongest in packaging and tissue segments, which have been growing at an estimated 8-10% annually, while the writing and printing paper segment has remained relatively stable, supported by education-linked and institutional demand despite increasing digitalisation across certain end-use categories. Newsprint demand continues to remain under structural pressure.

Demand Drivers

- **Education and Literacy**

Education remains an important demand pillar for the industry, supporting consumption of notebooks, textbooks, copier paper and institutional supplies. Continued implementation of the National Education Policy (NEP), increasing school enrolment and improving literacy levels continue to support demand for writing and printing paper across the country.

- **Packaging and Consumption Growth**

Packaging remains the fastest-growing segment of the industry, driven by the expansion of e-commerce, FMCG consumption, food delivery platforms and organised retail. Growing urbanisation, rising disposable incomes and changing consumption patterns are further supporting demand for packaging-grade paper and paperboard.

- **Sustainability-Led Demand**

The gradual shift away from single-use plastics continues to support demand for paper-based packaging and food-service paper products. Increasing regulatory focus on sustainable alternatives and growing consumer preference for environmentally responsible products are expected to support long-term demand growth across paper-based applications.

- **Emerging Markets**

Rising literacy, increasing consumption and expansion of organised distribution networks in Tier II and Tier III cities continue to provide a long-term demand base for the industry. These markets remain an important growth opportunity as education, retail and commercial activity deepen across the countr

Cost Environment and Raw Material Availability

FY 2025-26 was characterised by a challenging cost environment for domestic paper manufacturers. Elevated agro-fibre costs, Flooding in parts of Punjab impacted the availability and cost of wheat straw, an important raw material for agro-based integrated mills operating in the region.

Energy, fuel and freight costs also remained volatile during the year. Toward the latter part of FY 2025-26, developments in West Asia contributed to higher fuel prices and disruptions across established shipping corridors, adding pressure on logistics and transportation costs across the value chain.

Trade Dynamics and Regulatory Developments

FY 2025-26 witnessed several important policy and trade developments impacting the industry. The Directorate General of Trade Remedies (DGTR) initiated anti-dumping investigations into paperboard imports from Indonesia, while a Minimum Import Price (MIP) on virgin multi-layer paperboard was introduced and subsequently extended.

Industry bodies also pursued anti-subsidy petitions to address concerns related to imports from overseas producers benefiting from government support programmes.

Imports continued to remain an important industry concern, particularly from ASEAN countries and China. Industry associations highlighted the impact of competitively priced imports on domestic realisations, especially in segments facing global oversupply and aggressive export-oriented competition. However, most trade-remedy measures implemented during the year remained concentrated in paperboard, with limited applicability to writing and printing paper grades.

Separately, the conclusion of the India-EU Free Trade Agreement and duty relief announced in Union Budget 2026 on pulp and waste-paper imports, together with streamlined customs procedures, provided some offsetting support to industry cost structures.

Opportunities

- Domestic paper demand continues to grow at approximately 6-7% annually, supported by education, literacy initiatives, consumption growth and expanding packaging applications.

- India's per-capita paper consumption remains below the global average, providing significant long-term growth potential for organised manufacturers.
- Government initiatives supporting education, literacy and skill development continue to provide structural support for writing and printing paper demand.
- Potential expansion of trade-remedy measures to additional paper grades could improve the operating environment for domestic manufacturers.

Challenges

- Continued volatility in agro-fibre, energy and freight costs.
- Competitive pressure from low-cost imports, particularly from ASEAN countries and China.
- Prolonged timelines associated with anti-dumping and anti-subsidy investigations delaying market correction.

Outlook

The long-term demand outlook for the Indian paper industry remains favourable, supported by rising literacy levels, continued education spending, urbanisation, growth in organised retail and increasing adoption of paper-based packaging solutions. Industry demand is expected to remain supported by structural growth drivers, although profitability will continue to be influenced by raw material availability, energy costs, import intensity, trade-remedy measures and broader macroeconomic developments. Growth in packaging and tissue segments is expected to continue to outpace overall industry growth, while writing and printing paper demand is expected to remain supported by education and institutional consumption despite ongoing digital substitution in certain end-use categories.

Business Overview

Satia Industries Limited (SIL) is one of India's leading writing and printing paper manufacturers, with a legacy of more than four decades. The Company was incorporated by Dr. Ajay Satia in 1980 and commenced operations in 1984 with an initial capacity of 4,950 tonnes per annum.

SIL operates a fully integrated manufacturing facility at Sri Muktsar Sahib, Punjab, with four paper machines, in-house pulping, chemical recovery, captive power generation and effluent treatment infrastructure. With the addition of the fourth paper machine in FY22, installed production capacity now exceeds 2,00,000 MTPA.

SIL manufactures a diversified portfolio of writing and printing paper grades catering to a broad spectrum of end-use applications. Its product range includes exercise book paper, Snow White paper, SS Maplitho paper, Ledger paper, Copier paper and colour printing paper. SIL also enjoys a strong market position in watermark paper, a specialised category requiring stringent quality specifications and technical capabilities.

SIL's products are marketed through a pan-India distribution network comprising more than 100 dealers and supported by branch offices in Delhi, Chandigarh and Jaipur. In addition to serving the open market segment, the Company also caters to institutional customers across various sectors, providing it with a diversified customer base and broad market reach.

SIL's operations are supported by a workforce of over 2,600 employees across manufacturing, sales, distribution and support functions.

Satia's Competitive Positioning

Satia's competitive position rests on its integrated manufacturing model, established presence in writing and printing paper, institutional supply relationships and pan-India distribution network. In a year when the sector faced both cost pressure and import-led pricing pressure, the Company's priority was protecting the core business while progressing efficiency and selective value-added initiatives.

Area	Positioning / relevance
Integrated operations	In-house pulping, chemical recovery, captive power and effluent treatment infrastructure support cost control and operating flexibility.
Core paper franchise	The writing and printing paper portfolio remains the main business, supported by education-linked and institutional demand.
Distribution reach	A pan-India dealer network and branch presence support both open-market and institutional business.
Operational efficiency	The PM3 upgrade and related process improvements are expected to strengthen throughput, quality and cost competitiveness over time.
Measured diversification	Sustainable tableware and moulded products are being developed as adjacent, small-scale initiatives; the core paper business remains the priority.

Sustainability and Integrated Manufacturing Advantage

The Company's use of agro-based inputs, plantation initiatives, chemical recovery, effluent treatment infrastructure and captive power supports its ability to operate efficiently while meeting environmental requirements.

- Agro-based and plantation-linked raw material initiatives support the sourcing ecosystem and reduce dependence on any single fibre source.
- Chemical recovery and effluent treatment infrastructure form an important part of the integrated manufacturing platform.
- Captive power and biomass-based fuel usage support operating resilience, particularly during periods of energy cost volatility, such as that seen in Q4 FY26.
- Value-added product initiatives are aligned with the broader shift toward recyclable and paper-based alternatives, though they remain small relative to the Company's current revenue base.

As part of its sustainability approach, SIL has approximately more than 500 acres of eucalyptus plantations. Under Project Green, the Company has distributed more than one lakh eucalyptus saplings to farmers for plantation over thousands of acres under its social forestry initiative.

Our Performance for FY 2025-26

FY 2025-26 was a difficult year for the domestic writing and printing paper segment, and Satia's results reflect that. Revenue from operations declined 4% to Rs 14,519 million (Rs 15,120 million in FY25), EBITDA fell 51% to Rs 1,318 million with margin contracting to 9.1% from 17.9%, and profit for the period was Rs 409 million against Rs 1,186 million in FY25 (basic and diluted EPS of Rs 4.09 versus Rs 11.86).

Particulars	FY26	FY25	Change
Revenue from Operations	Rs 14,519 million	Rs 15,120 million	-4%
Total Income	Rs 15,190 million	Rs 15,312 million	-1%
EBITDA	Rs 1,318 million	Rs 2,703 million	-51%
EBITDA Margin	9.1%	17.9%	-879 bps
Profit Before Tax	Rs 310 million	Rs 1,065 million	-71%
Profit for the Period	Rs 409 million	Rs 1,186 million	-66%
Basic and Diluted EPS	Rs 4.09	Rs 11.86	-66%
Net Debt : Equity	0.25x	0.14x	Increase

The decline in profitability reflects a combination of factors that played out through the year: sustained pressure on realisations from low-cost imports, particularly in the first half of the year, before pricing began to firm in the fourth quarter; a rise in agro-fibre (wheat straw) costs following flooding in parts of Punjab during the year, affecting agro-based mills in the region; and elevated fuel and power costs in the fourth quarter following the escalation of the West Asia conflict.

On the balance sheet, total assets increased to Rs 15,578 million (Rs 14,451 million in FY25) and total shareholders' funds stood at Rs 10,880 million (Rs 10,487 million in FY25). Net debt to equity rose to 0.25x from 0.14x, reflecting drawdown against the ongoing PM3 upgrade and other capital expenditure. Pricing improved through the fourth quarter as demand strengthened, a trend the Company expects to carry into FY27, subject to input cost movement and the extent of import competition.

Key Financial Ratios

Regulation 34 read with Schedule V of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 requires disclosure of significant (25% or more) changes in key financial ratios, along with explanations. The following ratios have moved by more than this threshold and are explained below;

Ratio	FY26	FY25	Change	Primary reason
EBITDA Margin	9.1%	17.9%	-879 bps	Lower realisations, higher agro-fibre and fuel costs,
PAT Margin	2.8%	7.8%	-500 bps	Flows through from EBITDA margin decline; partly offset by lower depreciation/finance cost as a share of revenue
Net Debt : Equity	0.25x	0.14x	+0.11x	Debt drawdown against ongoing capex (PM3 upgrade and related projects)
Return on Net Worth	3.83%	11.98%	-815bps	Due to decrease in profits
Interest Coverage Ratio	2.41x	5.16x	-2.75x	Due to decrease in profits

Developments at Satia Industries in FY 2025-26

Demand for the Company's products remained resilient through the year, while cost pressures stayed elevated, particularly in raw materials and fuel. Fuel costs were affected by the West Asia conflict during the fourth quarter. Import pressure remained a concern through most of the year, though it began easing towards the end of the period as pricing firmed.

The Company continued to focus on cost discipline, operational efficiency and value-added products. The cutlery business continued to run at high utilisation during the year, given its current scale, this remains an adjacent initiative rather than a material revenue driver at present.

The PM3 upgrade remains the Company's key ongoing initiative, aimed at improving throughput, efficiency and cost competitiveness. FY27 is expected to be a transition year as this and related projects are completed and ramped up.

Capital Expenditure

Satia continues to invest in capital expenditure aimed at improving long-term efficiency, strengthening operating capability and supporting future growth. The PM3 upgrade is central to this plan and is intended to improve productivity, product quality, throughput and cost efficiency.

The Company is also pursuing selected value-added product initiatives, including moulded products within the cutlery business. These are aligned with the broader shift toward paper-based alternatives but will be scaled in a measured manner given their current contribution to overall revenue.

Risk Management

- Raw material risk: wood and agro-fibre (wheat straw) availability and pricing, heightened in FY26 by flooding in Punjab; partly mitigated through the Company's plantation programme (Project Green) and backward integration.

- Import competition: continued inflow of low-cost paper and paperboard from ASEAN countries and China. Government trade-remedy action to date (anti-dumping investigation, minimum import price) has been concentrated in paperboard; the timeline for any extension to printing and writing paper remains uncertain, and such proceedings typically take 12-24 months to conclude.

- Energy cost risk: exposure to global fuel and power price movements, as illustrated by the impact of the West Asia conflict on costs in Q4 FY26.

- Currency risk: rupee movement affects the cost of any imported pulp, chemicals or machinery.

- Execution risk: timely completion of the PM3 upgrade and ramp-up of associated capacity is important to the Company's cost position and volume growth in FY27.

Corporate Social Responsibility

CSR has remained a consistent part of the Company's operating philosophy. CSR initiatives for FY 2025-26 are described in detail in a separate section of this Annual Report. [Management input requested: actual CSR spend for FY 2025-26.]

Human Resources and Industrial Relations

The Company continued to focus on employee safety, wellness, skill development and training across levels during the year. SIL has a total employee strength of over 2,600. Industrial relations remained cordial through the year.

Internal Control Systems and Their Adequacy.

The Company has established internal control systems that provide reasonable assurance on safeguarding assets, promoting operational efficiency and ensuring compliance with statutory provisions. A firm of practising Chartered Accountants has been appointed as Internal Auditor to regularly review internal control systems in business processes and verify compliance with laid-down policies and procedures.

Internal audit reports are reviewed by senior management and placed before, and discussed at, meetings of the Audit Committee, which reviews the adequacy of internal control systems, audit findings and suggestions. The internal audit function tracks and monitors implementation of suggested improvements. The Company's statutory auditors regularly interact with the Audit Committee to share their findings and the status of further improvement actions.

Cautionary Statement

Statements in this Management Discussion and Analysis relating to the Company's objectives, projections, estimates, expectations or predictions may be forward-looking statements within the meaning of applicable securities laws or regulations. These statements are based on certain assumptions and expectations of future events. Actual results could differ materially from those expressed or implied. Important factors that could make a difference to the Company's operations include global and domestic demand-supply conditions, selling prices, raw material costs and availability, changes in government regulations and tax structure, general economic developments in India and abroad, litigation, industrial relations and other unforeseen events. The Company assumes no responsibility to update these forward-looking statements, which may change based on subsequent developments, information or events.

SUSTAINABILITY REPORT

BUILDING A GREENER TOMORROW

Paper for People. Care for the Planet.

RESPONSIBLE SOURCING | RESOURCE CONSERVATION | CIRCULAR SOLUTIONS | PEOPLE & COMMUNITIES

FY 2025-26

About This Report

This Sustainability Report presents Satia Industries Limited's environmental, social and governance (ESG) performance for the financial year 1 April 2025 to 31 March 2026. Prepared voluntarily, the report reflects the Company's commitment to communicating its sustainability performance beyond regulatory requirements while strengthening transparency, accountability and stakeholder engagement.

Prepared with reference to the Business Responsibility and Sustainability Reporting (BRSR) framework prescribed by the Securities and Exchange Board of India (SEBI), the report brings together our sustainability strategy, governance approach, material priorities and performance across key environmental, social and governance themes. While informed by the BRSR framework, this publication is intended to provide a broader narrative of how sustainability is integrated into Satia Industries' business and long-term value creation.

Unless otherwise stated, the information presented in this report relates to Satia Industries Limited's manufacturing operations at Sri Muktsar Sahib, Punjab, for the reporting period 1 April 2025 to 31 March 2026. The report primarily covers activities, initiatives and performance data for operations under the Company's operational control during the reporting period.

Building upon the foundation established in our previous Sustainability Report, this edition reflects the continued evolution of our sustainability reporting journey. During the preparation of this report, selected disclosures from the previous reporting cycle - including organisational information, employee data, renewable energy figures and other operational information - were reviewed against verified source documents and updated where necessary to improve consistency, accuracy and reliability. Any such revisions are intended to enhance the quality and comparability of our sustainability disclosures.

As stakeholder expectations continue to evolve, we remain committed to strengthening both our sustainability performance and the quality of our reporting. Through transparent communication of our progress, challenges and priorities, we aim to provide stakeholders with a balanced understanding of how sustainability supports responsible manufacturing, business resilience and long-term value creation at Satia Industries.

Message from the Managing Director

"Sustainability is not defined by the absence of challenges, but by the commitment to improve continuously."

At Satia Industries Limited, sustainability has always been closely linked to the way we build our business. For more than four decades, we have believed that long-term industrial growth must go hand in hand with responsible resource management, operational excellence and meaningful value creation for all our stakeholders. This philosophy continues to shape our decisions as we strengthen our position as one of India's integrated paper manufacturers.

FY 2025-26 was a year of meaningful progress. We continued to strengthen our resource-efficient manufacturing model while improving operational performance across several key environmental and social indicators. We also continued to support rural livelihoods, with over two-thirds of our workforce wages benefiting rural communities.

Equally important, we strengthened the circularity of our operations. Our manufacturing processes increasingly demonstrate how industrial by-products can be transformed into valuable resources. From utilising agricultural residues as key raw materials to capturing carbon dioxide for use in our Precipitated Calcium Carbonate (PCC) plant and improving resource recovery across our operations, we continue to move towards a more resilient and circular manufacturing model.

Our commitment extends beyond environmental stewardship. We remain focused on providing a safe workplace, strengthening employee well-being, maintaining high standards of corporate governance, and building lasting relationships with our customers, suppliers, investors and the communities in which we operate. Responsible business practices are not separate from our commercial objectives - they are fundamental to creating long-term resilience and sustainable growth.

This report also reflects an important milestone in our sustainability journey. By adopting a reporting approach informed by the Business Responsibility and Sustainability Reporting (BRSR) framework, we reaffirm our commitment to greater transparency, stronger governance and continuous improvement.

As we look ahead, we will continue investing in cleaner technologies, resource efficiency, operational innovation and responsible business practices while advancing our sustainability capabilities. Our focus remains clear: creating long-term value for our stakeholders while ensuring that growth is achieved responsibly and sustainably.

I extend my sincere gratitude to our employees, customers, suppliers, investors, communities and all our stakeholders for their continued trust and support. Together, we will continue building a business that not only delivers quality products but also contributes meaningfully to a more sustainable future.

Warm regards,

Dr. Ajay Satia

Chairman cum Managing Director
Satia Industries Limited

Sustainability at a Glance

ENVIRONMENTAL HIGHLIGHTS

Energy from Renewable Sources

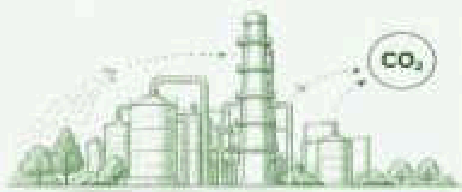
98.94%

of total energy consumed was from renewable sources

Carbon Dioxide Utilisation

213.74M m³

of carbon dioxide utilised annually in our PCC plant as a manufacturing input



Circular Manufacturing

Circular Manufacturing

strengthened through wastewater treatment upgrades and sludge to fuel utilisation

SOCIAL HIGHLIGHTS

Responsible Sourcing and Local Partnerships

39.78%

procurement from MSMEs and small producers, supporting local supply chains

People and Communities

67.88%

of workforce wages contributed to rural livelihoods

Employee Well-being and Safety

2,624

employees supported through comprehensive health, safety and well-being initiatives

GOVERNANCE HIGHLIGHTS

Ethics and Integrity

ZERO

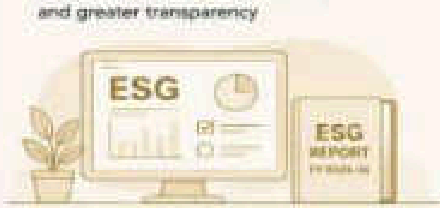
confirmed incidents relating to corruption, bribery or conflicts of interest in FY 2025-26

- Upholding the highest standards of ethics and business conduct
- Zero tolerance for corruption and unethical practices

Transparent Reporting and Disclosure

STRENGTHENED

ESG reporting with enhanced data verification, improved disclosures and greater transparency



- Robust data governance and internal controls
- Timely and accurate disclosures
- Committed to continuous improvement

Responsible Governance and Compliance

100%

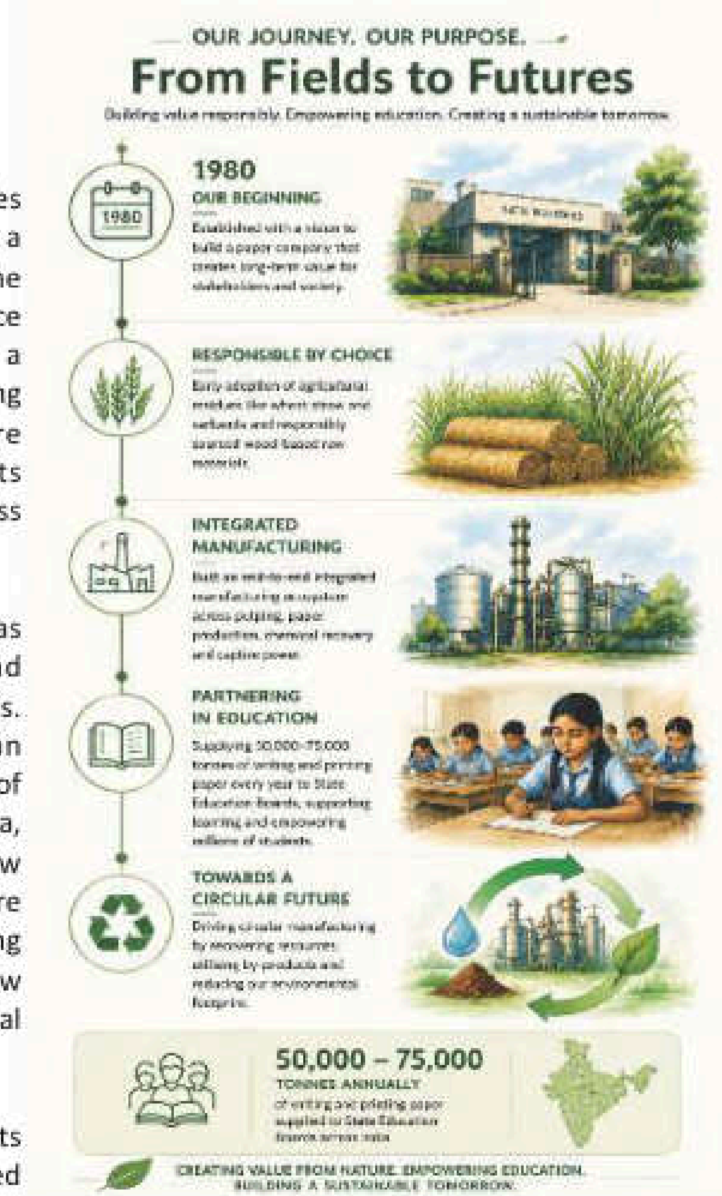
compliance with applicable laws and regulations with effective oversight and accountability

- Strong Board oversight and governance frameworks
- Effective risk management and internal audit
- Accountability across all levels of the organisation

Our Story

From Fields to Futures

Every sheet of paper tells a story. At Satia Industries Limited, that story begins long before paper reaches a classroom, an office or a printing press. It begins in the agricultural fields of Punjab, where crop residues, once seen as agricultural waste, are transformed into a valuable resource. Through responsible manufacturing and continuous innovation, these materials are converted into high-quality paper that supports learning, communication and economic progress across the country.



One of the defining characteristics of Satia's journey has been its early recognition that sustainability and business performance are not competing priorities. Long before sustainable manufacturing became an industry expectation, the Company adopted the use of agricultural residues such as wheat straw and sarkanda, alongside responsibly sourced wood-based raw materials, reducing dependence on conventional fibre sources while creating additional value for farming communities. This philosophy continues to shape how Satia approaches resource management, operational efficiency and innovation today.

Today, Satia's story is defined by more than the products it manufactures. It is reflected in the value created across its entire ecosystem, from supporting agricultural communities through responsible sourcing, to improving resource efficiency through integrated manufacturing and circular practices, and ultimately delivering products that serve businesses, institutions and classrooms across India. Guided by this purpose, the Company continues to strengthen its sustainability journey while creating long-term value for its stakeholders.

Our Sustainability Philosophy

4.1 Sustainability Rooted in Responsibility

For Satia Industries Limited, sustainability is not a separate business function - it is embedded in the way we create value. As an integrated paper manufacturer, we recognise that our long-term success depends on how responsibly we manage natural resources, operate our facilities and engage with the people and communities connected to our business.

Our approach to sustainability has been shaped by practical decisions made over decades. Long before sustainability became a widely adopted business framework, we recognised the value of agricultural residues as an alternative fibre source, reducing dependence on conventional forest-based raw materials while creating opportunities for farming communities. Today, this philosophy continues to guide how we source raw materials, improve manufacturing efficiency and strengthen the resilience of our operations.

We believe sustainability is not achieved through isolated initiatives, but through the continuous improvement of everyday business practices. Whether through responsible resource utilisation, investments in renewable energy, circular manufacturing processes or operational innovation, our objective is to improve efficiency, strengthen resilience and create lasting value for all our stakeholders.

Equally important is our commitment to transparency. Meaningful sustainability reporting should reflect both progress and areas requiring further attention. Throughout this report, we present our performance with honesty, recognising that continuous improvement begins with an accurate understanding of where we stand today. By openly communicating our achievements, challenges and future priorities, we seek to strengthen accountability and build lasting trust with our stakeholders.

As our sustainability journey continues to evolve, we remain committed to integrating environmental stewardship, social responsibility and sound governance into our business strategy. Guided by these principles, we aim to create long-term value while contributing to a more resilient manufacturing sector and a more sustainable future.

4.2 Why Sustainability Matters

The paper industry plays a vital role in supporting education, publishing, communication and economic activity. The growth is expected to be driven by packaging paper, supported by expanding e-commerce and changing consumption patterns, the writing and printing paper segment continues to serve essential sectors such as education, government and publishing.

At the same time, paper manufacturing is inherently resource intensive. The industry depends on the sustainable management of fibre, water and energy, while navigating increasing climate-related risks and evolving resource availability. Across the sector, wood-based paper manufacturers continue to face volatility in the availability and cost of raw materials, reinforcing the need for diversified fibre sources, efficient manufacturing processes and responsible resource management.

For Satia Industries, these industry realities reinforce the importance of building a resilient and future-ready business. Our response is centred on an integrated manufacturing model that combines operational efficiency with responsible resource utilisation. Our approach is characterised by:

- Agro-residue-based sourcing, reducing dependence on conventional fibre sources while supporting local agricultural value chains.
- Local procurement, with the majority of raw materials sourced from regions close to our manufacturing facility, strengthening supply chain resilience and reducing transportation requirements.
- Renewable energy utilisation, reflecting our continued investment in cleaner energy sources.
- 39.78% procurement from MSMEs and small producers, supporting inclusive economic development and local enterprise.
- Circular manufacturing initiatives, including the utilisation of captured carbon dioxide in our PCC plant and the conversion of treatment sludge into an alternative fuel source.
- Integrated operations, enabling better resource recovery, operational efficiency and environmental performance across the manufacturing value chain.

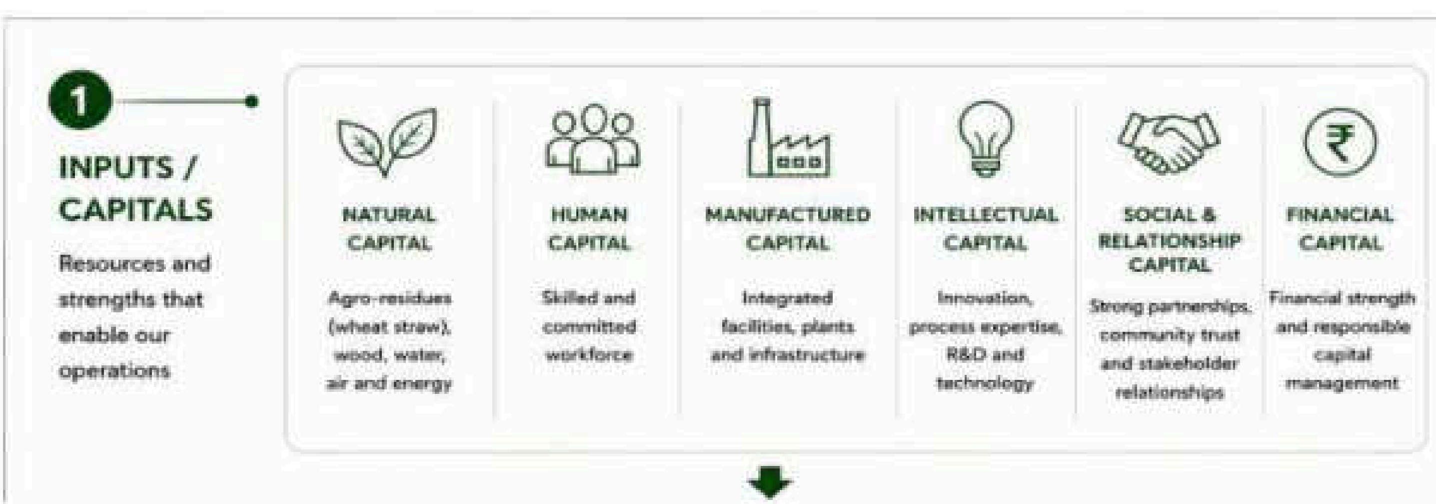
These priorities shape our sustainability strategy and guide the actions presented throughout this report. Together, they reflect our commitment to creating long-term value through responsible manufacturing, operational resilience and continuous improvement.

Our Value Creation Model

5.1 Business Model

At Satia Industries Limited, value creation is rooted in an integrated manufacturing model that combines operational efficiency, responsible resource utilisation and continuous innovation. From sourcing raw materials to delivering finished products, every stage of our operations is designed to optimise resources, strengthen manufacturing resilience and create lasting value for our stakeholders.

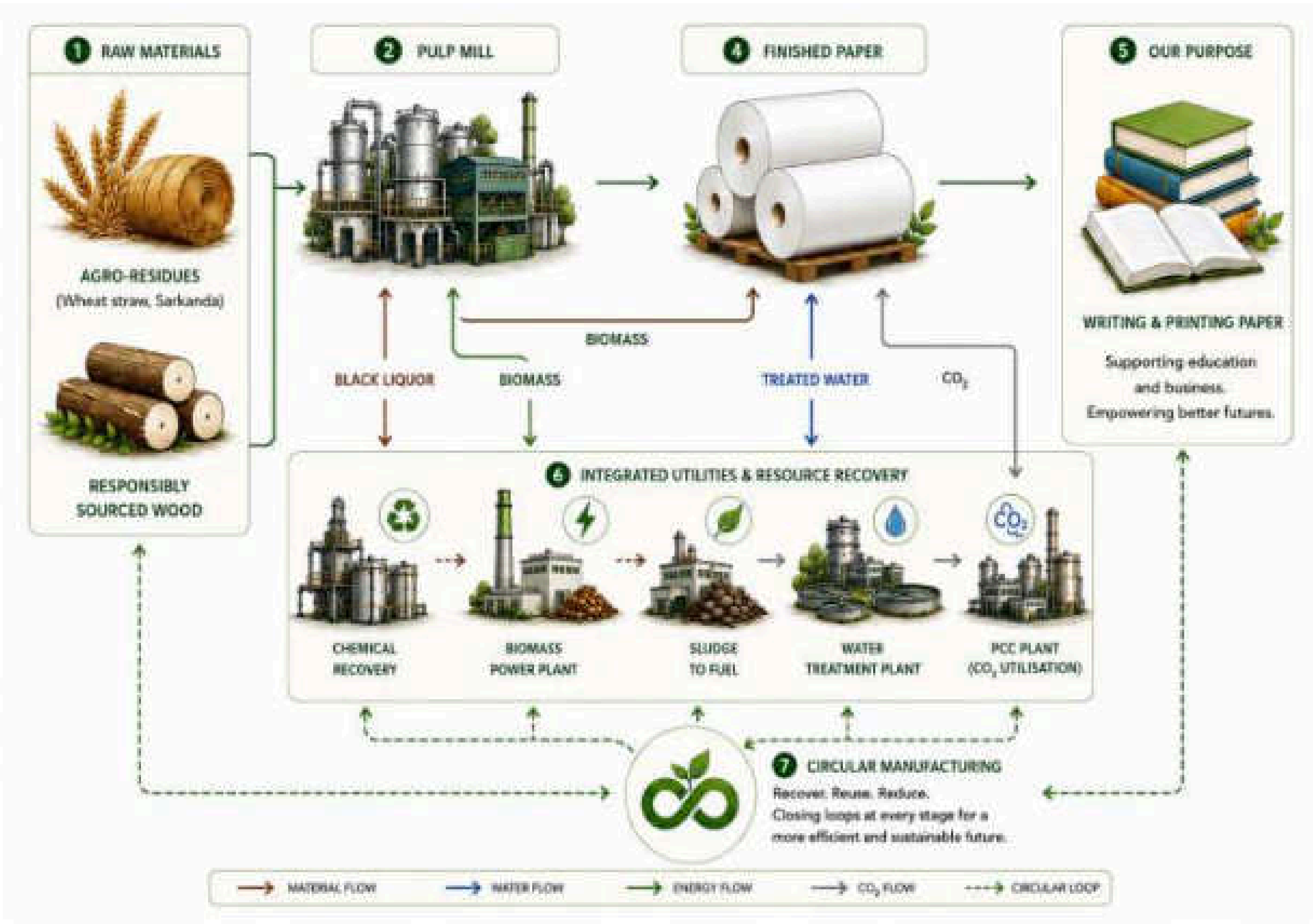
Our integrated operations enable us to transform agricultural residues and responsibly sourced raw materials into high-quality writing and printing paper while supporting circular resource management across the manufacturing process. This approach not only strengthens operational efficiency but also contributes to rural livelihoods, responsible sourcing practices and long-term business growth.



5.2 Integrated Manufacturing Process

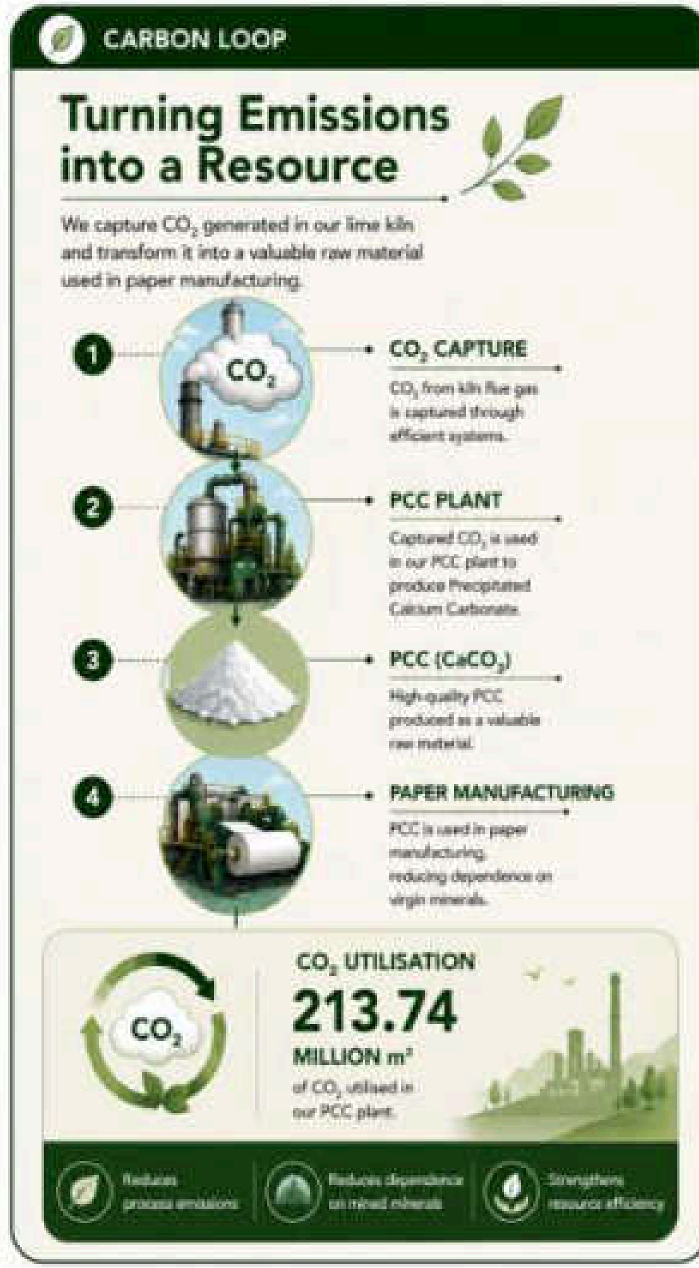
Satia Industries' integrated manufacturing model is designed to maximise resource efficiency while creating value at every stage of production. Beginning with responsibly sourced wood and agricultural residues such as wheat straw and sarkanda, the manufacturing process combines pulping, paper production, chemical recovery, captive renewable energy generation and environmental management within a single integrated ecosystem. This approach strengthens operational efficiency, improves process reliability and enables effective utilisation of resources across the value chain.

Integration also supports the Company's circular manufacturing philosophy by recovering materials, reusing process by-products and minimising waste generation wherever possible. Technologies such as chemical recovery systems, biomass-based energy generation, carbon dioxide utilisation in the PCC plant and sludge-to-fuel conversion enable resources to remain in productive use for longer. By embedding circularity into manufacturing operations, Satia continues to reduce its environmental footprint while delivering high-quality writing and printing paper through a resilient and responsible production process.



5.3 Circular Value in Action

Two examples illustrate how Satia converts manufacturing by-products - carbon dioxide and treatment sludge into productive inputs rather than waste streams.



Material Topics

Understanding What Matters Most

At Satia Industries Limited, our sustainability priorities are guided by the issues that have the greatest influence on our business and are most significant to our stakeholders. As our business continues to evolve, understanding these priorities enables us to allocate resources effectively, strengthen resilience and create long-term value.

Our approach to materiality considers both the impact of sustainability issues on our business and the influence of our operations on the economy, environment and society. By engaging with key stakeholders and evaluating emerging business risks, regulatory developments and industry trends, we continually refine our understanding of the issues that are most relevant to our long-term success.

The outcomes of this assessment guide our sustainability strategy, shape our management approach and form the basis of the disclosures presented throughout this report.

6.1 Stakeholder Engagement

Our stakeholders play an essential role in shaping Satia Industries' sustainability journey. Through continuous engagement with employees, customers, suppliers, investors, communities and regulatory authorities, we seek to understand evolving expectations, strengthen partnerships and make decisions that create shared value. This ongoing dialogue enhances transparency, supports responsible governance and enables us to respond proactively to emerging opportunities and challenges.

Stakeholder insights are integrated into our sustainability strategy, helping us identify material topics, prioritise key ESG issues and improve business resilience. By maintaining open and constructive engagement, we ensure that our sustainability approach remains aligned with both stakeholder expectations and our long-term business objectives.

Stakeholder Group	Mode of Engagement	Frequency	Key Topics
Employees & Workers	Internal circulars, meetings, training programmes, welfare initiatives, employee engagement platforms and awareness sessions	As and when required	Health & safety, wages, working conditions, skill development, well-being, career progression
Investors & Shareholders	Annual Report, quarterly results, AGM, investor presentations, stock exchange filings, investor meetings	As and when required	Financial performance, governance, business strategy, ESG disclosures, long-term value creation
Customers (incl. State Education Boards)	Business meetings, customer interactions, operational discussions and feedback mechanisms	As and when required	Product quality, reliability of supply, delivery schedules, customer satisfaction
Suppliers & Value Chain Partners	Supplier meetings, procurement interactions, operational reviews and business communications	As and when required	Raw material availability, responsible sourcing, product quality, payment timelines
Local Communities	CSR programmes, community meetings, awareness initiatives and stakeholder interactions	As and when required	Employment, community development, education, health, environmental impact, social welfare
Government & Regulatory Authorities	Regulatory filings, written communications, inspections and official meetings	As and when required	Regulatory compliance, statutory approvals, environmental permissions, effluent and emissions compliance

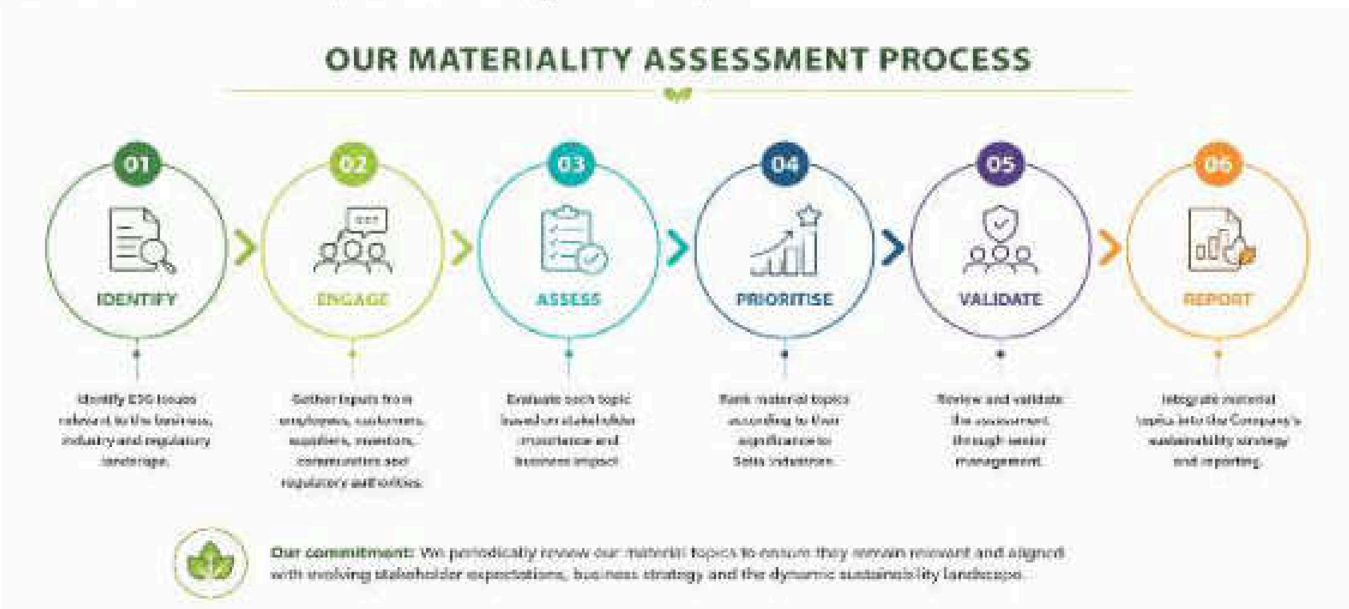
Stakeholder engagement at Satia Industries extends beyond communication, it plays an important role in informing business decisions and shaping our sustainability priorities. Feedback received from employees, customers, suppliers, investors, local communities and regulatory authorities is regularly considered alongside operational performance, emerging risks and evolving regulatory expectations. This enables us to better understand stakeholder concerns, identify opportunities for improvement and ensure that our business remains responsive to changing expectations.

Insights gathered through these engagements have influenced several areas of our business, including strengthening workplace safety initiatives, reinforcing responsible sourcing practices, enhancing resource efficiency, improving supplier engagement and maintaining transparent sustainability disclosures. Stakeholder perspectives also support the identification of material topics, inform our risk and opportunity assessment, and contribute to the continuous refinement of our sustainability strategy, helping us create long-term value while fostering trust and accountability across our value chain.

6.2 Materiality Assessment

At Satia Industries Limited, our sustainability strategy is shaped by the environmental, social and governance issues that have the greatest significance to our business and stakeholders. Through a structured materiality assessment, we identify and prioritise ESG topics that influence long-term value creation, operational resilience and responsible business conduct, enabling us to focus our efforts where they can create the greatest impact.

Our assessment considers stakeholder expectations, business priorities, industry developments, regulatory requirements and emerging sustainability trends to evaluate the issues most relevant to our operations. The identified material topics guide our sustainability strategy, support management decision-making and form the foundation of the disclosures presented throughout this report.



Material Topics, Responsibility and Impact

Material Topic	Responsibility Related to Satia Industries	Stakeholders Impacted	Management Approach	Relevant SDGs
Climate Action & Decarbonisation	Reduce greenhouse gas emissions and improve climate resilience across operations	Investors, regulators, customers, communities	Improve energy efficiency, utilise renewable energy, monitor emissions and implement low-carbon initiatives	**SDG 7, SDG 13**
Water Stewardship	Ensure efficient water use and responsible wastewater management	Local communities, regulators, investors	Total Effluent Reuse System, water recycling, ETP operations, continuous monitoring	**SDG 6, SDG 12**

Renewable Energy & Energy Efficiency	Enhance operational efficiency while reducing dependence on fossil fuels	Shareholders, regulators, employees	Biomass-based captive power generation, energy-efficient technologies and performance monitoring	**SDG 7, SDG 13**
Circular Manufacturing & Waste Recovery	Maximise resource recovery and minimise waste generation	Communities, regulators, customers	Chemical recovery systems, PCC plant, sludge-to-fuel initiatives and by-product utilisation	**SDG 9, SDG 12**
Sustainable Fibre Sourcing	Secure long-term availability of responsibly sourced wood and agro-residues	Farmers, suppliers, customers	Responsible procurement, long-term supplier relationships and agro-residue utilisation	**SDG 12, SDG 15**
Air Emissions & Pollution Control	Maintain compliance with environmental regulations while improving air quality	Regulators, communities, investors	Electrostatic Precipitators (ESPs), online emissions monitoring and periodic compliance reviews	**SDG 11, SDG 13**
Occupational Health & Safety	Provide a safe and healthy workplace for employees and contractors	Employees, workers, contractors	Occupational safety programmes, regular training, health monitoring and incident reporting	**SDG 3, SDG 8**
Employee Well-being & Development	Build an inclusive, skilled and engaged workforce	Employees	Learning and development programmes, employee welfare initiatives and grievance redressal mechanisms	**SDG 4, SDG 5, SDG 8**
Community Development	Contribute to the socio-economic development of neighbouring communities	Local communities, educational institutions	CSR initiatives, education support, healthcare, livelihood and environmental programmes	**SDG 3, SDG 4, SDG 11**
Responsible Supply Chain	Promote ethical, transparent and sustainable sourcing practices	Suppliers, vendors, customers	Supplier engagement, responsible sourcing practices and periodic assessments	**SDG 8, SDG 12, SDG 17**

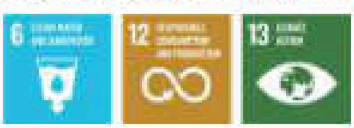
Business Ethics & Governance	Uphold ethical conduct, accountability and responsible governance	Investors, employees, regulators	Code of Conduct, Whistleblower Policy, Board oversight and ethics training	**SDG 16**
Regulatory Compliance & Transparency	Ensure compliance with applicable laws and transparent sustainability disclosures	Regulators, investors, stakeholders	Robust compliance framework, periodic audits, BRSR reporting and transparent disclosures	**SDG 16, SDG 17**

Key Material Topics

Category	Material Topic	Strategic Focus Area
Environmental	Climate Action & Decarbonisation	Reducing GHG emissions and strengthening climate resilience
	Water Stewardship	Efficient water use and responsible wastewater management
	Renewable Energy & Energy Efficiency	Increasing renewable energy adoption and improving energy performance
	Circular Manufacturing & Waste Recovery	Maximising resource recovery and minimising waste generation
	Sustainable Fibre Sourcing	Ensuring responsible procurement of wood and agro-residues
	Air Emissions & Pollution Control	Minimising emissions and maintaining regulatory compliance
Social	Occupational Health & Safety	Maintaining a safe, healthy and secure workplace
	Employee Well-being & Development	Enhancing employee welfare, skills and engagement
	Community Development	Creating positive social impact through community initiatives
	Responsible Supply Chain	Promoting ethical sourcing and supplier sustainability
Governance	Business Ethics & Governance	Strengthening ethical conduct, accountability and integrity
	Regulatory Compliance & Transparency	Ensuring compliance and transparent ESG disclosures

The material topics identified through this assessment define the Company's sustainability priorities and provide the foundation for the Environmental, Social and Governance chapters presented in this report. Satia Industries remains committed to periodically reviewing these priorities to ensure they continue to reflect evolving stakeholder expectations, business strategy and the dynamic sustainability landscape.

Risk and Opportunity Map



Navigating Risks, Creating Opportunities

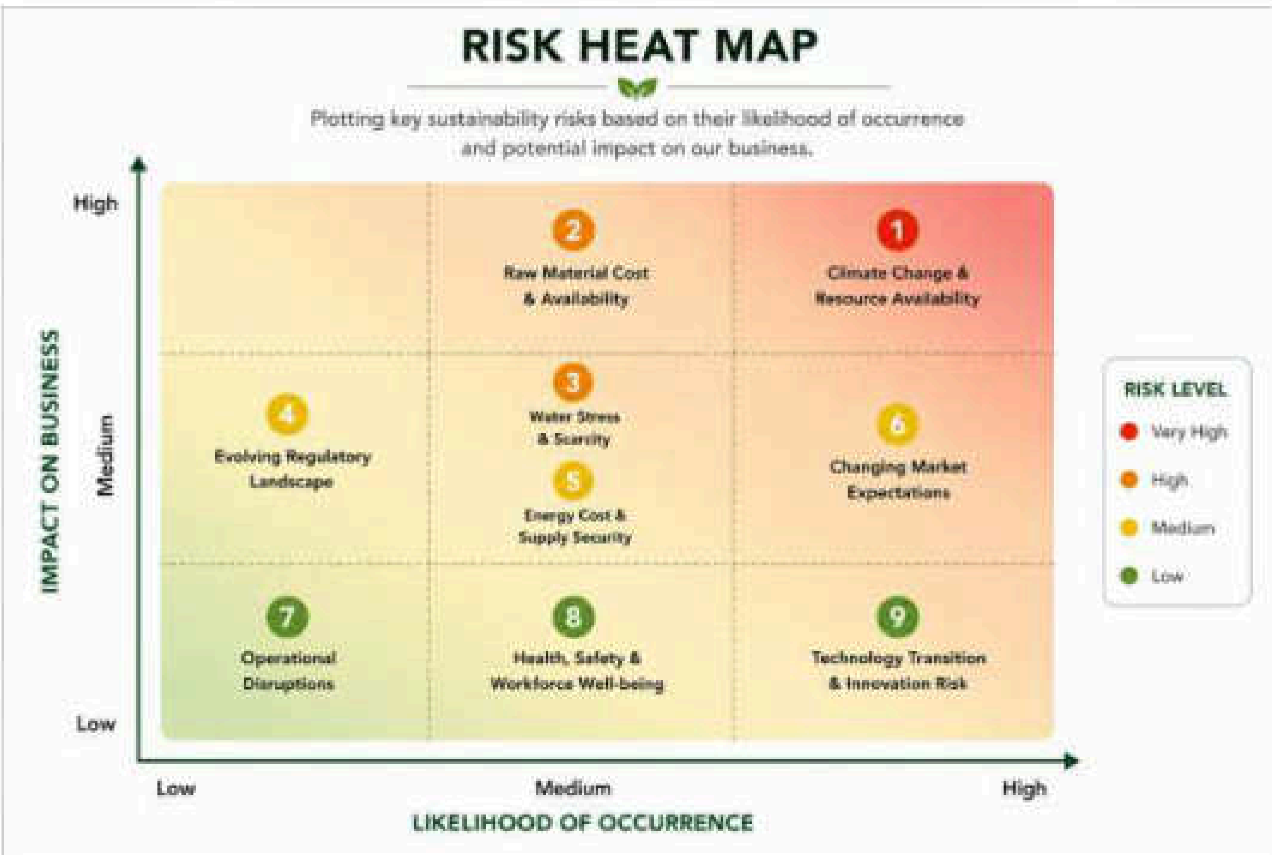
The paper industry is undergoing a period of significant transformation, driven by evolving environmental priorities, changing resource availability and increasing stakeholder expectations. At Satia Industries Limited, we recognise that effectively managing these evolving risks while capitalising on emerging opportunities is fundamental to building a resilient and future-ready business.

Our integrated manufacturing model enables us to proactively respond to these developments by strengthening resource efficiency, enhancing operational resilience and embedding sustainability into long-term business planning.

7.1 Sustainability Risks and Opportunities

Key Risk	Potential Business Impact	Our Response
Climate Change & Resource Availability	Climate variability may influence the availability of agricultural residues, fibre resources and manufacturing operations.	Diversified raw material sourcing, integrated manufacturing and continuous resource efficiency initiatives.

Water Stress	Increasing pressure on water resources may influence operational resilience and future manufacturing efficiency.	Continued investment in water conservation, wastewater treatment and resource recovery initiatives.
Raw Material Cost & Availability	Volatility in the availability and cost of wood and agro-based fibre may affect procurement and production planning.	Diversified fibre mix, local sourcing strategy and long-term supplier relationships.
Evolving Regulatory Landscape	Changes in environmental and sustainability reporting requirements may increase compliance expectations.	Continuous monitoring of regulatory developments and strengthening ESG governance and disclosures.
Changing Market Expectations	Customers and investors increasingly seek responsible manufacturing and transparent ESG performance.	Investment in responsible manufacturing, transparent reporting and continuous operational improvement.



7.2 Emerging Opportunities

While sustainability presents new challenges, it also creates opportunities to strengthen competitiveness and create long-term value.

- Resource-efficient manufacturing - improving resource productivity through operational efficiency and integrated manufacturing strengthens business resilience while reducing environmental impacts.
- Circular manufacturing - initiatives such as carbon dioxide utilisation in the PCC plant and the conversion of treatment sludge into an alternative fuel source demonstrate how circular resource management can improve both environmental performance and operational efficiency.
- Renewable energy - maintaining a renewable energy share of 98.94% supports lower operational emissions while strengthening long-term energy resilience.
- Responsible sourcing - the majority of raw materials are sourced from suppliers located close to the manufacturing facility, helping strengthen supply chain resilience while reducing transportation-related impacts. Procurement from MSMEs and small producers also increased to 39.78% during FY 2025-26, reinforcing inclusive economic development.

• Integrated manufacturing - our integrated manufacturing ecosystem enables efficient resource recovery, operational coordination and continuous process improvement, creating value across environmental, social and economic dimensions.

The sustainability landscape will continue to evolve as climate-related risks, resource constraints and stakeholder expectations reshape the paper industry. By strengthening responsible sourcing, improving resource efficiency, investing in circular manufacturing and maintaining strong governance practices, Satia Industries is well positioned to navigate these changes while creating long-term value for its stakeholders.

Environmental Stewardship

Building resource resilience - protecting the fibre, water and energy that a paper manufacturer depends on for long-term operating resilience.

Natural resources are fundamental to the paper industry. Fibre, water and energy are essential inputs to our manufacturing process, making their responsible management critical to both environmental stewardship and long-term business resilience.

At Satia Industries Limited, our environmental approach focuses on strengthening resource resilience by improving efficiency, promoting circular resource utilisation and integrating cleaner technologies across our operations. Rather than treating environmental initiatives as standalone programmes, we seek to embed sustainability into the way we manufacture, recover and utilise resources throughout our integrated production process..

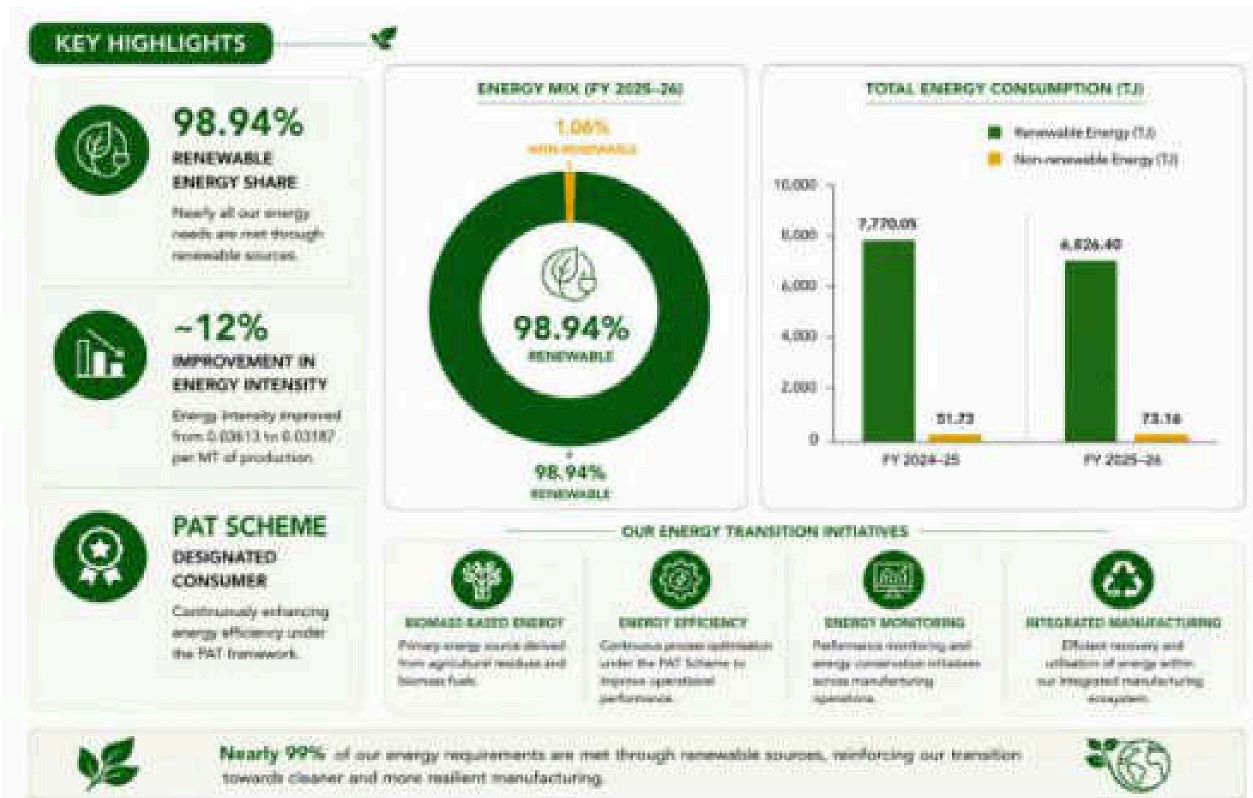
During FY 2025-26, we continued to strengthen our environmental performance through improvements in energy efficiency, greenhouse gas intensity and waste management, while maintaining a renewable energy share of 98.94% of total energy consumption. At the same time, the increase in water intensity highlighted the need for continued focus on water stewardship, reinforcing our commitment to transparent reporting and continuous improvement.

The sections that follow outline our approach to energy transition, climate action, water stewardship, air emissions, circular resource management and innovation, demonstrating how responsible environmental management supports both operational excellence and long-term value creation.

9.1 Energy Transition

Energy plays a critical role in the manufacture of paper and pulp. At Satia Industries Limited, our approach to energy management focuses on reducing energy intensity, improving operational efficiency and maximising the use of renewable energy across our integrated manufacturing operations.

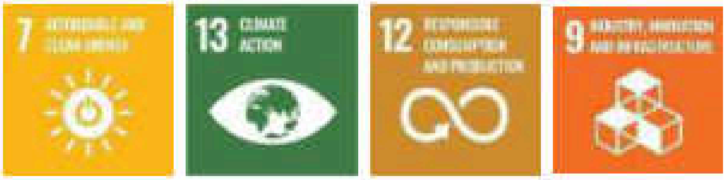
Through investments in biomass-based energy generation, process optimisation and energy conservation initiatives, we continue to strengthen the resilience of our operations while reducing dependence on conventional energy sources. These initiatives support both environmental performance and long-term business competitiveness.



During FY 2025-26, renewable energy accounted for 98.94% of the Company's total energy consumption, reaffirming our commitment to cleaner energy sources. Although the renewable share declined marginally from the previous year due to a slight increase in non-renewable energy consumption, overall energy intensity improved from 0.03613 to 0.03187 per MT of output, reflecting enhanced operational efficiency and improved energy utilisation across our manufacturing processes. Additionally, as a Designated Consumer under the Perform, Achieve and Trade (PAT) Scheme, Satia Industries continues to implement energy conservation and process efficiency initiatives to optimise energy performance and strengthen resource efficiency across its operations.

The integrated manufacturing model and biomass-based energy systems continue to strengthen the Company's transition towards cleaner energy while supporting long-term operational resilience.

9.2 Climate Action



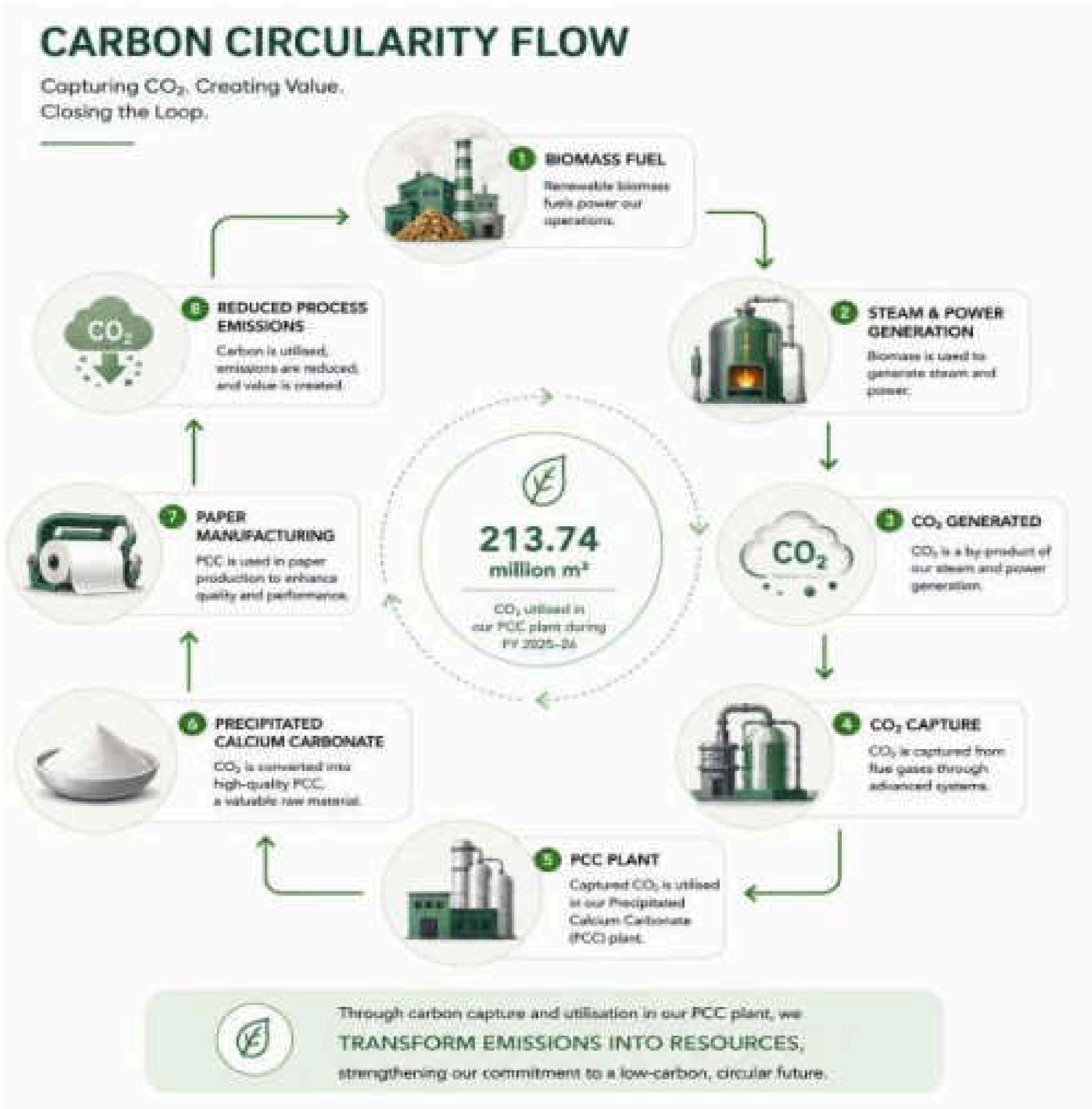
Climate change presents both environmental and business challenges for the paper industry, influencing resource availability, operational resilience and stakeholder expectations. At Satia Industries Limited, our approach to climate action focuses on improving energy efficiency, increasing the use of renewable energy and reducing greenhouse gas emissions through continuous operational improvement and circular manufacturing practices.

Our integrated manufacturing model enables us to optimise resource utilisation while reducing the carbon intensity of our operations. Investments in biomass-based renewable energy, efficient manufacturing systems and resource recovery initiatives contribute to lower operational emissions and strengthen our transition towards a more resilient, low-carbon manufacturing process.

During FY 2025-26, the Company continued to improve its greenhouse gas emissions intensity, reflecting enhanced operational efficiency while maintaining one of the highest renewable energy shares in the sector. We also continued to strengthen circular manufacturing through the utilisation of captured carbon dioxide in our Precipitated Calcium Carbonate (PCC) plant, converting an operational by-product into a valuable manufacturing input.

Key highlights:

- Renewable energy transition - renewable energy continued to account for 98.94% of total energy consumption during FY 2025-26, supporting lower operational emissions and reducing dependence on conventional energy sources.
- Circular carbon utilisation - through its PCC plant, Satia captures and utilises carbon dioxide generated during manufacturing as a raw material. During FY 2025-26, approximately 213.74 million m³ of carbon dioxide was utilised, demonstrating how circular manufacturing can improve resource efficiency while reducing process emissions.
- Improving carbon efficiency - continuous investments in process optimisation and integrated manufacturing contributed to a reduction in greenhouse gas emissions intensity from 1.55 to 1.49 tCO_2e per metric tonne of production.



Satia Industries will continue to strengthen its climate performance by improving energy efficiency, maintaining a high share of renewable energy, enhancing resource recovery and identifying opportunities to further reduce greenhouse gas emissions across its operations.

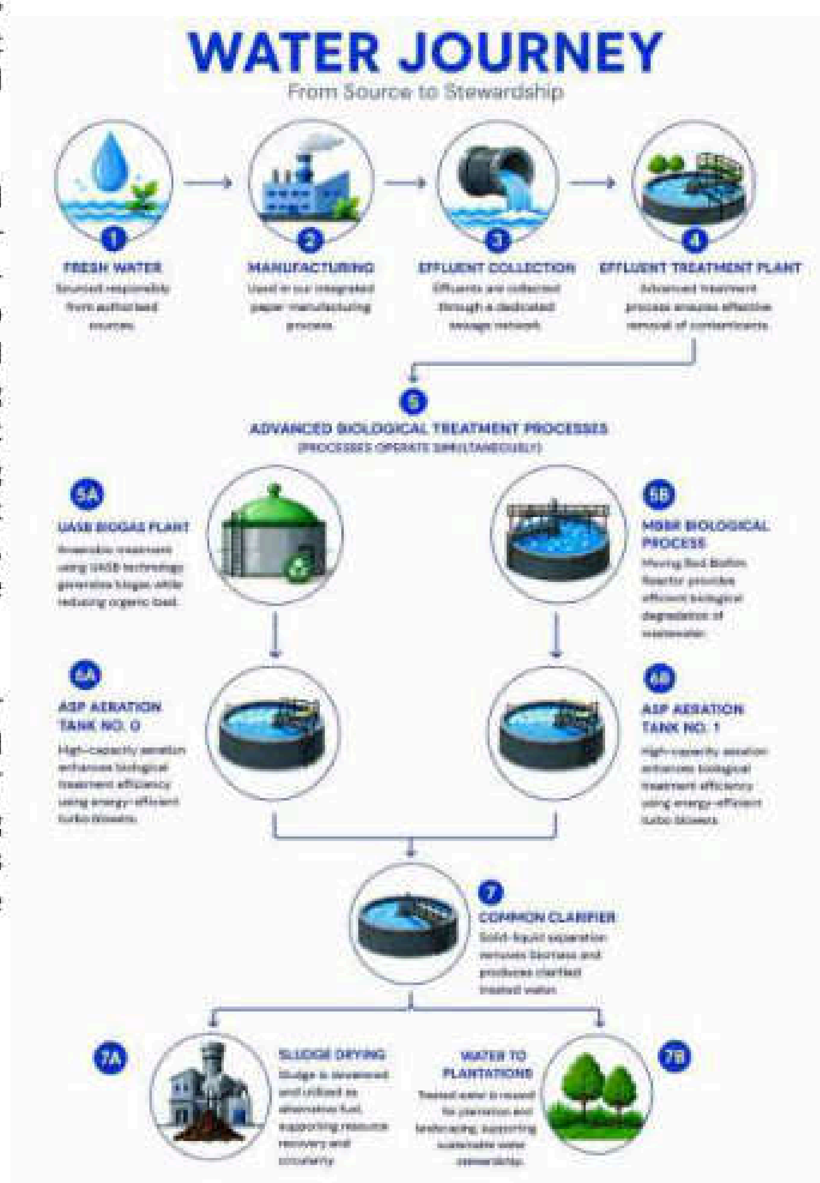
9.3 Water Stewardship

Water is a critical resource in paper manufacturing, supporting pulp preparation, paper production, cooling systems and utility operations. At Satia Industries Limited, responsible water management is an integral part of our environmental stewardship strategy. Our approach focuses on improving operational efficiency, strengthening wastewater treatment systems and promoting the responsible use of water across our manufacturing processes.

Recognising the growing importance of water resilience, we continue to invest in technologies and infrastructure that enhance treatment efficiency, maximise resource recovery and support long-term operational sustainability.

During FY 2025-26, the Company commissioned significant upgrades to its wastewater treatment infrastructure, including a high-capacity aeration tank, clarifier and turbo blower. These investments strengthened treatment performance while enabling improved recovery and utilisation of treatment by-products. Additionally, sludge drying technology was implemented to convert secondary sludge into an alternative fuel source, further supporting circular resource management.

While these initiatives strengthened our water management systems, water intensity increased from 24.79 m^3/MT in FY 2024-25 to 26.67 m^3/MT in FY 2025-26. This reflects an area requiring continued attention, and the Company remains focused on identifying opportunities to improve water-use efficiency.



- Upgrading wastewater treatment - during FY 2025-26, Satia enhanced its effluent treatment capabilities through the installation of a high-capacity aeration tank, clarifier and turbo blower, strengthening the Company's wastewater management infrastructure.
- Resource recovery through circular practices - sludge drying technology was introduced to convert secondary sludge into an alternative fuel source, reducing biomass consumption while supporting the Company's broader circular manufacturing strategy.
- Continuous improvement - although infrastructure investments have strengthened operational capability, improving water-use efficiency remains a priority, with continued evaluation of process optimisation and conservation opportunities.

Water stewardship remains a key component of Satia Industries' environmental strategy. Going forward, we will continue to focus on improving water-use efficiency, strengthening wastewater treatment systems and advancing circular resource management to support resilient and responsible manufacturing.

9.4 Circular Resource Management and Waste Management

At Satia Industries Limited, circularity is embedded within our manufacturing philosophy. Rather than viewing by-products as waste, we continuously seek opportunities to recover resources, optimise material utilisation and improve operational efficiency. Through investments in integrated recovery systems and process innovation, we aim to maximise the value derived from every stage of production while reducing our environmental footprint.

Our approach to circular manufacturing extends beyond waste management. It encompasses the recovery of materials, efficient utilisation of process by-products and investments in technologies that enable resources to remain in productive use for longer.

During FY 2025-26, we continued to strengthen our circular manufacturing practices through carbon dioxide utilisation in our PCC plant, improvements in wastewater treatment and the conversion of secondary sludge into an alternative fuel source.

Carbon dioxide utilisation through the PCC plant - instead of being released directly into the atmosphere, captured carbon dioxide is productively reused within the manufacturing process. During FY 2025-26, approximately 213.74 million m^3 of carbon dioxide was utilised in the PCC plant.

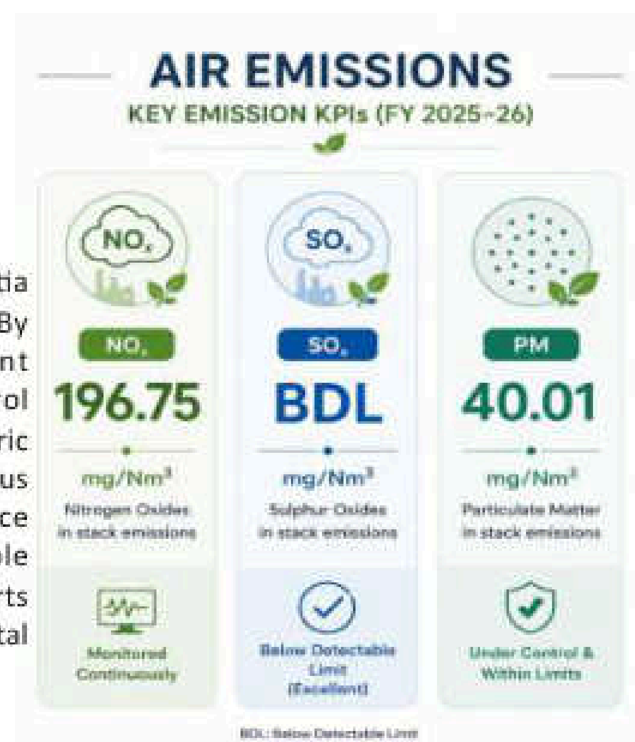
- Converting waste into a resource - sludge-drying technology enables secondary sludge from the effluent treatment process to be used as an alternative fuel, reducing biomass consumption while recovering value from a material that would otherwise require disposal.

Our integrated manufacturing model supports circularity across multiple stages of production by recovering and reusing process resources, utilising agricultural residues as key raw materials, converting captured carbon dioxide into a productive manufacturing input, recovering value from wastewater treatment by-products, and continuously improving waste management and resource efficiency. These initiatives contributed to a reduction in waste intensity from 0.01803 to 0.01439 per metric tonne of production during FY 2025-26.

We will continue to strengthen circular manufacturing by identifying opportunities to improve resource recovery, minimise waste generation and enhance the productive use of materials across our operations.

9.5 Air Emissions

Air quality management is an integral component of Satia Industries' commitment to responsible manufacturing. By combining biomass-based renewable energy, efficient combustion systems and advanced air pollution control technologies, the Company seeks to minimise atmospheric emissions while maintaining operational excellence. Continuous monitoring and process optimisation enable us to reduce environmental impacts and consistently meet applicable regulatory requirements. This integrated approach supports cleaner production and reinforces our broader environmental stewardship strategy.



During FY 2025–26, Satia Industries continued to strengthen its air emissions management framework through continuous stack monitoring, preventive maintenance of emission control systems and optimisation of combustion efficiency. The extensive use of renewable biomass fuels further contributes to lowering dependence on conventional fossil fuels, while periodic performance reviews help identify opportunities for continual improvement. Together, these measures ensure regulatory compliance while supporting the Company's long-term objective of cleaner and more efficient manufacturing.

Our approach to air quality management:

- **Continuous Stack Monitoring** - Satia Industries continuously monitors stack emissions to assess environmental performance and ensure compliance with applicable regulatory requirements. Regular monitoring enables the Company to identify operational variations promptly and supports informed decision-making for continuous improvement in air quality management.

- **Advanced Emission Control Systems** - The Company operates and maintains advanced air pollution control systems across its manufacturing facilities to minimise emissions generated during production. Preventive maintenance and periodic performance evaluations help ensure that these systems continue to operate efficiently and effectively.

- **Combustion Optimisation** - Continuous optimisation of combustion processes enhances fuel efficiency while reducing emission intensity across manufacturing operations. Through process improvements and operational controls, the Company strives to improve energy performance and minimise environmental impacts without compromising production reliability.

- **Biomass-Based Renewable Energy** - The extensive use of biomass-based renewable energy significantly reduces dependence on conventional fossil fuels and supports lower operational emissions. This transition to cleaner energy sources forms an integral part of Satia Industries' strategy to strengthen environmental performance and advance low-carbon manufacturing.

- **Regulatory Compliance & Continuous Improvement** - Compliance with environmental regulations is reinforced through regular monitoring, internal reviews and continuous evaluation of operational performance. The Company remains committed to strengthening its air emissions management framework by identifying opportunities to enhance efficiency, improve environmental outcomes and support responsible manufacturing practices.

Looking ahead, Satia Industries remains committed to continuously improving air quality performance through process optimisation, advanced emission control systems and cleaner energy solutions. By integrating operational excellence with environmental responsibility, the Company aims to minimise emissions, strengthen regulatory compliance and contribute to a cleaner, more sustainable manufacturing future.

9.6 Technology and Innovation

Innovation at Satia Industries extends beyond technological advancement - it is a means of improving operational efficiency, strengthening resource productivity and supporting more sustainable manufacturing practices. Our approach focuses on adopting technologies and process improvements that enhance environmental performance while delivering long-term business value.

During FY 2025-26, we continued to invest in initiatives that strengthened wastewater treatment, improved resource recovery and enhanced manufacturing efficiency. These investments reflect our commitment to continuous improvement and demonstrate how innovation supports our broader sustainability objectives.

Innovation priorities:

Improving wastewater treatment and resource recovery - Investments in advanced wastewater treatment infrastructure, including high-capacity treatment systems and sludge drying technology, have enhanced treatment efficiency while enabling greater recovery and productive utilisation of resources. These initiatives strengthen water stewardship and support the Company's circular manufacturing approach.

Strengthening circular manufacturing practices - The Company continues to integrate circular manufacturing principles by recovering valuable materials, reducing waste generation and converting operational by-products into productive inputs. This approach improves resource efficiency, minimises environmental impact and supports long-term operational resilience.

Supporting cleaner and more efficient production technologies - Continuous investments in cleaner production technologies and process optimisation enhance manufacturing efficiency while reducing resource consumption and environmental impacts. By adopting innovative solutions across its operations, Satia Industries is building a more sustainable, resilient and future-ready manufacturing ecosystem.

Strengthening resource recovery - the Company continued to enhance its environmental performance through investments in wastewater treatment infrastructure, including a high-capacity aeration tank, clarifier and turbo blower. Sludge drying technology was implemented to convert secondary sludge into an alternative fuel, reducing biomass consumption. During FY 2025-26, 3.8% of total capital expenditure was directed towards technologies that improve the environmental and social impacts of products and processes. See the Circular Value in Action case study earlier in this report for the full details.

Innovation in resource utilisation - by integrating agricultural residues such as wheat straw and sarkanda into our manufacturing process alongside responsibly sourced wood-based raw materials, we improve resource efficiency while reducing dependence on conventional fibre sources.

Continuous manufacturing improvement - Satia continues to evaluate technologies and operational improvements that enhance manufacturing efficiency, product quality and environmental performance, supporting a resilient, future-ready manufacturing ecosystem.

Innovation will remain central to Satia Industries' long-term sustainability strategy. By investing in cleaner technologies, improving resource productivity and continuously enhancing manufacturing processes, the Company aims to strengthen operational resilience while creating lasting environmental and business value.

People and Communities

Growing together - the workforce, safety culture and communities that sustain our manufacturing operations.

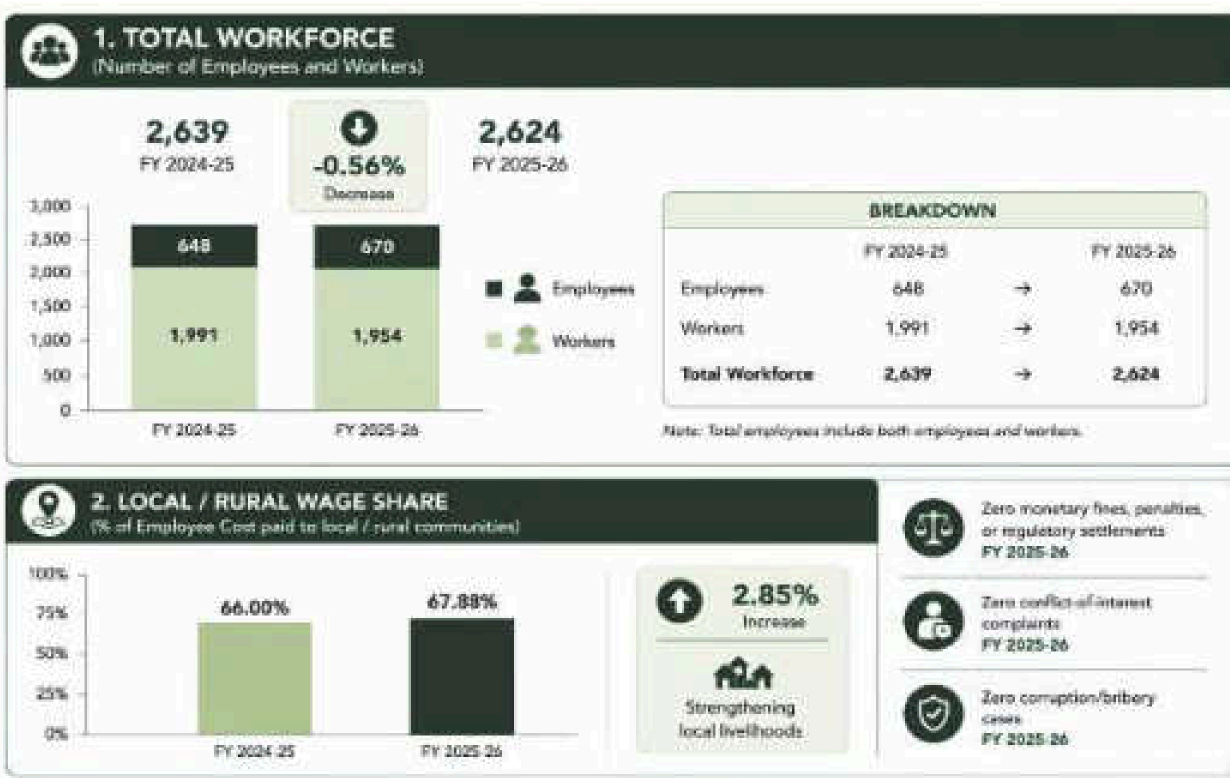
At Satia Industries Limited, sustainable growth is built on the dedication of our people and the strength of the communities in which we operate. From employees and workers who drive our manufacturing excellence to farmers, suppliers and local communities who support our value chain, people remain at the heart of our business.

We believe that creating long-term value extends beyond operational performance. It requires providing a safe and inclusive workplace, supporting employee well-being, promoting equal opportunity and contributing meaningfully to the socio-economic development of the regions where we operate.

During FY 2025-26, our workforce comprised 2,624 employees and workers, with 67.88% of wages paid to employees from rural areas, reflecting our continued contribution to local employment and regional economic development. The Company also strengthened procurement from MSMEs and small producers, reinforcing its commitment to inclusive growth across the value chain.

- Building a safe and healthy workplace.
- Creating an inclusive and respectful work environment.
- Investing in employee well-being and capability.
- Supporting communities through responsible business and CSR initiatives.

The sections that follow outline how Satia Industries works to empower its workforce, strengthen workplace safety, foster diversity and inclusion, and create shared value through community engagement.



Note: All figures are as per BRSR FY 2025-26.

10.1 Our People

Our people are the foundation of Satia Industries' continued growth and operational excellence. Across manufacturing, engineering, operations, logistics and corporate functions, our workforce contributes to delivering high-quality products while upholding the Company's commitment to responsible manufacturing and sustainable business practices.

As an integrated paper manufacturer with deep roots in Punjab, Satia provides meaningful employment opportunities that contribute to regional economic development. By creating stable jobs across skilled and semi-skilled functions, the Company supports local livelihoods while building the capabilities required for long-term business success.

Beyond direct employment, Satia's operations generate broader socio-economic value through local sourcing, engagement with farming communities and procurement from MSMEs and small producers.

Our people commitment - our approach to workforce management is guided by key priorities:

- Providing safe, fair and respectful working conditions.
- Supporting employee well-being through statutory and welfare benefits.
- Building a workplace founded on integrity, collaboration and mutual respect.

By investing in our people and fostering a culture of responsibility and inclusion, we aim to create an environment where individuals can contribute meaningfully to the Company's long-term success while growing alongside the organisation.

10.2 Health and Safety

At Satia Industries Limited, the health, safety and well-being of our employees, workers and contractors are fundamental to responsible manufacturing. Operating in a process-intensive industry requires a proactive approach to identifying workplace risks, maintaining safe operating practices and fostering a culture where safety is everyone's responsibility.

Our Occupational Health and Safety Management System is certified to ISO 45001:2018, providing a structured framework for hazard identification, risk assessment, incident prevention and continual improvement.

Safety management is further strengthened through established on-site and off-site Emergency Response Plans, regular safety inspections, emergency preparedness measures and periodic awareness programmes.

Beyond regulatory compliance, we continue to promote employee well-being through preventive health initiatives, medical support, workplace awareness programmes and statutory welfare measures. Our objective is to create a workplace where every individual can perform safely, confidently and with dignity.

Satia Industries is committed to maintaining a safe and healthy workplace through a structured Occupational Health & Safety Management System certified to ISO 45001:2018. The Company has established comprehensive on-site and off-site Emergency Response Plans across its operations to ensure preparedness for potential emergencies. Workplace safety is further strengthened through periodic safety inspections, internal audits and regular monitoring of operational conditions. Employee awareness and training programmes reinforce safe work practices and foster a strong safety culture, while continuous review of workplace risks and implementation of preventive measures support ongoing improvements in occupational health and safety performance.

We remain committed to strengthening our safety culture through continuous improvement, employee participation and proactive risk management. By embedding health and safety into everyday operations, we aim to provide a workplace where every employee and worker returns home safely each day.

10.3 Diversity and Inclusion

At Satia Industries Limited, we believe that an inclusive workplace is built on fairness, respect and equal opportunity. We are committed to providing a work environment where every employee is treated with dignity, free from discrimination and supported through transparent policies and responsible employment practices.

As a manufacturing organisation, our workforce continues to be predominantly male, reflecting the industry's operational profile. However, we are committed to fostering an equitable workplace by promoting merit-based employment, ensuring equal opportunity, and strengthening the pipeline for gender diversity as an area of continued focus in the years ahead.

Our commitment to inclusion extends beyond workforce composition. We strive to create a safe and respectful workplace through policies that prohibit discrimination, prevent workplace harassment and provide accessible grievance mechanisms.

Satia maintains mechanisms that enable employees and workers to raise concerns confidentially and without fear of retaliation, including grievance redressal mechanisms, a Whistleblower Policy and committees constituted under applicable legal requirements to address workplace concerns, including those related to harassment.

Satia Industries maintained a strong culture of inclusion, respect and ethical workplace practices during FY 2025–26, reflected in the absence of any reported incidents relating to discrimination, child labour, forced labour, wages or other human rights issues. The Company also reported zero complaints under the Prevention of Sexual Harassment (POSH) Act, demonstrating the effectiveness of its policies, awareness initiatives and grievance redressal mechanisms. This performance underscores the Company's continued commitment to fostering a safe, equitable and respectful workplace where employees are treated with dignity and fairness.

Looking ahead, we will continue to strengthen our workplace by fostering an inclusive culture, ensuring equal opportunity and maintaining robust systems that safeguard employee rights. As our organisation grows, we remain committed to creating a respectful and supportive environment where every individual is empowered to contribute to the Company's long-term success.

10.4 Rural Livelihoods

At Satia Industries Limited, we believe that business growth and community development are intrinsically linked. As one of the region's largest employers and a longstanding manufacturing presence in Punjab, we recognise our responsibility to contribute to the well-being and prosperity of the communities that support our operations.

Our approach extends beyond statutory Corporate Social Responsibility (CSR). Through local employment, responsible sourcing, community investment and partnerships with farmers and small enterprises, we seek to create lasting socio-economic value while strengthening the resilience of the regions in which we operate.

A significant proportion of our workforce comes from rural communities, and our sourcing model actively supports local suppliers, farming communities and MSMEs.

Supporting rural livelihoods - the success of Satia Industries is closely connected to the prosperity of the communities surrounding our operations. During FY 2025-26:

- 67.88% of total wages were paid to employees from rural areas, supporting household incomes and regional economic development.
- 39.78% of procurement was undertaken from MSMEs and small producers, strengthening local entrepreneurship and supplier resilience.

Our community focus areas:

- Education - supporting initiatives that strengthen access to education and improve learning environments, in keeping with our role as a manufacturer of writing and printing paper for educational institutions.
- Healthcare - healthcare initiatives aimed at improving community well-being through medical support, health awareness and preventive care.
- Rural development - working with local communities to support inclusive development through livelihood opportunities and infrastructure support.
- Community well-being - CSR programmes implemented with a long-term perspective, focusing on sustainable outcomes through collaboration and local participation.

We will continue to strengthen our contribution to community development by expanding opportunities for local employment, supporting rural livelihoods and investing in initiatives that improve education, healthcare and community well-being.

10.5 Community Development and Shared Values

At Satia Industries Limited, we believe that sustainable business growth is intrinsically linked to the progress of the communities in which we operate. Our approach to community development extends beyond statutory Corporate Social Responsibility (CSR). By generating local employment, supporting farmers and MSMEs, procuring raw materials from regional suppliers and investing in community-focused initiatives, we seek to strengthen livelihoods, foster inclusive growth and contribute to the long-term resilience of the local economy.

Creating Shared Value

Our contribution to community development is embedded within our business operations. By sourcing locally, strengthening regional supply chains and generating employment opportunities, we create positive economic impacts that extend well beyond our manufacturing facility.

During FY 2025–26, Satia Industries continued to strengthen regional value creation by maintaining a significant rural workforce, increasing procurement from MSMEs and small producers and supporting farming communities through the utilisation of agricultural residues as key raw materials. These initiatives reinforce local economic resilience while advancing sustainable manufacturing practices.

Community Focus Areas

Our community initiatives are centred on areas that contribute to long-term social well-being and sustainable regional development.

Satia Industries will continue to strengthen its contribution to community development by expanding opportunities for local employment, deepening engagement with farmers, MSMEs and neighbouring communities and investing in initiatives that create lasting social value. As our sustainability journey evolves, we also aim to enhance the transparency of our community impact reporting, enabling stakeholders to better understand the outcomes of our community development efforts.

10.6 Customer Responsibility

At Satia Industries Limited, customer responsibility extends beyond delivering high-quality paper products. It is about ensuring that our products are safe, reliable and manufactured responsibly, while supporting the sectors that shape India's social and economic development.

Satia serves a diverse customer base including publishers, printers, converters, businesses and government institutions. This responsibility reinforces our commitment to consistent product quality, dependable supply and responsible manufacturing practices that our customers can trust.

Customer trust is built through consistent quality, transparent business practices and responsible operations. The Company maintains systems to support product quality, regulatory compliance and continuous improvement across its manufacturing processes. Feedback from customers is considered an important input for enhancing products, strengthening relationships and maintaining long-term customer confidence.

As customer expectations continue to evolve, Satia Industries will remain focused on delivering high-quality products through responsible manufacturing, strengthening customer partnerships and supporting sectors that contribute to India's long-term development.

Responsible Governance

Building trust through integrity - accountability and transparent governance, the foundations that support responsible decision-making and long-term business resilience.

At Satia Industries Limited, sustainability is embedded within our governance framework through active Board oversight, clearly defined management responsibilities and policies that promote ethical, transparent and accountable business practices. We believe that effective governance is fundamental to creating long-term value, managing emerging risks and delivering sustainable growth.

The Board of Directors provides strategic oversight of environmental, social and governance (ESG) priorities, ensuring that sustainability considerations are integrated into business planning and decision-making.

To support this commitment, the Company has adopted Board-approved policies aligned with all nine principles of the National Guidelines on Responsible Business Conduct (NGRBC). These policies have been translated into operational procedures and are implemented across the organisation to guide responsible decision-making and continuous improvement.

11.1 Sustainability Governance Framework

Effective sustainability management requires clear accountability, defined responsibilities and regular oversight. At Satia Industries Limited, sustainability is integrated into the Company's governance structure through the active involvement of the Board of Directors, senior management and functional teams. This governance framework enables sustainability considerations to be incorporated into strategic decision-making, operational planning and business performance, ensuring that environmental, social and governance (ESG) priorities remain aligned with the Company's long-term objectives.

The framework promotes collaboration across functions, enabling sustainability-related risks, opportunities and performance to be monitored and managed through established governance processes. By embedding sustainability into business operations, Satia seeks to strengthen organisational resilience while creating long-term value for its stakeholders.

Level	Key Responsibility
Board of Directors	Provides strategic oversight and reviews sustainability priorities.
Senior Management	Integrates sustainability into business planning and operational decision-making.
Functional Teams	Implements ESG initiatives, monitors performance and ensures compliance.
Business Operations	Executes sustainability programmes and supports continuous improvement through day-to-day operations.

This governance framework ensures that sustainability remains integrated into business decision-making, operational excellence and long-term value creation across Satia Industries

11.2 ESG Governance and Board Oversight

(The Company's Business Responsibility and Sustainability Reporting (BRSR) process is overseen by Mr. Rajinder Kumar Bhandari, Joint Managing Director, who is responsible for driving sustainability reporting and ensuring alignment with the Company's governance framework. Oversight is further strengthened through Board Committees and cross-functional management teams responsible for implementing ESG initiatives across the organisation.)

Governance in practice - our governance framework is supported by:

- **Clearly Defined Procedures for Implementing Responsible Business Practices -** The Company's governance framework is supported by well-defined procedures that translate policy commitments into day-to-day business operations. Standardised processes, internal controls and established responsibilities enable consistent implementation of governance requirements, support regulatory compliance and promote accountability across business functions. This structured approach helps ensure that sustainability considerations are integrated into operational decision-making and continuous improvement initiatives.

- **Cross-functional Oversight of ESG Performance -** Effective governance requires collaboration across the organisation. Satia Industries promotes cross-functional oversight of environmental, social and governance (ESG) performance by involving leadership and functional teams from operations, human resources, finance, procurement and other key departments. This collaborative approach facilitates regular monitoring of ESG performance, strengthens risk management and enables sustainability priorities to be integrated into strategic and operational decision-making.

- **Responsible Business Expectations Communicated Across the Value Chain -** Satia Industries encourages suppliers, contractors, distributors and other business partners to uphold responsible business practices consistent with the Company's ethical, environmental and governance expectations. Through ongoing engagement and communication, the Company seeks to promote transparency, integrity and responsible conduct across its value chain, recognising that sustainable business outcomes depend on collaborative partnerships and shared accountability.

11.3 Management System Certifications

Independent certifications reinforce Satia Industries' commitment to responsible manufacturing, operational excellence and continual improvement. Our integrated management systems are aligned with internationally recognised standards that strengthen product quality, environmental stewardship and occupational health and safety across our manufacturing operations. These certifications provide a structured framework for managing risks, enhancing operational performance and ensuring compliance with applicable regulatory requirements.

The Company's certified management systems provide a common framework for integrating quality, environmental stewardship and workplace safety into everyday operations. Through periodic audits, performance monitoring and continual improvement processes, Satia Industries seeks to enhance operational resilience, strengthen stakeholder confidence and support its long-term sustainability objectives.

Certification	Purpose	How it Supports Responsible Manufacturing
ISO 9001 – Quality Management System	Ensures consistent quality management and continual improvement.	Supports process optimisation, product quality, customer satisfaction and operational excellence throughout the manufacturing value chain.
ISO 14001 – Environmental Management System	Provides a framework for managing environmental impacts.	Strengthens resource efficiency, pollution prevention, waste minimisation, regulatory compliance and continual environmental improvement.
ISO 45001 – Occupational Health & Safety Management System	Promotes a safe and healthy workplace for employees and contractors.	Supports hazard identification, risk management, workplace safety, employee well-being and continuous improvement in occupational health and safety performance.

The Company's certified management systems provide a common framework for integrating quality, environmental stewardship and workplace safety into everyday operations. Through periodic audits, performance monitoring and continual improvement processes, Satia Industries seeks to enhance operational resilience, strengthen stakeholder confidence and support its long-term sustainability objectives.

11.4 Ethics and Compliance

16 PEACE, JUSTICE AND STRONG INSTITUTIONS

17 PARTNERSHIPS FOR THE GOALS

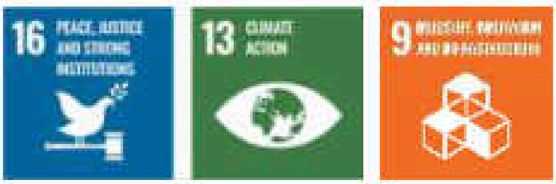
Integrity, transparency and accountability are fundamental to the way Satia Industries Limited conducts business. We are committed to maintaining the highest standards of ethical conduct across our operations and ensuring that every business decision is guided by fairness, responsibility and compliance with applicable laws and regulations.

Our governance framework is supported by a comprehensive Code of Conduct that sets clear expectations for ethical behaviour across the organisation. Complementing this are policies and internal mechanisms that promote responsible decision-making, safeguard stakeholder interests and reinforce a culture of compliance.

Satia Industries follows a zero-tolerance approach towards bribery, corruption and unethical business practices. The Company's anti-bribery framework applies across all levels of the organisation, including the Board of Directors, senior management, employees, consultants, contractors, interns, agency personnel and other individuals acting on behalf of the Company. The Company's Code of Conduct, which incorporates these principles, is publicly available on its website.

Beyond policies, we seek to embed ethics into everyday business practices through awareness, accountability and transparent governance mechanisms. Employees are encouraged to uphold the Company's values and report concerns through established grievance and whistleblower mechanisms, enabling issues to be addressed fairly, confidentially and without retaliation. Directors also disclose potential conflicts of interest in accordance with regulatory requirements and abstain from participating in decisions where such conflicts may arise.

11.5 Risk Management

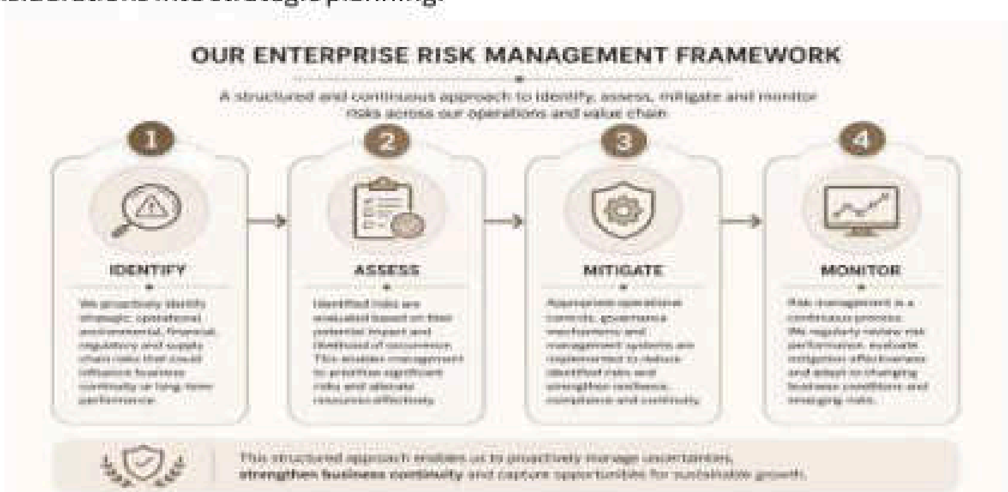


At Satia Industries Limited, effective risk management is an integral part of responsible governance and long-term value creation. Operating in a dynamic business environment requires us to anticipate emerging challenges, strengthen organisational resilience and make informed decisions that support sustainable growth.

Our approach to risk management encompasses strategic, operational, environmental, regulatory and market-related risks. By integrating risk assessment into business planning and governance processes, we seek to minimise potential disruptions while identifying opportunities that enhance long-term competitiveness.

Risk management is embedded across the organisation through collaboration between the Board, senior management and functional teams. This integrated approach supports informed decision-making, strengthens business continuity and enables Satia to respond proactively to changing business conditions. Environmental, social and governance considerations are incorporated into the Company's broader risk management framework. Material risks and opportunities identified through the stakeholder engagement and materiality assessment process inform management priorities and strategic decision-making. The detailed ESG Risk and Opportunity Map is presented earlier in this report and should be read in conjunction with this chapter.

As the business landscape continues to evolve, Satia Industries will further strengthen its enterprise risk management practices by enhancing risk identification, monitoring emerging ESG issues and integrating sustainability considerations into strategic planning.



11.6 Data Privacy

At Satia Industries Limited, we recognise the importance of protecting confidential business information and maintaining the trust of our stakeholders. As a business primarily serving institutional customers, distributors and commercial partners, our operations involve limited processing of personal consumer data. Nevertheless, we remain committed to handling information responsibly and maintaining appropriate controls to safeguard business, employee and stakeholder information.

Our approach to information management is guided by principles of confidentiality, integrity and regulatory compliance. Appropriate internal controls and governance mechanisms support the secure handling of information across business operations while ensuring that access to sensitive data is limited to authorised personnel.

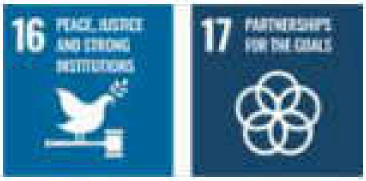
Our Information Governance Framework

- **Protecting Confidential Information -** We maintain appropriate measures to safeguard confidential business, employee and stakeholder information from unauthorised access, misuse or disclosure. Protecting sensitive information is fundamental to maintaining stakeholder trust and supporting responsible business conduct.
- **Controlled Information Access -** Access to confidential information is restricted to authorised personnel through established internal controls and governance mechanisms. These controls support secure information handling while reducing operational and compliance risks.
- **Responsible Information Management -** The Company promotes responsible collection, storage, use and retention of business and employee records through clearly defined internal processes and accountability mechanisms, helping ensure information remains accurate, secure and appropriately managed.
- **Regulatory Compliance -** Information management practices are designed to support compliance with applicable legal and regulatory requirements while reinforcing the Company's broader governance framework and commitment to ethical business conduct.
- **Continuous Improvement -** As business operations and digital technologies continue to evolve, Satia Industries periodically reviews and strengthens its information governance practices to enhance confidentiality, operational resilience and stakeholder confidence.

Given the nature of our business, Satia Industries primarily engages with institutional customers, government bodies, distributors and business partners rather than individual consumers. Consequently, personal data processing is limited when compared with consumer-facing organisations. While data privacy is not identified as a material ESG issue for the Company, we recognise the importance of maintaining appropriate safeguards to protect confidential information and support responsible business conduct.

As regulatory expectations and digital business practices continue to evolve, Satia Industries will continue to review and strengthen its information management practices to support confidentiality, operational integrity and stakeholder trust.

12.1 Transparency



Transparency is fundamental to Satia Industries Limited's approach to responsible business. We believe that meaningful sustainability reporting should provide stakeholders with a balanced, accurate and evidence-based view of our performance, recognising both areas of progress and opportunities for improvement.

This Sustainability Report has been developed to present a clear account of our environmental, social and governance performance during FY 2025-26. Our reporting approach emphasises accuracy, consistency and alignment with verified business disclosures, enabling stakeholders to make informed assessments of our sustainability journey.

As part of our commitment to continuous improvement, this report incorporates refinements to enhance the quality and reliability of sustainability reporting. Where appropriate, disclosures have been updated to reflect verified information, improved methodologies and clearer presentation of performance indicators.

Our Reporting Principles

- **Accuracy -** We are committed to reporting information that is supported by verified internal records, statutory disclosures and established management systems. Robust internal review processes help enhance the reliability and credibility of our sustainability disclosures.

- **Transparency -** Our reporting approach presents both achievements and areas requiring continued improvement. By openly communicating performance, challenges and future priorities, we aim to foster trust and strengthen stakeholder confidence.

- **Consistency -** Wherever year-on-year comparisons are presented, consistent methodologies are applied to improve comparability and enable stakeholders to assess performance trends over time.

- **Materiality -** The content of this report focuses on environmental, social and governance issues that are most significant to our business and stakeholders, ensuring that disclosures remain relevant and decision-useful.

- **Accountability -** We continually review our reporting processes, governance mechanisms and data management practices to improve disclosure quality and support long-term transparency and organisational accountability.

As stakeholder expectations and sustainability reporting practices continue to evolve, Satia Industries will further strengthen its reporting processes, data governance and disclosure practices. Through transparency, accountability and continual improvement, the Company aims to reinforce stakeholder confidence while supporting its long-term sustainability journey.

APPENDIX

13.1 Glossary and Acronyms

Term	Definition
BRSR	Business Responsibility and Sustainability Report prescribed by SEBI for listed entities in India.
Circular Economy	An economic model that promotes resource efficiency through reducing, reusing, recycling and recovering materials.
Climate Change	Long-term changes in global or regional climate patterns primarily caused by greenhouse gas emissions.
Carbon Footprint	Total greenhouse gas emissions associated with an organisation's activities, expressed as CO_2 equivalent (CO_2e).
CSR	Corporate Social Responsibility initiatives undertaken to contribute to social and environmental development.
ESG	Environmental, Social and Governance factors used to assess sustainability performance.
GHG Emissions	Greenhouse gas emissions including carbon dioxide (CO_2), methane (CH_4), nitrous oxide (N_2O) and other climate-impacting gases.
Materiality	The process of identifying sustainability issues that are most significant to both the business and its stakeholders.
MSME	Micro, Small and Medium Enterprises as defined under the MSMED Act, 2006.
NGRBC	National Guidelines on Responsible Business Conduct issued by the Ministry of Corporate Affairs, Government of India.
Renewable Energy	Energy generated from naturally replenishing sources such as solar, wind and biomass.
Resource Efficiency	Optimising the use of raw materials, energy and water to minimise waste and environmental impact.

Scope 1 Emissions	Direct greenhouse gas emissions from sources owned or controlled by the Company.
Scope 2 Emissions	Indirect greenhouse gas emissions associated with purchased electricity, steam, heating or cooling.
Scope 3 Emissions	Other indirect emissions occurring across the value chain.
Sustainable Development	Development that meets present needs without compromising the ability of future generations to meet their own needs.
Value Chain	The full range of activities, suppliers and stakeholders involved in creating and delivering products.
Waste Recovery	Recovery of value from waste through recycling, reuse or energy recovery processes.

13.2 Linking of BRSR, GRI & UN SDGs

Report Section	BRSR Principle	Relevant GRI Standards	UN SDGs
About Satia Industries	General Disclosures	GRI 2	SDG 8, SDG 9
Materiality Assessment	General Disclosures	GRI 3	SDG 12, SDG 16
Environmental Stewardship	Principle 2, Principle 6	GRI 301, 302, 303, 305, 306, 308	SDG 6, 7, 12, 13, 15
Climate Action	Principle 6	GRI 302, 305	SDG 7, 12, 13
Water Stewardship	Principle 2, Principle 6	GRI 303	SDG 6, 12

Resource Recovery & Waste Management	Principle 2, Principle 6	GRI 301, 306	SDG 12, 13
Sustainable Innovation	Principle 2	GRI 302, 301	SDG 9, 12
Occupational Health & Safety	Principle 3	GRI 403	SDG 3, 8
Human Capital & Inclusion	Principle 3, Principle 5	GRI 401, 404, 405, 406	SDG 5, 8, 10
Community Development	Principle 8	GRI 203, 413	SDG 1, 3, 4, 8, 11
Governance	Principle 1	GRI 2	SDG 16, 17
ESG Governance & Board Oversight	Principle 1	GRI 2	SDG 16
Ethics & Compliance	Principle 1	GRI 205, 206	SDG 16
Responsible Supply Chain	Principle 2	GRI 204, 308, 414	SDG 8, 12, 17
Risk Management	Principle 1	GRI 2	SDG 9, 13, 16
Data Privacy	Principle 1	GRI 418	SDG 16
Transparency	Principle 1	GRI 2, GRI 3	SDG 16, 17

Notice is hereby given that the 45th Annual General Meeting of Satia Industries Ltd. will be held on Wednesday, 30th September, 2026 at 10:30 A.M. At the Registered Office of the Company at VPO: Rupana, Malout-Muktsar Road, Distt Sri Muktsar Sahib (Punjab), 152032 to transact the following business:

Ordinary Business

1. **To receive, consider and adopt the Audited Balance Sheet of the Company as at 31st March, 2026 and Profit and Loss Account for the year ended on that date along with the Report of the Auditors and Directors thereon.**

2. **To declare Final dividend for Financial Year 2025-26 and in this regard**

To consider and if thought fit to pass with or without modification(s) the following resolution as an Ordinary Resolution:

"**RESOLVED** that Final Dividend of 40% (Rs. 0.40) per equity shares of Rs.1 each on the paid up equity share capital of the company as recommended by the Board of Directors of the company be and is hereby declared out of the profits of the company for the financial year 2025-26".

3. **To appoint a director in place of Mr. Chirag Satia, (DIN No 03426414) (Executive Director),who retires by rotation, being eligible and offer himself for re-appointment.**

Special Business

Item No 4

To approve and ratify Remuneration to Cost Auditors.

To consider and, if thought fit to pass with or without modification(s) the following resolution as an ordinary resolution.

"**RESOLVED** that pursuant to the provisions of Section 148 and other applicable provisions of the Companies Act, 2013 ("the Act") and Rules thereunder (including any statutory modifications and re-enactment thereof for the time being in force) and all other applicable provisions, if any, approval of the members of the company be and is hereby accorded to the remuneration of Rs. 2,00,000/- payable to M/S Balwinder & Associates cost accountants, Mohali (Firm Registration No. 000201) Cost Auditors of the Company to conduct the audit of the Cost Records of the company for the financial year 2026-2027 plus applicable taxes along with reimbursement of out-of-pocket expenses at actuals."

"**RESOLVED FURTHER** that the Board of Directors be and is hereby authorized to do all such acts, deeds, matters and things as may be deemed necessary, proper or desirable for the purpose of giving effect to this resolution."

NOTES:

1. **A Member entitled to attend and vote at the Meeting is entitled to appoint proxy to attend and vote on poll instead of himself and the proxy need not be a Member of the Company. The proxies should, however, be deposited at the Registered Office of the Company not less than forty-eight hours before the commencement of the Meeting.**

2. **A person can act as a proxy on behalf of members not exceeding fifty and holding in the aggregate not more than ten percent of the total share capital of the Company carrying voting rights. A member holding more than ten percent of the total share capital of the Company carrying voting rights may appoint a single person as proxy and such person shall not act as a proxy for any other person or shareholder.**

3. Statement pursuant to section 102 of the Companies Act 2013, with respect to the Special Business set out in the Notice, is annexed herewith.

4. Corporate members intending to send their authorized representatives to attend the Meeting are requested to send to the Company a certified copy of the Board Resolution authorizing their representative to attend and vote on their behalf at the Meeting.

5. Members are requested to notify immediately any change in their address, to the Registered Office of the Company.

6. All documents as referred in the above notice and explanatory statement are open for inspection at the Registered Office of the Company during office hours on all working days between 11:00 A.M. to 1:00 P.M. up to the date of Annual General Meeting.

7. Members seeking any information with regards to Annual Accounts at the time of Meeting, are requested to send their queries to the company so as to reach at least ten days before the date of Meeting, to enable the management to keep the relevant information ready at the time of Meeting.

8. Members are requested to note that, dividends if not encashed for a period of 7 (seven) years from the date of transfer of Unclaimed Dividend to Unpaid Dividend Account of the Company, are liable to be transferred to the Investor Education and Protection Fund ('IEPF'). The shares in respect of which dividend remain unclaimed for 7 (seven) consecutive years are also liable to be transferred to the demat account of the IEPF Authority. In view of this, Members/ Claimants are requested to claim their unclaimed dividends from the Company, within the stipulated timeline. Members whose equity shares and/ or unclaimed dividends have been transferred to IEPF, may claim the same by making an application to the IEPF Authority, in Form IEPF-5 available on www.iepf.gov.in.

9. As per the provisions of Section 72 of the Act, the facility for making nomination is available to the Members in respect of the shares held by them. Members who have not yet registered their nominations are requested to register the same by submitting Form SH-13.

10. The Register of Members and the Share Transfer Books of the Company will remain closed from 24th September, 2026 to 30th September, 2026 (both days inclusive).

11. As per Regulation 40 of the Listing Regulations, as amended, securities of listed companies can be transferred only in dematerialized form with effect from April 1, 2019, except in case of request received for transmission or transposition of securities. In view of this and to eliminate all risks associated with physical, members holding shares in physical form are requested to consider converting their holdings into dematerialized form.

12. To support the "Green Initiative", Members who have not registered their email addresses are requested to register the same with the Company's Registrar and Share Transfer Agent/ their Depository Participants, in respect of shares held in physical/ electronic mode, respectively.

13. Members are requested to intimate changes, if any, pertaining to their name, postal address, email address, telephone/ mobile numbers, Permanent Account Number (PAN), mandates, nominations, power of attorney, bank details such as, name of the bank and branch details, bank account number, MICR code, IFSC code, etc., to their Depository Participant in case the shares are held in electronic form and to M/s. Beetal Financial and Computer Services Private Ltd, in case the shares are held in physical form.

14. In case of joint holders attending the AGM, the Member whose name appears as the first holder in the order of names as per the Register of Members of the Company will be entitled to vote.

15. In compliance with the MCA Circulars and SEBI Circular, Notice of the AGM along with the Annual Report 2025-26 is being sent only through electronic mode to those Members whose email addresses are registered with the Company/ Depositories. Members may note that the Notice and Annual Report 2025-26 will also be available on the Company's website www. satiagroup.com, websites of the Stock Exchanges i.e. BSE Limited and National Stock Exchange of India Limited at www.bseindia. com and www. nseindia. com respectively, and the website https:// www.evoting. cdsl. com. Any shareholder of the Company interested in obtaining a physical copy of the said Annual Report may write to the company secretary at satia.secretarial@ satiagroup.com.

16. In compliance with the provisions of Section 108 of the Companies Act, 2013 read with Rule 20 of Companies (Management and Administration) Rules, 2014, the Shareholders are informed that the Company is pleased to offer e-voting facility as an alternative mode of voting which will enable the Members to cast their votes electronically.

Necessary arrangements have been made by the Company with Central Depository Services (India) Limited (CDSL). The' detailed procedure is mentioned below. For the aforesaid purpose, the Company has appointed Mr. Gaurav Bansal, Chartered Accountant as scrutinizer for scrutinizing e-voting process in a fair and transparent manner.

a. The instructions for shareholders voting electronically are as under: -

i. The voting period begins on 27.09.2026 at 09.00 AM and ends on 29.09.2026 at 5.00 PM. During these period shareholders holding share either in physical form or in dematerialized form as on the cut-off date 23.09.2026 (record date) may cast their vote electronically. The e-voting module shall be disabling by CDSL for voting thereafter.

1. Pursuant to SEBI Circular No. **SEBI/ HO/CFD / CMD / CIR /P / 2020 / 242 dated 09.12.2020,** under Regulation 44 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, listed entities are required to provide remote e-voting facility to its shareholders, in respect of all shareholders' resolutions. However, it has been observed that the participation by the public no institutional shareholder's/retail shareholders is at a negligible level.

Currently, there are multiple e-voting service providers (ESPs) providing evoting facility to listed entities in India. This necessitates registration on various ESPs and maintenance of multiple user IDs and passwords by the shareholders.

In order to increase the efficiency of the voting process, pursuant to a public consultation, it has been decided to enable e-voting to all the demat account holders, by way of a single login credential, through their demat accounts/ websites of Depositories/Depository Participants. Demat account holders would be able to cast their vote without having to register again with the ESPs, thereby, not only facilitating seamless authentication but also enhancing ease and convenience of participating in e-voting process.

In terms of SEBI circular no. **SEBI/HO/CFD/ CMD/ CIR/P/2020/242 dated December 9, 2020** on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Pursuant to above said SEBI Circular, Login method for e-Voting for Individual shareholders holding securities in Demat mode CDSL/NSDL is given below:

Type of shareholders	Login Method
Individual Shareholders holding securities in Demat mode with CDSL	Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The URL for users to login to Easi / Easiest are Easi easiest - Official Website of Easi Easiest Central Depository Services (India) Limited or visit www.cdslindia.com and click on Login icon and select New System My easi. 2. After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the e-voting is in progress as per the information provided by company. On clicking the e-voting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period. Additionally, there is also links provided to access the system of all e-Voting Service Providers i.e. CDSL/NSDL/KARVY/ LINKINTIME, so that the user can visit the e- Voting service providers' website directly. 3. If the user is not registered for Easi/Easiest, option to register is available at https://web.cdslindia.com/myeasitoken/Home/EasiRegistration 4. Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page or click on https://evoting.cdslindia.com/Evoting/EvotingLogin 5. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in Demat Account.

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL	1) If you are already registered for NSDL IDeAS facility, please visit the e-Services website of NSDL. Open web browser by typing the following URL: https://eservices.nsdl.com either on a Personal Computer or on a mobile. Once the home page of e-Services is launched, click on the "Beneficial Owner" icon under "Login" which is available under 'IDeAS' section. A new screen will open. You will have to enter your User ID and Password. After successful authentication, you will be able to see e-Voting services. Click on "Access to e-Voting" under e-Voting services and you will be able to see e-Voting page. Click on company name or e-Voting service provider name and you will be re-directed to e-Voting service provider website for casting your vote during the remote e-Voting period. 2) If the user is not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select "Register Online for IDeAS "Portal or click at https://eservices.nsdl.com/SecureWeb/Ideas DirectReg.jsp 3) Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon "Log-in" which is available under 'Shareholder/Member' section. A new screen will open. You will have to enter your User ID (i.e. your sixteen-digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider name and you will be redirected to e-Voting service provider website for casting your vote during the remote e-Voting period. 4) Shareholders/Members can also download NSDL Mobile App "NSDL Speeded" facility by scanning the QR Code mentioned below for seamless. **NSDL Mobile App is available on**
Individual Shareholders (holding securities in demat mode) login through their Depository Participants	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. After Successful login, you will be able to see e-Voting option. Once you click on e-Voting option, you will be redirected to NSDL/ CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider name and you will be redirected to e-Voting service provider website for casting your vote during the remote e- Voting period or joining virtual meeting & voting during the meeting.

Important note:
Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at above mentioned website.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. CDSL and NSDL

Login Type	Helpdesk Details
Individual Shareholders holding securities in demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by holding sending a request at helpdesk.evoting@cdslindia.com or contact at 1800225533
Individual Shareholders holding securities in demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by holding sending a request at evoting@nsdl.co.in or call at toll free no.: 022-48867000 and 022-24997000

Step 2

Login method for e-Voting for Physical shareholders and shareholders other than individual holding in Demat form.

1. The shareholders should log on to the e- voting website www.evotingindia.com.

2. Click on "Shareholders" module.

3. Now enter your User ID
(a) For CDSL: 16 digits beneficiary ID,
(b) For NSDL: 8 Character DP ID followed by 8 Digits Client ID,
(c) Shareholders holding shares in Physical Form should enter Folio Number registered with the Company.

4. Next enter the Image Verification as displayed and Click on Login.

5.If you are holding shares in demat form and had logged on to www.evotingindia.com and voted on an earlier e-voting of any company, then your existing password is to be used.

6. If you are a first time user follow the steps given below:

For Physical shareholders and other than individual shareholders holding shares in Demat.	
PAN	**Enter your 10 digit alpha-numeric *PAN issued by Income Tax Department (Applicable for both demat shareholders as well as physical shareholders)** • **Shareholders who have not updated their PAN with the Company/Depository Participant are requested to use the sequence number sent by Company/RTA or contact Company/ RTA.**
Dividend Bank Details or Date of Birth (DOB)	**Enter the Dividend Bank Details or Date of Birth (in dd/mm/yyyy format) as recorded in your demat account or in the company records in order to login.** • **If both the details are not recorded with the depository or company, please enter the member id/folio number in the Dividend Bank details field.**

7. After entering these details appropriately, click on "SUBMIT" tab.

8. Shareholders holding shares in physical form will then directly reach the Company selection screen. However, shareholders holding shares in demat form will now reach 'Password Creation' menu wherein they are required to mandatorily enter their login password in the new password field. Kindly note that this password is to be also used by the demat holders for voting for resolutions of any other company on which they are eligible to vote, provided that company opts for e-voting through CDSL platform. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential.

9. For shareholders holding shares in physical form, the details can be used only for e-voting on the resolutions contained in this Notice.

10. Click on the EVSN of Satia Industries Ltd on which you choose to vote.

11. On the voting page, you will see "RESOLUTION DESCRIPTION" and against the same the option "YES/NO" for voting. Select the option YES or NO as desired. The option YES implies that you assent to the Resolution and option NO implies that you dissent to the Resolution.

12. Click on the "RESOLUTIONS FILE LINK" if you wish to view the entire Resolution details.

13. After selecting the resolution, you have decided to vote on, click on "SUBMIT". A confirmation box will be displayed. If you wish to confirm your vote, click on "OK", else to change your vote, click on "CANCEL" and accordingly modify your vote.

14. Once you "CONFIRM" your vote on the resolution, you will not be allowed to modify your vote.

15. You can also take a print of the votes cast by clicking on "Click here to print" option on the Voting page.

16. If a demat account holder has forgotten the login password then Enter the User ID and the image verification code and click on Forgot Password & enter the details as prompted by the system.

17. Additional Facility for Non – Individual Shareholders and Custodians – For Remote Voting only.

- Non-Individual shareholders (i.e. other than Individuals, HUF, NRI etc.) and Custodians are required to log on to www.evotingindia.com and register themselves in the "Corporates" module.
- A scanned copy of the Registration Form bearing the stamp and sign of the entity should be emailed to helpdesk.evoting@cdslindia.com.
- After receiving the login details a Compliance User should be created using the admin login and password. The Compliance User would be able to link the account(s) for which they wish to vote on.
- The list of accounts linked in the login should be mailed to helpdesk.evoting@cdslindia.com and on approval of the accounts they would be able to cast their vote.
- A scanned copy of the Board Resolution and Power of Attorney (POA) which they have issued in favour of the Custodian, if any, should be uploaded in PDF format in the system for the scrutinizer to verify the same.
- Alternatively, non-individual shareholders are required to send the relevant Board Resolution/ Authority letter etc. together with attested specimen signature of the duly authorized signatory who are authorized to vote, to the Scrutinizer and to the Company at the email address viz; satiapaper @satiagroup.com (designated email address by company), if they have voted from individual tab & not uploaded same in the CDSL e-voting system for the scrutinizer to verify the same.

PROCESS FOR THOSE SHAREHOLDERS WHOSE EMAIL / MOBILE NO. ARE NOT REGISTERED WITH THE COMPANY/ DEPOSITORIES.

1. For Physical shareholders- please provide necessary details like Folio No., Name of shareholder, scanned copy of the share certificate (front and back), PAN (self-attested scanned copy of PAN card), AADHAR (self-

attested scanned copy of Aadhar Card) by email to Company/RTA email id.

2. For Demat shareholders - Please update your email id & mobile no. with your respective Depository Participant (DP)

3. For Individual Demat shareholders – Please update your email id & mobile no. with your respective Depository Participant (DP) which is mandatory while e-Voting.

If you have any queries or issues regarding attending AGM & e-Voting from the CDSL e-Voting System, you can write an email to helpdesk. evoting@cdslindia.com or contact at 1800225533.

M/s Gaurav Bansal, Chartered Accountant has been appointed as the Scrutinizer. the e- voting process in a fair and transparent manner (including the ballot forms). The Scrutinizer shall with in a period of two working days of the conclusion e-voting period, unblock the votes presence of at least 2 witnesses not in employment of the Company and make a report of the vote cast in favour or against, if any, forthwith to the Chairman of the Company.

The Results shall be declared within two working days from the conclusion of the AGM. The result declared along with the Scrutinizer's report shall be placed in the Company website i.e www.satiagroup.com

For claiming the unpaid / unclaimed dividends, the members are requested to update their KYC as given below:

The members holding shares in Physical form - with the Company's registrars at M/s. Beetal Financial and Computer Services Private Limited, Address: Beetal House, 3rd Floor 99 Madangir, Behind Local Shopping Centre, Near Dada Harsukhdas Mandir, New Delhi-110062. Contact No:-011-29961281 83, Email: beetal@beetalfinancial.com.

b) **For shares held in dematerialized form** -with the Depository Participant (DP) where the demat account is maintained as per the process advised by DP.

Upon up dation of KYC & bank details members are requested to intimate the same to the RTA so that the unpaid/unclaimed dividend can be credited to their bank account.

EXPLANATORY STATEMENT OF MATERIAL FACTS IN RESPECT OF THE SPECIAL BUSINESS PURSUANT TO SECTION 102 OF THE COMPANIES ACT, 2013

Item No. 4

The Board, on the recommendation of the Audit committee, has approved the appointment and remuneration of M/s Balwinder & Associates, Cost Accountants, as cost auditors to conduct the audit of the cost records of the company for the financial year 2026-2027 at remuneration as specified in the resolution plus applicable taxes and reimbursement of out-of-pocket expenses.

In accordance with the provisions of Section 148 of the Companies Act, 2013 read with the Companies (Audit and Auditors) Rules, 2014 and other applicable provisions, the remuneration payable to the Cost Auditors has to be ratified by the shareholders of the Company. Your board recommends the passing of ordinary resolution set out at Item No. 4 of the notice for approval by the shareholders in the interest of the company. None of the Directors and/ or key Managerial personnel of the Company and/ or their relatives is concerned or interested financially or otherwise in the resolution set out at Item No. 4 of the Notice.

By order of the Board
For Satia Industries Limited

(Rakesh Kumar Dhuria)
Company Secretary

Place: Chandigarh
Date: 14.08.2026

The details of Director seeking Appointment /Re-appointment as per Regulation 36(3) of the SEBI(LODR) Regulations, 2015 and Secretarial Standard-2 issued by the Institute of Company Secretaries of India:

Item No.3 of the AGM Notice

Name	Mr. Chirag Satia
DIN	03426414
Date of Birth/Age	28.05.1992
Date of Appointment	13.02.2015
Qualification	B.com, CA (Inter)
Brief Resume including Experience/Expertise	Service the Company as (Executive Director) since 13.02.2015
Inter-se Relationship between Directors/Managers/KMP	Mr. Chirag Satia is son of Dr. Ajay Satia (Chairman cum Managing Director)
Directorship in other listed entities	NIL
Chairman/Member of Committee of the Board of other listed entities in which they are Directors*	NIL
No. of shares held in the company	69,60,669 (6.96 %)
Names of Listed companies from which resigned in past three years	NIL
Terms and conditions of appointment	Executive Director, liable to retire by rotation
Remuneration Last Drawn	Refer the Corporate Governance Report
Number of Board Meetings Attended during the Financial Year 2025-26	3

*Chairmanships/Memberships of only Audit Committees and Stakeholders Relationship Committees in all Public Limited Companies (listed and unlisted) except Foreign Companies, Private Companies, Companies registered under Section 8 of the Act and this company, have been considered.

Information at Glance

Sr No	Particulars	Details
1.	Day, Date and Time of AGM	30th September, 2026 At 10:30 AM
2.	Mode	Physical
3.	Book Closure	24th September, 2026 to 30th September, 2026
4.	Cut-off Date for E-voting	23rd September, 2026
5.	Period of Remote E-voting	Start E- voting (Date: 27th September, 2026 ,Time: 09:00 AM) and End E-voting (Date: 29th September, 2026 , Time: 05:00 PM)
6.	Help-Line details for E-voting	you can write an email to helpdesk. evoting@cdslindia.com or contact at 022-23058738 and 022-23058542/43.
7.	Name, Address and contact details of Registrar and Transfer Agent	BEETAL Financial & Computer Services Pvt Ltd. CIN No: U67120DL1993PTC052486 Beetal House, 3rd Floor, 99-Madangir, Behind LSC, New Delhi - 110062 Contact No. 011-29961281-283 , 26051061, 26051064 ,011-42959000-09 Fax: 011-29961284 Email: beetal@beetalfinancial.com Web Site: www.beetalfinancial.com
8.	Satia Industries Limited-Contact Details	Tel. 01633-262001, 262215, 263585
9.	Registered/ Corporate Office	VPO: Rupana ,Malout – Muktsar Road, Sri Muktsar Sahib (Punjab) - 152032, India
10.	Website	www.satiagroup.com
11.	E-mail	satia.secretarial@satiagroup.com

BOARD'S REPORT

Dear Members,

Your Director's are pleased to present the 45th Annual Report of Satia Industries Limited ("the Company") along with the Audited Financial Statements for the Financial Year ended March 31, 2026.

Financial Results:

The key highlights of the financial results of your Company for the financial year ended March 31, 2026 and comparison with the previous financial year ended March 31, 2025 are summarised below: -

(Rs in Lakh)

Particulars	Current Year	Previous Year
Revenue and Other Income	151903.96	153120.35
Profit Before interest depreciation and tax	19897.06	28946.88
Interest and Financial Charges	2204.13	2560.60
Depreciation	13924.82	15735.40
Profit from operations (before Tax) prior year adjustments & exceptional Item	3768.11	10650.88
Tax Expenses		
Current Tax	674.27	1854.69
Deferred Tax	(1664.62)	(3066.20)
Profit/(Loss) after Tax	4091.21	11862.39
Less: Appropriation		
Dividend on Equity Shares	400	400

Industry Review

Corporate Overview

Satia Industries Limited operates in the following business segments: -

1. Writing and Printing Paper
2. Agriculture
3. Co-generation of Power for captive consumption

Operational Review

Your Company recorded a total income of Rs 151903.96 Lakhs as compared to Rs 153120.35 lakh in the previous year. During the year, your Company generated profit before interest, depreciation and tax (PBIDT) of Rs 19897.06 Lakh Compared to Rs 28946.88 lakh in the previous Year. Profit before tax(PBT) for the year from operation is Rs 3768.11 Lakh as compared to Rs 10650.88 Lakh in the previous year. After accounting for the provision for tax, Net Profit after tax (PAT) for the FY2025-26 Rs.4091.21 Lakh as compared to Rs 11862.39 Lakh in the previous year.

Dividend

Your Board is pleased to recommend for your consideration, Final Dividend of 40% (Rs. 0.40 per share) involving a total cash outflow of Rs 4.00 crores for the financial year 2025-26 and is subject to the approval of shareholders at the ensuing Annual General Meeting of your Company. The proposed dividend payout is in accordance with your Company's Dividend Distribution Policy. In accordance with the provisions of the Income-Tax Act, 2025, which has come into force with effect from April 1, 2026, read with the notified Income Tax Rules, 2026 and the Finance Act, 2025, dividend declared and paid by a Company is taxable in the hands of the shareholders. Your Company shall, therefore, be required to deduct tax at source (TDS) at the time of payment of dividend in accordance with the provisions of section 393 of the Income Tax Act, 2025 read with the applicable Rules and at the rates prescribed thereunder. The TDS rate may vary depending upon the residential status of the shareholder, the threshold limits prescribed under the Act, and the documents/declarations submitted by the shareholder to your Company.

Your Company will also be sending communication to the shareholders informing them to submit the necessary documents to enable your Company to calculate the amount of tax required to be deducted from the proposed dividend in respect of each eligible shareholders.

Dividend Distribution Policy

The Board of Directors of your Company had approved and adopted a policy on Dividend Distribution formulated in accordance with Regulation 43A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the Listing Regulations) and the dividend is recommended in accordance with the said policy. The dividend recommended was in accordance with the Dividend Distribution Policy of the Company.

The Board at its discretion, while approving all annual accounts in each financial year, may also recommend the dividend for approval of the shareholders after taking into account the free cash flow position, the profit earned during that year, the Capex requirements and applicable taxes. If during any financial year the profits of the Company are inadequate, the Board may decide not to declare dividends for that financial year. A dividend policy stated by the current Board cannot be binding on the extant Board. However, the current Board can form a guideline on dividend payout in future in the interest of providing transparency to the shareholders.

The Company's Dividend Distribution Policy (DDP) is available at website: www.satiagroup.com/Company Policies.

Investor Education and Protection Fund (IEPF)

As required under Section 124 of the Act, the Unclaimed Dividend amount aggregating to lying with the Company for a period of seven years were transferred during the Financial Year 2025-26, to the Investor Education and Protection Fund (IEPF) established by the Central Government.

Transfer of shares to IEPF

Pursuant to the provisions of Section 124(6) of the Act and the Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016, all the equity shares of the Company in respect of which dividend amounts have not been paid or claimed by the Shareholders for seven consecutive years or more are required to be transferred to demat account of the Investor Education and Protection Fund Authority (IEPF Authority). Accordingly, 39,230 shares were transferred to Demat Account of IEPF Authority. Your Company had sent individual notice to all the aforesaid members and had also published the notice in the leading English and Punjabi newspapers.

Details of shares transferred to IEPF have been uploaded on the Website of IEPF as well as the Company. In terms of provisions of Section 125 of the Companies Act, 2013, the unclaimed dividend pertaining to the financial year 2018-19 for amount aggregating to Rs 178663/- had been transferred to the "Investor Education and Protection Fund" established by the Central Government available on the Company's website with web link https://www.satiagroup.com/Investor/IEPF Files

Transfer to Reserves

The closing balance of the retained earnings of the Company for the financial year 2026, after all appropriation and adjustments was Rs. 107801.92 Lakh.

Changes in Share Capital

During the period under review , there is no change in Share Capital

Fixed Deposit

The Company has not accepted any deposits from public and as such, no amount on account of principal or interest on deposits from public was outstanding as on the date of the balance sheet.

Particulars of Loans, Guarantees or Investments:

The company has not given any loans or guarantees covered under the provisions of Section 186 of the Companies Act, 2013. The details of the investments made by Company are given in the notes to the financial statements.

Credit Rating

India Ratings and Research Private Limited (Ind-Ra) has taken the following rating actions on Satia Industries Limited's bank facilities and instruments:

Instrument Type	Regulator of Instrument	Date of Issuance	Coupon Rate (%)	Maturity Date	Size of Issue (INR million)	Rating Assigned along with Watch/Outlook	Rating Action
Bank loan facilities	RBI	-	-	-	6,990	IND A+/Stable/IND A1+	Affirmed
Proposed commercial paper*	RBI	-	-	Up to 365 days	350	IND A1+	Affirmed

*** Carved out and sub-limit of existing fund-based working capital limits**

Internal Control Systems and their adequacy

The Company believes that Internal Control is necessary concomitant of the principle of Governance and remains committed to ensuring an effective Internal Control environment that provides assurance to the Board of Directors, Audit Committee, and the management that there is a structured system of:

- Close and active supervision by the Audit Committee
- Business planning and review of goals achieved
- Evaluating & managing risks
- Policies and procedures adopted for ensuring orderly Financial Reporting
- Timely preparation of reliable Financial Information
- Accuracy and completeness of the Accounting Records
- Ensuring legal and regulatory compliance
- Protecting company's assets
- Prevention and detection of fraud and error
- Validation of IT Security Controls

Interrelated control systems, covering all financial and operating functions, assure fulfilment of these objectives.

Significant features of these control systems include: the planning system that ensures drawing up of challenging goals and formulation of detailed strategies and action plans for achieving these goals. In addition, the Internal Auditor performs periodic audits in accordance with the pre-approved plan. He reports on the adequacy and effectiveness of the internal control systems and provides recommendations for improvements. Audit findings along with management response are shared with the Audit Committee. Status of action plans are also presented to the Audit Committee which reviews the steps taken by the management to ensure that there are adequate controls in design and operation. The Certificate provided by Managing Director and Chief Financial Officer in the Corporate Governance Report discusses the adequacy of the internal control systems and procedures.

Internal Audit is conducted by an independent firm viz. M/s S S Kothari Mehta & Co., Chartered Accountants New Delhi regularly check the adequacy of the system, their observations are reviewed by the management and remedial measures, as necessary, are taken.
Internal Auditors report directly to the Audit Committee to maintain its objectivity and independence.

Human Resources and Employee Relations

The Company's Human Resources division concentrated on efficient plan execution throughout the year under review by utilizing its skilled staff. The HR department of the company's main focus during the year was handling the benefits administration. Additionally, to focus on rebuilding the complete support system for assuring the health and wellbeing of employees. Steps including workforce planning, digitalization of HR systems, enhancement of medical facilities, health monitoring, and ongoing communication were necessary for this. These actions increased employee confidence, and the workers reciprocated by offering their entire support by adjusting to the new working circumstances and schedules.

Employee Welfare

Understanding what engages and motivates our employees, as well as their perspectives on the work place is vital. Therefore, we promote open and frequent communication between managers and their teams conduct regular surveys, establish a frame work that encourages employees to voice concerns, provide feedback and suggest improvements. Our comprehensive HR policy framework includes maternity benefits, employee insurance and flexible scheduling to help employees maintain a work-life balance. Monthly workshops are held to educate staff on their physical, mental, and overall well-being. Fostering diversity and inclusion at work, we leverage the varied viewpoints and perspectives of a diverse workforce in terms of age, gender and race, which drives innovation. Our commitment to Equal Employment Opportunity, Equal Pay and Conditions of Employment Policies ensures no discrimination based on gender, race, religion, caste, creed or similar factors. Hiring, promotions and performance reviews are solely merit-based.

Disclosure under Maternity Benefit Act, 1961

The Company has complied with all applicable provisions relating to the Maternity Benefit Act, 1961 for the financial year 2025-26 and has established systematic mechanism to ensure continued adherence to statutory and regulatory requirement.

Directors & Key Managerial Personnel

The Board of Directors comprises distinguished professionals of proven integrity and competence, who provide strategic direction, guidance and leadership to the Company. As on March 31, 2026, the Board of Directors of the Company comprised of Eleven Directors with an optimum balance of Executive and Non-Executive Directors, including one Women Director. of these 7 (Seven) Directors are Non-Executive Independent Directors.

In accordance with the provisions of Section 152 of the Act and the Articles of Association of the Company, Mr. Chirag Satia, Executive Director DIN No. 03426414 is liable to retire by rotation and being eligible for re-appointment at the ensuing Annual General Meeting("AGM") of your Company, has offered himself for reappointment. His details as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 are contained in the accompanying Notice convening the ensuing AGM of your Company. Mr. Chirag Satia, Executive Director, has given required declaration under Companies Act, 2013. The Board recommends the re-appointment of Mr. Chirag Satia, as Director for your approval.

The Independent Directors of the Company have confirmed that they have enrolled themselves in the Independent Directors' Databank maintained with the Indian Institute of Corporate Affairs ('IICA') in terms of Section 150 of the Act read with Rule 6 of the Companies (Appointment & Qualification of Directors) Rules, 2014.

Declaration from Independent Directors

The Company has received necessary declaration from each independent director under Section 149(7) of the Companies Act, 2013, that he / she meets the criteria of independence laid down in Section 149(6) of the Companies Act, 2013 and Regulation 25 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and also confirmed that they are not debarred from holding the office of Directors by virtue of any order passed by SEBI or any such authority.

Board Evaluation

The Board of Directors has carried out an annual evaluation of its own performance, board committees and Individual Directors pursuant to the provisions of the Act and SEBI Listing Regulations. The criteria are broadly based on the Guidance Note on Board Evaluation issued by the SEBI.

The performance of the Board was evaluated by the Board after seeking inputs from all the Directors on the basis of criteria such as the board composition and structure, effectiveness of board processes, information and functioning, etc. The performance of the Committees was evaluated by the Board after seeking inputs from the Committee Members on the basis of criteria such as the composition of committees, effectiveness of committee meetings, etc. In a separate meeting of Independent Directors, performance of Non-Independent Directors, the Board as a whole and Chairman of the Company was evaluated, taking into account the views of Executive and Non-Executive Directors. The Board and the Nomination and Remuneration Committee ("NRC") reviewed the performance of individual directors on the basis of criteria such as contribution of the individual director to the Board and Committee meetings like preparedness on the issues to be discussed, meaningful and constructive contribution and inputs in meetings, etc. At the Board meeting that followed the meeting of the Independent Directors and meeting of NRC, the performance of the Board, its Committees and individual directors was also discussed. Performance evaluation of Independent Directors was done by the entire Board.

The overall outcome of the Board evaluation process was positive and the Directors expressed satisfaction with the performance and effectiveness of the Board, its Committees and Individual Directors. For further details, please refer to the Corporate Governance Report, which forms part of this Report.

The Board on the recommendation of Nomination & Remuneration Committee has adopted the 'Remuneration and Evaluation Policy' for selection, appointment and remuneration of Directors and Senior Management Personnel including criteria for determining qualifications, positive attributes, independence of a director and other matters as required by the Companies Act, 2013. Necessary diversity in the board was ensured. Detailed policy is available at Company's website https://www.satia group .com.

The key objectives of conducting the Board Evaluation process were to ensure that the Board and various Committees of the Board have appropriate composition of Directors and they have been functioning collectively to achieve common business goals of your Company. Similarly, the key objective of conducting performance evaluation of the Directors through individual assessment and peer assessment was to ascertain if the Directors actively participate in the Board/Committee Meetings and contribute to achieve the common business goals of the Company. The Board was of the opinion that the directors and Board collectively stand the highest level of integrity and all members of the Board had specified skill set and experience required for the Company.

Meetings of the Board and its Committees

Four meetings of the Board were held during the year under review. The necessary quorum was present for all the meetings. The maximum interval between any two Board meetings did not exceed 120 days. For details of meetings and composition of the Board and Committees of the Board, please refer to the Corporate Governance Report, which forms part of this Report

Familiarisation Programme

Pursuant to the provisions of Regulation 25(7) of the SEBI Listing Regulations read with Schedule IV of the Act, the Company has in place a Familiarization Program for its Independent Directors to acquaint them with the Company, their roles and responsibilities, the business model, operational aspects and governance frame work of the Company. Through this program, the Independent Directors are provided with relevant information and insights to enable them to gain a comprehensive understanding of the Company's business and to contribute effectively to the Board and its Committees. The familiarization sessions are conducted through presentations, briefings and interactions with senior management, as and when required. Details of the Familiarization Program for Independent Directors are also disclosed on the Company's website https://www.satiagroup.com.

During the year under review, the non-executive directors of the Company had no pecuniary relationship or transactions with the Company, other than sitting fees, commission and reimbursement of expenses incurred by them for the purpose of attending meetings of the Board/Committee of the Company.

Key Managerial Personnel

Pursuant to the provisions of Section 203 of the Act, The Key Managerial Personnel of the Company as on March 31, 2026 are: -

(Dr Ajay Satia)
Chief Executive Officer
Chairman cum Managing Director

(Mr. Rachit Nagpal)
GM (Finance) – CFO

(Mr. Rakesh Kumar Dhuria)
Company Secretary and Compliance Officer

Committees of the Board

The Committees of the Board focus on certain specific areas and make informed decisions in line with the delegated authority. The following substantive Committees constituted by the Board function according to their respective roles and defined scope:

- Audit Committee of Directors
- Nomination and Remuneration Committee (NRC)
- Stakeholders Relationship Committee
- Corporate Social Responsibility Committee
- Risk Management Committee

The details with respect to the composition, terms of reference, number of meetings held by the aforesaid Committees are given in the "Corporate Governance Report" of the Company which is presented in a separate section and forms a part of the Annual Report of the Company. During the year under review, two (2) separate meeting of the Independent Directors were held on 11.08.2025 and 12.02.2026 with no participation of Non- Independent Directors or the Management of the Company. The Independent Directors had discussed and reviewed the performance of the Non- Independent Directors and the Board as a whole and also assessed the quality, quantity and timeliness of the flow of information between the Management and the Board, which is necessary for the

In terms of the Listing Regulations, all Directors and senior management personnel have affirmed compliance with their respective codes. The CEO & Managing Director has also confirmed and certified the same, which certification is provided at the end of the Report on Corporate Governance.

Remuneration Policy

In compliance with Section 178(3) of the Act and Regulation 19(4) of the Listing Regulations, on the recommendations of the Nomination and Remuneration Committee (NRC), the Board formulated Policy relating to the remuneration of Directors, key managerial personnel and other employees. The Policy includes criteria for qualifications, positive attributes and independence of Directors and other matters. It broadly lays down the philosophy, guiding principles and basis for recommending payment of remuneration to the Executive and Non-Executive Directors.

The role of the NRC is disclosed in the Corporate Company web site at https://www.satiagroup.com/ Company Policies and also annexed and placed with the Corporate Governance Report. We affirm that the remuneration paid to the Directors is as per the terms laid out in the Remuneration Policy.

Director Responsibility Statement

Pursuant to requirement of Section 134 (5) of the Companies Act, 2013, your Directors confirm that:

(a) In the preparation of the annual accounts, the applicable accounting standards have been followed along with proper explanation relating to material departures.

(b) The Directors had selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit or loss of the company for the period.

(c) The Directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities.

(d) The Directors had prepared the annual accounts on a going concern basis.

(e) The Directors had laid down internal financial control to be followed by the Company and that such internal financial controls are adequate and were operating effectively.

(f) The Directors had devised proper systems to ensure compliance with the provision of all applicable laws and that such system was adequate and operating effectively.

Audit Reports and Auditors

The Auditors Report for the year 31.03.2026 does not contain any qualification, reservation or adverse remark. The Auditors' Report is enclosed with the financial statement in this Annual Report.

Statutory Auditors:

In accordance with the provisions of section 139 of the Companies Act 2013 and the rules made thereunder M/s. N. Kumar Chhabra & Co., Chartered Accountants, Chandigarh (Firm Registration No. 000837N with ICAI), were appointed as Statutory Auditors of the Company at the 42nd Annual General Meeting of the Company held on 30.09.2023 and were appointed as Statutory Auditors of the Company for the next four years viz. Financial Year 2022-23 to 2026-27.

The Auditors have issued an unmodified opinion on audited financial statements of the Company for the year ended March 31, 2026. The Report given by the Auditors on the financial statements of the Company is part of the Annual Report. There has been no qualification, reservation, adverse remark or disclaimer given by the Auditors in their Report.

Secretarial Auditor

During the year under review, the Members at their AGM held on 30.09.2025 approved the appointment of M/s. S. Parnami & Associates, a firm of Company Secretaries in practice, Peer Reviewed Firm of Company Secretaries in Practice (Membership Number F9396) as the Secretarial Auditors of the Company, to hold office for a term of five consecutive years up to FY 2029-2030.

Annual Secretarial Compliance Report

The Company has filed the Secretarial Compliance Report, issued by M/s S. Parnami & Associates, Company Secretaries as on March 31, 2026 on both the Stock Exchanges of the Company pursuant to Regulation 24A of the Listing Regulations. The secretarial auditor's report has no qualifications for the financial year 2025-26.

As required by Schedule V of the Listing Regulations, the Auditor's Certificate on Corporate Governance received from M/s S. Parnami & Associates is annexed to the Report on Corporate Governance forming part of the Annual Report.

Statutory Auditor's Report and Secretarial Audit Report

The Statutory Auditor's report and the Secretarial Audit report do not contain any qualifications, reservations, adverse remarks or disclaimer. Secretarial Audit report, i.e., Form No. MR-3 is attached to this Report--. During the year under review, the Statutory Auditors and Secretarial Auditors of the Company have not reported any fraud to the Audit Committee committed by its officers or employees as specified under Section 143(12) of the Act.

Internal Auditors

During the year under review M/s S S Kothari Mehta & Co., Chartered Accountants New Delhi was appointed and carried out the internal audit and submitted their report.

Cost Audit

Pursuant to the provisions of the Companies Act, 2013 M/s HMVN & Associates, Cost Accountants, Delhi has conducted the cost audit of the Company. As recommended by the Audit Committee and the Board of Directors at their respective meetings held on 11.08.2025 appointed M/s HMVN & Associates, Cost Accountants, as Cost Auditor to conduct cost audit for the year ended March 31, 2026, pursuant to the provisions of Section 148 of the Act read with the Companies (Cost Records and Audit) Amendment Rules, 2014. M/s HMVN & Associates, Cost Accountants, confirmed that they are free from disqualifications as specified under Section 141 read with Sections 139 and 148 of the Act, held a valid certificate of practice and that their appointment met the requirements of Sections 141(3)(g) and 148 of the Act. M/S HMVN & Associates, Cost Accountants, Delhi also confirmed that they are independent, maintained an arm's length relationship with the Company and that no orders or proceedings are pending against them relating to professional matters of conduct before the institute of Cost Accountants of India or any competent authority/court. The Company has maintained cost records as specified by the Central Government under Section 148(1) of the Act.

The Board of Directors has on the recommendation of Audit Committee appointed M/s Balwinder & Associates, Cost Accountants, Mohali, as Cost Auditor for the Financial Year 2026-27.

In accordance with the provisions of Section 148 of the Act read with the Companies (Audit and Auditors) Rules, 2014, since the remuneration to the Cost Auditor for auditing the Cost records for FY 2026-27 is required to be ratified by the members, the Board of Directors recommends the same for ratification at the ensuing AGM. The proposal forms a part of the Notice of AGM.

Your Company has adopted Indian Accounting Standards (IND AS). The Financial Statement for the year ended March 31, 2026 have been prepared in accordance with (IND AS) notified under the Companies (Indian Accounting Standards) Rules, as amended by the Companies (Indian Accounting Standard) Rules, 2018 read with Section 133 and other applicable provisions of the Companies Act, 2013.

Related Party Transaction:

All related party transactions that were entered into during the financial year were on arm's length basis and were in the ordinary course of business. There are no materially significant related party transactions made by the company with Promoters, Key Managerial Personnel or other designated persons which may have potential conflict with interest of the company at large. Transactions with related parties entered by the Company in the normal course of business are periodically placed before the Audit Committee for its omnibus approval. The Board of Directors of the Company has on the recommendation of the Audit Committee, adopted a policy to regulate transactions between the Company and its Related Parties, in compliance with the applicable provisions of the Companies Act,2013, the rules there under and Listing

Regulations. This Policy as considered and approved by the Board has been uploaded on the website of the Company at www.satiagroup.com.

Since there were no contracts/ arrangements /transactions which were not at arm's length basis or material which related party during the year, disclosure in form AOC-2 is not application.

Subsidiary Companies

The Company does not have any subsidiary.

Vigil mechanism/Whistle Blower Policy

The Company has adopted a Whistle Blower Policy and has established the necessary vigil mechanism for Directors and Employees in confirmation with Section 177 of the Act and Regulation 22 of SEBI Listing Regulations, to facilitate reporting of the genuine concerns about unethical or improper activity, without fear of retaliation. The vigil mechanism of the Company provides for adequate safeguards against victimization of Directors and employees who avail of the mechanism and also provides for direct access to the Chairman of the Audit Committee in exceptional cases. No person has been denied access to the Chairman of the Audit Committee. The said Policy is uploaded on the website of the Company at https://www.satiagroup.com/Company Policies

Annual Return

In accordance with Section 92(3) read with Section 134(3)(a) of the Act and the Companies (Management and Administration) Rules, 2014, the Annual Return of the Company as of March 31, 2025 in Form MGT- 7 is available on the website of the Company www.Satiagroup.com/Investors.

Secretarial Standards

Applicable Secretarial Standards, i.e. SS-1, SS-2 and SS-3, relating to 'Meeting of the Board of Directors' 'General Meetings' and 'Dividend' respectively, have been duly followed by the Company.

Particulars of Employees

Information as required under Section 197 read with rule5 of the (Companies Appointment and Remuneration of Managerial Personnel) Rules 2014 is appended as Annexure-I and forms an integrated part of this report.

Conservation of Energy, Technology Absorption and Foreign Exchange Earning and Outgo

The Particulars as prescribed under section 134(3) (m) of the Companies Act, 2013 read with rule 8 of the Company (Accounts) Rules 2014 relating to conservation of energy, technology absorption and foreign exchange earnings and outgo is appended as Annexure-II

Industrial Relations:

During the year under review, your Company enjoyed cordial relationship with workers and employees at all levels.

Disclosures under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 ["POSH Act"]

The Company follows a zero-tolerance approach towards sexual harassment and remains firmly committed to ensuring the safety, dignity and well-being of all employees. It strives to foster a safe, inclusive and respectful workplace. The Company has implemented a Policy on the Prevention of Sexual Harassment, aligned with the POSH Act and other applicable laws across the jurisdiction in which it operates. Internal Committees ("ICs") have been constituted in accordance with the requirements of the POSH Act. Multiple reporting channels are available for reporting concerns, including the Company intranet for employees. All complaints are addressed with due sensitivity, fairness and confidentiality, with appropriate safeguards to protect the privacy and reputation of all individuals involved. Based on the findings of the inquiry, suitable corrective & disciplinary actions including warning, apology, reassignment, separation or other remedial measures are taken as warranted. The Company continues to strengthen awareness and prevention through regular training of IC members, structured awareness programmes, induction sessions for new employees, trainees and associates.

Corporate Governance, Management Discussion & Analysis and Business responsibility and sustainability Report.

As per Listing Regulations, the Corporate Governance Report with the Prectising Company Secretary' Certificate thereon and the Management Discussion and Analysis are attached, which forms part of this Annual Report. Pursuant to Regulation 34(2)(f) of the Listing Regulations, Business Responsibility and sustainability initiatives taken from an environmental, social and governance perspective in the prescribed format is attached as a separate section of this Annual Report.

Corporate Social Responsibility Initiatives

The Company has always recognized its social responsibility as an integral and critical part of its value system and accordingly adopted CSR policy on the basis of which CSR activities are carried out and implemented in the areas such as education, health & hygiene, support to Blind, Orphan, Women and old age home, preventive health care, rural development etc Company is committed to contribute to economic development while improving the quality of life of the local community including those living around the plants of Company in Punjab. The Company has spent the entire required amount of the current year ended 31.03.2026 under the CSR and nothing is outstanding as unspent. Satia Industries Ltd.'s CSR initiatives and activities are aligned to the requirements of Section 135 of the Act. A brief outline of the CSR policy of the Company and the initiatives undertaken by the Company on CSR activities during the year are set out in Annexure IV of this report in the format prescribed in the Companies (Corporate Social Responsibility Policy) Rules, 2014. This Policy is available on the Company's website at https:// www.satiagroup.com For other details regarding the CSR Committee, please refer to Annexure IV on Corporate Governance Report, which is a part of this report.

Safety, Health and Environment

The safety of all employees and associates has always been an area of priority for our Company. The Company has constituted a Safety and Securities Committee and the Committee meet in each month to discuss all safety issues and take the decision relating to resolving the same. The minutes of the safety and securities committee meetings and action taken report are also placed before the Audit Committee Meeting for their review and further instruction, if any required relating to pending matters. The Company also conduct the Fire Evacuation Drill regularly. The safety and Training & awareness sessions were conducted periodically on Fire Safety in emergency situation and on usage of the fire saving equipment. Safety standards are maintained across all locations. Regular deep cleaning of the office premises and checks were done to ensure safety of the employees. Health and wellness awareness sessions were also conducted for employees. The connect meetings gave opportunities to employees to express themselves and get solutions to their work matters. It also motivated people to stay committed toward the organization's goals and values.

Business Responsibility and Sustainability Report (BRSR)

In accordance with Regulation 34(2)(f) of the Listing Regulations, BRSR, covering disclosures on the Company's performance on Environment, Social and Governance parameters for FY26, is annexed as Annexure- III is part of this Integrated Report. BRSR includes reporting on the nine principles of the National Voluntary Guidelines on social, environmental and economic responsibilities of business as framed by the MCA. Cross referencing is provided in relevant sections of Integrated Report with suitable references to the BRSR.

Changes in the Nature of Business

There were no changes in the nature of business.

Material Changes

There are no material changes or commitments affecting the financial Position of the company have occurred during the year under consideration, or after closure of the financial year till the date of this report

Details of significant and Material orders passes by the Regulators or courts or tribunals impacting the going concern status and company's operations in future

There were no significant and material orders passed by the regulators or courts or tribunals

Report on Corporate Governance

Your Company is committed to best practices in the area of Corporate Governance. Good Governance facilitate effective management and control of business, maintaining a high level of business ethics and optimizing the value for all stakeholders.

Corporate Governance Structure in the Company assigns responsibilities and entrusts authority among different participants in the organization viz the Board of Directors, the senior Management and Employee etc.

In compliance with Regulation 34 read with Schedule V of the SEBI Listing Regulations, the Corporate Governance Report for FY 2025-26, has been presented in a separate section on page no. 159. A certificate from M/s Parnami & Associates, Company Secretaries, Bathinda ['confirming compliance with corporate governance requirements under the SEBI Listing Regulations.

Management Discussion and Analysis Report

In terms of Regulation 34 (2) (e) of the Listing Regulations, 2015 read with other applicable provisions, the detailed review of the operations, performance and future outlook of the Company and its business is given in the Management's Discussion and Analysis Report (MDA) which forms part of this Annual Report and is incorporated herein by reference and forms an integral part of this report.

Acknowledgement

The Directors thanks the Company's Bankers, Employees, Customers, Vendors, Investors and for their continuous support. The Directors also thank the Government of India, Government of Various States in India and concerned Government departments and agencies for their co-operation

(Dr Ajay Satia)
Chairman Cum Managing Director

(R.K.Bhandari)
Joint Managing Director

Place: Chandigarh
Date: 14.08.2026

Annexure-I

Information required pursuant to Section 197 read with Rule 5 of Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, is furnished hereunder:

A) Ratio of the remuneration of each Director and KMP to the Median Remuneration of the Employees of the Company for the financial year 2025-26:

Sr. No.	Name of Directors/ KMP	Designation	Ratio of Remuneration of each Director and KMP to the Median Remuneration of the Employees	Percentage Increase / Decrease Remuneration in the FY 2025-26
1	Dr. Ajay Satia	Chairman and MD	307.62	NIL
2	Mr. R.K. Bhandari	Joint MD	65.92	NIL
3	Mr. Chirag Satia	Executive Director	219.73	NIL
4	Mr. Hardev Singh	Director Technical	27.47	NIL
5	Mr. Ajay Vyas	Independent Director	1.98	
6	Mr. Ashok Kumar Gupta	Independent Director	1.68	
7	Mrs. Dr.Priti Lal Shivhare	Independent Director	1.17	
8	Mr. Vinod Kumar Kathuria	Independent Director	1.10	
9	Mr. Rajeev Kumar	Independent Director	1.10	
10	Mr. Inder Dev Singh **	Independent Director	0.99	
11	Mr. Deepak Kumar Kakkar ***	Independent Director	0.92	
12	Mr.Vibhor Kapoor ***	Independent Director	0.73	
13	Mr. Rakesh Kumar Dhuria	Company Secretary	9.77	6.27
14	Mr. Rachit Nagpal	CFO	11.85	5.06

Notes: Independent Directors are only paid Sitting fees and commission

**Mr. Inder Dev Singh (Independent Director) Retired w.e.f. September 30th, 2025.

***Mr. Deepak Kumar Kakkar and Mr. Vibhor Kapoor were appointed as Independent Directors w.e.f. August 11st, 2025.

- The percentage increase in the median remuneration of Employees for the financial year was 4.48%.
- The Company has 2624 permanent employees on the rolls of Company as on 31st March, 2026.
- Average increase made in the salaries of employees other than the managerial personnel in the financial year was 8%. Increase every year is an outcome of Company's market competitiveness as against its peer group companies as well as financial performance. the increase this year reflects the market practice and sound financial management. The increase in managerial remuneration aligns with the recommendations of the Nomination and Remuneration Committee and has been duly approved by the Board.
- It is hereby affirmed that the remuneration paid during the year is as per the Remuneration Policy of the Company.

B) Particulars of Top Ten (10) Employees in terms of Remuneration Drawn:

Sr No	Name of Employee	Designation	Qualification	Date of Commencement of Employment	Experience (Yrs)	Age (years)	Rs. In Lacs Annual Salary	Last Employment	% age of equity shares held by the employee in the company	Whether Relative of any Director or Manager of the Company
1	Manav Sarin	Vice President [Sales]	MBA	31-05-1972	34.5	54.0	60.99	Rama Newspint & Paper Ltd.	--	No
2	Ashutosh Shukla	AVP	MBA In Business Administration	18-09-1977	26.4	48.8	41.4	Khanna Paper Mill Ltd.	--	No
3	Venkumahanthi Srinivasa Rao	SR.G.M.	B.Tech Mech., MBA - Operations Mgmt.	14-06-1984	20.2	41.11	40.8	Concept Technologies	--	No
4	Kiran Kumar Seelam	General Manager	MBA In Finance	16-01-1983	16	43.4	37.8	M/S KR Papers Ltd.	--	No
5	Parveen Kumar	SR.G.M.	DIP. In Elect. Engg.	20-12-1972	35.5	53.5	36	Punjab Concast Steels Pvt Ltd	--	No
6	Sanjay Jain	SR.G.M.	DIP Elect.Engg.	28-04-1967	33.7	59.1	36	Rainbow Papers Ltd.	--	No
7	Pankaj Kumar Jain	SR.G.M.	B.E E&I	19-10-1971	27.9	54.7	35.58	PRESPL	--	No
8	S.Madhukar Rao	SR.G.M.	B.Sc.	02-04-1961	41	65.2	34.8	Murli Agro	--	No
9	Rakesh Kumar Malhotra	General Manager	B.Tech Chemical	05-04-1965	39.5	61.2	34.24	Sirpur Paper Mill Ltd. Group	--	No
10	Vinay Kumar	General Manager	MBA In Business Administration	06-04-1967	32	59.2	34.08	K.K. Papers	--	No

Employed throughout the year and were in receipt of remuneration at the rate of not less than Rs. 1,02,00,000 per **annum.**

Name of Employee	Designation	Qualification	Date of Commencement of Employment	Experience (Yrs)	Age	Rs. In Lacs Annual Salary	Last Employment	%-age of equity shares held by the employee in the company	Whether Relative of any Director or Manager of the Company
Dr. Ajay Satia	Chairman and MD	MBBS	26-11-1980	46	72	840.00	-	23.03%	Dr. Ajay Satia and Sh Chirag Satia are related as Father-Son
Sh Chirag Satia	Executive Director	B.Com, CA (Inter)	13-02-2015	11	34	600.00	-	6.96%	
Sh R.K. Bhandari	Joint MD	MBA	27-10-1994	42	68	180.00	-	--	No

Notes: None of the Employee was employed for a part of the financial year and separated, who were in receipt of remuneration at the rate of not less than Rs. 8,50,000/- per month.

(Dr Ajay Satia)
Chairman Cum Managing Director

(R.K.Bhandari)
Joint Managing Director

Place: Chandigarh
Date: 14.08.2026

Annexure II

INFORMATION UNDER SECTION 134 (3) (M) OF THE COMPANIES ACT, 2013 READ WITH COMPANIES (ACCOUNTS) RULES 2014 AND FORMING PART OF THE REPORT OF THE BOARD OF DIRECTORS.

(i) Conservation of Energy

1. Energy efficient 01 no. Kaeser make Air Compressor installed by replacing old/inefficient compressor.

2. PM-4 stock side 355 KW FCMA soft starter 355 kw installed after removing VFD for energy saving purpose.

3. Energy efficient IE3 Motors, VFDs installated at pulp mill and utility Area.

4. At pmc-3 new transformer 2 MVA 03 no. (energy efficiency level-2) installed after removing old transformer for energy saving purpose

5. Solar Drying Unit in ETP for sludge drying has been installed that utilizes sunlight instead of steam to evaporate moisture.

6. A high-efficiency 300 HP turbo blower has been installed in AT2 after replacing 840 hp blower.

7. Heat Recovery from Pulp Blow Tank for Deaerator Make-up Water Heating.

8. Flash Steam Recovery from Boiler Blowdown Flash Tank & Soot Blowing Drain Steam Utilization.

9. Utilization of Turbine Gland Vent Steam in SCAPH for Boiler Secondary Air Heating.

10. Installation of Common Make-up Water Pump with VFD for Boiler Feed System.

11. Energy saved after replaced motors 22 kw 6 pole from 45 kw 4 pole at ETP OUTLET PUMP AT1-1, OUTLET PUMP AT1-2, PIT PUMP MBBR-2, PIT PUMP MBBR-2 & PIT PUMP MBBR-3

(ii) Technological Absorption & Upgradation-

1. At Pmc-4 Pasaban cutter speed increased up to 300 MPM form 130 MPM after installed Pasaban Drive system technologies.

2. Solar technologies used in ETP for sludge drying to saving steam.

3. IBS Camera unit installed at PMC-4 for analysis & improvement paper quality

4. RO unit installed near pump house for chemical dosing system.

5. Voith wood refiner installed at PM4 for improving refining of pulp & quality.

(iii) FOREIGN EXCHANGE EARNINGS AND OUT GO:

Expenditure for the year ended 31st March, 2026 is as under:-

	(Rs.)
Earning in Foreign currency	**36,38,43,139**
CIF Value of Imports	**Rs**
Pulp Substitute	21,84,01,904
Pulp	66,38,60,041
Machinery- Spares & Capital Goods	70,94,17,163
Interest	1,17,72,963
Legal, Technical Fees, Repair & Other fees	3,31,56,425
Total Expenditure	**163,66,08,496**

(Dr Ajay Satia)
Chairman Cum Managing Director

(R.K.Bhandari)
Joint Managing Director

Place: Chandigarh
Date:14.08.2026

Annexure- VI

Salient Features of Nomination and Remuneration Policy

Introduction

This Policy is framed in accordance with Section 178 of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. It aims to ensure fair and equitable remuneration to Directors, Key Managerial Personnel (KMP), Senior Management, and employees, aligning human resource strategies with organizational goals.

Objectives

The primary objective of the Policy is to attract, retain and motivate employees by establishing a high-performance culture within the Company. The remuneration system is structured to reflect the commitment to leadership and trust. The Company ensures that salaries and perks offered are competitive with industry standards and subject to periodic reviews based on individual performance, potential, and contribution to the organization. It also aims to ensure full compliance with statutory and tax regulations. To achieve these objectives, the Company engages in ongoing activities such as conducting salary surveys, reviewing performance appraisal systems, implementing incentive schemes, and offering regular skill development opportunities

Functions of Commitee

The Committee is responsible for formulating criteria for the appointment, remuneration, and evaluation of Directors and senior personnel. It evaluates the performance of Independent Directors and the Board, devises Board diversity policies, and recommends appointments and removals. It also reviews human resource policies, approves compensation structures, including for Executive Directors, and oversees ESOP schemes. Additionally, the Committee ensures succession planning for the Board and Senior Management, monitors industry compensation trends, and performs other specified duties under applicable laws.

Appointment & Removal Criteria

While recommending the candidates for appointment as Directors, the Committee considers their qualifications, professional experience, personal attributes such as integrity, strategic thinking, and leadership capability. Independent Directors must fulfill all statutory criteria. The candidate should not be disqualified under applicable laws, and their appointment should be based on a fair assessment.

Director's Remuneration

Remuneration for Executive Directors is fixed and may include commissions, subject to applicable laws and periodic reviews. For Non-Executive Directors, the Committee recommends appropriate fees and commissions based on time commitment, expertise, industry benchmarks, and strategic contributions. The remuneration structure is aligned with market trends and company performance to ensure fairness and competitiveness.

Performance Evaluation

Performance evaluations are conducted annually and encompass all Directors, including Executive, Non-Executive, and Independent Directors, the Board as a whole, its committees, and the Chairman. The Nomination and Remuneration Committee conducts these evaluations and shares the results with the Board. Independent Directors are also evaluated by the full Board (excluding the concerned director). Separate meetings of Independent Directors are held to review the performance of the Board, Non-Independent Directors, and the Chairman, with outcomes shared with the Board Chairman to support future planning and leadership development.

Board Diversity

The Committee ensures diversity in terms of skills, gender, ethnicity, background, and experience to promote varied perspectives and inclusive decision-making.

KMP & Senior Management

Eligibility for KMP and Senior Management roles is determined based on specific qualifications, experience, and alignment with role expectations. Remuneration structures are designed to attract and retain capable individuals and consist of fixed pay and performance-linked incentives. Compensation is periodically reviewed to reflect individual contributions and business goals.

Succession planning

Succession planning involves regular assessments of potential vacancies due to retirement or attrition. Internal or external talent pools are evaluated to ensure continuity. The HR department plays a central role in identifying future leaders, using internal evaluations and, if necessary, external search agencies. The Company emphasizes mentorship, job rotation, and developmental initiatives to prepare future successors and ensure leadership readiness.

Amendments

The NRC shall periodically review the Policy and implement changes as required, including those mandated by changes in applicable regulatory pro-visions.Nomination and Remuneration Policy available on the Company's website with web link https://www.satiagroup.com/wp-content/uploads/2026/05/Nomination-and-Remuneration.pdf

(Dr. Ajay Satia)
Chairman cum Managing Director

(Mr R.K. Bhandari)
Joint Managing Director

Place: Chandigarh
Date: 14.08.2026

ANNEXURE-III

Business Responsibility and Sustainability Reporting (BRSR)

SECTION A: GENERAL DISCLOSURES

Part I – Details of the Listed Entity

S. No.	Particulars	Details
1.	Corporate Identity Number (CIN) of the Listed Entity	L21012PB1980PLC004329
2.	Name of the Listed Entity	Satia Industries Limited
3.	Year of Incorporation	Date of Incorporation – 26/11/1980
4.	Registered Office Address	Village Rupana, Malout-Muktsar Road, Muktsar, Punjab - 152032
5.	Corporate Office Address	Village Rupana, Malout-Muktsar Road, Muktsar, Punjab - 152032
6.	E-mail	satiapaper@satiagroup.com
7.	Telephone	01633-262001,262215, 263585
8.	Website	www.satiagroup.com
9.	Financial year for which reporting is being done	1 April 2025 to 31 March 2026
10.	Name of the Stock Exchange(s) where shares are listed	1). BSE Limited **2).** National Stock Exchange of India Limited
11.	Paid-up Capital	10 Crores
12.	Name and Contact details (Telephone, email address) of the person who may be contacted in case of any queries on the BRSR Report	Name - Mr. Rakesh Kumar Dhuria (Company Secretary) Contact Details: Telephone - 01633-262001,262215, 263585 Email ID- satia.secretarial@satiagroup.com
13.	Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e., only for the entity) or on a consolidated basis (i.e., for the entity and all the entities which form a part of its consolidated financial statements, taken together).	Satia Industries Limited is reporting on standalone basis.
14.	Name of assessment or assurance provider	No assessment or assurance taken for the reporting year
15.	Type of assessment or assurance obtained	Not Applicable

II. Products/Services

16. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business	% of Turnover of the Entity
1.	Paper division	Manufacturing of writing and printing paper	99.58%

17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

S. No.	Product/Service	NIC Code	% Of Total Turnover Contributed
1.	Manufacturing of writing and printing paper	1701	99.58%

Satia Industries Limited ("SIL") is an integrated wood and agro-based paper manufacturer engaged in the production of writing and printing paper products using agricultural residues and wood-based raw materials.

The Company also manufactures copier paper, maplitho paper, cup stock paper, and other writing and printing paper. Backed by its integrated manufacturing facilities and the sustainable use of agricultural residues and wood-based raw materials, Satia Industries delivers high-quality paper products while promoting resource-efficient and environmentally responsible manufacturing.

II. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of Plants	Number of Offices	Total
National	1	4	5
International	0	0	0

19. Market served by the entity:

a. No. of Locations

Locations	Number
National (States and Union Territories)	20
International (No. of Countries)	5

b. What is the contribution of exports as a percentage of the total turnover of the entity?

Exports contributed 6.38% of the total turnover of the Company during FY 2025–26. Satia Industries Limited caters to both domestic and international markets through its portfolio of writing and printing paper, reinforcing its market presence and supporting sustainable business growth.

c. A brief on types of customers

Satia Industries Limited serves a diversified customer base across domestic and international markets, including:

- **Educational Institutions –** Supplying paper products for books, notebooks, educational materials and stationery applications.
- **Publishers and Printing Houses –** Catering to commercial printing, books, calendars, directories, annual reports and other printing requirements.
- **Corporate Organizations –** Serving office stationery, copier paper and documentation needs.
- **Government Agencies and Institutions –** Supplying paper products for administrative and official usage.
- **Export Customers –** Serving international markets through quality writing, printing and sustainable paper products.
- **Food Service Industry –** Catering through cup stock paper and virgin fibre-based paper cups.

III. Employees

20. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total(A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
EMPLOYEES						
1	Permanent (D)	672	657	97.77%	15	2.23%
2	Other than Permanent (E)	0	0	0%	0	0%
3	**Total Employees (D+E)**	**672**	**657**	**97.77%**	**15**	**2.23%**
WORKERS						
4	Permanent (F)	1,952	1,949	99.85%	3	0.15%
5	Other than Permanent (G)	0	0	0%	0	0%
6	**Total Workers (F+ G)**	**1,952**	**1,949**	**99.85%**	**3**	**0.15%**

b. Differently abled Employees and workers:

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B /A)	No. (C)	% (C /A)
DIFFERENTLY ABLED EMPLOYEES						
1	Permanent (D)	2	2	100%	0	0%
2	Other than Permanent (E)	0	0	0%	0	0%
3	**Total Differently abled Employees (D+E)**	**2**	**2**	**100%**	**0**	**0%**
DIFFERENTLY ABLED WORKERS						
4	Permanent (F)	4	4	100%	0	0%
5	Other than Permanent (G)	0	0	0%	0	0%
6	**Total differently abled Workers (F+ G)**	**4**	**4**	**100%**	**0**	**0%**

21. Participation/Inclusion/Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors	11	1	9.09%
Key Management Personnel (other than BOD)	2	0	0%

22. Turnover rate for permanent employees and workers (Disclose trend for the past 3 years)

	FY 2025-2026 (Turnover rate in Current FY)			FY 2024-2025 (Turnover rate in previous FY)			FY2023-2024 (Turnover rate in the year prior to the previous FY)		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	15.50%	27.59%	**15.75%**	15.07%	52.94%	**16.06%**	14.68%	0%	**14.67%**
Permanent Workers	9.24%	0%	**9.23%**	12.41%	0%	**12.39%**	11.05%	0%	**11.03%**

IV. Holding, Subsidiary and Associate Companies (including joint ventures)

23. **(a) Names of holding / subsidiary / associate companies / joint ventures**

Not applicable since the Company doesn't have any holding/subsidiary/associate companies/joint ventures.

V. CSR Details

24. Whether CSR is applicable as per section 135 of Companies Act,2013: (Yes/No)- Yes

Particulars	Amount in Lakhs
Turnover	1,45,191.13
Net worth	1,08,801.92

VI. Transparency and Disclosures Compliances

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If yes, then provide web-link for grievance redress policy)	FY 2025-2026			FY 2024-2025		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes, the Company has established stakeholder engagement and grievance redressal mechanisms supported through its policies and management processes for addressing community concerns and feedback. Relevant policies are available on the Company website.	0	0	-	0	0	-

Investors (Others than Shareholders)	Yes, investor concerns are addressed through established communication channels and compliance mechanisms under applicable regulatory requirements and internal governance practices.	0	0	0	0	0	-
Shareholders	Yes, the Company has constituted a Stakeholder Relationship Committee for redressal of shareholder grievances in accordance	2	0	0	0	0	-
	with SEBI (Listing Obligations and Disclosure Requirements) Regulations, supported by dedicated investor communication mechanisms.						

Employees and Workers	Yes, the Company has employee grievance mechanisms supported through HR processes, Code of Conduct, Whistle Blower framework and workplace policies for addressing employee and worker concerns.	0	0	-	0	0	-
Customers	Yes, customer complaints and feedback are managed through defined customer support and complaint handling processes to ensure timely resolution and continuous service improvement.	12	0	All Complaints Resolved	32	0	All Complaints Resolved
Value Chain Partners	Yes, the Company maintains communication and grievance channels for suppliers, contractors and other value chain partners for addressing operational	0	0	-	0	0	-

	and business-related concerns.						
Other (anonymous email/letters)	Yes, the Company has mechanisms including whistle blower and reporting channels to address concerns received through anonymous communications, wherever applicable.	0	0	-	0	0	-

Relevant policies are available on the Company website at: https://www.satiagroup.com/companys-policy/

26. Overview of the entity's material responsible business conduct issues

S. No.	Material Issue Identified	Risk / Opportunity (R/O)	Rationale for Identifying the Risk / Opportunity	Approach to Adapt / Mitigate	Financial Implications (Positive / Negative)
1	Energy Management and Renewable Energy Usage	Opportunity	Energy consumption forms an important component of paper manufacturing operations. Improving energy efficiency and use of alternate energy sources may support operational performance.	The Company focuses on energy efficiency initiatives and utilization of biomass and other energy sources, wherever applicable.	**Positive:** Potential improvement in energy efficiency and optimization of operating costs.
2	Raw Material Availability and Fibre Sourcing	Risk	Availability of wood and agro-based raw materials is important for uninterrupted manufacturing operations and may be influenced by supply conditions and market factors.	The Company sources wood and agricultural residues and maintains relationships with suppliers and farming communities for raw material availability.	**Positive:** Improved supply stability and operational support. **Negative:** Variations in sourcing costs and availability.
3	Climate and Energy Related Considerations	Risk / Opportunity	Changes in environmental expectations and energy management requirements may influence operational practices and reporting requirements.	The Company continues monitoring energy usage and implementing resource efficiency initiatives across operations.	**Positive:** Improvement in operational efficiency. **Negative:** Additional monitoring and implementation costs, where applicable.
4	Resource Efficiency and Use of Agricultural Residues	Opportunity	Utilization of agricultural residues supports efficient use of resources and contributes towards circular utilization practices.	The Company utilizes agricultural residues such as wheat straw and sarkanda in manufacturing operations.	**Positive:** Better utilization of raw materials and operational efficiency.

5	Sustainable Product Development	Opportunity	Growing preference for paper-based products may create opportunities for product diversification and sustainable alternatives.	The Company manufactures cup stock paper and virgin fibre-based paper cups, strengthening its portfolio of value-added paper products.	**Positive:** Potential business diversification and market opportunities.
6	Waste Management	Risk / Opportunity	Manufacturing activities generate waste streams requiring appropriate handling, utilization and disposal practices.	The Company follows waste management practices including segregation, utilization and disposal through authorized channels, wherever applicable.	**Positive:** Improved resource utilization. **Negative:** Waste handling and disposal costs.
7	Occupational Health and Safety	Risk	Paper manufacturing operations involve machinery, utilities and process activities requiring safety management measures.	The Company implements workplace safety measures, employee awareness programmes and monitoring practices.	**Positive:** Improved employee safety and operational stability.
8	Supply Chain and Vendor Management	Risk	Dependence on suppliers and logistics networks may impact continuity of raw material procurement and operations.	The Company maintains supplier relationships and procurement mechanisms to support business operations.	**Positive:** Better supply coordination. **Negative:** Potential impact from supply disruptions.
9	Regulatory Compliance and Governance	Risk	Manufacturing entities operate under multiple regulatory requirements relating to environment, labour and governance matters.	The Company maintains compliance monitoring processes and governance mechanisms to support regulatory adherence.	**Positive:** Reduced compliance risk and strengthened governance practices.

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
b. Has the policy been approved by the Board? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
c. Web Link of the Policies, if available	https://www.satiagroup.com/companys-policy/								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	The Company promotes responsible business practices across its value chain and encourages suppliers, distributors and other business partners to align with applicable ethical, environmental and governance expectations, wherever relevant. Satia Industries Limited continues to strengthen stakeholder engagement and sustainable business practices across its value chain ecosystem.								
4. Name of the national and international codes/certifications/labels/ standards (e.g., Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g., SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	Satia Industries Limited's manufacturing operations are supported by established Environment, Health & Safety (EHS), quality and environmental management systems aligned with internationally recognized standards. The Company has adopted certifications including ISO 9001: Quality Management System, ISO 14001: Environmental Management System and ISO 45001: Occupational Health & Safety Management System, supporting operational efficiency, product quality, environmental management and workplace safety practices across its operations.								
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	Satia Industries Limited ("SIL") remains committed to integrating Environmental, Social and Governance (ESG) principles into its business strategy and operations, recognising sustainability as a key driver of long-term value creation and responsible growth. The Company continues to enhance resource efficiency through the use of agricultural residues, cleaner fuels, energy-efficient technologies, and water conservation initiatives, while fostering employee well-being, occupational health and safety, community development, and responsible sourcing practices. Backed by a strong governance framework founded on ethical business conduct, transparency, regulatory compliance, and stakeholder engagement, SIL continues to strengthen its commitment to sustainable and responsible business practices.								
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	The Company continued to make progress towards its ESG commitments during FY 2025–26 through ongoing implementation of resource efficiency initiatives, utilization of agricultural residues, energy management measures, water conservation practices, sustainable product development and strengthening of governance mechanisms. Progress was also supported through continued focus on employee well-being, occupational health & safety and stakeholder engagement initiatives. The Company periodically reviews its ESG priorities and implementation approach through internal monitoring processes to support achievement of its long-term sustainability objectives, including alignment with climate-related ambitions and responsible business practices. No material deviations from the ongoing commitments were identified during the reporting period.								

Governance, Leadership and Oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets, and achievements:

Please refer "Chairman cum Managing director" Message on Page 06 of the Annual Report FY 2025-26

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy.

Particulars	Details
Name	Mr. Rajinder Kumar Bhandari
Designation	Joint Managing Director (DIN:00732588)
Email ID	Rkb@satiagroup.com

9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.

The CSR Committee oversees the implementation of CSR initiatives and monitors activities to ensure alignment with the Company's sustainability objectives and social commitments. The composition of the Committee is as follows:

S.No.	Name	Designation
1	Sh. Ashok Kumar Gupta	Chairman (Independent Director)
2	Sh. R.K. Bhandari	Joint Managing Director
3	Sh. Chirag Satia	Executive Director

Further, the Company has designated teams and functional representatives to oversee sustainability-related matters and support management of environmental, social and governance responsibilities across operations, reinforcing its commitment towards responsible business practices and sustainable growth.

10. Details of Review of NGRBCs by The Company:

Subjects for Review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Performance against above policies and follow up action	The performance of policies and related actions is reviewed through internal monitoring and management review processes.									Quarterly review and ongoing monitoring, wherever applicable								
Compliance with statutory requirements of relevance to the principles, and rectification of any non-compliances	Compliance with applicable statutory requirements is monitored through internal control and compliance mechanisms. Corrective actions are taken, wherever required, and policies are updated as necessary.									Compliance review conducted on a quarterly basis and policies reviewed / updated as and when required								

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
	No. The Company has not carried out any independent assessment or evaluation of the working of its policies by an external agency during FY 2025–26. However, periodic reviews are undertaken through internal control and monitoring mechanisms to assess compliance with policies and applicable regulatory requirements.								

12. If answer to question (1) above is "No" i.e., not all Principles are covered by a policy, reasons to be stated:

Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
The entity does not consider the principles material to its business (Yes/No)	N/A								
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year. (Yes/No)									
Any other reason (please specify)									

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

PRINCIPLE 1 Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable

Overview / Objective - This principle reflects the Company's commitment to upholding strong ethical values, transparency, and accountability across all its operations and stakeholder interactions. By fostering a culture of integrity and implementing robust governance mechanisms, the Company demonstrates a good faith effort to prevent unethical or unlawful conduct, thereby mitigating potential financial and reputational risks associated with regulatory non-compliance. This approach is aligned with SDG 16 – Peace, Justice and Strong Institutions, reinforcing the Company's commitment to responsible and ethical business practices.

ESSENTIAL INDICATORS- IMPORTANCE TO INVESTORS:

1. Percentage coverage by training and awareness programs on any of the principles during the year

Segment	Total Number of training and awareness programs held	Topics / principles covered under the training and its impact	% of person in respective category covered by the awareness programs
Board of Directors **Key Managerial Personnel**	4	1. ESG and sustainability developments 2. Corporate Governance practices 3. Business Responsibility & Sustainability Reporting (BRSR) requirements 4. Climate-related developments and environmental responsibilities 5. Companies Act, 2013 and applicable rules 6. SEBI Regulations and compliance updates 7. Risk management and ethical business practices	100%
Employees other than BOD and KMPs	54	1. Occupational Health & Safety (OHS) 2. Energy efficiency and resource conservation 3. Waste management and segregation practices 4. Environmental awareness and pollution prevention measures 5. Water conservation initiatives 6. Anti-corruption and anti-bribery practices 7. Prevention of Sexual Harassment (POSH) 8. Code of Conduct and ethical workplace practices	>95%

Workers	67	1. Workplace health and safety practices 2. Energy conservation and efficient use of resources 3. Waste handling, segregation and disposal practices 4. Environmental awareness and pollution control measures 5. Emergency preparedness and response measures 6. Anti-corruption and ethical conduct awareness 7. Prevention of Sexual Harassment (POSH) 8. Safe operating practices and responsible workplace behavior	>95%

2. Details of fines/penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

No monetary penalties, fines, settlements or compounding fees were imposed on the Company or its Directors/KMPs by any regulatory, law enforcement or judicial authority during FY 2025-26. No non-monetary actions (imprisonment/punishment) were levied.

Monetary					
	NGRBC Principle	**Name of the regulatory/ enforcement agencies/ judicial institutions**	**Amount (in INR)**	**Brief of the Case**	**Has an appeal been preferred? (Yes/No)**
Penalty / Fine	-	-	-	-	-
Settlement	-	-	-	-	-
Compounding Fee	-	-	-	-	-

Non-Monetary				
	NGRBC Principle	**Name of the regulatory/ enforcement agencies/ judicial institutions**	**Brief of the case**	**Has an appeal been preferred? (Yes/No)**
Imprisonment	-	-	-	-
Punishment	-	-	-	-

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
-	-

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

The Company follows a zero-tolerance approach towards corruption, bribery and unethical business practices and is committed to conducting its operations with integrity, transparency and accountability. The policy provides guidance to directors, senior management, employees and associated persons to ensure compliance with applicable anti-bribery laws and ethical business standards. It applies across all levels of the organization including Board members, employees, consultants, contractors, interns, agency staff and other individuals acting on behalf of the Company. Through this framework, Satia Industries Limited aims to promote responsible business conduct, strengthen stakeholder trust and support fair and ethical practices across its business ecosystem.

Refer the Code of Conduct available on the Company website for details relating to anti-bribery and ethical business practices - https://www.satiagroup.com/companys-policy/

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

No cases of disciplinary action relating to bribery or corruption were reported against any Director, Key Managerial Personnel (KMP), employee or worker by any law enforcement agency during FY 2025–26. The Company continues to promote ethical business conduct and compliance with its anti-corruption and anti-bribery framework.

	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Directors	-	-
KMPs	-	-
Employees	-	-
Workers	-	-

6. Details of complaints with regard to conflict of interest:

No complaints relating to conflict-of-interest involving Directors, Key Managerial Personnel (KMPs) or employees were reported or pending during FY 2025—26. The Company continues to follow its governance framework, Code of Conduct and ethical business practices to manage and mitigate potential conflict of interest situations.

	FY 2025-2026 (Current Financial Year)		FY 2024-2025 (Previous Financial Year)	
	Number	**Remarks**	**Number**	**Remarks**
Number of complaints related to issues of Conflict of Interest of the Directors	-	-	-	-
Number of complaints related to issues of Conflict of Interest of the KMPs	-	-	-	-

7. Provide details of any corrective action taken or underway on issues related to fines/ penalties/ action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not applicable, as the Company has not undergone any such instances.

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Number of days of accounts payables	15	20

9. Open-ness of business- Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	34.11%	37.28%
	b. Number of trading houses where purchases are made from	362	232
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	38.05%	48.63%
Concentration of Sales	a. Sales to dealers / distributors as % of total sales	41.44%	43.92%
	b. Number of dealers / distributors to whom sales are made	105	99
	c. Sales to top 10 dealers / distributors as % of total sales to dealers / distributors	48.32%	53.26%
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	0.10%	0.23%
	b. Sales (Sales to related parties / Total Sales)	1.50%	1.03%
	c. Investments (Investments in related parties / Total Investments made)	-	-
	d. Loans & advances (Loans & advances given to related parties / Total loans & advances)	-	-

LEADERSHIP INDICATORS (GOOD GOVERNANCE)

1. Awareness program conducted for value chain partners on any of the principles during the financial Year

Total number of awareness program held	Topics / principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness program
No formal awareness programmes were conducted for value chain partners during FY 2025–26. However, the Company communicates applicable business requirements and expects suppliers, contractors and other value chain partners to adhere to relevant legal, ethical and operational requirements, wherever applicable.		

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If yes, provide details of the same.

Yes. The Company has established processes and governance mechanisms to identify and manage conflict of interest involving members of the Board. Directors provide disclosures of interests in accordance with applicable regulatory requirements and the Company's Code of Conduct, including periodic updates, wherever required. In case of any potential conflict of interest, the concerned Director refrains from participating in the relevant discussions and decision-making process, as applicable. The Company also obtains necessary declarations and confirmations from senior management personnel to support ethical business conduct and transparent governance practices.

PRINCIPLE 2 Businesses should provide goods and services in a manner that is sustainable and safe.

Overview / Objective: This principle focuses on promoting the provision of goods and services in a manner that is both sustainable and safe. It emphasizes the importance of supporting local suppliers, particularly those from vulnerable or marginalized groups, and critically evaluating procurement practices. This includes assessing aspects such as supplier lead times and negotiated purchasing prices, which could potentially lead to negative environmental or supply chain impacts. By aligning with various Sustainable Development Goals (SDGs), it highlights the organization's role in contributing to global sustainability objectives, such as ensuring access to clean energy, promoting decent work, reducing inequalities, and taking action on climate change, among others.

ESSENTIAL INDICATORS – IMPORTANCE TO INVESTORS

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)	Details of Improvements in Environmental and social impacts
R&D	-	-	-
Capex	3.8%	15.44%	The Company enhanced its environmental performance by upgrading its wastewater treatment system with a high-capacity aeration tank, clarifier, and turbo blower, resulting in improved treatment efficiency. The Company also implemented sludge drying technology to enable the reuse of secondary sludge as an alternative fuel, thereby reducing biomass consumption, minimizing waste generation, and promoting circular resource utilization.

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)

Yes. Satia Industries Limited considers environmental, social and operational aspects while sourcing key raw materials and engages with suppliers and farming communities for procurement of wood and agricultural residues. The Company promotes responsible sourcing practices and encourages suppliers to adhere to applicable legal, environmental and safety requirements, wherever relevant.

b. If yes, what percentage of inputs were sourced sustainably?

The Company continues to utilize agricultural residues and responsibly sourced raw materials as part of its manufacturing process. Most of the raw materials used in operations are procured from suppliers that comply with applicable environmental and labour requirements. To further reduce its environmental footprint, particularly emissions arising from transportation, the Company sources a majority of its raw materials from suppliers located close to its manufacturing facilities.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

Satia Industries Limited follows responsible waste management and resource efficiency practices across its operations in line with applicable environmental requirements. Considering the nature of its products and manufacturing processes, the Company emphasizes proper handling, recycling and environmentally responsible disposal mechanisms for different waste streams, wherever applicable.

(a) Plastics (including packaging)

- The Company primarily manufactures writing & printing paper, and sustainable paper-based products, which generally do not require specific end-of-life product reclamation mechanisms.
- Plastic waste generation from products remains limited considering the nature of operations and product portfolio.

(b) E-waste

- E-waste generated from operational activities is disposed of through authorized vendors in accordance with applicable regulatory requirements.

(c) Hazardous Waste

- Hazardous waste generated, wherever applicable, is managed through approved handling, storage and disposal practices.
- Such waste is handed over to authorized recyclers/agencies for further utilization or disposal.

(d) Other Waste

- The Company follows waste segregation, handling and disposal practices through appropriate channels, wherever applicable.
- Resource efficiency and waste utilization continue to remain important focus areas across operations.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes/ No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

No. Extended Producer Responsibility (EPR) requirements are presently not applicable to the Company's core activities considering the nature of products and operations. However, the Company continues to follow responsible waste management practices and ensures disposal of applicable waste streams through authorized channels in accordance with environmental requirements.

LEADERSHIP INDICATORS (GOOD GOVERNANCE)

1. **Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?**

NIC Code	Name of Product/Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective / Assessment was conducted	Whether conducted by independent External agency (Yes/No)	Results communicated In public domain (Yes/No) If yes, provide the web-link.
No formal Life Cycle Assessment (LCA) has been conducted for products in FY 2025-26.					

2. **If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.**

Name of Product /Service	Description of the risk / concern	Action Taken
Nil		

3. **Percentage of recycled or reused input material to total material used in production (for manufacturing industry) or providing services (for service industry).**

Indicate input material	Recycled or re-used input material to total material	
	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
NA		

4. **Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:**

	FY 2025-2026 (Current Financial Year)			FY 2024-2025 (Previous Financial Year)		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging)	-	-	-	-	-	-
E-waste	-	-	-	-	-	-
Hazardous	-	-	-	-	-	-
Other waste	-	-	-	-	-	-

5. **Reclaimed products and their packaging materials (as percentage of products sold) for each product category.**

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
Considering the nature of products manufactured by Satia Industries Limited, the Company does not presently have a formal product take-back or reclamation mechanism for products sold and related packaging materials. Accordingly, the same is currently not applicable.	

PRINCIPLE 3 Businesse should respect and promote the well-being of all employess, including those in their values chains.

Objective - This principle emphasizes the importance of creating a work environment that prioritizes the well-being of all employees and value chain partners, fostering an inclusive and non-discriminatory culture. It recognizes that employee well-being extends to their families, highlighting the importance of a positive work environment, fair treatment, and equitable opportunities for all. By promoting policies and practices that support health, safety, education, and economic growth, businesses contribute to the overall well-being of their workforce. This principle aligns with several SDGs: Goal 1 (No Poverty), Goal 2 (Zero Hunger), Goal 3 (Good Health and Well-being), Goal 4 (Quality Education), Goal 5 (Gender Equality), Goal 8 (Decent Work and Economic Growth), Goal 10 (Reduced Inequality), Goal 11 (Sustainable Cities and Communities), and Goal 16 (Peace, Justice, and Strong Institutions). These goals underscore the business's role in fostering inclusive and sustainable development within its workforce and beyond.

ESSENTIAL INDICATORS – IMPORTANCE TO INVESTORS

1. **(a). Details of measures for the well-being of employees:**

Category	% of employees covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent Employees											
Male	657	657	100%	657	100%	0	100%	0	0%	657	100%
Female	15	15	100%	15	100%	15	100%	0	0%	15	100%
Total	**672**	**672**	**100%**	**672**	**100%**	**15**	**100%**	**0**	**0%**	**672**	**100%**
Other than Permanent Employees											
Male	0	0	0	0	0	0	0	0	0	0	0
Female	0	0	0	0	0	0	0	0	0	0	0
Total	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**

(b). Details of measures for the well-being of workers:

Category	% of workers covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent Workers											
Male	1,949	1,949	100%	1,949	100%	0	0%	0	0%	1,949	100%
Female	3	3	100%	3	100%	3	100%	0	0%	3	100%
Total	**1,952**	**1,952**	**100%**	**1,952**	**100%**	**3**	**100%**	**0**	**0%**	**1,952**	**100%**
Other than Permanent Workers											
Male	0	0	0%	0	0%	0	0%	0	0%	0	0%
Female	0	0	0%	0	0%	0	0%	0	0%	0	0%
Total	**0**	**0**	**0%**	**0**	**0%**	**0**	**0%**	**0**	**0%**	**0**	**0%**

(C) Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format:

	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Cost incurred on wellbeing measures as a % of total revenue of the Company*	0.19%	0.19%

*The percentage mentioned above has been calculated from calculations that specifically encompass expenditures on Insurance Policies and Premium Paid. Salary expenses have been excluded from these calculations.

2. Details of retirement benefits, for Current Financial Year and Previous Financial Year:

Benefits	FY 2025-2026 (Current Financial Year)			FY 2024-2025 (Previous Financial Year)		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	91%	97%	Yes	91%	98%	Yes
Gratuity	100%	100%	Yes	100%	100%	Yes
ESI	26%	63%	Yes	28%	70%	Yes
Labour welfare fund	42%	99%	Yes	72%	30%	Yes

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes. Satia Industries Limited is committed to fostering an inclusive, equitable and accessible workplace environment and strives to provide equal opportunities for all employees and workers. The Company endeavours to ensure that its premises and facilities remain accessible and supportive for differently abled persons, in line with the applicable requirements of the Rights of Persons with Disabilities Act, 2016, wherever applicable. SIL continues to promote a workplace culture based on diversity, inclusion, dignity and equal participation for all.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes. Satia Industries Limited has an Equal Opportunity Policy in line with the provisions of the Rights of Persons with Disabilities Act, 2016. The Company is committed to providing fair and equal opportunities to employees and prospective candidates and promotes an inclusive workplace free from discrimination. The Company follows a zero-tolerance approach towards discrimination and supports equal participation irrespective of disability, while fostering diversity, inclusion and equal access across the workplace.

The policy can be accessed through the following link: https://www.satiagroup.com/companys-policy/

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent Workers	
	Return to work rate	Retention Rate	Return to work rate	Retention Rate
Male	-	-	-	-
Female	-	-	-	-
Total	-	-	-	-

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and workers? If yes, give details of the mechanism in brief.

	Yes/No (If yes, then give details of the mechanism in brief)
Permanent Workers	Yes
Other than Permanent Workers	Yes
Permanent Employees	Yes
Other than Permanent Employees	Yes

Satia Industries Limited is committed to maintaining a workplace environment founded on fairness, respect, transparency and employee well-being. The Company has established grievance redressal mechanisms for employees and workers to provide a safe, confidential and accessible platform for raising workplace concerns and seeking timely resolution. Employees and workers are encouraged to communicate concerns through designated reporting channels and escalation mechanisms, wherever required.

Further, the Company has implemented a Whistleblower Policy to facilitate reporting of unethical practices, misconduct, regulatory concerns or violations, while ensuring confidentiality and protection against retaliation. Through these mechanisms, the Company continues to promote employee welfare, ethical conduct, equal treatment and a positive workplace culture.

7. Membership of employees and worker in association(s) or Unions recognized by the listed entity:

Category	FY 2025-2026 (Current Financial Year)			FY 2024-2025 (Previous Financial Year)		
	Total employees/ workers in respective category (A)	No. of employees/workers in respective category, who are part of association(s) or union. (B)	% (B/A)	Total employees/ Workers in respective category (C)	No. of employees /Workers in respective category, who are part of association(s) or Union (D)	% (D/C)

Total Permanent Employees	**672**	**0**	**0%**	**648**	**0**	**0%**
Male	657	0	0%	634	0	0%
Female	15	0	0%	14	0	0%
Total Permanent Workers	**1,952**	**0**	**0%**	**1,991**	**0**	**0%**
Male	1,949	0	0%	1,988	0	0%
Female	3	0	0%	3	0	0%

8. **Details of training given to employees and workers:**

Category	FY 2025-2026 (Current Financial Year)					FY 2024-2025 (Previous Financial Year)				
	Total (A)	On Health and Safety		On Skill Upgradation		Total (D)	On Health and Safety		On Skill Upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Male	657	657	100%	0	0%	634	634	100%	6	0.95%
Female	15	15	100%	0	0%	14	14	100%	0	0%
Total	**672**	**672**	**100%**	**0**	**0%**	**648**	**648**	**100%**	**6**	**0.95%**
Workers										
Male	1,949	1,949	100%	0	0%	1,988	1,988	100%	21	1.06%
Female	3	3	100%	0	0%	3	3	100%	0	0%
Total	**1,952**	**1,952**	**100%**	**0**	**0%**	**1,991**	**1,991**	**100%**	**21**	**1.06%**

9. **Details of performance and career development reviews of employees and worker:**

Category	FY 2025-2026 (Current Financial Year)			FY 2024-2025 (Previous Financial Year)		
	Total (A)	No. (B)	% (B /A)	Total(C)	No.(D)	% (D/C)
Employees						
Male	657	657	100%	634	634	100%
Female	15	15	100%	14	14	100%
Total	**672**	**672**	**100%**	**648**	**648**	**100%**
Workers (Permanent Workers only)						
Male	1,949	1,949	100%	1,988	1,988	100%
Female	3	3	100%	3	3	100%
Total	**1,952**	**1,952**	**100%**	**1,991**	**1,991**	**100%**

10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage of such a system?

Yes. Satia Industries Limited has implemented an Occupational Health and Safety Management System certified under ISO 45001:2018, covering employees as well as contractual workers across operations. The Company remains committed to providing a safe and healthy workplace through structured safety management practices, dedicated safety committees, emergency preparedness measures and continuous monitoring mechanisms. On-site and Off-site Emergency Response Plans are established to strengthen preparedness and ensure timely response during emergency situations. Through regular training, awareness programmes and safety interventions, the Company promotes a proactive safety culture and shared responsibility towards workplace well-being.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

The Company follows a structured approach for identification and assessment of workplace hazards and operational risks through periodic inspections, safety audits, risk assessments and monitoring processes across manufacturing operations. Dedicated safety personnel and committees oversee implementation of safety practices, while process-specific assessments are undertaken for areas involving machinery, utilities, chemicals and higher-risk activities. The framework includes identification of hazards, evaluation of risks, implementation of mitigation measures and periodic review to strengthen workplace safety and operational continuity. Awareness programmes and competency development initiatives further support safe working practices across operations.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)

Yes. The Company encourages employees and workers to actively participate in maintaining a safe workplace by reporting unsafe conditions, near-miss incidents, hazards and work-related concerns through established reporting mechanisms. Reported matters are reviewed by designated safety teams and corrective actions are undertaken, wherever required. Safety briefings, training programmes and awareness initiatives are regularly conducted to improve risk identification and promote safe behaviour. The Company remains committed to fostering a workplace culture where safety concerns can be raised openly and addressed in a timely manner.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/No)

Yes. Satia Industries Limited is committed to supporting the health and well-being of its employees and workers beyond occupational requirements. The Company provides access to medical and healthcare support services, health awareness initiatives and wellness-related assistance, wherever applicable, to promote employee welfare and overall well-being. Through these efforts, the Company continues to strengthen a people-centric workplace environment focused on health, care and long-term employee welfare.

11. Details of safety related incidents, in the following format:

Safety Incident / Number	Category	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0	0.6
	Workers	0.9	0.2
Total recordable work-related injuries	Employees	0	1
	Workers	5	1
No. of Fatalities	Employees	0	0
	Workers	0	0
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	0	0

12. Describe the measures taken by the entity to ensure a safe a//nd healthy workplace

Regular safety training sessions are conducted by the Safety Supervisors and Safety Officers across various departments to promote awareness and ensure adherence to safe working practices. In the event of any accident or incident within the factory premises, a detailed investigation is carried out to determine the cause and identify preventive measures. The observations and learnings from such investigations are subsequently reviewed in Safety Committee meetings to facilitate continuous improvement and minimise the likelihood of similar occurrences in the future.

13. Number of Complaints on the following made by employees and workers:

	FY 2025-2026 (Current Financial Year)			FY 2024-2025 (Previous Financial Year)		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	-	-	-	-	-	-
Health & Safety	-	-	-	-	-	-

14. Assessments for the year:

	% of your plants and offices that were assessed (By entity or statutory authorities or third parties)
Health and Safety Practices	100%
Working Condition	100%

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

The Company follows a proactive approach towards health and safety management through periodic internal reviews, safety inspections and audits at both operational and corporate levels to monitor compliance with established safety practices and workplace conditions. During FY 2025–26, no significant safety-related incidents or material concerns requiring major corrective actions were reported. However, continuous monitoring, preventive measures, awareness programmes and improvement initiatives remain integral to the Company's approach towards maintaining a safe and healthy workplace environment.

LEADERSHIP INDICATORS (GOOD GOVERNANCE)

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

Employees – Yes

Workers – Yes

Satia Industries Limited remains committed to the welfare and well-being of its workforce and ensures compliance with applicable statutory requirements and employee benefit obligations. In the unfortunate event of death of an employee or worker, the Company extends support through applicable statutory benefits and compensation mechanisms, wherever eligible, and may provide additional assistance based on circumstances, reflecting its people-centric approach and commitment towards employee welfare.

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

The Company has established compliance mechanisms to monitor adherence to applicable statutory requirements by contractors and value chain partners. Agreements and engagement terms include compliance expectations relating to statutory dues such as PF, ESI, GST, TDS and other applicable obligations. Compliance is monitored through periodic reviews, document verification processes and internal monitoring mechanisms, wherever applicable, to support responsible business practices and regulatory compliance across the value chain.

3. Provide the number of employees / workers having suffered high consequence work- related injury / ill-health / fatalities:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Employees	-	-	-	-
Workers	-	-	-	-

4. Does the entity provide transition assistance programmes to facilitate continued employability and the management of career endings resulting from retirement or termination of employment?

The Company provides support mechanisms to employees approaching retirement or separation, wherever applicable, to facilitate smooth transition and continued employability. These initiatives are aimed at supporting employee well-being, responsible workforce management and maintaining a respectful and inclusive approach towards career transitions and employment lifecycle management.

5. Details on assessment of value chain partners (Supply chain partners):

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices Working Conditions	The Company expects value chain partners to comply with applicable health & safety requirements, maintain appropriate working conditions and adhere to relevant labour and regulatory requirements, wherever applicable.

PRINCIPLE 4: Businesses should respect the interests of and be responsive to all their stakeholders.

Overview / Objective: This principle emphasizes the importance of engaging with a diverse range of stakeholders, ensuring their interests are respected and responded to. By proactively engaging with stakeholders, an organization can identify both positive and negative impacts it may have, allowing for better-informed decision-making and fostering stronger relationships. These engagements help the organization align its business practices with societal expectations, ultimately contributing to sustainable growth. This principle is closely aligned with several Sustainable Development Goals (SDGs), including Goal 1: No Poverty, Goal 5: Gender Equality, Goal 11: Sustainable Cities and Communities, and Goal 16: Peace, Justice, and Strong Institutions, promoting a more inclusive and equitable business approach.

ESSENTIAL INDICATORS – IMPORTANCE TO INVESTORS

1. Describe the processes for identifying key stakeholder groups of the entity.

The Company identifies its key stakeholders based on the nature of engagement, degree of influence on business operations, contribution towards value creation and potential impact arising from the Company's activities. Stakeholders are broadly classified into internal and external categories to enable focused engagement and effective response mechanisms.

Internal Stakeholders

- Employees and Workers
- Board of Directors and Key Managerial Personnel (KMPs)
- Senior Management Personnel
- Shareholders and Investors

External Stakeholders

- Customers
- Suppliers, Contractors and Value Chain Partners
- Lenders and Financial Institutions
- Government Bodies and Regulatory Authorities
- Local Communities and CSR Beneficiaries
- Industry Bodies and Trade Associations
- Media and Other Business Associates

The Company engages with these stakeholder groups through structured communication channels, operational interactions, consultations, reviews and feedback mechanisms to understand expectations, support informed decision-making and strengthen responsible business practices.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of Communication	Frequency of Engagement	Purpose and Scope of Engagement including Key Topics and Concerns Raised
Shareholders and Investors	No	Annual Reports, Quarterly Results, Investor Presentations, AGM, Stock Exchange Filings, Corporate Website, Investor Meetings, Emails and Press Releases	As and when required	Engagement on financial and operational performance, business strategy, governance practices, sustainability initiatives, risk management and long-term value creation.
Media	No	Press Releases, Corporate Announcements, Annual Reports, Media Interactions and Public Communications	As and when required	Communication of business performance, sustainability initiatives, achievements, awards, corporate developments and responsible business practices.

Customers	No	Business Meetings, Customer Interactions, Feedback Mechanisms, Emails and Operational Discussions	As and when required	Product quality, customer satisfaction, delivery schedules, product innovation, sustainable products, service expectations and market requirements.
Government and Regulatory Authorities	No	Written Communications, Regulatory Filings, Meetings and Official Correspondence	As and when required	Regulatory compliance, statutory approvals, environmental permissions, policy updates and adherence to applicable legal requirements.
Employees and Workers	No	Internal Circulars, Meetings, Training Programmes, Welfare Initiatives, Employee Engagement Platforms and Awareness Sessions	As and when required	Employee welfare, workplace safety, skill development, career progression, training, engagement, diversity and well-being.
Suppliers, Contractors and Value Chain Partners	No	Supplier Meetings, Business Interactions, Operational Reviews and Communication Platforms	As and when required	Raw material availability, supply continuity, quality expectations, responsible sourcing practices, operational coordination and compliance requirements.
Local Communities and CSR Beneficiaries	No	CSR Programmes, Community Meetings, Awareness Initiatives and Stakeholder Interactions	As and when required	Community development, health and well-being, education support, environmental initiatives and social welfare activities.

LEADERSHIP INDICATORS (GOOD GOVERNANCE)

Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

The Company follows a structured stakeholder engagement approach wherein inputs received from employees, investors, customers, suppliers, regulators, communities and other stakeholders are captured through meetings, reviews, feedback mechanisms and operational interactions. Matters relating to economic, environmental and social topics are reviewed by management and relevant functional teams and are communicated to Senior Management and appropriate Board Committees, including CSR and sustainability-related oversight mechanisms, wherever applicable. This process supports informed decision-making and integration of stakeholder expectations into business operations and sustainability initiatives.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

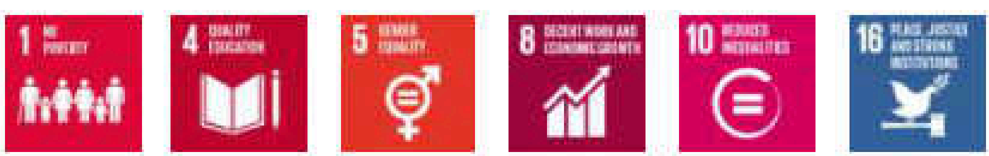
Yes. Stakeholder consultations support identification and management of environmental and social topics relevant to the Company's operations. Inputs received from stakeholders are considered while undertaking initiatives relating to resource efficiency, workplace health & safety, employee welfare, community development, responsible sourcing, environmental management and sustainability practices. Feedback obtained through regular interactions assists the Company in strengthening operational practices and supporting continuous improvement initiatives.

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

The Company has not identified any specific vulnerable or marginalized stakeholder groups requiring separate engagement during FY 2025–26. However, community development and CSR initiatives continue to support social welfare, community well-being and inclusive development activities in the areas surrounding its operations, wherever applicable.

PRINCIPLE 5 - Businesses should respect and promote human rights.

Overview / Objective: This principle reflects company's commitment to embedding human rights values at the core of everything we do. We are dedicated to ensuring that every individual within our operations and supply chains is treated with dignity and respect. We strive to integrate human rights principles into our everyday practices, ensuring fairness and responsibility across all aspects of our business. By upholding these values, we aim to contribute to a more inclusive and just society. This principle also aligns with several Sustainable Development Goals (SDGs), such as Goal 1: No Poverty, Goal 4: Quality Education, Goal 5: Gender Equality, Goal 8: Decent Work and Economic Growth, Goal 10: Reduced Inequality, and Goal 16: Peace, Justice, and Strong Institutions. Through these goals, we reaffirm our commitment to building a better future for all.



ESSENTIAL INDICATORS – IMPORTANCE TO INVESTORS

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2025-2026 (Current Financial Year)			FY 2024-2025 (Previous Financial Year)		
	Total (A)	No. (B)	% (B /A)	Total (C)	No. (D)	% (D/C)
Employees						
Permanent	672	672	100%	648	648	100%
Other than permanent	0	0	0%	0	0	0%
Total Employees	**672**	**672**	**100%**	**648**	**648**	**100%**

Workers						
Permanent	1,952	1,952	100%	1,991	1,991	100%
Other than permanent	0	0	0%	0	0	0%
Total Workers	**1,952**	**1,952**	**100%**	**1,991**	**1,991**	**100%**

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2025-2026 (Current Financial Year)					FY 2024-2025 (Previous Financial Year)				
	Total (A)	Equal to Minimum Wage		More than minimum Wage		Total (D)	Equal to Minimum wages		More than minimum wages	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent	**672**	**71**	**10.57%**	**601**	**89.43%**	**648**	**66**	**10.19%**	**582**	**89.81%**
Male	657	70	10.65%	587	89.35%	634	65	10.25	569	89.75
Female	15	1	6.67%	14	93.33%	14	1	7.14	13	92.86
Other than permanent	**0**	**0**	**0%**	**0**	**0%**	**0**	**0**	**0%**	**0**	**0%**
Male	0	0	0%	0	0%	0	0	0%	0	0%
Female	0	0	0%	0	0%	0	0	0%	0	0%
Workers										
Permanent	**1,952**	**645**	**33.04%**	**1,307**	**66.96%**	**1,991**	**711**	**35.71%**	**1,280**	**64.29%**
Male	1,949	645	33.09%	1,304	66.91%	1,988	711	35.76%	1,277	64.24
Female	3	0	0%	3	100%	3	0	0%	3	100%
Other than permanent	**0**	**0**	**0%**	**0**	**0%**	**0**	**0**	**0%**	**0**	**0%**
Male	0	0	0%	0	0%	0	0	0%	0	0%
Female	0	0	0%	0	0%	0	0	0%	0	0%

3. (A) Details of remuneration/salary/wages, in the following format:

	Male		Female	
	Number	Median remuneration/ Salary/Wages of respective category	Number	Median remuneration / Salary/Wages of respective category
Board of Directors (BOD)- Executive Directors (ED)	4	3,90,00,000	0	0
Key Managerial Personnel	2	29,51,700	0	0
Employees other than BOD and KMP	651	4,61,212	15	6,73,335
Workers	1,949	2,23,320	3	2,66,526

**Only executive directors are included in the median remuneration calculation of directors.*

(B) Gross wages paid to females as % of total wages paid by the entity, in the following format:

	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Gross wages paid to females as % of total wages	1.19%	1.37%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes. Human rights related matters are overseen through designated functional teams, including the Human Resource Department and grievance redressal mechanisms, supported by management oversight, wherever applicable.

The Company has established frameworks relating to employee welfare, grievance handling, prevention of discrimination and harassment, workplace safety and ethical conduct. These mechanisms support fair labour practices, protection against child and forced labour, equal opportunity and compliance with applicable labour requirements. Periodic reviews and internal monitoring processes further support the Company's commitment towards maintaining a safe, inclusive and rights-conscious workplace environment.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

The Company has established internal grievance redressal mechanisms to address concerns relating to human rights, workplace practices and employee welfare in a fair, transparent and confidential manner. Employees and workers may raise concerns through reporting channels, management interactions and grievance handling processes, with escalation mechanisms available, wherever required.

Further, the Company has implemented a Whistleblower Policy to facilitate reporting of unethical conduct, discrimination, harassment, regulatory concerns or violations of applicable laws. Reported matters are reviewed through appropriate mechanisms while maintaining confidentiality and protection against retaliation. These processes support the Company's commitment towards ethical conduct, employee well-being and protection of human rights across its operations.

These measures collectively reinforce the Company's unwavering commitment to integrity, transparency, and responsible business conduct at all levels of its operations.

6. Number of Complaints on the following made by employees and workers:

	FY 2025-2026 (Current Financial Year)			FY 2024-2025 (Previous Financial Year)		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	-	-	-	-	-	-
Discrimination at workplaces	-	-	-	-	-	-
Child Labour	-	-	-	-	-	-
Forced Labour/ Involuntary Labour	-	-	-	-	-	-
Wages	-	-	-	-	-	-
Other human rights related issues	-	-	-	-	-	-

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	-	-
Complaints on POSH as a % of female employees / workers	-	-
Complaints on POSH upheld	-	-

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

The Company has established mechanisms to ensure that employees and workers can raise concerns relating to discrimination, harassment, unethical conduct or workplace grievances without fear of retaliation. The Whistleblower Policy, grievance redressal mechanisms and applicable workplace policies support confidential reporting and fair investigation of concerns. Further, committees for protection against workplace harassment have been constituted, wherever applicable, to address complaints, undertake necessary actions and promote a safe, respectful and inclusive workplace environment. The Company follows a zero-tolerance approach towards discrimination, harassment and retaliatory actions.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

The Company does not currently incorporate specific human rights clauses within all business agreements and contracts. However, it promotes responsible business conduct and expects suppliers, contractors and business partners to comply with applicable legal, labour and regulatory requirements and maintain ethical business practices, wherever relevant.

10. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child Labour	100%
Forced/ involuntary labour	100%
Sexual Harassment	100%
Discrimination at workplace	100%
Wages	100%

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 9 above.

During the reporting period, no significant risks or concerns relating to human rights matters were reported in relation to business agreements or value chain interactions. Accordingly, no corrective actions were required. The Company continues to promote responsible business conduct and encourages compliance with applicable legal and labour requirements across its business ecosystem, wherever relevant.

LEADERSHIP INDICATORS (GOOD GOVERNANCE)

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/complaints.

No human rights related grievances or complaints were reported during FY 2025–26. Accordingly, no business process modifications or corrective actions were required during the reporting period.

2. Details of the scope and coverage of any Human rights due diligence conducted.

No specific human rights due diligence exercise was undertaken during FY 2025–26. However, the Company continues to maintain internal mechanisms relating to employee welfare, grievance redressal, workplace practices, prevention of discrimination and compliance with applicable labour requirements to support human rights commitments across operations.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes. The Company is committed to promoting an inclusive and accessible environment and endeavours to ensure that its premises and facilities remain accessible for differently abled visitors in line with applicable requirements under the Rights of Persons with Disabilities Act, 2016, wherever applicable. The Company continues to support equal access, inclusion and barrier-free participation across its workplace environment.

4. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Child labour	-
Forced/involuntary labour	-
Sexual harassment	-
Discrimination at workplace	-
Wages	-
Others-please specify	-

5. Provide details of any corrective actions taken or underway to address significant risks/ concerns arising from the assessments at Question 4 above.

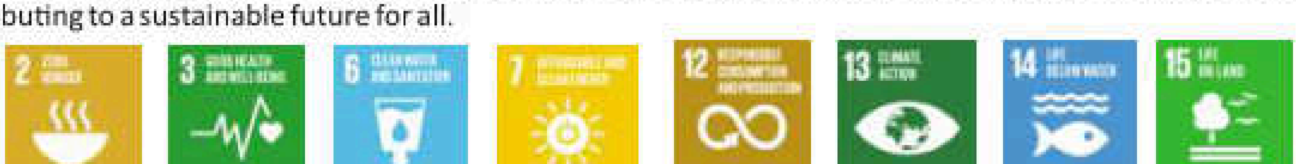
Not Applicable. No significant risks or concerns were identified from the assessments referred to above during FY 2025–26. Accordingly, no corrective actions were required during the reporting period.

PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment.

Overview / Objective: This principle highlights the importance of environmental stewardship in promoting long-term economic growth and societal well-being. It acknowledges that environmental issues are interconnected across local, regional, and global levels, and businesses must take responsibility for addressing key challenges such as pollution, biodiversity loss, sustainable resource management, and climate change (through mitigation, adaptation, and resilience efforts).

For businesses, this means actively assessing the environmental impacts of their products and operations and taking steps to reduce or mitigate these impacts wherever possible. When complete avoidance is not feasible, businesses are encouraged to adopt practices that minimize or eliminate negative effects on their operations and supply chains. These efforts contribute to sustainable growth and support the broader global goals for environmental preservation.

In practical terms, this principle aligns with several Sustainable Development Goals (SDGs), such as Goal 2: Zero Hunger, Goal 3: Good Health and Well-being, Goal 6: Clean Water and Sanitation, Goal 7: Affordable and Clean Energy, and Goal 13: Climate Action, among others. Businesses must work towards improving their environmental footprint by implementing energy-efficient systems, reducing waste, conserving water, and fostering a circular economy. By making these commitments, businesses can play a crucial role in preserving the environment and contributing to a sustainable future for all.



ESSENTIAL INDICATORS – IMPORTANCE TO INVESTORS

Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

Parameter	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
From renewable sources	In TJ	In TJ
Total electricity consumption (A)	1,060.48	1,036.89
Total fuel consumption (B)	5,765.92	6,733.16
Energy Consumption through other sources (C)	0	0
Total Energy Consumed from renewable sources (A+B+C)	**6,826.40**	**7,770.05**
From non-renewable sources		
Total electricity consumption (D)	31.32	12.21
Total fuel consumption (E)	41.84	39.52
Energy Consumption through other sources (F)	0	0
Total energy consumed from non-renewable sources(D+E+F)	**73.16**	**51.73**
Total energy consumed(A+B+C+D+E+F)	**6,899.55**	**7,821.77**
Energy intensity per rupee of turnover (Total energy consumed / Revenue from operations)	0.000000475	0.000000517
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP)	0.00000967	0.0000107
Energy intensity in terms of physical output (Per MT of output produced)	0.03187	0.03613
Energy intensity (optional) – the relevant metric may be selected by the entity	-	-

Note: As per the IMF's purchasing power parity (PPP) conversion rate for India per international dollar for year 2026 is 20.34, we have applied this exchange rate to compute the adjusted turnover.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No independent assessment/ evaluation/assurance has been carried out by an external agency. However, internal monitoring and review mechanisms are in place to support compliance and operational oversight.

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

The Company was previously covered under the Performance, Achieve and Trade (PAT) Scheme of the Bureau of Energy Efficiency (BEE). During FY 2025-26, the applicable regulatory framework transitioned to the Carbon Credit Trading Scheme (CCTS), under which the Company is complying with the prescribed GHG emission intensity requirements. The Company continues to implement energy conservation and emission reduction measures to achieve the notified targets.

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Water withdrawal by source (in kiloliters)		
Surface Water	57,73,111	53,48,107
Ground Water	-	-
Third Party water	-	-
Seawater/ desalinated water	-	-
Others	-	-
Total Volume of water withdrawal (in kiloliters) (i+ii+iii+iv+v)	**57,73,111**	**53,48,107**
Total Volume of water Consumption (in kiloliters)	**57,73,111**	**53,48,107**
Water intensity per rupee of turnover **(Water consumed/ Turnover)**	0.000398	0.000354
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP)	0.00809	0.00731
Water intensity in terms of physical output (Per MT of output produced)	26.67	24.79
Water Intensity *(Optional)* - the relevant metric may be selected by the entity	-	-

Note: As per the IMF's purchasing power parity (PPP) conversion rate for India per international dollar for year 2026 is 20.34, we have applied this exchange rate to compute the adjusted turnover.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No independent assessment/ evaluation/assurance has been carried out by an external agency. However, internal monitoring and review mechanisms are in place to support operational oversight and compliance management.

4. Provide the following details related to water discharged:

Parameter	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Water discharge by destination and level of treatment (in kiloliters)		
(i)To Surface water	-	-
- No treatment		
- With treatment–please specify level of Treatment		
(ii)To Groundwater	-	-
- No treatment		
- With treatment–please specify level of Treatment		

(iii)To Seawater	-	-
- No treatment		
- With treatment–please specify level of Treatment		
(iv)Sent to third-parties	-	-
- No treatment		
- With treatment–please specify level of Treatment		
(v) Others	-	-
- No treatment		
- With treatment–please specify level of Treatment	41,34,570	42,95,540
Total water discharged (in kiloliters)	**41,34,570**	**42,95,540**

**Level of treatment: Effluent Treatment plant with two stage activated sludge process to treat the effluent to prescribed standards set by SPCB before discharge. The treated effluent is discharged onto land for Eucalyptus plantation.*

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

The Company follows responsible effluent management practices and the treated effluent generated from operations is utilized for irrigation purposes, including eucalyptus plantations, supporting water reuse and resource efficiency initiatives. No treated effluent is discharged into surface water bodies. The Company continues to monitor and manage effluent handling in line with applicable environmental requirements.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Nox	mg/Nm3	196.75	75.23
Sox	mg/Nm4	BDL*	BDL*
Particulate matter (PM)	mg/Nm3	40.01	39.75
Persistent organic pollutants (POP)	-		-
Volatile organic compounds (VOC)	-		-
Hazardous air pollutants (HAP)	-		-
Others – (ODS)	-		-

**BDL – Below Detection Level*

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No independent assessment/ evaluation/assurance has been carried out by an external agency.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Total Scope 1 emissions (Break-up of the GHG into CO2, CH4, N2O, HFCs, PFCs, SF6, NF3, if available)	Metric tonnes of CO2 equivalent	3,15,479.83	3,33,343.12
Total Scope 2 emissions (Break-up of the GHG into CO2, CH4, N2O, HFCs, PFCs, SF6, NF3, if available)	Metric tonnes of CO2 equivalent	6,327.08	2,465.67
Total Scope 1 and Scope 2 emissions per rupee of Turnover	tonnes of CO2 equivalent per rupee	0.00002216	0.00002221
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	tonnes of CO2 equivalent per rupee of adjusted turnover	0.00045082	0.000458854
Total Scope 1 and Scope 2 emission intensity in terms of physical output	tonnes of CO2 equivalent per tonne of output produced	1.49	1.55
Total Scope 1 and Scope 2 emission intensity (optional)– the relevant metric may be selected by the entity	-	-	-

Note: As per the IMF's purchasing power parity (PPP) conversion rate for India per international dollar for year 2026 is 20.34, we have applied this exchange rate to compute the adjusted turnover.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No independent assessment/ evaluation/assurance has been carried out by an external agency.

8. Does the entity have any project related to reducing Green House Gas emission? If yes, then provide details.

As part of its greenhouse gas (GHG) emission reduction initiatives, the Company has established a Precipitated Calcium Carbonate (PCC) plant that utilizes carbon dioxide (CO_2). The captured CO_2 is used as a raw material for PCC production, promoting circular resource utilization and reducing direct emissions. The plant utilizes approximately 213.74 million m^3 of CO_2 annually, contributing significantly to the Company's decarbonisation and resource efficiency efforts.

9. **Provide details related to waste management by the entity, in the following format:**

Parameter	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Total Waste generated (in Metric Tonnes)		
Plastic Waste ***(A)***	77.76	89.12
E-Waste ***(B)***	-	1.08
Bio-Medical Waste ***(C)***	-	-
Construction and demolition waste **(D)**	-	-
Battery Waste ***(E)***	-	-
Radioactive Waste ***(F)***	-	-
Other Hazardous waste. Please specify, if any. **(G)**	3,038.46	3,800.82
Other Non-hazardous waste generated **(H).** Please specify, if any. (Break-up by composition i.e., by materials relevant to the sector)		-
Total (A+B + C + D + E + F + G+ H)	**3,116.22**	**3,891.02**
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations)	0.000000215	0.0000002573
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP)	0.00000437	0.00000532
Waste intensity in terms of physical output (Per MT of output produced)	0.01439	0.01803
Waste intensity (optional) – the relevant metric may be selected by the entity	-	-
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of Waste		
(I) Recycled	-	-
(ii) Re-used	-	-
(iii) Other recovery operations	-	-
Total	-	-
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of Waste		
(I) Incineration	-	-
(ii) Landfilling	-	-
(iii) Other disposal operations (Sales of waste generated)	3,116.22	3891.02
Total	**3,116.22**	**3891.02**

Note: As per the IMF's purchasing power parity (PPP) conversion rate for India per international dollar for year 2026 is 20.34, we have applied this exchange rate to compute the adjusted turnover.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No independent assessment/ evaluation/assurance has been carried out by an external agency.

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

Satia Industries Limited follows waste management practices focused on responsible handling, segregation, utilization and disposal of waste generated from its operations in accordance with applicable environmental requirements. The Company emphasizes resource efficiency and appropriate management of waste streams through authorized channels, wherever applicable.

The Company does not use hazardous or toxic chemicals in its products and manufacturing processes. Hazardous waste generated under Category 32.3, wherever applicable, is handed over to authorized recyclers for further utilization, including use in cardboard manufacturing. Disposal and handling are undertaken by the authorized agencies in accordance with applicable State Pollution Control Board (SPCB) guidelines and regulatory requirements.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

S. No.	Location of operations/offices	Type of Operation	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
Not Applicable			

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/ No)	Relevant Web Link
Not Applicable					

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

S. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
Yes, the company is in compliance with all applicable environmental laws and regulations, including the Air (Prevention and Control of Pollution) Act, Environment (Protection) Act, and other relevant statutory requirements. During the reporting period 2025-26, no instances of non-compliance were observed or reported.				

LEADERSHIP INDICATORS (GOOD GOVERNANCE)

1. Water withdrawal, consumption and discharge in areas of water stress (in kiloliters):

For each facility/ plant located in areas of water stress, provide the following information:

1. Name of the Area
2. Nature of Operations
3. Water withdrawal, consumption and discharge in the following format:

Not applicable as none of the company's facilities fall under water stress areas.

Parameter	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Water withdrawal by source (in kilolitres)	-	-
I. Surface Water	-	-
II. Ground Water	-	-
III. Third Party Water	-	-
IV. Seawater / desalinated water	-	-
V. Others	-	-
Total volume of water withdrawal (in kilolitres)	-	-
Total volume of water consumption (in kilolitres)	-	-
Water intensity per rupee of turnover (Total Water consumption /Revenue from operations)	-	-
Water intensity (optional) – the relevant metric may be selected by the entity	-	-
Water discharge by destination and level of treatment (in kiloliters)		
(i)To Surface water	-	-
- No treatment		
- With treatment–please specify level of treatment		
(ii)To Groundwater	-	-
- No treatment		
- With treatment–please specify level of Treatment		
(iii)To Seawater	-	-
- No treatment		
- With treatment–please specify level of Treatment		
(iv)Sent to third-parties	-	-
- No treatment		
- With treatment–please specify level of Treatment		
(v) Others	-	-
- No treatment		
- With treatment–please specify level of Treatment		
Total water discharged (in kiloliters)	-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. No

2. Please provide details of total Scope 3 emissions and its intensity, in the following format:

The Company is currently not mapping its Scope 3 emissions however shall undertake the same in the forthcoming periods.

Parameter	Unit	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Total Scope 3 emissions (Break-up of the GHG into CO2, CH4, N2O, HFCs, PFCs, SF6, NF3, if available)	-	-	-
Total Scope 3 emissions per rupee of turnover	-	-	-
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity	-	-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency: No

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not Applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No.	Initiative Undertaken	Details of the Initiative / Technology Used	Outcome of the Initiative
1	**Utilization of Agricultural Residues**	The Company utilizes agricultural residues including wheat straw, sarkanda and rice straw as part of its manufacturing and energy processes, supporting efficient resource utilization and reducing dependence on conventional raw materials and fuels.	Improved resource efficiency, support towards circular utilization practices and reduction in open field residue burning.
2	**Multi-Fuel Boiler System**	The Company has implemented a multi-fuel boiler system utilizing agricultural residues and biomass-based fuel alternatives to improve energy utilization efficiency.	Reduced dependence on conventional fuels and improved energy management practices.
3	**Installation of Moving Bed Biofilm Reactor (MBBR)**	A Moving Bed Biofilm Reactor (MBBR) system was commissioned in November 2024 with a wastewater treatment capacity of 2,000 m^3/day to strengthen wastewater treatment and effluent management.	Improved wastewater treatment efficiency and water quality parameters, supporting responsible effluent management and environmental performance.
4	**Effluent Treatment and Water Reuse**	Treated effluent generated from operations is utilized for irrigation purposes, including eucalyptus plantations, supporting water reuse initiatives.	Improved utilization of treated water and reduced discharge to external water bodies.

5	**Energy Efficiency Initiatives under PAT Scheme**	The Company operates as a Designated Consumer (DC) under the PAT Scheme and continues implementation of energy conservation and process efficiency initiatives.	Improvement in energy performance and operational efficiency.
6	**Waste Utilization Practices**	Hazardous waste generated under applicable categories is handed over to authorized recyclers for further utilization and environmentally responsible disposal.	Improved waste management and resource utilization practices.
7	**Sustainable Product Development**	The Company has introduced virgin fibre-based paper cups and continues exploring paper-based alternatives for sustainable applications.	Product diversification and support towards environmentally preferable solutions.

4. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

The Company has established Emergency Preparedness and Response Plans across its operations as part of its commitment towards employee safety, operational resilience and business continuity management. The framework is designed to ensure timely response, effective risk mitigation and preparedness for potential emergency situations.

Key elements of the framework include:

1. Identification and assessment of potential operational risks, hazards and emergency scenarios.
2. Defined emergency response procedures and mitigation measures for effective incident handling.
3. Availability of first aid facilities and emergency support arrangements across operational locations.
4. Clearly defined roles, responsibilities and escalation mechanisms for employees and workers during emergencies.
5. Periodic safety awareness programmes, emergency drills and training sessions to strengthen preparedness and response capability.
6. Review and investigation of incidents, wherever applicable, followed by implementation of corrective and preventive actions.
7. Continuous monitoring and improvement initiatives to strengthen safety performance and emergency management systems.

Through these measures, the Company continues to reinforce a proactive safety culture while enhancing emergency readiness, workforce protection and continuity of operations.

5. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

The Company has not conducted a formal assessment of its value chain partners with respect to their environmental impact. However, the Company expects its value chain partners to be mindful of their environmental footprint and to comply with all applicable laws and regulations.

6. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

No such impact assessment was carried out during the year.

8. How many Green Credits have been generated or procured:

a . By the listed entity

The company does not have any Green Credits

b. By the top ten (in terms of value of purchases and sales, respectively) value chain partners Not Applicable

PRINCIPLE 7 Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.

Overview / Objective: This principle highlights the need for businesses to engage in policy discussions in a responsible and transparent manner, particularly when involved in associations or advocacy groups. Companies may play a key role in shaping policy by holding positions on governing bodies or contributing financially to initiatives that align with their strategic goals. Responsible engagement helps ensure that business interests are in harmony with societal and environmental objectives, supporting several Sustainable Development Goals (SDGs), including Goal 2: Zero Hunger, Goal 7: Affordable and Clean Energy, Goal 9: Industry, Innovation and Infrastructure, Goal 10: Reduced Inequality, Goal 11: Sustainable Cities and Communities, Goal 13: Climate Action, Goal 14: Life Below Water, Goal 15: Life on Land, Goal 16: Peace, Justice and Strong Institutions, and Goal 17: Partnerships to achieve the Goal..

ESSENTIAL INDICATORS – IMPORTANCE TO INVESTORS

1. a. Number of affiliations with trade and industry chambers/associations.

Satia Industries Limited is a member of 4 Industry chambers/ associations.

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/ National)
1	Indian Pulp & Paper Technical Association (IPPTA)	National
2	Indian Agro and recycled Paper Mills Association (IARPMA)	National
3	Federation of Indian Export Organizations (FIEO)	National
4	Indian Paper Manufacturing Association (IPMA)	National

2. Provide details of corrective action taken or underway on any issues related to anti- competitive conduct by the entity, based on adverse orders from regulatory authorities.

Name of authority	Brief of the case	Corrective action taken
Not Applicable		

LEADERSHIP INDICATORS (GOOD GOVERNANCE)

1. **Details of public policy positions advocated by the entity.**

S. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly / Others –please specify)	Web Link, if available
Not Applicable					

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development.

Overview / Objective: This principle highlights the critical role businesses play in fostering inclusive growth and equitable development, particularly focusing on disadvantaged, vulnerable, and marginalized communities. By leveraging their energy and innovation, businesses can contribute to national development in alignment with Section 135 of the Companies Act, 2013. Collaboration between businesses, government, and civil society is key to advancing this agenda. This principle aligns with various Sustainable Development Goals (SDGs), including No Poverty, Zero Hunger, Good Health and Well-being, Quality Education, Gender Equality, and Decent Work and Economic Growth, all of which promote a more inclusive and sustainable future.

ESSENTIAL INDICATORS – IMPORTANCE TO INVESTORS

1. **Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.**

Name and brief details of projects	SIA Notification No.	Date of Notification	Whether conducted by independent external agency (Yes/ No)	Results communicated in public domain (Yes/No)	Relevant web link
Not Applicable. The Company has not undertaken any projects during FY 2025–26 requiring a Social Impact Assessment (SIA) under applicable laws. However, Satia Industries Limited continues to support community development and inclusive growth through its Corporate Social Responsibility (CSR) initiatives undertaken in accordance with the provisions of the Companies Act, 2013 under the oversight of the CSR Committee.					

2. **Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:**

S. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% Of PAFs covered by R&R	Amount paid to PAFs in the FY (in INR)
Not Applicable						

3. Describe the mechanisms to receive and redress grievances of the community.

The Company has established mechanisms to receive and address community grievances in a structured and timely manner. Community concerns received through interactions, CSR activities, local engagement platforms or other communication channels are reviewed by designated functional teams, including the Human Resources function, wherever applicable. Grievances are assessed and addressed at the local level to the extent possible, while matters requiring further intervention are escalated to the appropriate management level for resolution. This approach supports transparency, accountability and continued engagement with community stakeholders.

4. **Percentage of input material (inputs to total inputs by value) sourced from suppliers:**

Particular	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Directly sourced from MSMEs/ small producer	39.78%	29.55%
Directly from within India	77.91%	89.12%

5. **Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost:**

Location	FY 2025-2026 (Current Financial Year)	FY 2024-2025 (Previous Financial Year)
Rural	67.88%	66%
Semi-urban	27.79%	24%
Urban	2.48%	10%
Metropolitan	1.85%	-

LEADERSHIP INDICATORS (GOOD GOVERNANCE)

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above).

Not Applicable

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

S.no.	State	Aspirational District	Sector in which project is covered	Amount spent (In lakhs)
-	-	-	-	-

CSR Activities done by the Company are not in aspirational districts identified by the Government. For details of districts covered under CSR Activities, please refer to Corporate and Social Responsibility Section forming part of Company's Annual Report for FY 25-26.

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No)

No, Company doesn't have preferential procurement policy.

(b) From which marginalized /vulnerable groups do you procure?

Not Applicable since we do not have such procurement criteria

(c) What percentage of total procurement (by value) does it constitute?

Not applicable.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

Not applicable as the Company does not have any intellectual properties owned or acquired by the entity (in the current financial year), based on traditional knowledge.

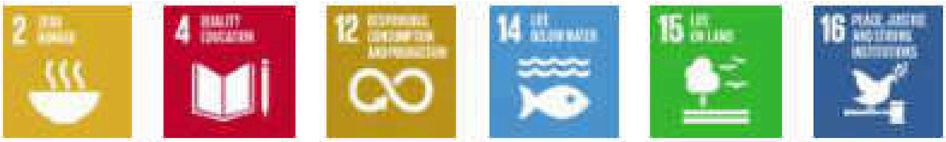
5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Not Applicable

6. Details of beneficiaries of CSR Projects:

For details, please refer to Corporate and Social Responsibility Section forming part of Company's Annual Report for FY 25-26.

PRINCIPLE 9. Businesses should engage with and provide value to their consumers in a responsible manner.
Overview / Objective: This principle emphasizes the importance of prioritizing customer health and safety throughout the entire lifecycle of products and services. It focuses on a business's responsibility to ensure the safety and well-being of consumers, from product design to post-sale. Additionally, it underscores the need for compliance with customer cybersecurity and privacy regulations, as well as adherence to relevant voluntary codes. This principle is aligned with several Sustainable Development Goals (SDGs), including Goal 2: Zero Hunger, Goal 4: Quality Education, Goal 12: Responsible Consumption and Production, Goal 14: Life Below Water, Goal 15: Life on Land, and Goal 16: Peace, Justice, and Strong Institutions, encouraging businesses to act responsibly and provide long-term value to their consumers.



ESSENTIAL INDICATORS – IMPORTANCE TO INVESTORS

1. Describe the mechanism in place to receive and respond to consumer complaints and feedback.
The Company has established customer grievance and feedback mechanisms to ensure timely receipt, review and resolution of customer concerns, queries and feedback. Customer interactions are managed through designated communication channels including business interactions, emails, customer support processes and other engagement platforms, wherever applicable.

Consumer feedback and complaints are monitored and addressed through appropriate functional teams, with escalation mechanisms available for matters requiring further review. Inputs received from customers are also considered for continuous improvement in product quality, service standards and customer experience.
Through this structured approach, the Company remains committed to maintaining customer satisfaction, strengthening stakeholder trust and supporting a customer-centric business environment.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	100%
Safe and responsible usage	100%
Recycling and/or safe disposal	100%

3. Number of consumer complaints in respect of the following:

	FY2025-2026 (Current Financial Year)		Remarks	FY 2024-2025 (Previous Financial Year)		Remarks
	Received during the year	Pending resolution at the end of year		Received during the year	Pending resolution at the end of year	
Data privacy	-	-	-	-	-	-
Advertising	-	-	-	-	-	-
Cyber-security	-	-	-	-	-	-
Delivery of essential services	-	-	-	-	-	-

Practices	-	-	-	-	-	-
Unfair Trade Practices	-	-	-	-	-	-
Other (Quality Complaints)	12	0	All complaints resolved	32	0	All complaints resolved

4. Details of instances of product recalls on account of safety issues:

No product recalls relating to safety issues were reported during FY 2025–26. Accordingly, no product recall actions were required during the reporting period.

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes. The Company has established an Information Security Management framework covering data protection, access controls, email security, web security and network protection measures. The framework includes access management protocols, including two-factor authentication, to prevent unauthorized access to systems and information. Various security controls such as firewalls, endpoint protection and monitoring mechanisms have also been implemented to strengthen protection against cyber risks and data security incidents.

The policy is maintained as an internal document and is available within the Company.

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

Not applicable.

7. Provide the following information relating to data breaches:

a. Number of instances of data breaches-

NIL

b. Percentage of data breaches involving personally identifiable information of customers-

Not Applicable

c. Impact, if any, of the data breaches-

Not Applicable

LEADERSHIP INDICATORS (GOOD GOVERNANCE)

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

Information relating to the Company's products and services, including its portfolio of writing & printing paper, and sustainable paper-based products, is available on the Company's website:

https://www.satiagroup.com/paper/

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

The Company undertakes customer communication and product awareness activities through product information, business interactions, marketing materials and other communication platforms, wherever applicable. Product-related communications are designed to provide relevant information to customers and support informed purchasing decisions while ensuring compliance with applicable regulatory requirements and responsible business practices.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

Not applicable.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No).

Satia Industries Limited remains committed to maintaining product quality, transparency and responsible customer communication. The Company ensures compliance with applicable statutory requirements relating to product information and disclosures, wherever applicable. While no formal consumer satisfaction survey was undertaken during FY 2025–26 across products, services or operating locations, the Company continues to engage with customers through regular business interactions, feedback mechanisms and ongoing communication channels to understand customer expectations and support continuous improvement initiatives.

Annexure IV

Annual Report on Corporate Social Responsibility (CSR)

1. Brief Outline of the Company's CSR Policy

The Company has framed the CSR Policy pursuant to the Companies Act, 2013 and the Companies (Corporate Social Responsibility Policy) Rules, 2014

Our social responsibility initiatives

Satia Industries, has remained committed to making strategic social investments for sustainable outcomes. The Foundation has been active in the core areas of Education, Healthcare, Wellness and Environmental Sustainability. The Foundation is known for its innovative approach to problem solving. It challenges the status quo and adopts new solutions that lead to sustainable impacts. Satia Industries Ltd believes that being socially responsible and meeting the expectations of our stakeholders is fundamental to value system the Company beholds.

The Company is strongly progressing in this arena and has been creating its impact on society by contributing to the development of the community. The Company also plays a significant role in promotion of inclusive growth through empowerment of socially and economically weaker sections of society. Partnerships with corporate bodies and NGOs are entered into for education and community development programs. Active involvement of the Company's employees in volunteering. The Company's participation focuses on operations where it can contribute meaningfully either through employee volunteering or by using core competency which develops solutions.

Brief Outline on Company's CSR policy including overview of projects or programs proposed to be undertaken Corporate Social Responsibility Policy (hereinafter referred to as 'CSR Policy') shall help Satia Industries Limited to pave its path towards the betterment of certain sections of the society by using its resources in the best possible manner.

2. Composition of the CSR Committee.

Sr. No.	Name of Director	Designation/Nature of Directorship	Number of Meetings of CSR Committee held during the year	Number of Meetings of CSR Committee attended during the year
1	Sh. Ashok Kumar Gupta	Chairman (Independent Director)	1	1
2	Sh. R.K. Bhandari	Joint Managing Director, Member	1	1
3	Sh. Chirag Satia	Executive Director, Member	1	1

3. Provide the web-link where CSR Policy approved by the board are disclosed on the website of the company:

https://www.satiagroup.com/companys-policy/

4.Provide the details of Impact assessment of CSR projects carried out in pursuance of Sub-Rule (3) of Rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014, if applicable (attach the report).

Not applicable, as the total CSR expenditure is below Rs 10.00 crores

5. a) Average Net profit of the Company as per sub - section (5) of section 135. Rs 17832.38 Lakhs

b) Two percent of average net profit of the company as per section 135 (5) Rs. 356.65 Lakhs

c) Surplus arising out of the CSR projects or programs or activities of the previous financial years - Nil

d)Amount required to be set off for the financial year, if any Rs. 42.17 Lakhs

e) Total CSR obligation for the financial year 2025-26 (5b+5c-5d) Rs. 314.48 Lakhs

6. **a) Amount spent on CSR Projects (both Ongoing Project and other than Ongoing Project): Rs. 373.38 Lakhs**

b) Amount spent in Administrative Overheads: Not Applicable.

c) Amount spent on Impact Assessment, if applicable: Not Applicable.

d) Total amount spent for the Financial Year Rs. 373.38 Lakhs

(e) Details of CSR amount spent or unspent for the Financial Year 2025-26

Total amount spent for the year(Rs in Lakhs)	Amount Unspent (Rs in Lakhs)				
	Total amount transferred to unspent CSR Account as per Section 135(6) Date of Transfer		Amount transferred to any fund under Schedule VII as per second proviso to Section 135(5)		
	Amount	Date of Transfer	Name of the fund	Amount	Date of Transfer
373.38	N.A	N.A	NIL	NIL	NIL

f) Excess amount for set off, if any:

Sr. No.	Particulars	Amount (in Lakhs)
(i)	2% of average net profit of the company as per section 135(5)	356.65
(ii)	Total amount spent for the financial year (373.38 + 42.17)	415.55
(iii)	Excess amount spent for the financial year [(ii)-(i)]	58.90
(iv)	Surplus arising out of the CSR projects or program or activities of previous financial year if any	NIL
(v)	Amount available for set off in succeeding financial years[(iii)-(iv)]	58.90

7. **Details of Unspent Corporate Social Responsibility amount for the preceding three Financial Years:** (Rs. in lakhs)

Sr. No.	Preceding Financial Year (s)	Amount transferred to Unspent CSR Account under sub-section (6) of section 135	Balance Amount in Unspent CSR Account under sub-section (6) of section 135	Amount Spent in the Financial Year	Amount transferred to a Fund as specified under Schedule VII as per second proviso to sub- section (5) of section 135, if any		Amount remaining to be spent in succeeding Financial Years	Deficiency, if any
					Amount	Date of Transfer		
1	2024-25	NIL	NIL	NIL	NIL	NIL	NIL	NIL
2	2023-24	NIL	NIL	NIL	NIL	NIL	NIL	NIL
3	2022-23	NIL	NIL	NIL	NIL	NIL	NIL	NIL

8. Whether any capital assets have been created or acquired through Corporate Social Responsibility amount spent in the Financial Year: No

If Yes, enter the number of Capital assets created/ acquired: Not Applicable

Furnish the details relating to such asset(s) so created or acquired through Corporate Social Responsibility amount spent in the Financial Year: Not Applicable

Sr. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent	Details of entity/ Authority/ beneficiary of the registered owner		
(1)	(2)	(3)	(4)	(5)	(6)		
					CSR Registration Number, if applicable	Name	Registered address
	NA	NA	NA	NA	NA	NA	NA

9. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per sub-section (5) of section 135. Not Applicable

For and on behalf of Board of Directors of Satia Industries Ltd.

(Sd/-)

(Mr. Ashok Kumar Gupta)
Chairman-CSR Committee
DIN: 08068465

(Sd/-)

(Mr. R. K. Bhandari)
(Joint Managing Director)
DIN: 00732588

Place: Chandigarh
Dated: 14.08.2026

Annexure-V

Form No.MR-3
SECRETARIAL AUDIT REPORT FOR THE FINANCIAL YEAR ENDED 31 MARCH, 2026

[Pursuant to section 204(1) of the Companies Act, 2013 and rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
Satia Industries Limited
VPO. Rupana, Malout-Muktsar Road,
Shri Muktsar Sahib (Punjab)-152032
CIN: L21012PB1980PLC004329

We have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by M/s Satia Industries Limited, VPO. Rupana, Shri Muktsar Sahib-152032 (Punjab). Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing our opinion thereon.

Based on our verification of the company's books, papers, minute books, forms and returns filed and other records maintained by the company and produced before us and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, We hereby report that in our opinion, the company has during the audit period covering the financial year ended on 31st March, 2026 complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made herein after We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31st March, 2026 according to the provisions of the following list of laws and Regulations:

i) The companies Act, 2013 (the Act) and the rules made thereunder;

During the period under review the Company has complied with the provisions of the Act, rules, Regulations, Guidelines, Standards, etc. mentioned above.

(ii) The company has complied with the relevant provisions of Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made there under where ever applicable to the company.

(iii) The company has complied with the relevant provisions of the Depositories Act, 1996 and the Regulations and Bye- laws framed there under where ever applicable to the company.

(iv) There were no issues which required specific compliance of the Foreign Exchange Management Act, 1999 and the rules and Regulations made thereunder.

(v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India act, 1992 ('SEBI act'): -

(a) There was no acquisition of which required the specific compliance/approval of the Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 amended upto date.

(b) There was no acquisition of shares by the promoters, which required the specific compliance/approval of the Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015 amended upto date.

(c) There were no issues which required the specific compliance/approval of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 amended up to Date.

(d) There were no issues which required the specific compliance/approval of the securities and Exchange Board of India (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines,1999 amended up to date.

(e) There were no issues which required the specific compliance/approval of the Securities and exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008 amended up to date.

(f) There were no issues which required the specific compliance/approval of the securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 amended upto date.

(g) There were no issues which required the specific compliance/approval of the Securities and Exchange Board of India (Issue and Listing of Non-convertible Securities) Regulations,2021.

(h) There were no issues which required the specific compliance/approval of the Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client amended upto date.

(i) There were no issues which required the specific compliance/approval of the Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009 amended up to date;

(j) There were no issues which required the specific compliance/approval of the Securities and Exchange Board of India (Buy Back of Securities) Regulations, 1998 amended up to date; and

(k) SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

(vi) The company is into the Business of Manufacturing of Writing and Printing Paper from virgin pulp and as per representation given by the company following are some of the laws which are specifically applicable to the company.

- Water (Prevention and Control of Pollution) Act, 1974
- Air (Prevention and Control of Pollution) Act, 1981
- Environment Protection Act,1986
- The Hazardous Wastes (Management and Handling) Rules, 1989
- Labour Laws
- Industrial Dispute Act,1947
- Standards for Discharge of Environmental Pollutants
- National Green Tribunal Act, 2010
- Bureau of Indian Standards Act, 2016
- Energy Conservation (Amendment) Act,2022
- The Factories Act,1948
- Employees State Insurance Act, 1948
- Employees Provident Fund Act, 1952
- The Industries (Development and Regulation) Act, 1951
- The National Environmental Tribunal Act, 1995

The company has complied with all the provisions of the above-mentioned Acts.

We have also examined compliance with the applicable clauses of the following:

(i) Secretarial Standards issued by the institute of Company Secretaries of India to the extent of its applicability.

(ii) Company had entered into a listing agreement as per SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and duly complied the various clauses of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

During the period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned.

We have checked the compliance management system of the company to obtain reasonable assurance about the adequacy of the system in place to ensure compliance of specifically applicable laws and this verification was done on test basis. We believe that the audit evidence which we have obtained is sufficient and appropriate to provide a basis for our audit opinion and to the best of our information and according to explanations given to us, we believe that the compliance management system of the company is seeming adequate to ensure compliance of laws specifically applicable to the company.

We further report that:

- The Board of Directors of the company is duly constituted. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.
- Adequate notice is given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a proper system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.
- Board decisions are carried out with unanimous consent and therefore, no dissenting views were required to be captured and recorded as part of the minutes.
- We further report that there are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable Laws, Rules, Regulations and Guidelines.

We further report that there are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, Regulations and guidelines.

We further report that during the audit period the Company has following specific events/actions having a major bearing on the Company's affairs in pursuance of the above referred laws, rules, Regulations, guidelines, standards etc.

1. The members approved the re-appointment of Mr. Vinod Kumar Kathuria (DIN: 06662559) by passing special resolution as Independent Director of the Company for a period from 01st October, 2025 to 30th September, 2030 at the AGM held on 30.09.2025.

2. The members approved the Appointment of Mr. Vibhor Kapoor (DIN: 10335979) by passing special resolution as Independent Director of the Company for a period from 11th August, 2025 to 10th August, 2030 at the AGM held on September, 30, 2025.

3. The Members have approved the appointment of M/s S.Parnami and Associates, practising Company Secretaries (CP No 11181) as Secretarial Auditors for a period of Five Years from the conclusion of 44th Annual General Meeting of the Company until the Conclusion of 49th AGM of the Company to be held in the year 2030"

4. The members has approved the re-appointment and payment of remuneration of M/s HMVN & Associates , Cost Accountant, Delhi as Cost Auditor of the Company to conduct the audit of the cost record of the Company for the financial year 2025-26.

For S. Parnami & Associates
Company Secretaries
Sourabh Parnami
FCS No.: 9396
CP No: 11181
UDIN: F009396H000975493

Place: Bathinda
Dated: 30.07.2026

To,
The Members,
Satia Industries Limited
VPO. Rupana, Malout-Muktsar Road,
Shri Muktsar Sahib (Punjab)-152032
CIN: L21012PB1980PLC004329

Our Secretarial Audit Report for the Financial Year 31st March 2026 is to be read along with this letter.

Management's responsibility
It is the responsibility of the management of the company to maintain secretarial records, device proper system to ensure compliance with the maintenance of all applicable laws and Regulations and to ensure that the system is adequate and operate effectively.

Auditor's Responsibility
1. Our responsibility is to express an opinion on these secretarial records, standards and procedures followed by the company with respect to secretarial compliances.

2. We believe that audit evidence and information obtained from the company's management is adequate and appropriate for us to provide a basis for our opinion.

3.Whenever required, we have obtained the management's representation about the compliance of laws, rules and regulation and happening of event etc.

Disclaimer
1. The Secretarial Audit report is assurance as to the further viability neither of the company nor of the efficacy of effectiveness with which the management has conducted the affairs of the company.

2. We have not verified the correctness and appropriateness of financial and books of accounts of the company.

For S. Parnami & Associates
Company Secretaries
Sourabh Parnami
FCS No.: 9396
CP No.: 11181
UDIN: F009396H000975493

Place: Bathinda
Dated: 30.07.2026

CORPORATE GOVERNANCE REPORT 2025-26

In accordance with SEBI (Listing Obligation and Disclosure Requirements) regulations 2015 the report containing the details of corporate governance systems at Satia Industries Limited is as follows:

Company Philosophy on Corporate Governance

Satia Industries Limited believes that robust corporate governance enhances stakeholder confidence, trust, and enthusiasm while reflecting the core culture and values of the Board and Management. The Company consistently strengthens its governance framework in line with evolving regulatory standards and global best practices. Beyond mere regulatory compliance, Satia Industries' governance philosophy focuses on broader business ethics, strategic oversight, fiscal accountability, and ethical behaviour. This commitment ensures absolute fairness to all stakeholders, including employees, investors, customers, regulators, suppliers, and society at large, Strong leadership and effective corporate governance practices have been the Company's Hallmark. It is not mere compliance of laws, rules and regulations but a commitment to its values, best management practices and adherence of the highest ethical principles in all its dealings to achieve the objectives of the Company, enhance stakeholder value and discharge its social responsibility. The Corporate Governance framework and philosophy is a reflection of the Company's corporate culture, policies, values and relationship with stakeholders which is driven relentlessly across the organization. The Board of Directors ('the Board') are aware of their responsibility and commitment to sound principles of Corporate Governance in the Company. The Board plays a crucial role in overseeing how the management serves the short and long-term interests of shareholders and other stakeholders. This belief is reflected in our governance practices, under which we strive to maintain an effective, informed and independent Board. In addition, the Company has adopted a Code of Conduct for its non-executive directors which includes Code of Conduct for independent Directors which suitably incorporates the duties of Independent Directors as laid down in the Companies Act, 2013 ("the Act"). The Company is in compliance with the requirements stipulated under Regulation 17 to 27 read with Schedule V and clauses (b) to (i) of sub-regulation (2) of Regulation 46 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015"SEBI Listing Regulations", as applicable, with regard to corporate governance.

The requisite certificate from the Practicing Company Secretary M/s S Parnami & Associates, Bathinda, Punjab of the Company confirming compliance with the conditions of corporate governance is attached to the Report on corporate governance.

Board of Directors

The Company's diverse Board comprises highly experienced individuals with eminent expertise who oversee corporate management, direction, and performance. Recognizing that an independent, well-informed Board is essential for superior Corporate Governance, directors act in a primary fiduciary capacity to:

Provide Leadership: Deliver strategic guidance and objective, independent viewpoints to management.

Uphold Integrity: Ensure management adheres strictly to ethics, transparency, and disclosure requirements.

Deliver Value: Protect the long-term goals of all stakeholders while achieving sustainable, profitable growth.

Strategic Oversight & Accountability: The Board ensures management remains accountable for long-term goals and strict legal compliance.

Operational Transparency: We balance stakeholder expectations for transparency with essential confidentiality.

Board Diversity: We leverage varied expertise from finance to cybersecurity to maintain our competitive advantage.

Chairman of the Board

The Chairman and Managing Director (CMD) is in overall control and responsible for the day-to-day operations of the company. They lead the Board, fostering its integrity and nurturing a collaborative culture for the long-term benefit of all stakeholders.

The CMD drives strategic direction, sets policy guidelines, and ensures the execution of decisions made by the Board and its committees. Primary duties include presiding over meetings of the Board and shareholders, providing effective governance, and facilitating open, effective communication among directors.

The Board, upon the recommendation of the Nomination and Remuneration Committee, has unanimously appointed Dr Ajay Satia as Chairman and Managing Director of the company.

Board Meetings Procedure

The Board meets at regular, pre-scheduled intervals to oversee the Company's overall growth and routine operations. All major decisions are documented and tracked, with an Action Taken Report presented at each subsequent meeting to verify resolution closure.

Strategic Oversight: Evaluation of economic, sustainable, and overall company growth.

Active Tracking: Dissemination of resolutions and maintaining a strict Action Taken Report.

Consultative Scheduling: Board and Committee Meetings are arranged to accommodate all directors.

Composition of the Board of Directors

The Board of your company bears the ultimate responsibility for the organization and administration of the business. The Company recognizes that a well-structured and diverse Board is integral to effective governance and sustainable value creation. It is vital to maintain a well-balanced Board comprising a mix of Executive, Non-Executive, and Independent Woman Directors to ensure independence and effective management.

The Board's composition conforms to the requirements of Section 149(4) of the Companies Act, 2013, and Regulation 17 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time. As of March 31, 2026, the Board consists of eleven (11) members:

Four (4) Executive/Whole-time Directors

Six (6) Non-Executive Independent Directors

One (1) Non-Executive Independent Woman Director

The Board periodically evaluates its composition to identify the need for any changes.

None of the Directors on the Board of the Company is a director in more than seven listed companies and/or is a member of more than ten committees and/or acts as a chairman/chairperson of more than five committees across all the listed companies in which he/she is a director.

Further, no Independent Director serves in more than seven listed companies and no person who is serving as a Whole-Time Director/Managing Director in a listed company is serving as an Independent Director in more than three listed companies. None of the Directors is related to each other except Dr. Ajay Satia, Chairman Cum Managing Director and Sh. Chirag Satia, Executive Director. Independent Directors are non-executive directors as defined under Regulation 16(1)(b) of the SEBI Listing Regulations read with Section 149(6) of the Act along with rules framed there under. In terms of Regulation 25(8) of SEBI Listing Regulations, they have confirmed that they are not aware of any circumstance or situation which exists or may be reasonably anticipated that could impair or impact their ability to discharge their duties. Based on the declarations received from the Independent Directors, the Board of Directors has confirmed that they meet the criteria of independence as mentioned under Regulation 16(1) (b) of the SEBI Listing Regulations and that they are independent of the management.

Certification from Company Secretary in Practice

A certificate has been received from S.Parnami & Associates, Practicing Company Secretaries, that none of the Directors on the Board of the Company have been debarred or disqualified from being appointed or continuing as director in any company, by the Securities and Exchange Board of India ('SEBI'), Ministry of Corporate Affairs or any such statutory authority. The certificate is attached and forming part of this Annual Report.

The names and categories of the Directors on the Board, their attendance at Board Meetings held during the year and the number of Directorships and Committee Chairmanships /Memberships held by them in other public companies as on March 31, 2026 are given herein below.

Meetings Held

During the financial year 2025-26, Four Board Meetings were held on the following dates: -

1. 24-05-2025
2. 11-08-2025
3. 14-11-2025
4. 12-02-2026

The Maximum time gap between any two consecutive meetings was less than one hundred and twenty days.

Composition, Meetings held and Attendance

Composition of Board of Directors and their attendance at the Board Meetings during the year and at Last Annual General Meeting of the Company as also the number of other Directorship and committee Membership/ Chairmanship as on 31.03.2026 are as follows:

Name of Directors	Title	No. of Board Meetings during FY 2025-26		Attendance at 44th AGM held on September 30, 2025	No. of Directorship in other public companies*	No. of Committee positions held in other public companies**	
		Held	Attended			Member	Chairperson
Dr. Ajay Kumar Satia (DIN No: 00850792)	Executive Director	4	4	Yes	-	-	-
Mr. R.K. Bhandari (DIN No: 00732588)	Executive Director	4	4	Yes	-	-	-
Mr. Chirag Satia (DIN NO: 03426414)	Executive Director	4	3	Yes	-	-	-
Mr. Hardev Singh (DIN No: 07943672)	Executive Director	4	4	Yes	-	-	-
Mr. Inder Dev Singh (DIN No : 00825892) ***	Independent Director	4	2	Yes	-	-	-
Mr. Vinod Kumar Kathuria (DIN No: 06662559)	Independent Director	4	4	-	7	5	2
Mr. Ashok Kumar Gupta (DIN No: 08068465)	Independent Director	4	4	Yes	-	-	-

Dr. Mrs. Priti Lal Shivhare (DIN No: 08031894)	Independent Director	4	4	-	-	-	-
Mr. Rajeev Kumar (DIN No: 01879049)	Independent Director	4	4	-	1	-	-
Mr. Ajay Vyas (DIN No: 07553649)	Independent Director	4	4	-	2	-	-
Mr.Deepak Kumar Kakkar (DIN No: 07977188) **	Independent Director	4	3	-	-	-	-
Mr.Vibhor Kapoor (DIN No:10335979) **	Independent Director	4	2	-	-	-	-

*Directorships in other Companies does not include alternate directorships, directorship in foreign bodies corporate, private companies and directorship in this company.

** In accordance with Regulation 26 of the Listing Regulations, Chairmanships/Memberships of only Audit Committee and Stakeholders Relationship Committee in all Public Limited Companies (Listed and Unlisted including Deemed Public Limited Companies) except Foreign Companies, Private Companies, companies registered under Section 8 of the Act and in this company, has been considered. Further, Chairpersonship has also been counted in membership.

***Mr. Inder Dev Singh (DIN No: 00825892) Independents Directors was retired from his office w.e.f 30.09.2025 on completion of his Second Terms of Five years.

**Mr. Deepak Kumar Kakkar and Mr. Vibhor Kapoor were appointed as Independent Directors at the Board Meeting held on August 11, 2025.

Other Directorships

Details of other directorships held in the listed entities as at March 31, 2026 are as under:

Sr. No.	Name of Director	Directorship in other Listed entities	Category of Directorship *(in other listed entities)*
1	Dr. Ajay Kumar Satia #	NIL	NA
2	Mr. R.K. Bhandari	NIL	NA
3	Mr. Chirag Satia #	NIL	NA
4	Mr. Hardev Singh	NIL	NA
5	Dr. Mrs. Priti Lal Shivhare	NIL	NA

6	Mr. Vinod Kumar Kathuria	• Jayaswal Neco Industries Limited • AK Capital Services Limited • Deepak Builders & Engineers India Limited • Sharda Cropchem Limited	Independent Director
7	Mr. Rajeev Kumar	NIL	NA
8	Mr. Ajay Vyas	NIL	NA
9	Mr. Ashok Kumar Gupta	NIL	NA
10	** Mr. Deepak Kumar Kakkar	NIL	NA
11	** Mr. Vibhor Kapoor	NIL	NA
12	* Mr Inder Dev Singh	NIL	NA

Relationship between Directors inter se:

Dr. Ajay Kumar Satia, Chairman Cum Managing Director and Sh. Chirag Satia, Executive Directors of the company are related to each other and none other Directors are, in any way related to each other.

*Mr. Inder Dev Singh (Independent Director) retired upon completion of his second term of five years, effective September 30, 2025.

**Mr. Deepak Kumar Kakkar and Mr. Vibhor Kapoor were appointed as Independent Directors at the Board Meeting held on August 11, 2025.

Membership & Chairmanship of Stakeholder Relationship Committee & Audit Committee of Indian Public Limited Companies (whether listed or not) have been considered.

Shares and Convertible securities held by Non-Executive Directors:

As on March 31, 2026, the Non-Executive/Independent Directors of the Company does not hold any shares of the company and the company has not issued any convertible securities.

Key Board qualifications, skills, expertise and attributes

Key Skills / Expertise / Competencies identified by the Board of Directors. The Board has identified the following skills/expertise/ competencies fundamental for the effective functioning of the Company which are currently available with the Board:

Industry knowledge/ex perience	Technical skills/ experience	Behavioural Competencies
Consulting Experience	Accounting and finance	Integrity and ethical standards
Manufacturing Industry Experience	Industrial Engineers	Mentoring Abilities
Understanding of relevant laws, rules, regulation and policy	Talent Management	Critical Thinking

Analysing Business Problems	Compliance and Risk	Strategic Planning
Adapting to changing Business Conditions	Devising plans for New Business	Entrepreneurial & Commercial Acumen
Recommending cost-cutting Measures	Proposing solutions to Business Problems	Analytical Decision Making
Recommending Process Improvements	Innovation	Customer Centricity

The Board should comprise of Directors with qualification/experience in various areas like Finance, Legal, Corporate Governance, the names of Directors who possess such skills/expertise/competencies is given below:

a) Dr. Ajay Satia, Mr. R.K. Bhandari, Mr. Chirag Satia and Mr. Hardev Singh, Our Executive Directors are entrepreneurs having a manufacturing Industry experience, talent management, plan for new business and analyzing business problems, adopting to change in business conditions, Accounting and financial and recommending cost cutting and process improvement and Leadership skills, Proposing Solutions to Business Problems, Innovation, strategic planning, analytical decision making with wide industry knowledge and experience and requisite skills for Company's operations.

b) Mr. Ashok Kumar Gupta, Mr. Ajay Vyas, Dr. Mrs. Priti Lal Shivhare, Mr. Rajeev Kumar, Mr. Vinod Kumar Kathuria, Mr. Deepak Kumar Kakkar and Mr. Vibhor Kapoor our Non-Executive Independent Directors are professionals with financial backgrounds having Accounting and finance, Integrity and ethical standard, Critical thinking Mentoring abilities, Strategic Planning, advising on cost cutting and process improvement.

Selection of Independent Directors

In view of the requisite skill sets on the Board, individuals of eminence, possessing an independent standing in their respective fields/professions and the ability to contribute effectively to the Company's business and policy decisions, are considered by the Nomination and Remuneration Committee for appointment as Independent Directors.

While evaluating such candidates, the Committee, inter alia, considers their positive attributes, areas of expertise and the number of directorships and committee memberships held in other companies, in accordance with the Company's Policy on Selection of Directors and determination of Directors' independence. The Committee also assesses the existing skills, knowledge and experience available on the Board, on such evaluation, prepares a description of the role and capabilities required of an Independent Director. The person recommended for appointment is expected to possess the identified capabilities. The Board, thereafter, considers the recommendations of the Committee and takes an appropriate decision regarding the appointment.

Role of Independent Directors

Directors play a key role in the decision making process of the Board and in shaping various strategic initiatives of the Company. The Independent Directors are committed to act in what they believe is in the best interests of the Company and its stakeholders. The wide knowledge that is possessed in their respective fields of expertise and best-in-class boardroom practices help foster varied, unbiased, independent and experienced perspective. The Company benefits immensely from their inputs in achieving its strategic direction and guidance towards its long-term goals. The Company has subsidiaries in India and overseas. In order to leverage the experience and expertise of Independent Directors of the Company for the benefit of and for enhanced Corporate Governance and reporting to the Board. All Independent Directors of the Company have been appointed as per the provisions of the Act and the SEBI Listing Regulations. The Independent Directors have been appointed for a fixed tenure of five years from their respective dates of appointment. Based on the disclosures received from the Independent Directors at the time of their appointment and thereafter, at the beginning of each financial year and also in the opinion of the Board, the Independent Directors fulfil the conditions specified in the Act and the SEBI Listing Regulations and are independent of the Management.

Independent Directors Meeting

During the year under review, two Independent Directors meetings were held on August 11th, 2025 and February 02nd 2026 respectively inter alia to discuss: - Overall operations - Business Strategy - Overall performance of the Senior Management. Pursuant to the requirements of the Listing Regulations and Schedule IV of the Companies Act, 2013 on Code of Conduct of the Independent Directors, the Independent Directors had reviewed and evaluated the performance of Non-Independent Directors and the Board as a whole and the same was found satisfactory.

Familiarization Program for Independent Directors

The Company has a process in place to familiarize Directors with its operations, industry dynamics and governance framework. All the Directors are made aware of their roles and duties at the time of their appointment. Periodically, the Company provides familiarization Program to the Independent Directors to enable them to understand the business of the Company. At the meetings of the Board of Directors held on quarterly basis, presentations on the Manufacturing and Technical Operations, Financials and Marketing are made. The Management also endeavors to apprise the Directors regarding their responsibilities in case of change / amendment to the Rules and Regulations. The details of the familiarization program have been displayed on the Company's websitehttps://www.satiagroup.com/

Succession Planning

The Nomination and Remuneration Committee works closely with the Board on leadership succession planning and also formulates contingency plans for smooth succession and transition at the Board and senior management levels. It identifies the desired skill sets and areas of expertise required and continuously reviews the same. Any vacancies are assessed in advance and addressed through a structured and systematic process.

Board Level Committees

There are five Board Committees as on March 31, 2026 for smooth and efficient operation of the activities and is responsible for constituting, assigning, co-opting and fixing the terms of reference for the committees in line with the laws of land. The chairman, quorum and the terms of reference of each committee have been approved by the Board.

Audit Committee

The Audit Committee has been constituted by the Board in compliance with the requirements of Section 177 of the Act and Regulation 18 of the Listing Regulations.

The Audit Committee acts as a link between the statutory and internal auditors and the Board of Directors. The Audit Committee assists the Board in its responsibility for overseeing the quality and integrity of the accounting, auditing and reporting practices of the Company and its compliance with the legal and regulatory requirements. The Committee's purpose is to oversee the accounting and financial reporting process of the Company, the audits of the Company's financial statements, the appointment, independence and performance of the statutory auditors and the internal auditors.

Audit Committee and Attendance at its meeting is given hereunder: -

The Audit committee reviews the matters falling in its terms of reference and addresses larger issues and examine those facts that could be of vital concerns to the company.

Terms of Reference

The terms of reference of the Audit Committee covers the areas mentioned in Section 177 of the Act and Regulation 18 read with Part C of Schedule II to the Listing Regulations.

The Terms of reference of the Audit Committee, inter-alia are as follows:

1. Oversight of financial reporting process and the disclosure of its financial information to ensure that the financial statement is correct, sufficient and credible.
2. Recommendation for appointment and terms of appointment of auditors.
3. Reviewing with the management, the annual

financial statements and auditor's report thereon before submission to the board for approval with particular reference to:

a) Changes if any, in accounting policies and practices and reasons for the same;

b)Major accounting entries involving estimate based on the exercise of judgment by management;

c)Significant adjustments made in the financial statements arising out of audit findings;

d) Compliance with listing and other legal requirements relating to financial statements;

e) Disclosure of any related party transactions;

f) Modified opinion(s) in the draft audit report;

4. Reviewing with the management, the quarterly financial statements before submission to the board for approval;

5. Reviewing with the management, the statement of uses/application of funds raised through an issue (public issue, rights issue, preferential issue, etc.), the statement of funds utilized for purposes other than those stated in the offer document/ prospectus /notice and the report submitted by the monitoring agency monitoring the utilization of proceeds of a public or rights issue and making appropriate recommendations to the board to take up steps in this matter;

6. Reviewing and monitoring the auditor's independence and performance and effectiveness of audit process;

7. Approval of transactions of the listed entity with related parties;

8. Scrutiny of inter-corporate loans and investments;

9. Evaluation of internal financial controls and risk management systems;

10. Reviewing with the management, performance of statutory and internal auditors, adequacy of the internal control systems;

11. Reviewing the adequacy of internal audit function, if any, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit;

12. Discussion with internal auditors of any significant findings and follow up thereon;

13. Reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the board;

14. Discussion with statutory auditors before the audit commences, about the nature and scope of audit as well as post-audit discussions ascertain any area of concern;

15. To review the functioning of the whistle blower mechanism;

16. Approval of appointment of chief financial officer after assessing the qualifications, experience and background etc. of the candidate;

17. Carrying out any other function as is mentioned in the terms of reference of the audit committee.

The Audit Committee shall mandatorily review the following information: -

1. Management discussion and analysis of financial condition and results of operations.

2.Management letters/letters of internal control weaknesses issued by the statutory auditors.

3. Internal audit reports relating to internal control weaknesses.

4.The appointment, removal and terms of remuneration of the internal auditor shall be subject to review by the audit committee

Internal Audit

The Company has adequate Internal Control and Internal Audit system commensurate with its size and nature of its Business. The Internal Audit Plan is approved by the Audit Committee and the Internal Auditors present their reports to the Audit Committee for their consideration.

All the Members on the Audit committee have the requisite qualification for appointment on the Committee and possess sound knowledge of finance, accounting practices and internal controls. Mr. Rakesh Kumar Dhuria, Company Secretary acts as Secretary of the committee. The Statutory Auditors of the company attend the meetings as Special invitees.

Details of the Audit Committee Meetings

During the year under review, four (4) Meetings of Audit Committee were held as below: -

(1) 24-05-2025
(2) 11-08-2025
(3) 14-11-2025
(4) 12-02-2026

Composition of Audit Committee Attendance of the Members at the Committee Meetings during the year are as under:

Sr. No.	Name of Members	Status in Committee	Directorship	No. of Meetings attended
1	Mr. Ajay Vyas *	Chairman	Independent Director	4
2	Mr. R. K. Bhandari	Member	Joint Managing Director	3
3	Mr. Inder Dev Singh **	Chairman	Independent Director	2
4	Mr. Ashok Kumar Gupta ***	Member	Independent Director	2

* Mr. Ajay Vyas was appionted as Chairmen of Audit Committee w.e.f. 30.09.2025

** Mr. Inder Dev Singh, Independent Director, Chairman of Audit Committee retired from the Office w.e.f 30.09.2025 on completion of his second term of five years.

*** Mr. Ashok Kumar Gupta Independent Director, Member of Audit Committee was appointed w.e.f. 11.08.2026

Nomination and Remuneration Committee (NRC):

The Nomination and Remuneration Committee of the Company is constituted in line with provisions of Regulation 19 of SEBI (LODR) Regulations, 2015 read with Section 178 of the Companies Act, 2013.

Brief Description of Terms of reference:
Terms of Reference:

The terms of reference of the Committee are wide enough covering the matters specified in Listing Regulations and the Companies Act, 2013 and Terms of reference of the Committee briefly are as under:

- Formulation of the criteria for determining qualifications, positive attributes and independence of a director.
- Formulation of criteria for evaluation of Independent Directors and the Board
- Devising a policy on Board diversity.
- Formulation of policies for remuneration to Directors, Key Managerial Personnel, Senior Management Personnel and other Employees.
- Identification and recommendation to Board of persons who are qualified to become Directors, Key Managerial Personnel and Senior Management Personnel and in accordance with the criteria laid down.
- Recommend to the Board on appointment and removal of Directors, Key Managerial Personnel and Senior Management Personnel.
- Evaluation of the performance of Directors (other than independent directors).
- Evaluation of the performance of independent directors and make recommendations to Board.
- To oversee succession planning for Board of Directors, Key Managerial Personnel and Senior Management Personnel
- Formulation of criteria for making payment to Non-Executive Directors,
- Recommend to the board, all remuneration, in whatever form, payable to senior management.

Composition and Attendance of Nomination and Remuneration Committee Meeting held on 11.08.2025

Sr. No.	Name of Member	Status in Committee	Directorship	Number of Meetings During the year 2025-26	
				Held	Attended
1	Mr. Ashok Kumar Gupta	Chairman	Independent Director	1	1
2	Dr. Mrs. Priti Lal Shivhare	Member	Independent Director	1	1

3	*Mr. Inder Dev Singh	Chairman	Independent Director	1	1
4	***Mr. Deepak Kumar Kakkar	Member	Independent Director	0	0

*** Mr. Inder Dev Singh,** Independent Director and Committee Member, retired from office with effect from 30.09.2025 upon completion of his second term of five years.

*** **Mr. Deepak Kumar Kakkar** Independent Director was appointed with effect from 14.11.2025.

Annual Evaluation of Board of Directors, Committees and Individual Directors

Pursuant to the provisions of the Companies Act, 2013, Listing Regulations and as per the Nomination and Remuneration Policy, the Board of Directors/ Independent Directors/ Nomination & Remuneration Committee ("NRC") (as applicable) had undertaken an evaluation of the Board's own performance, the performance of its Committees and of all the individual Directors including the Chairman of the Board of Directors based on various parameters relating to roles, responsibilities and obligations of the Board, effectiveness of its functioning, contribution of Directors at meetings and the functioning of its Committees. Performance evaluation of independent directors is done by the Nomination and Remuneration Committee on criteria more particularly described in the Nomination and Remuneration Policy, a copy of which is attached as Annexure VI to the Board Report. Based on the recommendations of the NRC, the Board of Directors decide to continue their appointment or consider them for reappointment, as applicable.

NOMINATION AND REMUNERATION POLICY

Remuneration policy of the Company is designed to create a high-performance culture. It enables the Company to attract, retain and motivate employees to achieve results. The Company's philosophy for remuneration of Directors, Key Managerial Personnel and all other employees is based on the commitment of fostering a culture of leadership with trust. The Company has adopted a Policy for remuneration of Directors, Key Managerial Personnel and other employees, which is aligned to this philosophy. The key factors considered in formulating the Policy are as under:

1. To attract, retain and motivate qualified and competent individuals as Director, Key Managerial and other employee levels to carry out company's business operations as assigned to them.

2. To ensure payment of salaries and perks that are comparable to market salary levels so as to remain competitive in the industry.

3. To revise the remuneration of its employees periodically for their performance, potential and value addition after systematic assessment of such performance and potential. To ensure disbursal of salary and perks in total compliance to the applicable statutory provisions and prevailing tax laws of the Country.

In order to meet the above objectives, the company undertakes various processes in an ongoing manner such as conducting of salary surveys, periodic review of its performance appraisal, institution of incentive schemes, providing skill and competency development to its manpower on a regular basis.

REMUNERATION OF DIRECTORS

The Nomination and Remuneration policy provides a framework for appointment of Director, Key Managerial Personnel and Senior Management, their performance evaluation and fixing their remuneration based on their performance.

Managing Director and Whole Time Directors are appointed as per agreement and are being paid remuneration as approved by the Remuneration Committee, Board and the shareholders. Sitting fees is paid to the Directors for attending the meetings of the Board of Directors/committees thereof. The detail of remuneration paid to directors during the period ended March 31, 2026 is as under:

Sr. No.	Name of Directors	Sitting Fee (Rs in Lakh)	Salary	P.F	Others	Total (Rs in Lakh)
1	Dr. Ajay Satia		8,40,00,000	-	2,72,310	8,42,72,310
2	Mr. R.K. Bhandari		1,80,00,000		1,22,527	1,81,22,527
3	Mr. Chirag Satia		6,00,00,000	23,400	15,000	6,00,38,400
4	Mr. Hardev Singh		75,00,000		50,458	75,50,458
5	Mr. Ajay Vyas	5,40,000		-	-	5,40,000
6	Mr. Ashok Kumar Gupta	4,60,000		-	-	4,60,000
7	Mrs. Dr.Priti Lal Shivhare	3,20,000		-	-	3,20,000
8	Mr. Vinod Kumar Kathuria	3,00,000		-	-	3,00,000
9	Mr. Rajeev Kumar	3,00,000		-	-	3,00,000
10	*Mr. Inder Dev Singh	2,70,000		-	-	2,70,000
11	**Mr. Deepak Kumar Kakkar	2,50,000		-	-	2,50,000
12	**Mr. Vibhor Kapoor	1,50,000		-	-	1,50,000

*** Mr. Inder Dev Singh,** Independent Director retired from office with effect from 30.09.2025 upon completion of his second term of five years.

***** Mr. Deepak Kumar Kakkar and Mr. Vibhor Kapoor** Independent Directors, were appointed with effect from 11.08.2025.

Criteria of making payments to non-executive directors have been disseminated on the website of the company at www.satiagroup.com

The Company's Nomination and Remuneration Policy for Directors, Key Managerial Personnel and Senior Management Personnel forms part of the Board's Report and is also accessible on Company's website www.satiagroup.com.

Corporate Social Responsibility (CSR) Committee

The Corporate Social Responsibility (CSR) Committee has been constituted by the Board in compliance with the requirements of Section 135 of the Act.

The composition of the committee as at 31st March, 2026 and detail of member's participation at the meeting of the committee are as under:

Name of the Members	Designation	Meeting Held	Meeting Attended
Mr. Ashok Kumar Gupta	Chairman	1	1
Mr. R. K. Bhandari	Member	1	1
Mr. Chirag Satia	Member	1	1

The Meeting of CSR Committee was held on 12.02.2026 under the Chairmanship of Mr. Ashok Kumar Gupta, Independent Director.

The terms of reference of the CSR Committee are:

a. Formulate and recommend to the Board, a CSR Policy indicating the activity or activities to be undertaken by the Company as specified in Schedule VII to the Act.

b. Recommend the amount to be spent on CSR activities.

c. Monitor implementation and adherence to the CSR Policy of the Company from time to time.

d. Such other activities as the Board of Directors determine as they may deem fit in line with CSR Policy

The Board has adopted the CSR Policy as formulated and recommended by the Committee. The CSR Policy is available on the website of the Company atthe web link: https://www.satiagroup.com

Risk Management Committee:

The Risk Management Committee of the Company is constituted in line with the provisions of Regulation 21 of the Listing Regulations. The Board of the Company has constituted a Risk Management Committee to frame, implement and monitor the Risk Management Plan for the Company. During the Financial Year 2025-26, the Risk Management Committee met on twice i.e. 05.08.2025 and 30.01.2026

Composition of the Risk Management Committee and attendance

Sr. No.	Name of Director	Category	Date of meeting and Attendance of Director	
			05.08.2025	30.01.2026
1	Mr. Ajay Vyas	Independent Director Chairman	Yes	Yes
2	Mr. R. K. Bhandari	Joint Managing Director - Member	Yes	Yes
3	Mr. Chirag Satia	Executive Director Member	Yes	Yes
4	Mr. Hardev Singh	Director (Technical)- Member	Yes	Yes

Business Risk Evaluation and Management is an ongoing process within the organization. The company has a risk management framework to identify, monitor and minimize risks as also identify business opportunities.

The objectives and scope of the Risk Management Committee broadly comprise of

1. Oversight of risk management performed by the executive management:
2. Reviewing the BRM policy and framework in line with local legal requirements and SEBI guidelines.
3. Reviewing risks and evaluate treatment including initiating mitigation actions and ownership as per a pre-defined cycle:
4. Defining framework for identification, assessment, monitoring, mitigation and reporting of risks.
5. Within its overall scope as aforesaid, the Committee shall review risks trends, exposure, potential impact analysis and mitigation plan

Stakeholders Relationship Committee

The Committee's composition and terms of reference are incompliance with the provisions of the companies Act, 2013 and Regulation 20 of the listing Regulations.

The Committee met on 12.02.2026. The composition of committee is as below: -1. Mr. Ashok Kumar Gupta, Independent Director: Chairman

2 . Mr. R. K. Bhandari, Joint Managing Director: Member

3. Mr. Chirag Satia, Executive Director: Member

4. Mr. Rakesh Kumar Dhuria, Company Secretary acts as Secretary of the committee

Attendance Record of Stakeholders Relationship Committee Meetings during FY 2025-26

Sr. No.	Name of Director	Category	Attendance of SRC meeting held on 12.02.2026
1	Mr. Ashok Kumar Gupta	Independent Director, Chairman	Yes
2	Mr. R. K. Bhandari	Joint Managing Director - Member	Yes
3	Mr, Chirag Satia	Executive Director- Member	Yes

The Stakeholders' relationship Committee is primarily responsible to review all matters connected with the Company's redressal of shareholders' / investors'/ security holders' complaints.

Terms of Reference of the Committee inter alia include the following:

Consider, resolve and monitor redressal of investors'/shareholders'/ security holders' grievances related to transfer of securities, non-receipt of annual reports, non-receipt of declared dividend, issue/new duplicate certificates, general meetings and so on. Oversee the performance of the Company's registrars and transfer agents. Monitor implementation and compliance with the Company's Code of Conduct for prohibition of Insider trading. Annual performance evaluation of the Committee. To carry out any other function as is mandated by the Board from time to time and / or enforced by any statutory notification, amendment or modification as may be applicable.

Shareholder and Investor Complaints received and redressed during FY 2025-26

Total Complaint Received	Total Complaints Redressed	Complaints not solved to the satisfaction of Shareholders	Pending as on March 31, 2026
2	2	NIL	NIL

Recommendations made by any of the above Committees which were not accepted by the Board

During the year under review, there were no instances where the Board has not accepted any recommendation(s) made by any of the Committee of the Board.

Senior Management

Particulars of Senior Management Personnel as defined under Regulation 16(1)(d) of SEBI (LODR) as on March 31,2026 Including the changes therein since the close of the previous financial year

S. No.	Name	Designation
1	Dr. Ajay Kumar Satia	Chairman Cum Managing Director
2	Mr. Rajinder Kumar Bhandari	Joint Managing Director
3	Mr. Chirag Satia	Executive Director
4	Mr. Hardev Singh	Director(Technical)
5	Mr. Manav Sarin	VP. (Sales and Marketing)
6	Mr. Arun Goyal	Sr. GM. (Human Resource)
7	Mr. L.D. Verma	AVP. (Purchase and Store)
8	Mr. M.H. Akhtar	Sr. GM. (Raw Material)
9	Mr. Ashutosh Shukla	AVP. (Process)
10	Mr. Rakesh Kumar Dhuria	Sr GM (Secretarial) and Company Secretary
11	Mr. Rachit Nagpal	GM (Finance) and CFO

General Body Meetings

(a) The Last Three Annual General Meetings were held as under:

Sr. No.	Financial year	Date	Time	Location	No of Special Resolutions Passed
1	2024-25	30.09.2025	10:30 AM	At the Registered Office VPO: Rupana, Malout-Muktsar Road, Sri Muktsar Sahib- 152032	Four
2	2023-24	30.09.2024	10:00AM	At the Registered Office VPO: Rupana, Malout-Muktsar Road, Sri Muktsar Sahib- 152032	Four
3	2022-23	30.09.2023	09:00AM	At the Registered Office VPO: Rupana, Malout-Muktsar Road, Sri Muktsar Sahib- 152032	Three

b) Postal Ballot

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Procedure adopted for Postal Ballot

During the year no resolutions was passed through Postal Ballot.

Means of Communication

The Company's Quarterly, half yearly and Annual Financial Results are published in the newspapers, submitted to the National Stock Exchange of India Limited (NSE) and BSE Limited (BSE) and published in 'Financial Express' and 'Punjabi Jagran' as well as uploaded on the Company's website at www.satiagroup.com. The Company also issues press releases/ advertisement from time to time which are submitted NSE & BSE and uploaded on Company's website https://www.satiagroup.com .

Annual Reports

The Annual Reports are emailed/posted to Members and others entitled to receive them. The Annual Reports are also available on the Company's website at https://www.satiagroup.com in a user-friendly downloadable form. The Notice of the AGM along with the Annual Report for FY 2025-26 is being sent only through electronic mode to those Members whose email addresses are registered with the Company/ Depositories/RTA in compliance with the Act and SEBI circulars. However, Members desiring a physical copy of the Annual Report for FY 26, may either write to us or email us on satia.secretarial@satiagroup.com , to enable the Company to dispatch a copy of the same. Please include details of Folio No./DP ID and Client ID and holding details in the said communication. NSE Electronic Application Processing System (NEAPS) and BSE Online Portal: NSE has provided online platform

NEAPS wherein the Company submits all the compliances/disclosures to the Exchange in the SEBI prescribed format. Similar filings are made with BSE on their online Portal viz. BSE Corporate Compliance & Listing Centre.

e Xtensible Business Reporting Language (XBRL):

XBRL is a standardized and structured way of communicating business and financial data in an electronic form. XBRL provides a language containing various definitions (tags) which uniquely represent the contents of each piece of financial statements or other kinds of compliance and business reports. BSE and NSE provide XBRL based compliance reporting featuring identical and homogeneous compliance data structures between Stock Exchanges and MCA. XBRL filings are done on the NEAPS portal as well as the BSE online portal.

Complaint Redress System:

SEBI Complaints Redressal System (SCORES): Investor complaints are processed at Securities and Exchange Board of India ("SEBI") in a centralized web-based complaints redressal system. The salient features of this system are centralized database of all complaints, online upload of Action Taken Reports by the companies and online viewing by investors of actions taken on the complaints and their current status.

Online Dispute Resolution: SEBI vide its Circular dated July 31, 2023 issued guidelines for members to resolve their grievances by way of Online Dispute Resolution ("ODR") through a common ODR portal. If the grievance is not redressed satisfactorily by the Registrar and Transfer Agent (Beetal Financial Computer Services (P) Limited), the member may escalate the same through: i) SCORES Portal in accordance with the SCORES guidelines, and ii) if the member is not satisfied with the outcome, dispute resolution can be initiated through the ODR Portal at https://smartodr.in/login

Share Transfer System:

Members are advised to convert their physical shareholding into electronic holding in order to mitigate the risks associated with holding physical share certificates and also derive other benefits of dematerialization, such as easy liquidity, electronic transfer, etc. In terms of Regulation 40(1) of SEBI LODR Regulations, 2015, as amended from time to time, transfer, transmission and transposition of securities shall be processed only in dematerialized form. Pursuant to SEBI Circular HO/38/13/(3)2026-MIRSDPOD/I/3763/2026 dated January 30, 2026 the listed companies shall issue the securities in dematerialized form only, for processing any service requests from shareholders viz., issue of duplicate share certificates, endorsement, transmission, transposition, etc. After processing the service request, to reduce timelines and mitigate the risk of loss or pilferage, SEBI has removed the requirement for a Letter of Confirmation (LOC). Instead, securities will now be credited directly into the investor's demat account after necessary due diligence with effect from April 2, 2026. Accordingly, the shareholders are requested to make service requests by submitting a duly filled and signed Form ISR-4 along with the documents/details specified therein and accompanied with original share certificate, a copy of the latest Client Master List ("CML") not be older than two months and shall be duly attested by the Depository Participant. The Registrar and Share Transfer Agent/listed entity shall verify and process the service requests and thereafter issue securities to the securities holder/ claimant in dematerialized form, directly in the demat account of the securities holder/claimant, within 30 days of its receipt of such request after removing all objections. Any LOC issued prior to April 2, 2026, remains valid for submission to your Depository Participant for a period of 120 days from its date of issuance.

'100 Days' Campaign -''Saksham Niveshak'' by Investor Education and Protection Fund (IEPF) Authority:

During the year, your Company had launched '100 days' campaign - "Saksham Niveshak'' pursuant to the investor Education and Protection Fund Authority (IEPF Authority), Ministry of Corporate Affairs, vide its circular dated July 16, 2025. This drive is aimed at empowering shareholders by creating awareness about unclaimed dividends held by companies and guiding them through the process of updating their Know Your Customer (KYC) and nomination details to reclaim their rightful dividend. The key objectives of the campaign as follows:

Facilitate the resolution of cases related to unclaimed dividends lying with companies.

- Support KYC and nomination updates for shareholders.
- Ensure direct dividend payouts from companies to the rightful investors.

In continuation of earlier '100 days' campaign, your Company has launched second '100 days' campaign - "Saksham Niveshak" from April 1, 2026 to July 9, 2026 pursuant to Communication received from the IEPF Authority.

Shareholders are requested to update your KYC details such as PAN, E-mail Address, Contact Number, Address, Bank Details and Nomination etc., in order to ensure timely receipt of the dividends declared by the Company directly to your bank accounts and preventing the transfer of such dividends and shares to the IEPF. In this regard, the Company also published notices in the newspapers from time to time to create awareness about the campaign, and the same has been duly communicated to the Stock Exchanges.

Disclosures

a) There is no material related party transactions during the year that have conflict with the interest of the Company. Transactions entered with related parties during the financial year were in the ordinary course of business and at arms' length basis and were approved by the Audit Committee. The Board's approved policy for related party transactions is uploaded on the website of the Company i.e wwww.satiagroup.com.

b) The Board has received disclosures from Key Managerial Personnel and Senior Management relating to material, financial and commercial transactions where they and/or their relatives have personal interest. There are no materially significant related party transactions which have potential conflict with the interest of the Company at large.

c) The Auditors have expressed an unmodified opinion in their report on the financial statements of the Company. The Internal Auditor of the Company reports to the Audit Committee. The URL of policy for determining 'material' subsidiaries is https://www.satiagroup.com. Certificate has been obtained from M/s. Parnami & Associates, Practicing Company Secretaries that none of the Directors on the Board of the Company have been debarred or disqualified from being appointed or continuing as Directors of Companies by the Securities and Exchange Board of India (SEBI) Ministry of Corporate Affairs or any such statutory authority the same is reproduced in this report. During the year there were no instances where Board had not accepted any recommendation of any Committee of the Board which is mandatorily required.

Statutory Auditor Fee

The Company paid Rs 22.00 Lakh statutory audit fees to the Statutory Auditors during the Financial Year 2025-26.

Payment of Listing Fees

Annual listing fees for the FY 2026-27 has been paid by the Company to BSE Limited and National Stock Exchange of India Limited.

KYC Compliance:

Members holding shares in physical form are requested to promptly notify in writing any changes in their address and/or Bank Account Details and/or any other details to the Company or M/s Beetal Financial and Computer Services Private Ltd.

Payment of dividend in electronic mode:

SEBI vide its Circular No. SEBI/HO/MIRSD/MIRSD_RTAMB/P/CIR/2021/655 dated November 3, 2021 (subsequently amended by Circular Nos. SEBI/HO/MIRSD/MIRSD_RTAMB/P/CIR/2021/687 dated December 14, 2021, SEBI/HO/MIRSD/MIRSDPoD-1/P/CIR/2023/37 dated March 16, 2023 and SEBI/HO/MIRSD/ PoD-1/P/ CIR/2023/181 dated November 17, 2023) has mandated that with effect from April 1, 2024, dividend to security holders (holding securities in physical form), shall be paid only through electronic mode. Such payment shall be made only after furnishing the PAN, choice of nomination, contact details including mobile number, bank account details and specimen signature. Further SEBI has mandated that no 'payable at par' warrants or cheques or drafts shall be issued towards dividend payouts vide SEBI (Listing Obligations and Disclosure Requirements) (Fifth Amendment) Regulations, 2025.

General Shareholders information:

a) Annual General Meeting

Date and Time: 30.09.2026 (10.30 AM)

Venue: Registered Office of the Company at VPO: Rupana, Malout Muktsar Road, Sri Muktsar Sahib-152032, Punjab

b) Financial Calendar Next Financial Year April 1st ,2026 to March 31st, 2027

c) Listing on Stock Exchange: Equity Shares of the Company is listed at BSE Ltd & NSE

d) Stock Code:

BSE Limited: 539201
NSE Symbol: SATIA
ISIN Number: INE170E01023
CIN Number: L21012PB1980PLC004329

e) Market Price Data

Market Price Data, High, low during each month in the last financial Year. The monthly high low stock quotation during last financial year at BSE and NSE is given below:

Month & Year	BSE		NSE	
	High Price	Low Price	High Price	Low Price
Apr-25	78.00	64.56	77.58	64.40
May-25	82.50	66.09	82.99	66.21
Jun-25	97.00	76.50	97.50	77.00
Jul-25	95.06	82.50	95.48	82.38
Aug-25	90.00	78.00	90.70	78.51
Sep-25	85.67	78.34	86.00	78.40
Oct-25	83.40	76.14	83.80	76.00
Nov-25	77.47	67.30	77.33	67.30
Dec-25	72.00	64.83	72.24	64.71
Jan-26	69.00	58.47	68.59	58.00
Feb-26	70.43	58.70	70.90	59.00
Mar-26	64.25	50.62	64.49	50.80

f) Registrar & Transfer Agents:

The details of Registrar & Transfer Agent appointed by the Company are as under:

Beetal Financial & Computer Services (P) Limited Beetal House,3rd Floor, 99 Madangir, Behind Local Shopping complex, New Dada, Harsukhdas Mandir, New Delhi - 110062

g) Share Transfer System

The company's shares are in compulsory dematerialized list and are transferable through depository system. Shares in physical form are processed and approved by M/s Beetal Financial and Computer Services Pvt. Ltd., the Registrar and transfer Agents,

h) Distribution of shareholding as on March 31, 2026

No. of equity shares held	No of Share holders	% Age	No of Shares	Total %
Up To 5000	51435	98.56	14863826	14.86
5001 To 10000	400	0.77	2944054	2.94
10001 To 20000	183	0.35	2576445	2.58
20001 To 30000	59	0.11	1489748	1.49
30001 To 40000	20	0.04	688707	0.69
40001 To 50000	16	0.03	736464	0.74
50001 To 100000	37	0.07	2782691	2.78
100001 and Above	34	0.07	73918065	73.92
Total	52184	100.00	100000000	100

Categories of shares as on 31.03.2026

Sr No.	Particulars	No of Shares	Amount (Rs. In Lacs)	%Age
1	Promoter Core Promoter	52460389	52460389	52.46
2	Friends Relatives	0	0	0
3	Financial Institutes	0	0	0
4	Public	47539611	47539611	47.54
5	Banks	0	0	0
6	Others	0	0	0
	Total	100000000	100000000	100.00

1) The quarterly financial results will be adopted as per the following tentative Shhedule

Results	Announced on
For 1st Quarter ended on 30.06.2026	August, 2026
For 2nd Quarter ended on 30.09.2026	November, 2026
For 3rd Quarter ended on 31.12.2026	February, 2027
For the Year ended on 31.03.2027	May, 2027

j) Date of Book closure: 24th September, 2026 to 30th September, 2026 (Both days inclusive)

k) Dematerialization of shares & liquidity

The shares of the company are in demat and available in depository system of both NSDL and CDSL.

l) Plant location: Muktsar- Malout Road, V.P.O. Rupana, Distt. Sri Muktsar Sahib-152032 **(Punjab)**

m) Investors Correspondence: Muktsar-Malout Road, VPORupana Distt. Sri Muktsar Sahib-152032 (Punjab)

n) Website: the Company's website (www.satiagroup.com) contains a separate dedicated section "Investor Relation" where shareholder's information, all required policies under SEBI (LODR) Regulations, 2015 and all other applicable laws are available. The Company's annual report is also available in a user-friendly and downloadable form.

Other Disclosures

a. Related Party Transactions

All material transactions entered into with related parties as defined under the Act and Regulation 23 of SEBI listing Regulations during the financial year were in the ordinary course of business. These have been approved by the audit committee and also by in their respective Board of Director meetings. The Board has approved a policy for related party transactions which has been uploaded on the Company's website i.e. www.satiagroup,com.

b . Compliance made by the Company

The company has made the compliance of the stock exchanges, SEBI and other statutory authorities on all matters related to capital market.

During the last three years, there were no strictures or penalties imposed on the Company either by the Stock Exchanges or SEBI, or any other statutory authority for non-compliance of any matter related to capital markets.

c. The management discussion and Analysis report forms part of the Annual report as an addition to the Directors' report.

d. Vigil Mechanism

The Board of Directors of the Company has adopted a Whistle Blower & Vigil Mechanism Policy for establishing a mechanism for employees to report to the management concerns about unethical behavior, actual or suspected fraud or violation of the Company's Code of Conduct or ethics policy. The said policy has been posted on the Company's website at https://www.satiagroup.com. The Company affirms that no employee has been denied access to the Chairman of Audit Committee of Directors. All mandatory requirements as prescribed under Schedule II Listing Regulations have been complied by the Company.

e. Reconciliation of share capital audit

A qualified practicing Company Secretary has carried out a share capital audit to reconcile the total admitted equity share capital with the National Securities Depository Limited ("NSDL") and the Central Depository Services (India) Limited ("CDSL") and the total issued and listed equity share capital. The audit report confirms that the total issued / paid- up capital is in agreement with the total number of shares in physical form and the total number of dematerialized shares held with NSDL and CDSL.

f. The Company has formulated a policy for the determination of material subsidiaries in accordance with applicable regulatory requirements, the policy is available on the Company's website at www.satiagroup.com.

g. The Company has formulated a policy on dealing with related party transactions in accordance with applicable regulatory requirements, the policy is available on the Company's website at www.satiagroup.com.

Agreements relating to the Company

There are no agreements with any party which impact the management or control of the Company or impose any restriction or create any liability upon the Company.

Disclosures with respect to the Demat Suspense Account / Unclaimed Suspense Account

In accordance with the requirements of Regulation 34(3) and Part F of Schedule V of the SEBI Listing Regulations, the Company reports the following details in respect of the equity shares lying in the 'Satia Industries Limited Unclaimed Shares Demat Suspense Account' **.The Company is in the regime of unmodified opinions on financial statements.**

For and on behalf of the Board of Director

(Dr. Ajay Satia)
Chairman-Cum- Managing Director

(R. K. Bhandari)
Joint Managing Director

Place: Chandigarh
Dated: 14.08.2026

ANNEXURE – A

CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS

(Pursuant to Part C of Schedule V of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Regulation 34(3) of the said Listing Regulations)

To
The Members,
Satia Industries Limited
VPO. Rupana, Malout-Muktsar Road,
Shri Muktsar Sahib (Punjab)-152032

We have examined the relevant registers, records, forms, returns and disclosures received from the Directors of Satia Industries Limited ("Company") having CIN: L21012PB1980PLC004329 and having its registered office at VPO Rupana, Malout-Muktsar Road ,Distt. Shri Muktsar Sahib -152032(Punjab), produced before us by the Company for the purpose of issuing this Certificate, in accordance with Regulation 34(3) read with Schedule V Para-C Sub clause 10(i) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015. Based on our examination as aforesaid and such other verifications carried out by us as deemed necessary and adequate (including Directors Identification Number (DIN) status at the portal www.mca.gov.in), in our opinion and to the best of our information and knowledge and according to the explanations provided by the Company, its officers and authorised representatives, we hereby certify that none of the Directors on the Board of the Company, as listed hereunder for the financial year ended 31st March, 2026, have been debarred or disqualified from being appointed or continuing as Directors of Companies by Securities and Exchange Board of India/Ministry of Corporate Affairs or any such statutory authority.

Sr No.	Name of Directors	DIN
1.	Dr. Ajay Kumar Satia	00850792
2.	Mr. Rajinder Kumar Bhandari	00732588
3.	Mr. Chirag Satia	03426414
4.	Mr. Hardev Singh	07943672
5.	Mrs .Dr.Priti Lal Shivhare	08031894
6.	Mr. Ashok Kumar Gupta	08068465
7.	Mr.Vinod Kumar Kathuria	06662559
8.	Mr. Ajay Vyas	07553649
9.	Mr. Rajeev Kumar	01879049
10.	Mr. Deepak Kumar Kakkar	07977188
11.	Mr. Vibhor Kapoor	10335979

Ensuring the eligibility for the appointment / continuity of every Director on the Board is the responsibility of the management of the Company. Our responsibility is to express an opinion on these based on our verification.

This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

This Certificate has been issued at the request of the Company to make disclosure in its Annual Report of the financial year ended 31st March, 2026.

For S. Parnami & Associates
Company Secretaries
Sourabh Parnami
FCS No.: 9396
CP No.: 11181
UDIN: F009396H001112454

Place: Bathinda
Dated: 14.08.2026

Annexure - B

To
The Members,
Satia Industries Limited
VPO. Rupana, Malout-Muktsar Road,
Shri Muktsar Sahib (Punjab)-152032

We have examined the compliance of conditions of Corporate Governance Satia Industries Limited (hereinafter referred as "Company") for the Financial year ended March 31, 2026 as prescribed under Regulations 17 to 27 and para C, D and E of Schedule V of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (hereinafter referred as "Listing Regulations").

We state that compliance of conditions of Corporate Governance is the responsibility of the management, and our examination was limited to procedures and implementation thereof adopted by the Company for ensuring compliance with conditions of Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion, and to the best of our information and according to our examination of the relevant records and the explanations given to us, we certify that the Company has complied with the conditions of Corporate Governance as prescribed under Listing Regulations.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.

This certificate is issued solely for the purposes of complying with Listing Regulations and may not be suitable for any other purpose.

For S. Parnami & Associates
Company Secretaries
Sourabh Parnami
FCS No.: 9396
CP No.: 11181
UDIN: F009396H000975493

Place: Bathinda
Dated: 30.07.2026

ANNEXURE - C

DECLARATION BY THE MANAGING DIRECTOR AND CEO ON CODE OF CONDUCT AS REQUIRED BY SCHEDULE V OF SECURITIES AND EXCHANGE BOARD OF INDIA (LISTING OBLIGATION AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015

I hereby confirm that all Board Members and Senior Managerial personnel have affirmed compliance with the code of conduct for the Directors and Senior Management Personnel as approved by the Board for the Financial Year ended 31st March, 2026 in terms of Regulation 26(3) of SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015.

(Dr. Ajay Satia)
CMD & CEO

Place: Chandigarh
Date: 14-08-2026

ANNEXURE - D

CMD & CFO CERTIFICATE

The Members,
Satia Industries Ltd.
VPO: Rupana, Distt. Sri Muktsar Sahib, Punjab

a) We have reviewed financial statements and the cash flow statement for the year and that to the best of their knowledge and belief: -

i) These statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;

ii) These statements together present a true and fair view of the company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.

b) There are, to the best of our knowledge and belief; no transactions entered into by the company during the year, which are fraudulent, illegal or Violative of the company's code of conduct.

c) We accept responsibility for establishing and maintaining internal controls for financial reporting and that they have evaluated the effectiveness of internal control systems of the company pertaining to financial reporting and they have disclosed to the auditors and the Audit Committee, deficiencies in the design or operation of such internal controls, if any, of which they are aware and the steps they have taken nor propose to take to rectify these deficiencies.

d) We have indicated to the auditors and the Audit Committee that:

i) Significant changes in internal control over financial reporting during the year. Significant changes in accounting policies during the year and that the same have been disclosed in the notes to the financial statements; and there are no instances of significant fraud of which they have become aware and in evolvement therein, if any, of the management or an employee having a significant role in the company's internal control system over financial reporting.

(Dr. Ajay Satia)
Chairman-Cum-Managing Director

(Rachit Nagpal)
Chief Financial Officer

Place: Chandigarh
Date: 14-08-2026

Annexure - E

AUDITORS' CERTIFICATE

To
The Members of Satia Industries Ltd.

We have examined the compliance of conditions of corporate governance by Satia Industries Limited formerly known as Satia Paper Mills Ltd., for the year ended on 31st March 2026 as per regulations stipulated in SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015 (Listing Regulations). The compliance of conditions of corporate governance is the responsibility of the management. Our examinations were limited to procedures and implementation thereof, adopted by the company for ensuring the compliance of the conditions of the corporate Governance. It is neither an audit nor an expression of opinion on the financial statement of the company in our opinion and to the best of our information and according to the explanation given to us, we certify that the company has complied with the conditions of corpabove mentioned listing regulations, as applicable. We state that no investor grievance is pending for a period exceeding one month against the company as per the records maintained by the Share transfer committee and Stake holder relation committee. We further state that such compliance is neither an assurance as to the future liability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the company.

For S. Parnami & Associates
Company Secretaries
Sourabh Parnami
FCS No.: 9396
CP No.: 11181
UDIN: F009396H000975493

Place: Bathinda
Dated: 30.07.2026

INDEPENDENT AUDITOR'S REPORT

To
The members of
Satia Industries Limited
Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of **Satia Industries Limited** (the "Company"), which comprise the Balance Sheet as at March 31, 2026, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Cash Flows and the Statement of Changes in Equity for the year then ended, and notes to the financial statements including a summary of the significant accounting policies and other explanatory information (hereinafter referred to as the "financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 (the "Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2026, its profit including other comprehensive income, its cash flow and changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those SAs are further described in the *Auditor's Responsibilities for the Audit of the financial statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Emphasis of Matter

We draw attention to note 62 of the financial statements which states that "The balances confirmations of trade receivables, trade payables, advances given, and other financial and non-financial assets and liabilities are received in most of the cases. In a few cases, such balances confirmations are subject to reconciliation. Adjustments, if any, will be accounted for on reconciliation of the same, which in the opinion of the management will not have a material impact."

Our opinion is not qualified in respect of the matters as stated in the Emphasis of Matter paragraph.

Key Audit Matter

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, we do not provide a separate opinion on these matters.

We have determined the matter described below to be the key audit matters to be communicated in our report.

The Key Audit matter	How the matter was addressed in our audit
Revenue Recognition (Refer to the accounting policies in Note 1 to the financial statements)	**Our procedures included:**
Revenue from the sale of goods is recognised upon the transfer of control of the goods to the customer, usually on delivery of goods. The Company uses a variety of shipment terms across its operating markets, and this has an impact on the timing of revenue recognition. There is a risk that revenue could be recognised in the incorrect period for sales transactions occurring on and	<u>**Our audit procedures included the following:**</u> ✓ We read and evaluated the Company's revenue recognition accounting policies to assess compliance with Ind AS 115 "Revenue from contracts with customers". ✓ We performed test of controls of

around the year end therefore revenue recognition has been identified as a key audit matter.	management's process of recognising the revenue from sales of goods with regard to the timing of the revenue recognition as per the sales terms with the customers. ✓ We performed test of details of the sales transactions, testing based on a representative sampling of the sales orders to test that the related revenues and trade receivables are recorded taking into consideration the terms and conditions of the sale orders, including the shipping terms. ✓ We also performed audit procedures relating to revenue recognition by agreeing deliveries, occurring around the year end to supporting documentation to establish that sales and corresponding trade receivables are properly recorded in the correct period.

Information other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors are responsible for the other information. The other information comprises the information included in the Annual Report but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or our knowledge obtained in the audit or otherwise appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the financial position and financial performance including other comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards specified in the Companies (Indian Accounting Standards) Rules, 2015 (as amended) under Section 133 of the Act.

This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal financial control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the Company has paid/ provided managerial remuneration in accordance with the requisite approvals mandated by the provisions of section 197 of the Act.

2. As required by the Companies (Auditor's Report) Order, 2020 (the 'Order') issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we give in the "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

3. As required by Section 143(3) of the Act, we report that:

(a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

(b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books except for the matters stated in the paragraph 3(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended).

(c) The Balance Sheet, the Statement of Profit and Loss including other comprehensive income, the cash flow statement and the statement of changes in equity dealt with by this report are in agreement with the relevant books of account.

(d) In our opinion, the aforesaid Financial Statements comply with the Ind AS specified under Section 133 of the Act read with Companies (Indian Accounting Standards) Rules, 2015, as amended.

(e) On the basis of the written representations received from the directors as on 31st March, 2026 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2026 from being appointed as a director in terms of Section 164 (2) of the Act.

(f) The modification relating to the maintenance of accounts and other matters connected therewith are as stated in paragraph 3(b) above on reporting under Section 143(3)(b) of the Act and paragraph 3(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended).

(g) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting.

(h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:

i) The Company has disclosed the impact of pending litigations on its financial position in its financial statements as at March 31, 2026 – Refer note 51 to the financial statements.

ii) The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

iii) There has been no delay in transferring amounts, required to be transferred to the Investor Education and Protection Fund by the Company during the year ended March 31, 2026.

iv) (a) The management has represented that, to the best of its knowledge and belief, as disclosed in note 66(d) to the financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the ultimate beneficiaries.

(b) The management has represented, that, to the best of its knowledge and belief, as disclosed in note 66(e) to the financial statements, no funds have been received by the company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(c) Based on such audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to their notice that has caused them to believe that the representations under sub-clause (a) and (b) above contain any material misstatement.

v. The final dividend proposed in the previous year, declared and paid by the Company during the year is in accordance with section 123 of the Act, as applicable.

The interim dividend declared and paid by the Company during the year and until the date of this report is in compliance with section 123 of the Act.

As stated in note 53 to the financial statements, the Board of Directors of the Company has proposed final dividend for the year which is subject to the approval of the members at the ensuing Annual General Meeting. Such dividend proposed is in accordance with section 123 of the Act, as applicable.

vi. Based on our examination which included test checks, the Company has used accounting software systems for maintaining its books of account for the financial year ended March 31, 2026 which have the feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software systems except that, audit trail feature is not enabled for direct changes to data when using certain access rights. Further, during the year no instance of audit trail feature being tampered with was noted in respect of accounting software. The audit trail has been preserved by the Company as per the statutory requirements for record retention. (Refer note 64 to the financial statements).

For **N. Kumar Chhabra and Co.**
Chartered Accountants
ICAI Firm Registration Number 000837N

CA. Ashish Chhabra
FCA, Partner
Membership Number 507083
UDIN: 26507083OJQCSN6410

Place : Chandigarh
Date: May 23, 2026

Annexure A to the Independent Auditors' Report

Referred to in paragraph 2 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date to the members of Satia Industries Limited ("the Company") on the financial statements for the year ended 31st March, 2026.

In terms of the information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit, and to the best of our knowledge and belief, we report that:

(i) a) (A)The Company has maintained proper records showing full particulars, including quantitative details and situation of property, plant and equipment, capital work-in-progress, and relevant details of right-of-use assets.

(B) The Company has maintained proper records showing full particulars of intangible assets.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has a program of verification of property, plant and equipment, capital work-in-progress, and right of use assets so to cover all the items once every three years which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the program, certain property, plant and equipment, capital work-in-progress, and right-of-use assets were due for verification during the year and were physically verified by the Management during the year and no material discrepancies were noticed on such verification.

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company and as explained in note 66(o) to the financial statements, the title deeds of all the immovable properties (other than properties where the company is the lessee, and the lease agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the Company.

(d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not revalued its Property, Plant and Equipment (including right of use assets) or intangible assets or both during the year.

(e) According to the information and explanation given to us and the records of the Company examined by us, there are no proceedings initiated or are pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.

(ii) (a)The inventories, except goods-in-transit and stocks lying with third parties, have been physically verified by the management during the year. In our opinion and based on information and explanations given to us, the coverage and procedure of such verification by the management is appropriate having regard to the size of the Company and the nature of its operations. For stocks held with third parties at the year-end, majority of written confirmations have been obtained. No discrepancies of 10% or more in the aggregate for each class of inventories were noticed on such physical verification of inventories.

(b) According to the information and explanations given to us and as disclosed in the note 66(k), the Company has been sanctioned working capital limit in excess of ₹ 5 Crores on the basis of security of current assets, in aggregate, during the year from banks and financial institutions and the quarterly returns or statements filed by the Company with such banks or financial institutions are generally in agreement or have been reconciled with the books of account of the Company.

(iii) The Company has made investments in equity share through Alternative Investment Funds (AIF), in equity through Portfolio Management Services (PMS), unit of mutual funds through Portfolio Management Services (PMS), units of mutual funds during the year. The Company has not provided any guarantee or security and granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties during the year.

(a) During the year, the Company has not provided any loans or advances in the nature of loans or stood guarantee or provided security to any other entity during the year and hence reporting under clause 3(iii)(a) is not applicable to the Company.

(b) According to the information and explanations given to us and based on the audit procedures conducted by us, we are of the opinion that the investments made are, prima facie, not prejudicial to the interest of the Company. Further, the Company has not provided guarantees, given security, granted loans or advances in the nature of loans during the year.

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, during the year, the Company has not given any loans or advances in the nature of loans to any party and hence reporting under clause 3(iii)(c) of the Order is not applicable to the Company.

(d) According to the information and explanations given to us and based on the audit procedures conducted by us, the Company has not granted loans or advances in the nature of loans to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(d) of the Order is not applicable to the Company.

(e) According to the information and explanations given to us and based on the audit procedures conducted by us, the Company has not granted loans or advances in the nature of loans to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(e) of the Order is not applicable to the Company.

(f) According to the information and explanations given to us and on the basis of our examination of the records of the Company, during the year, the Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment and hence reporting under clause 3(iii)(f) of the Order is not applicable to the Company.

(iv)The Company has not granted any loans or provided any guarantee or security to the parties cover under Section 185. Further, in our opinion, and according to the information and explanations given to us, the Company has complied with the provisions of 186 of the Companies Act, 2013 in respect of the investments made and the Company has not provided any loans, guarantees or security to the parties covered under Section 186 of the Act.

(v) The Company has neither accepted any deposits from the public nor accepted any amounts which are deemed to be deposits within the meaning of sections 73 to 76 of the Companies Act and the rules made thereunder, to the extent applicable. Accordingly, the requirement to report on clause 3(v) of the Order is not applicable to the Company.

(vi)We have broadly reviewed the cost records maintained by the Company pursuant to the Rules made by the Central Government under Section 148(1) of the Act and are of the opinion that prima facie the prescribed cost records have been made and maintained. We have, however, not made a detailed examination of these records with a view to determining whether they are accurate or complete.

(vii) a)According to the information and explanations given to us and on the basis of our examination of the records, the Company is generally regular in depositing undisputed statutory dues including goods and services tax, provident fund, employees' state insurance, income-tax, sales tax, service tax, duty of custom, duty of excise, value added tax, cess and other statutory dues during the year with the appropriate authorities. Further, no undisputed amounts payable in respect of the aforesaid statutory dues were outstanding as at the last day of the financial year for a period of more than six months from the date they became payable.

(b) According to the information and explanations given to us and the records of the Company examined by us, the particulars of statutory dues referred to in sub-clause (a) above as at March 31, 2026 which have not been deposited on account of a dispute, are as follows:

Sr. No.	Name of the Statute	Nature of Dues	Period to which the amount relates	Forum where dispute is pending	Amount Demanded (in Lakhs)	Amount Paid under Protest in Lakhs
01	The Central Excise Act, 1944	Duty of excise	1994-95	Punjab and Haryana High Court	3.83	-
02	The Customes Act, 1962	Duty of Custom	2010-11	Commissioner (Apppeal), Chandigarh	1.88	0.14
03	The Customs Act, 1962	Duty of Custom	2019-20	The Deputy Commissioner, Central Excise and Services tax Division, Tiruchirapalli	17.45	-
04	Central Goods & Services Tax Act, 2017	Goods & Services Tax (Penalty)	2017-18	The Central Appellate Authority, Shri Muktsar Sahib, Shri Muktsar Sahib	57.15	-
05	Income-tax Act, 1961	Income Tax	2020-21	Punjab & Haryana High Court	1.39	-
06	Income-tax Act 1961	Income Tax	2020-21	Commissioner of Income tax (Appaels)	2.78	-
07	Income tax Act, 1961	Income Tax	2021-22	Punjab and Haryana High Court	18.08	-
08	Income tax Act, 1961		2022-23	Income tax Appellant Tribunal (ITAT)m Amritsar	520.30	-

(viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transaction, previously unrecorded in the books of account, in the tax assessments under the Income Tax Act, 1961(43 of 1961) as income during the year. Accordingly, the requirement to report on clause 3(viii) of the Order is not applicable to the Company.

(ix) (a)Based on our audit procedures and on the basis of information and explanations given to us, we are of the opinion that the Company has not defaulted in the repayment of loans or other borrowings or in the repayment of interest thereon to the lender.

(b) Based on our audit procedures and on the basis of information and explanations given to us, we report that the Company has not been declared as wilful defaulter by any bank or financial institution or other lender.

(c)According to the information and explanations given to us and on the basis of our examination of the records of the Company, money raised by way of term loans were applied for the purposes for which these were obtained.

(d)According to the information and explanations given to us and on the basis of our examination of the records, funds raised on short-term basis have, prima facie, not been used during the year for long-term purposes by the Company.

(e)The Company does not have any subsidiary or associate or joint venture and hence, reporting under clause (ix)(e) of the Order is not applicable.

(f)The Company did not have any subsidiary or associate or joint venture and hence, reporting under clause (ix)(f) of the Order is not applicable.

(x) (a)The Company has not raised any money by way of Initial public offer or further public offer (including debt instrument) during the year and hence reporting under clause 3 (x) (a) of the Order is not applicable to the Company.

(b)The Company has not made any preferential allotment, private placement of shares or fully or partly convertible debentures during the year or in the recent past and hence reporting under clause 3(x)(b) of the Order is not applicable to the Company.

(xi) (a)During the course of our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India and according to the information and explanations given to us, we have neither come across any instance of fraud by or on the Company, noticed or reported during the year, nor have we been informed of such case by the management.

(b)According to the information and explanations given to us including the representation made to us by the management of the Company, no report under subsection 12 of section 143 of the Act has been filed by the auditors in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014, with the Central Government for the period covered by our audit.

(c)Based on our audit procedure performed and according to the information and explanations given to us, no whistle blower complaints were received by the Company during the year and hence reporting under clause 3(xi)(c) of the Order is not applicable to the Company.

(xii)The Company is not a Nidhi Company as per the provisions of the Act. Therefore, the requirement to report on clause 3(xii)(a), (b) and (c) of the Order is not applicable to the Company.

(xiii) In our opinion and according to the information and explanations given to us, all transactions entered into by the Company with the related parties are in compliance with sections 177 and 188 of the Act, where applicable. Further, the details of such related party transactions have been disclosed in the financial statements, as required under Indian Accounting Standard (Ind AS) 24, Related Party Disclosures specified in Companies (Indian Accounting Standards) Rules 2015 as prescribed under section 133 of the Act..

(xiv) (a)According to the information and explanations given to us and on the basis of our examination of the records, the Company has an adequate internal audit system commensurate with the size and nature of its business.

(b)We have considered the internal audit reports for the year under audit issued to the Company during the year and till date, in determining nature, timing and extent of our audit procedure.

(xv)In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with its directors or persons connected to its directors and hence, provisions of Section 192 of the Act are not applicable to the Company.

(xvi)(a)The provisions of section 45-IA of the Reserve Bank of India Act, 1934 (2 of 1934) are not applicable to the Company. Accordingly, the requirement to report on clause (xvi)(a) of the Order is not applicable to the Company.

(b)The Company has not conducted non-banking financial / housing finance activities during the year. Accordingly, the reporting under clause 3(xvi)(b) of the Order is not applicable to the Company.

(c)The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, the reporting under clause 3(xvi)(c) of the Order is not applicable to the Company.

(d)Based on the information and explanations provided by the management of the Company, the Company does not have any CICs, which are part of any Group. Accordingly, the reporting under clause 3(xvi)(d) of the Order is not applicable to the Company.

(xvii)The Company has not incurred any cash losses during the financial year covered by our audit and in the immediately preceding financial year.

(xviii)There has been no resignation of the statutory auditors during the year. Accordingly, reporting under clause 3(xviii) of the Order is not applicable to the Company.

(xix)According to the information and explanations given to us and on the basis of the financial ratios (Also refer note 65 to the financial statements), ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

(xx)(a)According to the information and explanations given to us and based on our examination of the records of the Company, there are no unspent amounts that are required to be transferred to a fund specified in Schedule VII of the Companies Act (the Act), in compliance with the second proviso to sub section 5 of section 135 of the Act. This matter has been disclosed in note 66(f) to the financial statements.

(b)According to the information and explanations given to us and based on our examination of the records of the Company, there are no unspent amounts in respect of ongoing projects, that are required to be transferred to a special account in compliance of provision of sub section 6 of section 135 of Companies Act. This matter has been disclosed in note 66(f) to the financial statements.

(xxi) The Company doesn't have any subsidiary, accordingly, the reporting under clause (xxi) is not applicable in respect of audit of financial statements of the Company.

for N Kumar Chhabra and Co
Chartered Accountants
ICAI Firm Registration Number 000837N

CA. Ashish Chhabra
FCA, Partner
Membership Number 507083
UDIN: 26507083OJQCSN6410

Place of Signature: Chandigarh
Date: May 23, 2026

Annexure – B to the Independent Auditors' Report

(Referred to in paragraph 3(g) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date to the members of Satia Industries Limited on the financial statements as of and for the year ended March 31, 2026)

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the of the Companies Act, 2013 (the "Act")

We have audited the internal financial controls over financial reporting of **Satia Industries Limited** (the "Company") as of March 31, 2026 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls system over financial reporting to standalone financial statements and such internal financial controls over financial reporting were operating effectively as at March 31, 2026, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the ICAI.

for **N Kumar Chhabra and Co.**
Chartered Accountants
ICAI Firm Registration Number 000837N

CA. Ashish Chhabra
FCA, Partner
Membership Number 507083
UDIN: 26507083OJQCSN6410

Place : Chandigarh
Date: May 23, 2026

Balance Sheet as at March 31, 2026

(in Indian Rupees Lakhs, Unless Otherwise stated)

Particulars	Note	As at March 31, 2026	As at March 31, 2025
ASSETS			
(1) Non-current assets			
(a) Property, plant and equipment	2	64,603.20	73,373.38
(b) Right of use assets	3	1,307.66	1,548.22
(c) Capital work-in-progress	4	25,692.83	9,941.28
(d) Investment property under development	5	3,003.58	-
(e) Other intangible assets	6	90.84	136.36
(f) Intangible assets under development	7	0.15	-
(g) Financial assets			
(i) Investments	8	9,480.47	4,263.45
(ii) Other financial assets	9	135.84	60.56
(h) Deferred tax assets (net)	10	8,312.61	6,749.55
(i) Other non-current assets	11		
(i) Advance against capital items		4,202.00	5,249.37
(ii) Others		92.97	63.95
Total non-current assets		**1,16,922.15**	**1,01,386.12**
(2) Current assets			
(a) Inventories	12	17,316.97	15,683.50
(b) Biological assets other than bearer plants	13	4,827.34	4,798.83
(c) Financial assets			
(i) Trade receivables	14	12,860.59	12,112.02
(ii) Cash and cash equivalents	15	429.66	358.07
(iii) Bank balances other than above	16	2,225.05	7,655.83
(iv) Other financial assets	17	188.22	136.78
(d) Current tax assets (net)	18	105.29	-
(e) Other current assets	19	905.59	2,375.02
Total current assets		**38,858.71**	**43,120.05**
Total assets		**1,55,780.86**	**1,44,506.17**
EQUITY AND LIABILITIES			
Equity			
(a) Equity share capital	20	1,000.00	1,000.00
(b) Other equity	21	1,07,801.92	1,03,872.10
Total equity		**1,08,801.92**	**1,04,872.10**
(1) Non-current liabilities			
(a) Financial liabilities			
(i) Borrowings	22	19,581.19	13,814.49
(ii) Other financial liabilities			
Lease liability	23	1,128.53	1,226.28
Other financial liabilities	24	1,049.80	3,173.22
(b) Provisions	25	2,115.73	1,454.62
(c) Other non current liabilities	26	324.94	8.91
Total non-current liabilities		**24,200.19**	**19,677.52**
(2) Current liabilities			
(a) Financial liabilities			
(i) Borrowings	27	10,240.38	8,857.16
(ii) Lease liability	28	309.67	469.80
(iii) Trade payables	29		
Total outstanding dues of micro enterprises and small enterprises		1,118.35	2,832.12
Total outstanding dues of creditors other than micro enterprises and small enterprises		5,218.15	4,779.75
(iv) Other financial liabilities	30	3,186.59	2,058.35
(b) Other current liabilities	31	2,290.14	611.43
(c) Provisions	32	415.47	141.86
(d) Current tax liabilities (net)	33	-	206.09
Total current liabilities		**22,778.75**	**19,956.55**
Total liabilities		**46,978.94**	**39,634.07**
Total equity and liabilities		**1,55,780.86**	**1,44,506.17**
The accompanying notes are an integral part of these financial statements.	1 to 67		

This is the balance sheet referred to in our report of even date.

for **N Kumar Chhabra and Co.**
Chartered Accountants
ICAI Firm Registration Number 000837N

for and on behalf of **the Board of Directors**

CA. Ashish Chhabra
FCA, Partner
Membership Number 507083
UDIN: 26507083OJQC5N6410
Place: Chandigarh
Date: May 23, 2026

Dr. Ajay Satia
Chairman-Cum Managing Director
DIN: 00850792

Rajinder Kumar Bhandari
Joint Managing Director
DIN: 00732588

Rakesh Kumar Dhuria
Company Secretary
Membership Number: A7149

Rachit Nagpal
Chief Financial Officer
PAN: AMBPN1908P

Statement of Profit and Loss for the Year ended March 31, 2026
(in Indian Rupees Lakhs, unless otherwise stated)

Particulars	Note	For the year ended March 31, 2026	For the year ended March 31, 2025
Revenue from operations	34	1,45,191.13	1,51,198.69
Other income	35	6,712.83	1,921.66
Total income (I)		**1,51,903.96**	**1,53,120.35**
Expenses			
Cost of material consumed	36	73,978.88	70,518.08
Purchases of traded goods	37	328.99	445.61
Changes in inventories of finished goods, stock-in-trade and work-in-progress	38	314.52	30.53
Employee benefits expense	39	13,014.32	11,379.81
Finance costs	40	2,204.13	2,560.60
Depreciation and amortization expenses	41	13,924.82	15,735.40
Other expenses	42	44,370.19	41,799.44
Total expenses (II)		**1,48,135.85**	**1,42,469.47**
Profit before exceptional items and tax (I - II = III)		**3,768.11**	**10,650.88**
Exceptional items (IV)	43	667.25	-
Profit before tax (III - IV = V)		**3,100.86**	**10,650.88**
Tax expense: (VI)	44		
Current tax		674.27	1,854.69
Deferred tax		(1,664.62)	(3,066.20)
Net tax expense / (benefit)		**(990.35)**	**(1,211.51)**
Profit after tax (V - VI = VII)		**4,091.21**	**11,862.39**
Other Comprehensive Income (VIII)			
A (i) Items that will not be reclassified to profit or loss			
Remeasurement of defined benefit obligation		56.12	(30.03)
(ii) Income tax relating to items that will not be reclassified to profit or loss		(17.51)	10.49
Total Other Comprehensive Income [A (i + ii) = VIII]		38.61	(19.54)
Total Comprehensive Income for the period, net of tax (VII + VIII = IX)		**4,129.82**	**11,842.85**
Earnings Per Share (Face value of ₹ 1/- per share)	45		
- Basic		4.09	11.86
- Diluted		4.09	11.86
The accompanying notes are an integral part of these financial statements.	1 to 67		

This is the statement of profit and loss referred to in our report of even date.

for **N Kumar Chhabra and Co.**
Chartered Accountants
ICAI Firm Registration Number 000837N

CA. Ashish Chhabra
FCA, Partner
Membership Number 507083
UDIN: 26507083OJQCSN6410
Place: Chandigarh
Date: May 23, 2026

for and on behalf of **the Board of Directors**

Dr. Ajay Satia
Chairman-Cum Managing Director
DIN: 00850792

Rajinder Kumar Bhandari
Joint Managing Director
DIN: 00732588

Rakesh Kumar Dhuria
Company Secretary
Membership Number: A7149

Rachit Nagpal
Chief Financial Officer
PAN: AMBPN1908P

Statement of changes in Equity for the year ended March 31, 2026

(in Indian Rupees Lakhs, unless otherwise stated)

A. Equity Share Capital

Particulars	Number of Shares	Amount
Balance at April 1, 2024	10,00,00,000	1,000.00
Changes in equity share capital during the year	-	-
Balance at March 31, 2025	10,00,00,000	1,000.00
Changes in equity share capital during the year	-	-
Balance at March 31, 2026	**10,00,00,000**	**1,000.00**

B. Other Equity

Particulars	Reserve and Surplus		Total
	Capital Reserve	Retained earnings	
Balance at April 1, 2024	1,547.01	90,682.24	92,229.25
Profit for the year	12.58	11,849.81	11,862.39
Other comprehensive income for the year, net off income tax	-	(19.54)	(19.54)
Dividend Appropriation	-	(200.00)	(200.00)
Balance at March 31, 2025	**1,559.59**	**1,02,312.51**	**1,03,872.10**
Balance at April 1, 2025	1,559.59	1,02,312.51	1,03,872.10
Profit for the year	-	4,091.21	4,091.21
Other comprehensive income for the year, net off income tax	-	38.61	38.61
Dividend Appropriation	-	(200.00)	(200.00)
Balance at March 31, 2026	**1,559.59**	**1,06,242.33**	**1,07,801.92**

The Company has only one class of equity shares having a par value of ₹ 1 per share. Each shareholder is eligible for one vote per share held. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding. The distribution will be in proportion to the number of equity shares held by the shareholders.

The accompanying notes are an integral part of these standalone financial statements.

This is the statement of changes in equity referred to in our report of even date.

for **N Kumar Chhabra and Co.**
Chartered Accountants
ICAI Firm Registration Number 000837N

for and on behalf of **the Board of Directors**

CA. Ashish Chhabra
FCA, Partner
Membership Number 507083
UDIN: 26507083OJQCSN6410
Place: Chandigarh
Date: May 23, 2026

Dr. Ajay Satia
Chairman-Cum Managing Director
DIN: 00850792

Rajinder Kumar Bhandari
Joint Managing Director
DIN: 00732588

Rakesh Kumar Dhuria
Company Secretary
Membership Number: A7149

Rachit Nagpal
Chief Financial Officer
PAN: AMBPN1908P

Cash Flow Statement of the Year ended March 31, 2026 Contd.

(in Indian Rupees Lakhs, unless otherwise stated)

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
A. Cash Flow from Operating Activities		
Net profit before tax	3,100.86	10,650.88
Adjustments for:		
Depreciation and amortisation	13,924.82	15,735.41
Finance costs	2,204.14	2,560.60
Interest income	(450.15)	(516.38)
Net unrealised foreign exchange loss (gain)	1.88	39.60
Net loss (gain) on sale/ discarding of property, plant and equipment	16.16	(87.43)
Deferred income arising from government grant	(160.87)	(2.28)
Incentive income	(10.56)	-
Gain on fair valuation of biological assets	(444.73)	(479.38)
Gain on sale of financial assets	33.13	(18.85)
Net loss (gain) arising on financial assets measured at FVTPL	135.59	(76.16)
Loss due to fire	-	6.52
Dividend income	(2.48)	(1.42)
Gain on Modification/ Cancellation of lease	(15.45)	(57.53)
MTM (gain)/loss on derivative Instrument	-	2.92
Allowances for credit Impaired	192.65	252.07
Operating Profit before Working Capital changes	**18,524.99**	**28,008.57**
Adjustments for changes in Working Capital		
- Increase/ (decrease) in trade payables	(1,288.38)	1,078.67
- (Increase)/ decrease in trade receivables and other receivables	5,628.85	(209.35)
- Increase/ (decrease) in other liabilities and provisions	2,602.98	(405.96)
- (Increase)/ decrease in inventories	(1,217.24)	2,200.84
Cash generated from Operating Activities	**24,251.20**	**30,672.78**
- Taxes paid	(902.11)	(2,144.08)
Net Cash from Operating Activities	**23,349.09**	**28,528.70**
B. Cash Flow from Investing Activities		
Purchase of property, plant and equipment, intangible assets and capital work-in-progress, investment property under development and intangible assets under development (including capital advances)	(21,345.88)	(13,649.29)
Proceeds from sale of property, plant and equipment	34.14	388.72
Purchase of investments	(6,475.67)	(4,168.44)
Proceeds from disposal of investments	1,099.93	-
Government grant received	512.06	-
Dividend received	2.48	1.42
Interest received	626.18	183.21
Net Cash from Investing Activities	**(25,546.76)**	**(17,244.38)**
C. Cash Flow from Financing Activities		
Proceeds from long-term borrowings	15,414.10	5,480.93
Repayment of long-term borrowings	(11,607.71)	(11,680.96)
Proceeds from/ (repayment of) short-term borrowings	3,307.28	(1,235.84)
Principal payment of lease liabilities	(435.23)	(406.74)
Interest payment of lease liabilities	(105.79)	(131.39)
Other financial liabilities	(2,092.68)	(289.76)
Finance costs paid	(2,043.35)	(2,455.46)
Dividend paid	(200.00)	(200.00)
Net Cash from Financing Activities	**2,236.62**	**(10,919.23)**
Net Increase/(Decrease) in cash and cash equivalents (A+B+C)	**38.95**	**365.09**
Cash and cash equivalents at the beginning of the year	**358.07**	**(7.02)**
Cash and cash equivalents at the end of the year (refer note 15)	**397.02**	**358.07**

Cash Flow Statement of the Year ended March 31, 2026 Contd.

(in Indian Rupees Lakhs, unless otherwise stated)

Cash and cash equivalents included in the Statement of Cash Flows comprise the following:

Particulars	As at March 31, 2026	As at March 31, 2025
Cash in hand	2.03	3.93
Balance with banks	427.63	54.44
Cheques in hand	-	299.70
Overdraft from banks	(32.64)	-
Total	**397.02**	**358.07**

2. The above cash flow statement has been prepared under the "Indirect method" as set out in Ind AS-7 "Statement of Cash Flows" as specified in the Companies (Indian Accounting Standards) Rules, 2015 (as amended).
3. Figures in brackets indicates cash outflow.
4. Disclosure of changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes under Para 44A as set out in Ind AS 7 "Statement of Cash Flows" under Companies (Indian Accounting Standards) Rules, 2017 (as amended) is as under.

Particulars	Non-current borrowings	Current borrowings	Total
As at March 31, 2024	29,498.47	2,381.03	31,879.50
Proceeds from non-current borrowings	5,480.93	-	5,480.93
Repayment of non-current borrowings (including current maturities and effect of exchange gain/ loss) (net)	(11,601.33)	-	(11,601.33)
Recognition of lease liability (including current) (net)	(155.54)	-	(155.54)
Non cash adjustments	-	-	-
Proceeds of current borrowings (net)	-	(1,235.84)	(1,235.84)
As at March 31, 2025	**23,222.53**	**1,145.19**	**24,367.72**
Proceeds from non-current borrowings	15,414.10	-	15,414.10
Repayment of non-current borrowings (including current maturities and effect of exchange gain/ loss) (net)	(11,607.72)	-	(11,607.72)
Recognition of lease liability (including current) (net)	(257.87)	-	(257.87)
Non cash adjustments	3.61	-	3.61
Proceeds of current borrowings (net)	-	3,307.28	3,307.28
As at March 31, 2026	**26,774.65**	**4,452.47**	**31,227.12**

5. Previous year's figures have been regrouped wherever necessary, to confirm to this year's classification.

This is the cash flow statement referred to in our report of even date.
for **N Kumar Chhabra and Co.**
Chartered Accountants
ICAI Firm Registration Number 000837N

for and on behalf of **the Board of Directors**

CA. Ashish Chhabra
FCA, Partner
Membership Number 507083
UDIN: 26507083OJQCSN6410
Place: Chandigarh
Date: May 23, 2026

Dr. Ajay Satia
Chairman-Cum Managing Director
DIN: 00850792

Rajinder Kumar Bhandari
Joint Managing Director
DIN: 00732588

Rakesh Kumar Dhuria
Company Secretary
Membership Number: A7149

Rachit Nagpal
Chief Financial Officer
PAN: AMBPN1908P

1. Summary of Significant Accounting Policies

I.Corporate Information

Satia Industries Limited (herein after referred to as the "Company") was incorporated on November 26, 1980 under the Companies Act with the Corporate Identification Number L21012PB1980PLC004329 is presently dealing in the following business a) Manufacturer of writing and printing paper, b) Generation of power, c) Trading activities in cotton and yarn, d) Agricultural and plantation operations etc. The shares of the Company are listed on Bombay Stock Exchange Limited (BSE) and National Stock Exchange of India (NSE).

The financial statements were approved for issue in accordance with a resolution of the Board of Directors of the Company on May 23, 2026.

II. Material Accounting Policies

(a) Statement of compliance, Basis of preparation and presentation

The financial statements of the Company have been prepared to comply with the Indian Accounting standards ('Ind AS'), including the rules notified under the relevant provisions of the Companies Act, 2013, (as amended from time to time) and presentation and disclosure requirements of Division II of Schedule III to the Companies Act, 2013, (Ind AS Compliant Schedule III) as amended from time to time.

The Company's financial statements are presented in Indian Rupees (INR), which is also its functional currency and all values are rounded to the nearest Indian Rupees Lakhs (₹ 00,000) leaving the scope of rounding up variations, except when otherwise indicated.

(b) Property, Plant and Equipment

(i) Property, plant and equipment is stated at cost, less accumulated depreciation and accumulated impairment losses. The initial cost of an asset comprises its purchase price or construction cost, any costs directly attributable to bringing the asset into the location and condition necessary for it to be capable of operating in the manner intended by management, the initial estimate of any decommissioning obligation, if any, and, for assets that necessarily take a substantial period of time to get ready for their intended use, finance costs. Cost includes net of interest on capital advances and duty credits and is inclusive of freight, duties, taxes and other incidental expenses. Items such as spare parts, stand-by equipment and servicing equipment are recognised in accordance with this Ind AS 16 when they meet the definition of property, plant and equipment.

(ii)Capital work-in-progress includes expenditure incurred in respect of property, plant and equipment that are not yet ready for their intended use and the cost of assets not put to use before the Balance Sheet date.

(iii)Depreciation/ Amortization

Depreciation on property, plant and equipment is provided on the Written Down Value (WDV) Method as per the useful life prescribed in Schedule II to the Companies Act, 2013 *except* in respect of the following categories of assets, in whose case the life of the assets has been assessed as under based on technical advice, taking into account the nature of the asset, the estimated usage of the asset, the operating conditions of the asset, past history of replacement, anticipated technological changes, manufacturers warranties and maintenance support etc and accordingly the useful life of the referred Property plant and equipment has been reviewed by Chartered Engineer (CE) for the financial year 2025-26 as per below

Item	Useful Life (Years)	Basis
Building	20	Based on CE certificate
Machinery*	12	Based on CE certificate
Electrical Installations	12	Based on CE certificate
Vehicles	5	Based on CE certificate

* Machinery excludes Co-generation and solar division. Useful life of all other property, plant and equipment is as per the Schedule II of the Companies Act, 2013.

The estimated useful life, deprecation method and residual value are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

iv) Capital expenditure on enabling assets, the ownership of which is not with the Company are charged off to revenue in the accounting period of incurrence of such expenditure. However, capital expenditure on enabling assets, ownership of which rests with the Company and which have been created on land not belonging to the Company is written off to the Statement of profit and loss over its approximate period of utility. For this purpose, land is not considered to be belonging to the Company, if the same is not owned or leased/ licensed to the Company.

v) An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

vi) The management of the company has considered it to be appropriate to seek the opinion of Chartered Engineer in order to ascertain the remaining useful life and residual value of the assets (existing as well as additions), as it may deem fit on yearly basis.

vii)On the basis of technical advice the management of the company has considered it to be appropriate to keep the residual value of all the assets at 5% of the historical cost.

(c) Intangible Assets

Intangible Assets are recognised, if the future economic benefits attributable to the assets are expected to flow to the Company and cost of the asset can be measured reliably. All other expenditure is expensed as incurred. The same are amortised over the expected duration of benefits. Such intangible assets are measured at cost less any accumulated amortisation and impairment losses, if any.

Amortization of intangible assets such as softwares is computed on a straight-line basis, at the rates representing estimated useful life of up to 6 years. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period and adjusted prospectively, if appropriate.

(d) Impairment of Non-financial Assets

At the end of each reporting period, the Company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any).

When it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest Component of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

(e) Financial Instruments

Financial Assets

Financial assets are recognised when the company becomes a party to the contractual provisions of the instruments.

i. Initial recognition and measurement

The financial assets are initially measured at fair value. However, trade receivables that do not contain a significant financing component are measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities which are not recognised through the statement of profit and loss account are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition.

ii. Subsequent measurement

a) Financial Assets measured at Fair Value Through Other Comprehensive Income (FVTOCI)

A Financial Asset is measured at FVTOCI if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that represents solely payments of principal and interest on the principal amount outstanding.

b) Financial Assets measured at Fair Value Through Profit or Loss (FVTPL)

A Financial Asset which is not classified in any of the above categories are measured at FVTPL. Financial assets are reclassified subsequent to their recognition, if the Company changes its business model for managing those financial assets. Changes in business model are made and applied prospectively from the reclassification date which is the first day of immediately next reporting period following the changes in business model in accordance with principles laid down under Ind AS 109 – Financial Instruments.

iii. De-recognition of financial assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party.

iv. Impairment of financial asset

In accordance with Ind-AS 109, the Company applies Expected Credit Loss (ECL) model for measurement and recognition of impairment loss for financial assets.

v. Trade receivable

As a practical expedient the Company has adopted 'simplified approach' using the provision matrix method for recognition of expected loss on trade receivables. The provision matrix is based on historical default rate observed over the expected life of the trade receivable and is adjusted for forward-looking estimates. At every reporting date, the historical default rates are updated and changes in the forward-looking estimates are analysed. Further receivables are segmented for this analysis where the credit risk characteristics of the receivables are similar. On the basis of above analysis suitable provision for allowance for credit impaired is to be made.

vi. Other financial assets

Impairment loss on other financial assets is recognised based on the difference between the present value of the expected cash flows and carrying value.

Financial Liabilities

i. Initial recognition and measurement

Financial liabilities are initially measured at fair value except Security deposits. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition.

ii. Subsequent measurement

The Company's financial liabilities are not held for trading and are also carried at amortized cost using effective interest rate except security deposits.

iii. Derivative financial instruments and hedge accounting.

a. Introduction

The policy of the Company with regards to its derivative transactions, specifically interest rate swaps, currency swaps, and forward covers on External Commercial Borrowings (ECBs). The purpose of these transactions is to manage and mitigate risks associated with interest rate fluctuations and foreign exchange exposures. This note provides an overview of our approach, accounting treatment, and the impact on financial statements.

b. Derivative instruments

The Company enters into the following derivative transactions

Interest rate swaps

Interest rate swaps are utilized to manage interest rate risks associated with our borrowings. Through these agreements, we exchange fixed and floating interest rate obligations, thereby effectively converting the interest rate exposure on our liabilities. This allows us to mitigate potential fluctuations in interest rates or minimize the interest costs.

Currency swaps

The Company swap its borrowings from INR to EUR. Currency swaps help us reduce interest costs through carry benefits, although they do not eliminate currency risk entirely. By actively managing this risk, we aim to achieve a more stable financial position and minimize the potential adverse effects of currency fluctuations.

c. Accounting treatment

The Company accounting treatment for derivative transactions follows the guidelines and principles outlined in the relevant accounting standards. The key considerations are as follows

Mark-to-Market (MTM) Gain/ Loss

At the balance sheet date, we calculate the fair value of our derivative instruments including currency swaps. Any resulting MTM gain or loss is recognized in the financial statements. However, no initial accounting recognition is given to these transactions.

Interest cost benefit

If there is a benefit in interest cost resulting from the derivative transactions, it is recognised accordingly. The adjustment is made in the finance cost, ensuring a fair representation of our financial position and performance.

d. Risk management

The objective of our derivative transactions is to effectively manage and mitigate risks associated with interest rate fluctuations and foreign exchange exposures. The use of these instruments is governed by our risk management policies, which include robust risk assessment, approval processes, and ongoing monitoring to ensure alignment with our strategic objectives and risk appetite.

iv. De-recognition of financial liabilities

A financial liability is de-recognised when they are discharged.

v. Offsetting of financial instruments

Financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

(f) Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either

a) In the principal market for the asset or liability, or
b) In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to/ by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole.

Level 1 – Quoted (unadjusted) prices in active markets for identical assets or liabilities.

Level 2 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.

Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

(g) Revenue Recognition

Under Ind AS 115, the Company recognized revenue when (or as) a performance obligation is satisfied, i.e., when 'control' of the goods underlying the particular performance obligation are transferred to the customer. Ind AS 115 establishes a five-step model i.e., i). Identify the contract with the customer ii). identify the performance obligation iii). determine the transaction price iv). Allocate the transaction price v). recognise revenue when performance obligations are satisfied to account for revenue arising from contracts with customers and requires that revenue be recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer.

Company exercised judgements, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with their customers in accordance with Ind AS 115. The standard also specified the accounting for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract. In addition, the standard requires extensive disclosures.

Income from CER/VER

Income from Carbon Emission Reductions (CER)/ Voluntary Emission Reductions (VER) is recognized when the project is registered with the United Nations Framework Convention on Climate Change (UNFCCC).

Income from REC/E-Certs/Dividend

Keeping in view of the Nature REC/E-Certs/ESCERTS/ dividend income is recognised on cash realization basis unlike other Incomes.

Insurance Claims/Counter claims/Penalties/Awards

Claims/counter-claims/penalties/awards are accounted for in the year of its settlement/crystallize. Insurance Claims/counter-claims/penalties/awards are shown separately under the head other income and corresponding expenses are shown under respective expense head in the Profit and Loss a/c. Revenue from these claims are recognised as and when the realization from the insurer is ascertained.

Export incentives

Export incentive scrips in case of export are valued on the specific rates allowed on the relevant item of export.

(h) Inventories

Raw Materials, Stores and Spares

Raw Materials, Stores and Spares are valued at lower of cost and net realizable value in accordance with Indian Accounting Standard. However, materials and other items held for use in the production of inventories are not written down below cost if the finished products, in which they will be incorporated, are expected to be sold at or above cost. Cost of Raw materials is determined on a moving weighted average basis and cost of chemicals, stores and spares is determined on transaction moving weighted average.

Work-in-Progress and Finished Goods

Lower of cost and net realizable value. Cost includes direct materials and labour and a proportion of manufacturing overheads based on normal operating capacity. Cost of finished goods except lying in the factory premises includes Taxes, Duties etc. on which input credit is not available.

By Products and waste

By products and waste are valued at net realizable value.

Net realisable value represents the estimated selling price for inventories less all estimated costs of completion and costs necessary to make the sale.

Agriculture Operations Inventory valuation for agricultural produce are as follows:

i. Eucalyptus, poplar and bamboo trees: Trees has been categorised based on their ageing. Company has follows mix approach i.e., cost and fair value approach. Trees ageing below 3 years are valued at cost and trees ageing more than 3 years are valued on the basis of fair value less cost to sell of the trees.

Fair value of the trees at different age group is based on the realisable value of the tree at that age group. ii. Crops: Inventory for crops are recognised when the same is full grown up and is under saleable condition at fair market value less cost to sell.

(i) Foreign Currency Transactions

Initial Recognition

Foreign currency transactions are recorded in the reporting currency, by applying to the foreign currency amount the exchange rate between the reporting currency and the foreign currency at the date of the transaction.

Conversion

Foreign currency monetary items are reported using the closing rate. Non-monetary items which are carried in terms of historical cost denominated in a foreign currency are reported using the exchange rate at the date of the transaction.

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Exchange Differences

Exchange differences arising on the settlement of monetary items or on restatement of reporting Company's monetary items at rates different from those at which they were initially recorded during the year or reported in previous financial statements, are recognized as income or as expenses in the year in which they arise.

Any profit or loss arising on cancellation or renewal of forward exchange contract is recognized as income or as expense for the year.

(j) Government Grants

Government grants are not recognised until there is reasonable assurance that the Company will comply with the conditions attaching to them and that the grants will be received.

Government grants related to assets are deferred and recognised in the statement of profit and loss over the period necessary to match them with the cost that they are intended to compensate and presented under other income. Government grants other than relating to assets are recognised in the statement of profit and loss under other income.

(k) Employee Benefits

i. Short-term obligations

All employee benefits payable / available within twelve months of rendering the service such as salaries, wages and bonus etc., are classified as short-term employee benefits and are recognised in the statement of profit and loss in the period in which the employee renders the related service.

ii. Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the statement of profit and loss in the periods during which the related services are rendered by employees. The Company makes specified contributions towards the following schemes:

Employees' State Insurance (ESI)

The Company has a scheme of state insurance for its employees, registered with the regional state insurance commissioner. The Company's contribution to the state insurance is charged to the statement of profit and loss every year.

Employees' Provident Fund (EPF)

All directly recruited employees of the Company are entitled to receive benefits under the provident fund, a defined contribution plan. Both employee and employer make monthly contribution to the plan at a predetermined rate of employee's basic salary and dearness allowance. These contributions to provident fund are administered by the provident fund commissioner. Employer's Contribution to provident fund is expensed in the statement of profit and loss as and when incurred.

Labour Welfare Fund

The Company makes contribution to labour welfare fund scheme in accordance with Labour Welfare Fund Act. The Company's contribution to the welfare fund is charged to the statement of profit and loss every year.

iii. Defined benefit plans

Gratuity

Gratuity is a post-employment benefit and is in the nature of defined benefit plan. The liability recognized in the balance sheet in respect of gratuity is the present value of the defined benefit obligation at the balance sheet date together with adjustments for unrecognized actuarial gains or losses and past service costs.

Leave Encashment

The liability recognized in the balance sheet in respect of compensated absences is the present value of the defined benefit obligation at the balance sheet date together with adjustments for unrecognized actuarial gains or losses and past service costs.

Liability for gratuity and leave salary benefits payable to employees is provided for on accrual basis using the Projected Accrued Benefit Method (Projected Unit Credit Method with control period of one year) done by an independent actuary as at the annual closing Balance Sheet date.

Remeasurement, comprising actuarial gains and losses the effect of the changes to the asset ceiling (if applicable) and the return on plan assets (excluding interest), is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Remeasurement recognised in other comprehensive income is reflected immediately in retained earnings and will not be reclassified to profit or loss. Past service cost is recognised in profit or loss in the period of a plan amendment. Net interest is calculated by applying the discount rate at the beginning of the period to the net defined benefit liability or asset. Defined benefit costs are categorised as follows:

a) Service cost (including current service cost, past service cost, as well as gains and losses on curtailments and settlements).
b) Net interest expense or income.
c) Remeasurement.

The Company presents the first two components of defined benefit costs in profit or loss in the line item ('employee benefits expenses'). Curtailment gains and losses are accounted for as past service costs.

The retirement benefit obligation recognised in the balance sheet represents the actual deficit or surplus in the Company's defined benefit plans. Any surplus resulting from this calculation is limited to the present value of any economic benefits available in the form of refunds from the plans or reductions in future contributions to the plans.

Termination benefits are immediately recognised in the statement of profit or loss account. A liability for a termination benefit is recognised at the earlier of when the entity can no longer withdraw the offer of the termination benefit and when the entity recognises any related restructuring costs.

(l) Taxes on Income

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from 'profit before tax' as reported in the statement of profit and loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible under the provisions of Income Tax Act. The Company's current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax base used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets in respect of unabsorbed depreciation and carry forward of losses are recognised only if there is virtual certainty supported by convincing evidence that there will be sufficient future taxable income available to realise such assets. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from the initial recognition of assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates that have been enacted or substantively enacted by the end of the reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively.

Minimum Alternative Tax ('MAT') expense under the provisions of the Income-tax Act, 1961 is recognised as an asset when it is probable that future economic benefit associated with it in the form of adjustment of future income tax liability, will flow to the Company and the asset can be measured reliably. MAT credit entitlement is set off to the extent allowed in the year in which the Company becomes liable to pay income taxes at the enacted tax rates. MAT credit entitlement is reviewed at each reporting date and is written down to reflect the amount that is reasonably certain to be set off in future years against the future income tax liability. MAT Credit Entitlement has been presented as Deferred Tax in the Balance Sheet.

(m) Borrowing Cost

Borrowing costs directly attributable to the acquisition, construction or production of the qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

All other borrowing costs are recognized in the Statement of Profit or Loss in the period in which they are incurred.

(n) Dividends

The Company recognises a liability to make dividend distributions to equity holders of the Company when the distribution is authorised and the distribution is no longer at the discretion of the Company. As per the corporate laws in India a distribution is authorised when it is approved by the shareholders, However, Board of Directors of a Company may declare interim dividend during any financial year out of the surplus in statement of profit and loss and out of the profits of the financial year in which such interim dividend is sought to be declared. A corresponding amount is recognised directly in equity.

(o) Provisions, Contingent Liabilities and Contingent Assets

Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material). When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

Onerous contracts

A contract is considered as onerous when the expected economic benefits to be derived by the company from the contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision for an onerous contract is measured at the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the company recognises any impairment loss on the assets associated with that contract.

a. Contingent Liabilities

Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle or a reliable estimate of the amount cannot be made.

b. Contingent Assets

Contingent assets are not recognized in the accounts. However they are disclosed when the possible right to receive exists.

(p) Earnings Per Share (EPS)

Basic earnings per share ('EPS') is computed by dividing the net profit or loss without impact of Other Comprehensive Income for the year attributable to equity shareholders by the weighted average number of shares outstanding during the year.

Diluted EPS is computed using the weighted average number of equity and delusive equity equivalent shares outstanding during the period except where the result would be anti-dilutive.

(q) Leases

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The Company as a lessee

Right of use assets and lease liabilities

The Company considers whether a contract is, or contains a lease. A lease is defined as 'a contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration'. The Company enters into leasing arrangements for various assets. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether: (i) the contract involves the use of an identified asset (ii) the Company obtains substantially all of the economic benefits from use of the asset through the period of the lease and (iii) the Company has the right to direct the use of the asset.

Recognition and initial measurement

At lease commencement date, the Company recognizes a right-of-use asset and a lease liability on the balance sheet. The right-of-use asset is measured at cost, which is made up of the initial measurement of the lease liability, any initial direct costs incurred by the Company, an estimate of any costs to dismantle and remove the asset at the end of the lease (if any), and any lease payments made in advance of the lease commencement date (net of any incentives received).

Certain lease arrangements includes the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liabilities includes these options when it is reasonably certain that they will be exercised.

Subsequent measurement

The Company depreciates the right-of-use assets on a straight-line basis from the lease commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The Company also assesses the right-of-use asset for impairment when such indicators exist.

At lease commencement date, the Company measures the lease liability at the present value of the lease payments unpaid at that date, discounted using the interest rate implicit in the lease if that rate is readily available or the Company's incremental borrowing rate. Lease payments included in the measurement of the lease liability are made up of fixed payments (including in substance fixed payments) and variable payments based on an index or rate. Subsequent to initial measurement, the liability will be reduced for payments made and increased for interest. It is re-measured to reflect any reassessment or modification, or if there are changes in in-substance fixed payments. When the lease liability is re-measured, the corresponding adjustment is reflected in the right- of use asset.

The Company has elected to account for short-term leases and leases of low-value assets using the practical expedients. Instead of recognizing a right-of-use asset and lease liability, the payments in relation to these are recognized as an expense in standalone statement of profit and loss on a straight-line basis over the lease term.

Where the Company is the lessor

Leases in which the Company does not transfer substantially all the risks and rewards of ownership of an asset are classified as operating leases. Rental income from operating lease is recognized on a straight-line basis or another systematic basis as per the terms of the relevant lease. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognized over the lease term on the same basis as rental income. Contingent rents are recognized as revenue in the period in which they are earned.

Leases are classified as finance leases when substantially all of the risks and rewards of ownership transfer from the Company to the lessee. Amounts due from lessees under finance leases are recorded as receivables at the Company's net investment in the leases. Finance lease income is allocated to accounting periods so as to reflect a constant periodic rate of return on the net investment outstanding in respect of the lease.

(r) Segment Reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker ('CODM') of the Company. The CODM is responsible for allocating resources and assessing performance of the operating segments of the Company.

(s) Cash and Cash Equivalent

For the purpose of presentation in the cash flow statement, cash and cash equivalents include cash on hand, demand deposits with banks, other short term highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

(t) Investment property

Properties held to earn rentals or / and for capital appreciation or both but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes, are categorized as investment properties. These are measured initially at cost of acquisition, including transaction costs and other direct costs attributable to bringing asset to its working condition for intended use. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and accumulated impairment loss, if any. The cost shall also include borrowing cost if the recognition criteria are met. Said assets are depreciated on Written Down Value (WDV) Method based on expected life span of assets which is in accordance with Schedule II of the Act.

Investment property under development includes expenditure incurred in respect of investment property that are not yet ready for their intended use and the cost of assets not put to use before the Balance Sheet date.

Any gain or loss on disposal of investment properties is recognized in statement of profit and loss.

(u) Significant management judgement in applying accounting policies and estimation uncertainty

i. Significant management judgements

When preparing the financial statements, management undertakes a number of judgements, estimates and assumptions about the recognition and measurement of assets, liabilities, income and expenses.

The following are significant management judgements in applying the accounting policies of the Company that have the most significant effect on the financial statements.

Recognition of deferred tax assets: The extent to which deferred tax assets can be recognised is based on an assessment of the probability of the Company's future taxable income against which the deferred tax assets can be utilised.

ii. Estimation

Information about estimates and assumptions that have the most significant effect on recognition and measurement of assets, liabilities, income and expenses is provided below. Actual result may be substantially different.

Defined benefit obligation: Management estimates of these obligation is based on a number of critical underlying assumptions such as standard rates of inflation, medical cost trends, mortality, discount rate and anticipation of future salary increases. Variation in these assumptions may significantly impact the defined benefit obligation amount and the annual defined benefit expenses.

Provisions: At each balance sheet date based on management judgement, changes in facts and legal aspects, the company assesses the requirement of provisions against the outstanding warranties and guarantees. However the actual future /outcome may be differ from this judgement.

(v) Current and Non Current Classification

The Company presents assets and liabilities in the Balance Sheet based on Current/ Non-Current classification.

An asset is treated as Current when it is

- Expected to be realised or intended to be sold or consumed in normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realised within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non -current assets and liabilities.

(w) Recent accounting pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. For the year ended March 31, 2026, MCA has amendments to Ind AS 116 – Leases, relating to sale and leaseback transactions, applicable to the Company w.e.f. April 1, 2025. The Company has reviewed the new pronouncements and based on its evaluation has determined that it does not have any significant impact in its financial statements.

i. Lack of exchangeability – Amendments to Ind AS 21

Amendments to Ind AS 21 The Effects of Changes in Foreign Exchange Rates specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require disclosure of information that enables users of its financial statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows.

When applying the amendments, an entity cannot restate comparative information. The amendments are not expected to have a material impact on the standalone financial statements.

ii. Classification of Liabilities as Current or Non-current and Non-current Liabilities with Covenants – Amendments to Ind AS

Amendments to paragraphs 69 to 76 of Ind AS 1 Presentation of Financial Statements specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement.
- That a right to defer must exist at the end of the reporting period.
- That classification is unaffected by the likelihood that an entity will exercise its deferral right

-That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

In addition, a requirement has been introduced to require disclosure when a liability arising from a loan agreement is classified as non-current and the entity's right to defer settlement is contingent on compliance with future covenants within twelve months. The amendments must be applied retrospectively

The Company is currently assessing the impact, the amendments are not expected to have a material impact on the standalone financial statements.

iii. Supplier Finance Arrangements - Amendments to Ind AS 7 and Ind AS 107

Amendments to Ind AS 7 Statement of Cash Flows and Ind AS 107 Financial Instruments: Disclosures clarify the characteristics of supplier finance arrangements and require additional disclosure of such arrangements. The disclosure requirements in the amendments are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk. The amendments will be effective for annual reporting periods beginning on or after April 01, 2025.

The amendments are not expected to have a material impact on the standalone financial statements, as the company has not entered into any contracts that constitute Supplier finance arrangements.

iv. International Tax Reform—Pillar Two Model Rules – Amendments to Ind AS 12

Amendments to Ind AS 12 Income Taxes in response to the OECD's BEPS Pillar Two rules include:

(a) A mandatory temporary exception to the recognition and disclosure of deferred taxes arising from the jurisdictional implementation of the Pillar Two model rules; and

(b) Disclosure requirements for affected entities to help users of the financial statements better understand an entity's exposure to Pillar Two income taxes arising from that legislation, particularly before its effective date.

The mandatory temporary exception – the use which is required to be disclosed – applies immediately. The remaining disclosure requirements apply for annual reporting periods beginning on or after April 01, 2025, but not for any interim periods ending on or before March 31, 2026.

The amendments are not expected to have a material impact on the standalone financial statements

Consequential amendments to other Ind AS have also been made which are not expected to have any material impact on the standalone financial statements.

Notes forming part of the financial statement for the Year ended March 31,2026 Contd.

(In Indian Rupees Lakhs, unless otherwise stated)

2. Property, Plant and Equipment

Particulars	Freehold Land	Plant and Equipment	Turbine and Boiler	Solar	Road	Building	Electrical Installation	Office equipment	Furniture and fixtures	Vehicles	Computers	Servers and networks	Total
Gross Carrying Value													
As at March 31, 2024	915.27	1,07,538.67	23,928.52	112.35	149.69	12,253.78	258.33	232.35	263.84	1,122.97	357.62	56.84	**1,47,190.23**
Additions	116.20	3,381.72	554.51	15.25	52.08	541.05	8.30	33.99	8.63	491.19	53.90	18.79	**5,275.61**
Disposals	-	(535.78)	-	-	-	-	-	(3.13)	-	(83.50)	(14.66)	-	**(637.07)**
As at March 31, 2025	**1,031.47**	**1,10,384.61**	**24,483.03**	**127.60**	**201.77**	**12,794.83**	**266.63**	**263.21**	**272.47**	**1,530.66**	**396.86**	**75.63**	**1,51,828.77**
Additions	53.22	4,124.02	193.17	-	1.67	88.88	0.08	54.15	3.64	122.28	55.81	-	**4,696.93**
Disposals	-	(102.85)	-	-	-	-	-	-	-	(55.73)	(198.37)	-	**(356.95)**
As at March 31, 2026	**1,084.69**	**1,14,405.78**	**24,676.20**	**127.60**	**203.44**	**12,883.71**	**266.71**	**317.36**	**276.11**	**1,597.21**	**254.30**	**75.63**	**1,56,168.75**
Accumulated Depreciation													
As at March 31, 2024	-	52,270.44	5,530.91	-	119.48	4,443.81	177.05	152.21	101.50	451.03	253.49	37.93	**63,537.84**
Depreciation expense	-	12,215.02	1,347.33	21.00	25.38	1,114.26	13.05	40.80	43.41	344.98	75.98	12.08	**15,253.29**
Disposals	-	(274.25)	-	-	-	-	-	(2.98)	-	(46.03)	(12.49)	-	**(335.76)**
As at March 31, 2025	-	**64,211.21**	**6,878.24**	**21.00**	**144.86**	**5,558.07**	**190.10**	**190.03**	**144.91**	**749.98**	**316.98**	**50.01**	**78,455.37**
Depreciation expense	-	10,577.81	1,279.84	19.43	23.59	1,007.76	10.62	40.02	33.14	373.95	62.94	10.07	**13,439.18**
Disposals	-	(89.02)	-	-	-	-	-	-	-	(52.03)	(187.95)	-	**(329.00)**
As at March 31, 2026	-	**74,700.00**	**8,158.08**	**40.43**	**168.45**	**6,565.83**	**200.72**	**230.05**	**178.05**	**1,071.90**	**191.97**	**60.08**	**91,565.55**
Net block													
As at March 31, 2024	915.27	55,268.24	18,397.61	112.35	30.21	7,809.97	81.28	80.14	162.34	671.94	104.13	18.91	**83,652.39**
As at March 31, 2025	1,031.47	46,173.40	17,604.79	106.60	56.91	7,236.76	76.53	73.18	127.56	780.68	79.88	25.62	**73,373.38**
As at March 31, 2026	1,084.69	39,705.78	16,518.12	87.17	34.99	6,317.88	65.99	87.31	98.06	525.31	62.33	15.55	**64,603.20**

Particulars	For the Year ended March 31, 2026	For the Year ended March 31, 2025
Depreciation/Amortization for the Period	13,278.31	15,251.01
Add : Depreciation related to Ind AS adjustment of Government Grants	160.87	2.28
Depreciation/ Amortization charged to the statement of profit and loss	13,439.18	15,253.29

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 2 Property, Plant and Equipment (Contd.)

Particulars	As at March 31, 2026	As at March 31, 2025
Carrying amounts of		
Freehold land	1,084.69	1,031.47
Plant and equipment	39,705.78	46,173.40
Turbine and boiler	16,518.12	17,604.79
Solar	87.17	106.60
Roads	34.99	56.91
Buildings	6,317.88	7,236.76
Electrical installation	65.99	76.53
Office equipment	87.31	73.18
Furniture and fixtures	98.06	127.56
Vehicles	525.31	780.68
Computers	62.33	79.88
Servers and networks	15.55	25.62
Total	**64,603.20**	**73,373.38**

Refer note 22 and refer note 27 for information on property, plant and equipment pledged as security by the Company.

Note 3 Right of Use Assets

Particulars	As at March 31, 2026	As at March 31, 2025
Right of use assets	1,307.66	1,548.22
Total	**1,307.66**	**1,548.22**

Particulars	Category of ROU asset Land	Buildings	Total
Gross carrying amount			
As at March 31, 2024	2,624.33	230.71	2,855.04
Additions	371.53	-	371.53
Disposals	(99.25)	(2.96)	(102.21)
As at March 31, 2025	**2,896.61**	**227.75**	**3,124.36**
Additions	137.09	124.00	261.08
Disposals	(72.32)	(0.25)	(72.57)
As at March 31, 2026	**2,961.37**	**351.50**	**3,312.87**
Accumulated depreciation			
As at March 31, 2024	1,106.79	76.90	1,183.69
Depreciation expense	356.36	75.52	431.88
Adjustments	(39.42)	-	(39.42)
As at March 31, 2025	**1,423.72**	**152.42**	**1,576.15**
Depreciation expense	357.57	106.24	463.81
Adjustments	(34.74)	-	(34.74)
As at March 31, 2026	**1,746.55**	**258.66**	**2,005.21**
Net carrying amount			
As at March 31, 2024	1,517.54	153.81	1,671.35
As at March 31, 2025	1,472.88	75.33	1,548.21
As at March 31, 2026	1,214.82	92.84	1,307.66

The following is the movement of right of use asset

Particulars	As at March 31, 2026	As at March 31, 2025
Balance at the beginning	1,548.22	1,671.36
Addition	261.08	371.53
Adjustment due to cancellation/modification of lease	(37.83)	(62.78)
Depreciation for the year - Capitalised	(30.45)	-
Depreciation for the year - Charged to statement of profit and loss	(433.36)	(431.88)
Balance at the closing	**1,307.66**	**1,548.22**

(Refer note 46 for additional disclosures)

Note 4 Capital Work-in-Progress

Particulars	As at March 31, 2026	As at March 31, 2025
Building under construction	1,227.96	447.78
Plant and machinery under erection	24,225.13	9,493.50
Furniture and fixtures under erection	239.74	-
Total	**25,692.83**	**9,941.28**

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 4 Capital Work-in-Progress (Contd.)

The following is the movement in capital work-in-progress

Particulars	As at March 31, 2026	As at March 31, 2025
Balance at the beginning	9,941.28	1,607.20
Addition	20,159.29	12,878.69
Capitalised during the year	4,407.75	4,544.61
Balance at the closing	25,692.83	9,941.28

Capital work-in-progress ageing schedule

Particulars	Amount in capital work-in-progress for a year of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects-in-progress					
March 31, 2026	18,769.14	5,708.12	826.66	388.91	25,692.83
March 31, 2025	8,725.71	1,177.46	38.11	-	9,941.28
Projects temporarily suspended					
March 31, 2026	-	-	-	-	-
March 31, 2025	-	-	-	-	-

Note 5 Investment Property under Development

Particulars	As at March 31, 2026	As at March 31, 2025
Investment property under development	3,003.58	-
Total	**3,003.58**	**-**

Refer note 22 for information on investment property pledged as security by the Company.

The following is the movement in investment property under development

Particulars	As at March 31, 2026	As at March 31, 2025
Balance at the beginning	-	-
Addition	3,003.58	-
Capitalised during the year	-	-
Balance at the closing	3,003.58	-

Investment property under development ageing schedule

Particulars	Amount in capital work-in-progress for a year of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects-in-progress					
March 31, 2026	3,003.58	-	-	-	3,003.58
March 31, 2025	-	-	-	-	-
Projects temporarily suspended					
March 31, 2026	-	-	-	-	-
March 31, 2025	-	-	-	-	-

Note 6 Other Intangible Assets

Particulars	Computer Software	Total
Gross carrying amount		
As at March 31, 2024	286.01	286.01
Additions	11.41	11.41
Disposals	-	-
As at March 31, 2025	**297.42**	**297.42**
Additions	6.78	6.78
Disposals	-	-
As at March 31, 2026	**304.20**	**304.20**
Accumulated amortisation		
As at April 1, 2024	110.83	110.83
Amortisation expense	50.23	50.23
Adjustments	-	-
As at March 31, 2025	**161.06**	**161.06**
Amortisation expense	52.30	52.30
Adjustments	-	-
As at March 31, 2026	**213.36**	**213.36**
Net carrying amount		
As at March 31, 2024	175.18	175.18
As at March 31, 2025	136.36	136.36
As at March 31, 2026	90.84	90.84

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 7 Intangible Assets under Development

Particulars	As at March 31, 2026	As at March 31, 2025
Intangible assets under development	0.15	-
Total	**0.15**	**-**

Intangible Assets Under Development Ageing Schedule

Particulars	Amount in intangible assets under development for a year of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Intangible assets under development					
March 31, 2026	0.15	-	-	-	0.15
March 31, 2025	-	-	-	-	-
Projects temporarily suspended					
March 31, 2026	-	-	-	-	-
March 31, 2025	-	-	-	-	-

Note 8 Non-current Financial Assets: Investments

Particulars	As at March 31, 2026	As at March 31, 2025
Unquoted investments		
Carried at Fair Value through Profit and Loss		
Investment in equity through Alternative Investment Funds (AIF)	757.22	-
Investment in equity through Portfolio Management Services (PMS)	570.24	-
Investment in mutual funds through Portfolio Management Services (PMS)	693.55	-
Investment in mutual funds	7,459.47	4,263.45
Total investment	**9,480.47**	**4,263.45**
Aggregate amount of unquoted investments	9,688.11	4,187.29
Aggregate market value of unquoted investments	9,480.47	4,263.45

Note 9 Other Non-current Financial Assets

Particulars	As at March 31, 2026	As at March 31, 2025
Carried at amortised cost		
Unsecured, considered good		
Security deposits	58.44	60.56
Bank deposit with more than 12 months maturity*	77.40	-
Total	**135.84**	**60.56**

* Includes interest accrued but not due ₹ 3.04 Lakhs (March 31, 2025: ₹ Nil Lakhs).

Note 10 Deferred Tax Assets (Net)

Particulars	As at March 31, 2026	As at March 31, 2025
Deferred tax assets arising on account of		
Difference between written down value of property, plant and equipment as per the books of accounts and Income-tax Act, 1961	2,550.40	1,839.23
Disallowance under various provisions of the Income-tax Act, 1961	803.42	628.81
Right of use assets and lease liabilities	38.71	45.64
Others	246.64	86.41
Sub-total	**3,639.17**	**2,600.09**
Deferred tax liabilities arising on account of		
Others	(11.43)	(35.25)
Sub-total	**(11.43)**	**(35.25)**
Mat credit entitlement	4,684.86	4,184.71
Deferred tax assets	**8,312.61**	**6,749.55**

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 11 Other Non-current Assets

Particulars	As at March 31, 2026	As at March 31, 2025
Advance against capital items - unsecured, considered good	4,202.00	5,249.37
Prepaid expenses	27.42	53.95
Advance for purchase investment	-	10.00
Others (Gold and Silver)	65.55	-
Total	**4,294.97**	**5,313.32**

Note 12 Inventories

Particulars	As at March 31, 2026	As at March 31, 2025
(at cost or Net realisable value whichever is lower)		
Raw Materials	9,758.00	7,069.58
Work-in-process	232.71	395.54
Finished goods (including goods-in-transit)*	935.05	1,086.73
Stores and spares (including packing material)	6,391.21	7,131.65
Total	**17,316.97**	**15,683.50**

* Goods-in-transit ₹ 396.85 Lakhs (Previous year ₹ 278.26 Lakhs)

** Inventories have been hypothecated with banks against working capital loans, refer note 22 and note 27 for details.

Note 13 Biological Assets other than Bearer Plants

Particulars	As at March 31, 2026	As at March 31, 2025
Balance at the beginning of the period	4,798.83	4,730.30
Other adjustments	539.50	627.67
Disposal during the period	(510.99)	(559.14)
Balance at the end of the period	**4,827.34**	**4,798.83**

Note 14 Current Financial Assets: Trade Receivables

Particulars	As at March 31, 2026	As at March 31, 2025
Trade receivables unsecured - considered good	12,559.14	11,930.31
Trade receivables - credit impaired	532.71	220.33
	13,091.85	12,150.64
Less Allowances for credit impaired	(231.26)	(38.62)
Total	**12,860.59**	**12,112.02**

(Refer note 49.3 for ageing)

a. Trade receivables have been hypothecated with banks against working capital loans, refer note 22 and note 27 for details.

b. No trade receivable are due from directors or other officers of the Company either severally or jointly with any other person. Nor any trade receivable are due from firms or private companies respectively in which any director is a partner, a director or a member other than those disclosed in the note 50 for related parties

c. Refer note 49 for details of expected credit loss for trade receivables under simplified approach.

d. Trade receivables are non-interest bearing and are generally settled on 30 to 180 days terms.

Note 15 Current Financial Assets: Cash and Cash Equivalents

Particulars	As at March 31, 2026	As at March 31, 2025
Cash in hand	2.03	3.93
Cheques in hand	-	299.70
Bank balances		
in current accounts	22.48	54.44
in cash credit account	4.29	-
in deposit account remaining maturity for less than 3 months*	400.86	-
Total	**429.66**	**358.07**

* Includes interest accrued but not due ₹ 0.86 Lakhs (March 31, 2025: ₹ Nil Lakhs).

Note 15 Current Financial Assets: Cash and Cash Equivalents (Contd.)

For the purpose of statement of cash flow, cash and cash equivalent comprise of the following

Particulars	As at March 31, 2026	As at March 31, 2025
Cash and cash equivalent as per balance sheet	429.66	358.07
Overdraft from bank (refer note 27)	(32.64)	-
Total	**397.01**	**358.07**

Note 16 Current Financial Assets: Bank balances other than Cash and Cash Equivalents

Particulars	As at March 31, 2026	As at March 31, 2025
Unpaid dividend	5.44	7.03
Fixed deposits held as margin money/ security with banks*	434.63	881.14
Fixed deposits held as investment with banks*	1,784.98	6,767.66
Total	**2,225.05**	**7,655.83**

* Includes interest accrued but not due ₹ 24.07 Lakhs (March 31, 2025: ₹ 226.34 Lakhs).

Note 17 Other Current Financial Assets

Particulars	As at March 31, 2026	As at March 31, 2025
Carried at amortised cost		
Unsecured, considered good		
Security/ tender deposits	185.57	117.16
Others	2.65	19.62
Total	**188.22**	**136.78**

Note 18 Current Tax Assets (Net)

Particulars	As at March 31, 2026	As at March 31, 2025
Advance income tax / TDS (net off provisions)	105.29	-
Total	**105.29**	**-**

Note 19 Other Current Assets

Particulars	As at March 31, 2026	As at March 31, 2025
Unsecured - considered good		
Advance to supplier	437.82	1,742.27
Less Allowances for credit impaired	-	(44.96)
	437.82	1,697.31
Advance rent	98.42	126.01
Other advance	5.36	2.10
Prepaid insurance	123.44	103.60
Prepaid expense (others)	95.61	105.38
Balance with government authorities	11.34	110.13
Export incentive receivable	71.73	107.51
MEIS/RoDTEP pending for utilization	4.37	9.10
Other recoverable	57.50	113.88
Unsecured - credit impaired		
Miscellaneous recoverable	42.12	42.12
Less Allowances for credit impaired	(42.12)	(42.12)
Total	**905.59**	**2,375.02**

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 20 Equity Share Capital

Particulars	As at March 31, 2026		As at March 31, 2025	
	Number of Shares	Amount	Number of Shares	Amount
Authorised capital				
Equity shares of ₹ 1 each with voting rights	22,00,00,000	2,200.00	22,00,00,000	2,200.00
Total	**22,00,00,000**	**2,200.00**	**22,00,00,000**	**1,000.00**
Issued, Subscribed and Paid up				
Equity shares of ₹ 1 each with voting rights	10,00,00,000	1,000.00	10,00,00,000	1,000.00
Total	**10,00,00,000**	**1,000.00**	**10,00,00,000**	**1,000.00**

(i) Reconciliation of the number of shares outstanding at the beginning and at the end of the year.

Particulars	Opening balance	Fresh issue	Change	Bonus	Closing balance
Equity shares					
Year ended March 31, 2026					
Number of Shares	10,00,00,000	-	-	-	10,00,00,000
Amount	1,000.00	-	-	-	1,000.00
Year ended March 31, 2025					
Number of Shares	10,00,00,000	-	-	-	10,00,00,000
Amount	1,000.00	-	-	-	1,000.00

(ii) Rights, preferences and restriction attached to shares

The Company has only one class of equity shares having a par value of ₹ 1 per share. Each shareholder is eligible for one vote per share held. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding. The distribution will be in proportion to the number of equity shares held by the shareholders.

(iii) Details of shares held by each shareholder holding more than 5% shares in the Company:

Particulars	As at March 31, 2026		As at March 31, 2025	
	Number of shares held	% holding	Number of shares held	% holding
Sh. Ajay Satia	2,30,27,990	23.03%	2,30,27,990	23.03%
Smt. Bindu Satia	81,15,940	8.12%	81,15,940	8.12%
Mr. Dhruv Satia	79,74,540	7.97%	79,74,540	7.97%
M/s Muktsar Logistics and Trading Private Limited	1,50,53,000	15.05%	1,50,53,000	15.05%
Mr. Chirag Satia	69,60,669	6.96%	69,60,669	6.96%

(iv) Details of promoter shareholding

Shares held by promoters at the end of the year March 31, 2026					
Promoter Name	Number of Shares at beginning of the year	Change during the year	No. of Shares at the year end	% of total shares	% Change during the year
Sh. Ajay Satia	2,30,27,990	-	2,30,27,990	23.03%	-
Sh. Ajay Satia HUF	1,93,750	-	1,93,750	0.19%	-
Smt. Bindu Satia	81,15,940	-	81,15,940	8.12%	-
Mr. Dhruv Satia	79,74,540	-	79,74,540	7.97%	-
Mr. Chirag Satia	69,60,669	-	69,60,669	6.96%	-
Smt. Yachana Mehta	25,87,500	-	25,87,500	2.59%	-
Smt. Priyanka Satia	36,00,000	-	36,00,000	3.60%	-

Shares held by promoters at the end of the year March 31, 2025					
Promoter Name	Number of Shares at beginning of the year	Change during the year	No. of Shares at the year end	% of total shares	% Change during the year
Sh. Ajay Satia	2,30,27,990	-	2,30,27,990	23.03%	-
Sh. Ajay Satia HUF	1,93,750	-	1,93,750	0.19%	-
Smt. Bindu Satia	81,15,940	-	81,15,940	8.12%	-
Mr. Dhruv Satia	79,74,540	-	79,74,540	7.97%	-
Mr. Chirag Satia	69,60,669	-	69,60,669	6.96%	-
Smt. Yachana Mehta	25,87,500	-	25,87,500	2.59%	-
Smt. Priyanka Satia	36,00,000	-	36,00,000	3.60%	-

(v) No shares allotted as fully paid up without payment being received in cash during 5 years immediately preceding March 31, 2026.

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 21 Other Equity

Particulars	As at March 31, 2026	As at March 31, 2025
Capital reserve	1,559.59	1,559.59
Retained earnings	1,06,242.33	1,02,312.51
Total	**1,07,801.92**	**1,03,872.10**

Particulars	Capital reserve	Retained earnings	Total
As at April 1, 2024	1,547.01	90,682.24	92,229.25
Profit for the year	12.58	11,849.81	11,862.39
Other comprehensive income for the year, net off income tax	-	(19.54)	(19.54)
Dividend Appropriation	-	(200.00)	(200.00)
Balance at March 31, 2025	**1,559.59**	**1,02,312.51**	**1,03,872.10**
Balance at April 1, 2025	1,559.59	1,02,312.51	1,03,872.10
Profit for the period	-	4,091.21	4,091.21
Other comprehensive income for the period, net off income tax	-	38.61	38.61
Dividend Appropriation	-	(200.00)	(200.00)
Balance at March 31, 2026	**1,559.59**	**1,06,242.33**	**1,07,801.92**

Capital reserve: The REC capital receipt transfer to capital reserve.

Retained earnings: Retained earnings are the accumulated profits earned by the Company till date and effect of remeasurement of defined benefits obligation, less dividend.

Note 22 Non-current Financial Liabilities - Borrowings

Particulars	As at March 31, 2026		As at March 31, 2025	
	Non-current	Current	Non-current	Current
Secured (Carried at amortised cost)				
Term loan from banks and financial institutions				
Punjab National Bank	1,227.51	-	248.38	500.00
IndusInd Bank	1,990.70	916.64	2,942.72	2,270.64
UCO Bank	641.41	1,000.00	4,438.34	1,500.00
HDFC Bank	9,141.12	2,547.33	5,776.17	1,624.00
Vehicle loans	167.23	216.29	385.48	284.27
Term loan from others				
Bajaj Finance	3,793.43	200.00	23.40	32.80
Unsecured (Carried at amortised cost)				
Term loan from banks				
Shinhan Bank	2,619.79	875.00	-	-
AKA Bank	-	-	-	1,500.26
Total	**19,581.19**	**5,755.26**	**13,814.49**	**7,711.97**

Notes:

(a) Above term loans from banks outstanding except mentioned in the below notes are secured as follows:

(1) 1st pari passu charge:- Hypothecation of entire fixed assets (except assets which are exclusively charged by other lenders) of the Company (both present and future) including equitable mortgage.

(2) 2nd pari passu charge:- Hypothecation of stocks of raw material, stock in process and finished goods, receivables/ book debts and other current assets (both present and future).

(b) One Term loan from Bajaj Finance was primarily secured by way of hypothecation of movable assets specifically financed by them repaid during the year.

Above term loans are further personally guaranteed by the Dr. Ajay Satia (Chairman Cum Managing Director) and Mr. Rajinder Kumar Bhandari (Joint Managing Director) of the Company.

(c) One Term loan from HDFC Bank is Secured against investment property, presently under development.

(d) Vehicle loans are primarily secured by way of hypothecation of movable assets specifically financed by them.

(e) The loan from AKA Bank, Frankfurt, Germany was an external commercial borrowing at the rate of 1.40% + EURIBOR and was repaid during the year.

(f) Instalments for repayment of term loans due to be paid in the next year amounting ₹ 5,755.26 Lakhs (March 31, 2025 ₹ 7,711.97 Lakhs) have been treated as current borrowings and are not included in long term liability.

(g) India ratings and research has assigned a rating of A+ to the above term loans.

(h) Terms of repayment:

Normal Repayment year : 4-7 years except for term loan from HDFC Bank against investment property, presently under development, wherein the repayment period is 15 years post full disbursement.

Interest rates on Term Loans are in range of 6.73% to 8.95%.

(i) There was no default in repayments during financial year 2025-26 and previous year.

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 23 Other Non-current Financial Liabilities

Particulars	As at March 31, 2026	As at March 31, 2025
Lease liability (refer note 46)	1,128.53	1,226.28
Total	**1,128.53**	**1,226.28**

Note 24 Other Non-current Financial Liabilities

Particulars	As at March 31, 2026	As at March 31, 2025
Security deposits	1,049.80	3,142.48
Derivative financial liability - Interest/ Currency swap	-	30.74
Total	**1,049.80**	**3,173.22**

Note 25 Non-current Provisions

Particulars	As at March 31, 2026	As at March 31, 2025
Provision for employee benefits		
Leave encashment	677.58	443.48
Gratuity obligation	1,438.15	1,011.14
Total	**2,115.73**	**1,454.62**

The provision for employee benefits includes annual leave and gratuity. Relevant factors related to provision are explained in note 47.

Note 26 Other Non-current Liabilities

Particulars	As at March 31, 2026	As at March 31, 2025
Deferred capital government grants	324.94	8.91
Total	**324.94**	**8.91**

Note 27 Current Borrowings

Particulars	As at March 31, 2026	As at March 31, 2025
Secured		
Loans repayable on demand from Banks		
Punjab National Bank	1,029.99	92.86
Union Bank of India	-	0.01
UCO Bank	-	51.61
IndusInd Bank	238.63	157.93
HDFC Bank	430.15	842.78
Bajaj Finance	2,500.00	-
ICICI Bank	253.71	-
Overdraft from Bank		
Punjab National Bank	32.64	-
Current maturities of non-current borrowings	5,755.26	7,711.97
Total	**10,240.38**	**8,857.16**

Loans repayable on demand are secured by hypothecation of all stocks of raw material, stores, work-in-progress, finished stock and book debts in addition to personal guarantee by Dr. Ajay Satia (Chairman Cum Managing Director) and Mr. Rajinder Kumar Bhandari (Joint Managing Director) of the Company. In addition to this the working capital limits are further secured by way of second parri passu charge on all the property, plant and equipment of the Company. There was no default in repayments during financial year 2025-26 and previous year.

Note 28 Current Lease Liability

Particulars	As at March 31, 2026	As at March 31, 2025
Lease liability (refer note 46)	309.67	469.80
Total	**309.67**	**469.80**

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 29 Financial Liabilities: Trade Payables

Particulars	As at March 31, 2026	As at March 31, 2025
Total outstanding dues of micro enterprises and small enterprises (refer note 54)	1,118.35	2,832.12
Total outstanding dues of creditors other than micro enterprises and small enterprises	5,218.15	4,779.75
Total	**6,336.50**	**7,611.87**

(Refer note 49.3 for ageing)

Note 30 Other Financial Liabilities

Particulars	As at March 31, 2026	As at March 31, 2025
Interest accrued but not due	98.77	47.38
Unpaid dividend	5.44	7.03
Payable towards purchase of property, plant and equipment*	1,976.86	888.76
Derivative financial liability - Interest/ Currency swap	-	40.23
Others	1,105.52	1,074.94
Total	**3,186.59**	**2,058.35**

* Includes ₹ 817.85 Lakhs (Previous year ₹ 137.43 Lakhs) payable to Micro and Small Enterprises.

Note 31 Other Current Liabilities

Particulars	As at March 31, 2026	As at March 31, 2025
Advances from customers	721.05	416.60
Statutory dues	1,542.61	192.94
Deferred capital government grants	26.48	1.89
Total	**2,290.14**	**611.43**

Note 32 Current Provisions

Particulars	As at March 31, 2026	As at March 31, 2025
Provision for employee benefits		
Leave encashment	138.53	40.34
Gratuity obligation	276.94	101.52
Total	**415.47**	**141.86**

The provision for employee benefits includes annual leave and gratuity. Relevant factors related to provision are explained in note 47.

Note 33 Current Tax Liabilities (Net)

Particulars	As at March 31, 2026	As at March 31, 2025
Provision for income tax [net off advance income tax / TDS/ TCS]	-	206.09
Total	**-**	**206.09**

Note 34 Revenue from Operations

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Gross revenue	1,74,856.41	1,80,286.35
Less: Inter divisional revenue	(28,815.65)	(29,067.57)
Less: Discount	(849.63)	(20.09)
Total	**1,45,191.13**	**1,51,198.69**

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 34 Revenue from Operations (Contd.)

Disclosures on revenue pursuant to Ind AS 115 - Revenue from contracts with customers

A. Disaggregation of revenue information

Disaggregation of revenue

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
I Paper division		
Manufactured goods		
Writing and printing paper	1,42,621.00	1,48,954.55
Sale of chemicals	538.68	217.67
Sale of scrap	290.36	76.53
Sale of waste	206.14	221.89
Sale of cutlery	1,279.91	415.15
Others	120.67	181.93
Traded goods		
Sale of wood pulp	379.63	526.26
	1,45,436.39	**1,50,593.98**
II Co-generation division		
Sale of electricity and steam	28,815.65	29,067.57
Sale of waste	8.12	1.31
III Agriculture division		
Sale of agricultural produces	596.24	623.49
Gross Sales	**1,74,856.41**	**1,80,286.35**
Revenue from contracts with customers disaggregated based on geography		
Home market	1,35,923.51	1,43,390.65
Export	9,267.62	7,808.05
Total	**1,45,191.13**	**1,51,198.69**

B. Timing of revenue recognition

Particulars	For the year ended March 31, 2026		For the year ended March 31, 2025	
	At a point in time	Over a year of time	At a point in time	Over a year of time
Sale of products	1,46,040.76	-	1,51,218.78	-
Less: Discount	(849.63)	-	(20.09)	-
Total	**1,45,191.13**	**-**	**1,51,198.69**	**-**

C. Reconciliation of revenue from sale of products with the contracted price

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Sale of products	1,46,040.76	1,51,218.78
Less: Discount	(849.63)	(20.09)
Total	**1,45,191.13**	**1,51,198.69**

D. Contract balances

The following table provides information about receivables and contract liabilities from contract with customers:

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Contract liabilities		
Advance from customers	721.05	416.60
Total	**721.05**	**416.60**
Receivables		
Trade receivables	13,091.85	12,150.64
Less : Allowances for expected credit loss	(231.26)	(38.62)
Total	**12,860.59**	**12,112.02**

Contract asset is the right to consideration in exchange for goods or services transferred to the customer. Contract liability is the Company's obligation to transfer goods or services to a customer for which the Company has received consideration from the customer in advance.

(In Indian Rupees Lakhs, unless otherwise stated)

Note 34 Revenue from Operations (Contd.)

Disclosures on revenue pursuant to Ind AS 115 - Revenue from contracts with customers

E. Significant changes in the contract liabilities balances during the year are as follows

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Opening balance	416.60	351.66
Amount received against contract liability/ performance obligation satisfied in current year	304.45	64.94
Closing Balance	**721.05**	**416.60**

Note 35 Other Income

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Interest income		
Bank deposits measured at amortized cost	426.40	353.71
Financial assets measured at FVTPL	1.41	-
Unwinding of discounts on security deposits	1.53	0.95
Others	20.81	161.72
Insurance claims	110.60	279.97
Miscellaneous income	65.83	87.38
Exchange rate fluctuation	36.14	136.24
Rebate and discount	113.73	132.25
Export incentive	80.33	84.49
Income from renewable energy certificate	-	19.43
Profit on sale of capital assets (net off loss on assets sold / scrapped / written off)	-	87.43
Gain on fair valuation of biological assets	444.73	479.38
Recognition of deferred government grant	160.87	2.28
Gain on sale of financial assets measured at fair value through profit or loss	-	18.85
Dividend	2.48	1.42
Government grant (incentive from state government)	5,247.97	-
Net gain on financial instruments at fair value through profit or loss	-	76.16
Total	**6,712.83**	**1,921.66**

Note 36 Cost of Material Consumed

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Raw materials	45,075.73	43,448.68
Chemicals	28,392.16	26,510.25
Biological assets	510.99	559.15
Total	**73,978.88**	**70,518.08**

Note 37 Purchases of Traded Goods

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Wood pulp	328.99	445.61
Total	**328.99**	**445.61**

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 38 Changes in Inventory of Finished Goods, Stock-in-Trade and Work-in-Progress

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Opening stock		
Work-in-progress	395.54	410.59
Finished goods (Including goods-in-transit)	1,086.73	1,102.21
Total	**1,482.27**	**1,512.80**
Closing stock		
Work-in-progress	935.05	395.54
Finished goods (Including goods-in-transit)	232.71	1,086.73
Changes in Inventories of Finished Goods, Stock-in-Trade and Work-in-Progress	**1,167.76**	**1,482.27**
(Increase)/ decrease in inventory	314.52	30.53
Less : Inventory capitalised on account of testing	-	-
Net changes in inventories of finished goods, stock-in-trade and work-in-progress	314.52	30.53

Note 39 Employee Benefits Expense

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Salary, allowances and other employee benefits	12,244.67	10,630.77
Contribution to provident fund and other funds	500.17	461.76
Staff welfare expenses	269.48	287.28
Total	**13,014.32**	**11,379.81**

The provision for employee benefits includes annual leave and gratuity. Relevant factors related to provision are explained in note 47.

Note 40 Finance Costs

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Interest on term loans	1,433.31	1,810.65
Interest on working capital	546.34	408.90
Interest on lease liability	105.79	131.39
Other interest expense [Note]	-	2.04
Bank and other charges	118.69	207.62
Total	**2,204.13**	**2,560.60**

Note: Provision for interest on income-tax under Income-tax Act, 1961.

Note 41 Depreciation and Amortization Expenses

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Depreciation on property, plant and equipment (refer note 2)	13,439.16	15,253.29
Depreciation on right of use assets (refer note 3)	433.36	431.88
Amortization of intangible assets (refer note 6)	52.30	50.23
Total	**13,924.82**	**15,735.40**

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 42 Other Expenses

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Printing and stationery	8.00	8.01
Travelling and conveyance	127.64	178.79
Fuel consumed	13,215.66	12,408.28
Stores and spare parts consumed	6,271.21	6,082.72
Packing material consumed	3,959.95	3,450.61
Power consumed	1,042.99	595.04
Water supply charges	387.78	338.85
Electricity expenses	25.55	18.46
Repairs and maintenance		
- Buildings	81.37	29.81
- Plant and machinery	190.18	1,030.93
- Others	124.30	148.59
Handling and shifting	1,446.94	1,502.11
Insurance expenses	474.04	351.79
Freight and handling outward/ export expenses	4,899.72	4,667.08
Vehicle running and maintenance expenses	99.45	127.58
Postage, telegram and telephone	18.36	20.90
Disposal and cartage	466.97	506.59
Rent	86.97	114.98
Legal and professional charges	216.27	206.74
Fees and subscriptions	344.19	232.15
Advertisement	2.19	2.51
Board meeting expenses	25.90	10.95
Charity and donations	0.91	2.08
Auditors remuneration and expenses (refer note 55)	22.81	22.74
GST expense*	823.36	724.26
Commission	8,825.72	8,187.00
Computer expense	108.90	99.43
Loss on sale of capital assets (net off profit on assets sold / scrapped / written off)	16.16	-
Corporate social responsibilities (CSR) [refer note 66(f)]	356.65	355.06
Loss by fire	-	6.52
Allowances for credit impaired	192.65	252.07
Net loss on sale of financial assets measured at fair value through profit or loss	33.13	-
Net loss on financial instruments at fair value through profit or loss	135.59	-
Loss on derivative instrument	203.59	2.92
Miscellaneous expenses	135.09	113.89
Total	**44,370.19**	**41,799.44**

* Inclusive of GST Input Tax Credit (ITC) reversal ₹ 805.60 Lakhs (Previous year ₹ 0.30 Lakhs).

Note 43 Exceptional Items

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Statutory impact of new labour codes	667.25	-
Total	**667.25**	**-**

On November 21, 2025, the Government of India notified the four Labour Codes - the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020, and the Occupational Safety, Health and Working Conditions Code, 2020 - consolidating 29 existing labour laws. The Ministry of Labour & Employment published draft Central Rules and FAQs to enable assessment of the financial impact due to changes in regulations. Considering the materiality and regulatory-driven, non-recurring nature of this impact, the Company has presented such incremental impact as "Statutory impact of new Labour Codes" under "Exceptional Items" in the standalone statement of profit and loss for the year ended March 31, 2026. The Company continues to monitor the finalisation of Central / State Rules and clarifications from the Government on other aspects of the Labour Code and would provide appropriate accounting effect on the basis of such developments as needed. The incremental impact consisting of gratuity cost of ₹ 479.89 Lakhs and leave encashment cost of ₹ 187.36 Lakhs primarily arise due to changes in wage definition. This approach is consistent with the guidance issued by the Institute of Chartered Accountants of India (the 'ICAI').

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 44 Tax Expense

Income tax expense recognised in the Statement of profit and loss

(a) Current Tax

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Current tax	583.69	1,840.47
Adjustment in respect of current income tax (net off with interest) of previous year	90.58	14.22
Net current tax expense	**674.27**	**1,854.69**

(b) Deferred Tax

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Deferred tax	(1,664.62)	(3,066.20)
Total	**(1,664.62)**	**(3,066.20)**
Total tax expense	**(990.35)**	**(1,211.51)**

Income tax on other comprehensive income

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Arising on income and expenses recognised in other comprehensive income:		
Re-measurement of defined benefit obligations	(17.51)	10.49
Total	**(17.51)**	**10.49**

Reconciliation of tax expense between accounting profit at applicable tax rate and effective tax rate:

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Profit before tax	3,100.86	10,650.88
Statutory income-tax rate (Normal tax)	31.200%	34.944%
Tax expense at statutory income tax rate	967.47	3,721.84
Tax effect of		
Exempted income (Net off expenditure incurred)	(92.33)	(9.17)
Previous year taxes	90.58	14.22
Tax impact of expenses which will never be allowed (Net off allowed under Income-tax Act, 1961)	124.13	1,027.21
Effect of deduction under section 80-IA, 80G, 80JJAA, and 80M of the Income-tax Act, 1961	(3,757.08)	(4,008.29)
Others (including Mat credit entitlement)	1,676.88	(1,957.32)
Income tax expense recognised in the statement of profit and loss	**(990.35)**	**(1,211.51)**

Note 44 Tax Expense (Contd.)

d) Movement in Deferred Tax Balances

Particulars	As at March 31, 2025	Recognised in statement of profit and loss	Recognised in OCI	As at March 31, 2026
Deferred tax assets arising on account of				
Difference between written down value of property, plant and equipment as per the books of accounts and Income-tax	1,839.23	711.17	-	2,550.40
Disallowance under various provisions of the Income-tax Act, 1961	628.81	192.13	(17.51)	803.42
Right of use assets and lease liabilities	45.64	(6.93)	-	38.71
Others	86.41	160.23	-	246.64
Total deferred tax liabilities	**2,600.09**	**1,056.59**	**(17.51)**	**3,639.17**
Deferred tax liabilities arising on account of				
Others	(35.25)	23.82	-	(11.43)
Total deferred tax Assets	**(35.25)**	**23.82**	**-**	**(11.43)**
MAT Credit Entitlements	4,184.71	584.21	-	4,684.86
Net deferred assets/ (liabilities)	**6,749.55**	**1,664.62**	**(17.51)**	**8,312.61**

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 44 Tax Expense (Contd.)

d) Movement in Deferred Tax Balances

Particulars	As at March 31, 2024	Recognised in statement of profit and loss	Recognised in OCI	As at March 31, 2025
Deferred tax assets arising on account of				
Difference between written down value of property, plant and equipment as per the books of accounts and Income-tax	607.29	1,231.94	-	1,839.23
Disallowance under various provisions of the Income-tax Act, 1961	58.35	559.96	10.49	628.81
Right of use assets and lease liabilities	121.90	(76.26)	-	45.64
Others	48.99	37.42	-	86.41
Total deferred tax Assets	**836.53**	**1,753.06**	**10.49**	**2,600.09**
Deferred tax liabilities arising on account of				
Others	(50.64)	15.40	-	(35.25)
Total deferred tax liabilities	**(50.64)**	**15.40**	**-**	**(35.25)**
MAT Credit Entitlements	2,886.97	1,297.75	-	4,184.71
Net deferred assets/ (liabilities)	**3,672.86**	**3,066.20**	**10.49**	**6,749.55**

Note 45 Earning Per Share

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Profit after tax as per Statement of profit and loss	4,091.21	11,862.39
Face value per share (₹)	1.00	1.00
Basic earnings per share (₹)	4.09	11.86
Diluted earnings per share (₹)	4.09	11.86
Number of equity shares outstanding during the year used for computing basic earnings per share	10,00,00,000	10,00,00,000
Weighted average number of equity shares outstanding during the year used for computing diluted earnings per share	10,00,00,000	10,00,00,000

Note 46 Disclosures regarding leases as per Ind As 116 'Leases'

A. Assets taken on lease

The Company has leases for office building, and land etc. with the exception of short-term leases and leases of low-value underlying assets, each lease is reflected on the balance sheet as a right-of-use asset and a lease liability. Variable lease payments which do not depend on an index or a rate are excluded from the initial measurement of the lease liability and right of use assets.

If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

The following is the break-up of current and non-current lease liabilities

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Current lease liabilities	309.67	469.80
Non-current lease liabilities	1,128.53	1,226.28
	1,438.20	**1,696.08**

The following is the movement in lease liabilities during the year

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Balance at the beginning	1,696.07	1,851.61
Additions	258.88	371.53
Adjustment due to cancellation/ modification of lease	(53.28)	(120.32)
Finance cost accrued - Charged to statement of profit and loss	105.79	131.39
Finance cost accrued - Capitalised	6.31	-
Payment of lease liabilities	(575.58)	(538.14)
Balance at the closing	**1,438.20**	**1,696.07**

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 46 Disclosures regarding leases as per Ind As 116 'Leases' (Contd.)

The movement in the carrying value of the Right-of-use asset

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Balance at the beginning	1,508.80	1,671.36
Additions	261.08	371.53
Adjustment due to cancellation/ modification of lease	(37.83)	(102.21)
Amortisation for the year - Capitalised	(30.45)	-
Amortisation for the year - Charged to statement of profit and loss	(433.36)	(431.88)
Balance at the closing	**1,268.25**	**1,508.80**

The table below provides details regarding the contractual maturities of lease liabilities on undiscounted basis:

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Less than one year	399.42	510.68
One to five years	1,053.53	1,142.65
More than five years	277.36	400.70

B. The Company does not face a significant liquidity risk with regard to its lease liabilities as the current assets are sufficient to meet the obligations related to lease liabilities as and when they fall due.

Rental expenses recorded for short-term leases and low value leases is ₹ 86.97 Lakhs during year ended March 31, 2026 (March 31, 2025 ₹ 114.98 Lakhs).

Note 47 Employee Benefit Plans

A. Defined Contribution Plans

The Company makes contribution towards employees' state insurance, employees' provident fund, and Labour welfare fund. Under the schemes, the Company is required to contribute a specified percentage of payroll cost, as specified in the rules of the schemes, to these defined contribution schemes. The Company recognized ₹ 500.17 Lakhs (March 31, 2025 ₹ 461.77 Lakhs) during the year as expense towards contribution to these plans.

During the year the Company has recognised the following amounts in the statement of profit and loss:

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Employer's contribution to Employee State Insurance (ESI)	87.96	88.73
Employer's contribution to Provident Fund (EPF)	407.24	368.16
Employer's contribution to Labour welfare fund	4.98	4.88
Total	**500.17**	**461.77**

B. Defined benefit plans and other long-term benefits

a) Gratuity

The Company has a defined benefit gratuity plan, which is regulated as per the provisions of Payment of Gratuity Act, 1972. The scheme is unfunded. The liability for the same is recognized on the basis of actuarial valuation.

These plans typically expose

Investment Risk	The present value of the defined benefit plan liability (denominated in Indian Rupee) is calculated using a discount rate which is determined by reference to market yields at the end of the reporting year on government bonds.
Interest Risk	A decrease in the bond interest rate will increase the plan liability.
Longevity Risk	The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life's expectancy of the plan participants will increase the plan liability
Salary Risk	The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

The most recent actuarial valuation and the present value of the defined benefit obligation were carried out as at March 31, 2026. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the projected unit credit method.

(In Indian Rupees Lakhs, unless otherwise stated)

Note 47 Employee Benefit Plans (Contd.)

An actuarial valuation was carried out in respect of the aforesaid defined benefit plans and other long term benefits based on the following assumptions.

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Economic assumptions		
Discount rate (per annum)	7.25%	6.75%
Rate of increase in compensation levels	5.00%	5.00%
Rate of return on plan assets	-	-
Demographic assumptions		
Employee turnover/withdrawal rate	5.00%	5.00%
Retirement age	60 years	60 years
Mortality	IALM 2012-2014	IALM 2012-2014

Estimates of future salary increases considered in actuarial valuation take account of inflation, seniority, promotion and other relevant factors such as supply and in the employment market.

Amounts recognised in statement of profit or loss in respect of the defined benefit plans are as follows:

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Current service cost	176.62	126.40
Company's contribution	-	-
Past service cost	479.89	-
Remeasurements	-	-
Net interest cost	75.10	69.29
Actuarial loss		
Components of defined benefit costs recognised in profit or loss*	**731.62**	**195.70**
Remeasurement on the net defined benefit liability		
Return on plan assets (excluding amounts included in net interest expense)	-	-
Actuarial (gains) / losses arising from changes in demographic assumptions	-	-
Actuarial (gains) / losses arising from changes in financial assumptions	(541.14)	37.46
Actuarial (gains) / losses arising from experience adjustments	485.02	(7.43)
Components of defined benefit costs recognised in other comprehensive income (OCI)**	(56.12)	30.03
Total	**675.49**	**225.72**

* Included in "Employee benefits expense" line item in the statement of profit and loss.

** Included in "Other Comprehensive Income".

Movement in the present value of the defined benefit obligation are as follows

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Present value of obligation as at beginning of the year	1,112.66	955.79
Adjustment in beginning balance	-	-
Interest cost	75.10	69.29
Past service cost	479.89	-
Current service cost	176.62	126.40
Contribution by plan participants	-	-
Benefits paid (incl. to be payable for current year)	(73.07)	(68.86)
Actuarial (gain) / loss on obligations due to remeasurements	(56.12)	30.03
Present value of obligation as at the year end	**1,715.08**	**1,112.66**

Maturity profile of defined benefit obligation

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Within the next 12 months (next annual reporting year)	138.46	101.45
year II	133.47	58.02
year III	129.50	76.72
year IV	94.63	77.90
year V	90.47	55.83
More than V	1128.54	742.73

Note 47 Employee Benefit Plans (Contd.)

B. Defined benefit plans and other long-term benefits

Reconciliation of present value of defined benefit obligation and fair value of assets

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Present value of obligation as at the year end	1715.08	1112.66
Fair value of plan assets as at the year end	-	-
Net (asset)/ liability recognised in balance sheet	**1715.08**	**1112.66**
Classified as non-current	1576.61	1011.14
Classified as current	138.47	101.52
Total	**1715.08**	**1112.66**

Sensitivity Analysis (Based on most likely/possible changes in assumptions used)

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
a. Impact of the change in discount rate		
i. Impact due to increase of 1.00%	66.03	84.15
ii. Impact due to decrease of 1.00 %	77.06	97.14
b. Impact of the change in salary		
Present Value of Obligation at the end of the year		
i. Impact due to increase of 1.00%	78.04	97.89
ii. Impact due to decrease of 1.00 %	67.94	86.24
c. The estimated term of the benefit obligations	14	14

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting year, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

There was no change in the methods and assumptions used in preparing the sensitivity analysis from prior years.

There has been no change in the process used by the Company to manage its risks from prior years.

b) Leave Encashment

The Company provides for accumulation of compensated absences by certain categories of its employees. These employees can carry forward a portion of the unutilised compensated absences and utilise them in future periods or receive cash in lieu thereof as per the Company's policy. The Company records a liability for compensated absences in the period in which the employee renders the services that increases this entitlement. The total liability recorded by the Company towards this obligation was ₹ 419.23 Lakhs and ₹ 143.55 Lakhs as at March 31, 2026 and March 31, 2025 respectively.

Note 48 Segment Information

Information reported to the Chief Operating Decision Maker (CODM) i.e., Managing director for the purposes of resource allocation and assessment of segment performance focuses on the types of goods or services delivered or provided. The directors of the Company have chosen to organise the Company around differences in products and services. No operating segments have been aggregated in arriving at the reportable segments of the Company.

Specifically, the Group's reportable segments under Ind AS 108 are as follows

1. Paper division
2. Cogeneration division
3. Agriculture division

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
1. **Segment revenue**		
A. Paper division	1,44,586.77	1,50,573.89
B. Cogeneration division	28,823.77	29,068.88
C. Agriculture division	596.24	623.49
Gross Revenue from operations	**1,74,006.78**	**1,80,266.26**
Less: Inter divisional revenue	28,815.65	29,067.57
Revenue from operations	**1,45,191.13**	**1,51,198.69**

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 48 Segment Information (Contd.)

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
2. Segment results		
A. Paper division	(6,845.49)	(432.24)
B. Cogeneration division	12,052.89	13,457.46
C. Agriculture division	97.59	186.26
Sub-total (i)	**5,304.98**	**13,211.48**
Less: Finance costs		
A. Paper division	1,788.49	1,989.72
B. Cogeneration division	327.11	461.63
C. Agriculture division	88.53	109.25
Sub-total (ii)	**2,204.13**	**2,560.60**
Profit before tax (iii = i - ii)	**3,100.85**	**10,650.88**
Less: Tax expenses	(990.35)	(1,211.51)
Net profit for the year	**4,091.20**	**11,862.39**
3. Segment assets		
A. Paper division	1,27,101.71	1,15,963.22
B. Cogeneration division	22,580.71	22,260.29
C. Agriculture division	6,098.44	6,282.66
Total	**1,55,780.85**	**1,44,506.17**
4. Segment liabilities		
A. Paper division	42,802.20	32,385.54
B. Cogeneration division	2,958.85	5,779.79
C. Agriculture division	1,217.89	1,468.74
Total	**46,978.94**	**39,634.07**
5. Capital expenditure		
A. Paper division	22,131.28	12,801.18
B. Cogeneration division	220.34	694.52
C. Agriculture division	53.22	-
Total	**22,404.84**	**13,495.70**
6. Depreciation and amortization		
A. Paper division	12,113.72	13,851.57
B. Cogeneration division	1,377.38	1,451.29
C. Agriculture division	0.36	0.67
Total	**13,491.46**	**15,303.53**

The accounting policies of the reportable segments are the same as the Company's accounting policies described in Note 1. Segment profit represents the profit before tax earned by each segment without allocation of central administration costs and directors' salaries, investment income, other gains and losses, as well as finance costs. This is the measure reported to the chief operating decision maker for the purposes of resource allocation and assessment of segment performance.

For the purposes of monitoring segment performance and allocating resources between segments:

a) All assets are allocated to reportable segment.

b) All liabilities are allocated to reportable segments other than ₹ 1,08,801.92 Lakhs (March 31, 2025 ₹ 1,04,872.10 Lakhs) on account of share capital and other equity.

Notes:

Capital Expenditure includes addition during the year to property, plant and equipment, and capital work-in-progress.

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 48 Segment Information (Contd.)

Geographical information:

The geographical segments considered for disclosure are based on markets, broadly as under

1. India
2. Rest of the World

Revenue from external customers

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
India	1,35,923.51	1,43,390.65
Rest of the world	9,267.62	7,808.05
Total	**1,45,191.13**	**1,51,198.69**

Segment assets are not directly identifiable / properly allocable against each of the above reportable segments. Property, plant and equipment, forming a substantial portion of the total assets of the Company, are interchangeably used between all the segments and cannot be identified against a specific segment. Significant portion of current assets are interchangeable between all the segments.

Information about major customers

Revenue from single customer is ₹ Nil (March 31, 2025 ₹ 15,864.63 Lakhs).

Note 49 Financial Instruments

Note 49.1 Capital Management

The Company manages its capital to ensure that it will be able to continue as a going concern while maximising the return to stakeholders through the optimization of the capital structure.

The capital structure of Company consist of equity and external borrowings.

Gearing ratio

The gearing ratio at the end of the reporting year was as follows

Particulars	As at March 31, 2026	As at March 31, 2025
Debt*	31,259.76	24,367.72
Cash & cash equivalents and other bank balances	2,654.70	8,013.90
Net debt	28,605.06	16,353.82
Equity**	1,08,801.92	1,04,872.10
Net debt to equity ratio (Times)	**0.26**	**0.16**

* Debt is defined as long-term and short-term borrowings (including lease liabilities).

** Equity includes all equity share capital and other equity.

Note 49.2 Categories of financial instruments

Particulars	As at March 31, 2026	As at March 31, 2025
Financial assets		
Measured at amortised cost		
(a) Cash and bank balances	2,654.70	8,013.90
(b) Trade receivables	12,860.59	12,112.02
(c) Other financial assets	324.06	197.34
Measured at Fair Value through profit and loss		
(a) Investments	9,480.47	4,263.45
Financial liabilities		
Measured at amortised cost		
(a) Borrowings	29,821.57	22,671.65
(b) Lease liabilities	1,438.20	1,696.07
(c) Trade payables	6,336.50	7,611.87
(d) Other financial liabilities	4,236.38	5,231.57

Note 49 Financial Instruments (Contd.)

Note 49.3 Financial risk management objectives

The Company's corporate treasury function monitors and manages the financial risks relating to the operations of the Company by analysing exposures by degree and magnitude of risks. These risks include market risk (including currency risk, interest rate risk and price risk), credit risk and liquidity risk.

Market Risk

The Company's activities expose it primarily to the financial risks of changes in foreign currency exchange rates and interest rates.

There has been no change to the Company's exposure to market risks or the manner in which these risks are being managed and measured.

A. Currency risk

(a) Foreign Currency risk management

The Company undertakes transactions denominated in foreign currencies; consequently, exposures to exchange rate fluctuations arise. The Company's exposure to currency risk relates primarily to the Company's operating activities and borrowings when transactions are denominated in a different currency from the Company's functional currency.

The carrying amounts of the Company's foreign currency denominated monetary assets and monetary liabilities at the end of the reporting year are as follows:

In Lakhs

Currency	Liabilities as at		Assets as at	
	As at March 31, 2026	As at March 31, 2025	As at March 31, 2026	As at March 31, 2025
USD	1.36	9.89	3.38	3.27
EURO	13.93	41.01	-	-

(b) Foreign Currency sensitivity analysis

The below table demonstrates the sensitivity to a 1% increase or decrease in the foreign currencies against ₹, with all other variables held constant. 1% represents management's assessment of reasonably possible change in foreign exchange rate. 1% increase or decrease in foreign exchange rates will have the following impact on profit before tax:

Currency	As at March 31, 2026		As at March 31, 2025	
	1% increase	1% decrease	1% increase	1% decrease
USD	1.91	(1.91)	(5.67)	5.67
EURO	(15.18)	15.18	(37.86)	37.86
Increase/ (decrease) in profit or loss	**(13.28)**	**13.28**	**(43.53)**	**43.53**

B. Interest risk

Interest rate risk management

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of change in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to the Company's long term debt obligations with floating interest rates.

Interest rate sensitivity analysis

For the year ended March 31, 2026, every 1 percent increase/ decrease in weighted average bank interest rate might have affected the Company's incremental operating margins approximately by ₹ 213.61 Lakhs (0.14%) [previous year ₹ 190.92 Lakhs (0.12%)].

C. Other price risks

The Company is exposed to equity price risks arising from equity investments. Equity investments are held for strategic rather than trading purposes. The Company doesn't actively trade these investments.

Credit Risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. The Company has limited exposure to credit risk in respect of trade receivables. The Company's bank balances are held with a reputed and creditworthy banking institution resulting to limited credit risk from the counterparties.

Liquidity risk management

The Company manages liquidity risk by maintaining adequate reserves and continuously monitoring forecast and actual cash flows and by matching the maturity profiles of financial assets and liabilities.

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 49 Financial Instruments (Contd.)

The table below provides amortized value of (undiscounted) cash flow towards non-derivative financial liabilities into relevant maturity based on the remaining period at the March 31, 2026 and March 31, 2025

Particulars	Carrying Amount	On Demand	Less than 1 year	Above 1 year
As at March 31, 2026				
Interest bearing borrowings	29,788.92	4,452.47	5,755.26	19,581.19
Non-interest bearing borrowings	32.64	32.64	-	-
Lease liabilities	1,438.20	-	309.67	1,128.53
Trade payable	6,336.50	-	6,336.50	-
Other financial liabilities	4,236.38	-	3,186.59	1,049.80
Total	**41,832.65**	**4,485.12**	**15,588.02**	**21,759.51**
As at March 31, 2025				
Interest bearing borrowings	22,671.65	1,145.19	7,711.97	13,814.49
Non-interest bearing borrowings	-	-	-	-
Lease liabilities	1,696.07	-	469.80	1,226.28
Trade payable	7,611.87	-	7,611.87	-
Other financial liabilities	5,231.57	-	2,058.35	3,173.22
Total	**37,211.16**	**1,145.19**	**17,851.99**	**18,213.99**

Trade Payable ageing schedule as on March 31, 2026 and March 31, 2025 is as follow

Particulars	Outstanding for following years from due date of payment					
	Not Due	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Micro enterprises and small enterprises						
March 31, 2026	1,117.75	0.60	-	-	-	**1,118.35**
March 31, 2025	2,831.92	0.20	-	-	-	**2,832.12**
(ii) Others						
March 31, 2026	4,929.57	223.12	53.99	7.69	3.78	**5,218.15**
March 31, 2025	2,801.50	1,951.33	13.68	3.54	9.70	**4,779.75**
(iii) Disputed Dues - Micro enterprises and small enterprises						
March 31, 2026	-	-	-	-	-	-
March 31, 2025	-	-	-	-	-	-
(iv) Disputed Dues - Others						
March 31, 2026	-	-	-	-	-	-
March 31, 2025	-	-	-	-	-	-

Trade Receivable ageing schedule as on March 31, 2026 and March 31, 2025 is as follow

Particulars	Outstanding for following years from due date of payment						Total
	Not Due	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	
(i) Undisputed trade receivables - considered good							
March 31, 2026	1,801.42	8,914.69	935.83	31.54	875.66	-	**12,559.14**
March 31, 2025	3,249.35	7,696.96	89.63	712.65	-	181.73	**11,930.31**
(ii) Undisputed trade receivables - credit impaired							
March 31, 2026	-	155.30	162.10	0.35	-	214.96	**532.71**
March 31, 2025	-	-	-	-	203.79	16.54	**220.33**
(iii) Total							
March 31, 2026	1,801.42	9,069.99	1,097.93	31.89	875.66	214.96	**13,091.85**
March 31, 2025	3,249.35	7,696.96	89.63	712.65	203.79	198.27	**12,150.64**

Movement in the expected credit loss allowance of financial assets

Particulars	As at March 31, 2026	As at March 31, 2025
Balance at beginning of the year	38.62	26.35
Add: Provided during the year	193.63	21.07
Less: Reversals of provision	-	(0.12)
Less: Amounts written off	(0.99)	(8.68)
Balance at the end of the year	**231.26**	**38.62**

(In Indian Rupees Lakhs, unless otherwise stated)

Note 49 Financial Instruments (Contd.)

Note 49.4 Interest Rate Swaps

The Company has variable interest borrowings. To offset the risk of variation in interest rates, the Company has entered into, fix pay and variable receipt, interest rate swap. The contract is in Euro. Outstanding amortised notional value for swap contract and MTM taken there on is as follow:

Foreign Currency	As at March 31, 2026		As at March 31, 2025	
	Loan Amount	MTM (Gain)/ Loss	Loan Amount	MTM (Gain)/ Loss
EURO	-	203.59	70.97	2.92

Note 50 Statement of Transactions with Related Parties

Name of related party and nature of related party relationship (with which the company has any transaction during the year):

A. Key Management Personnels (KMPs) and their relatives
- Dr. Ajay Satia
- Mr. Rajinder Kumar Bhandari
- Mr. Chirag Satia
- Mr. Hardev Singh
- Mr. Rakesh Kumar Dhuria (Company Secretary)
- Mr. Rachit Nagpal (Chief Financial Officer)
- Mr. Dhruv Satia
- Mrs. Suman Rani

B. Independent Directors
- Mr. Ajay Vyas
- Mr. Ashok Kumar Gupta
- Mr. Deepak Kumar Kakkar
- Mr. Vibhor Kapoor
- Dr. Mrs. Priti Lal Shivhare
- Mr. Inder Dev Singh
- Mr. Rajeev Kumar
- Mr. Vinod Kumar Kathuria

C. KMPs owning directly or indirectly substantial interest in the voting power of the Company
- T.C. Spinners Private Limited
- YCD Industries Limited

D. Others
- M/s Satia Paper Mills

The following table summarizes related-party transactions included in the financial statements for the year ended and March 31, 2026 and March 31, 2025:

Particulars	KMPs, Relatives of KMPs and Independent Directors		KMPs owning directly or indirectly substantial interest in the voting power of the Company and Others	
	For the year ended March 31, 2026	For the year ended March 31, 2025	For the year ended March 31, 2026	For the year ended March 31, 2025
Rent	138.51	99.05	1.49	1.42
Managerial remuneration	1,758.79	1,152.01	-	-
Salary	18.00	29.35	-	-
Post-employment benefits*	0.47	0.47	-	-
Sales	-	-	2,163.59	1,561.48
Commission	-	-	-	216.74
Sitting Fee	25.90	10.95	-	-
Purchases	-	-	19.70	-

Note: All the transactions with related parties are reported at invoice value, wherever applicable.

* Excludes provision for gratuity and leave encashment as the incremental liability has been accounted for the Company as a whole.

Note: The Company has not given any loan to Promoter, Director, KMPs and related parties.

The following table summarizes related-party balances included in the financial statements for the year ended and as at March 31, 2026 and March 31, 2025:

Particulars	KMPs, Relatives of KMPs and Independent Directors		KMPs owning directly or indirectly substantial interest in the voting power of the Company and Others	
	For the year ended March 31, 2026	For the year ended March 31, 2025	For the year ended March 31, 2026	For the year ended March 31, 2025
Managerial remuneration payable	19.55	21.05	-	-
Salary payable	1.58	1.14	-	-
Rent payable	-	2.50	1.36	-
Trade receivables	-	-	30.94	987.72

Note 51 Contingent Liabilities (to the extent not provided for)

Particulars	As at March 31, 2026	As at March 31, 2025
i) Bank guarantees and letter of credits	3,125.32	4,109.96
ii) Pending litigations		
- Excise and customs duty demand in dispute	23.02	23.02
- Custom duty in respect of export obligations (EPCG)	7,893.74	5,526.37
- Other pending litigation	78.27	78.27
- Income-tax demand	542.55	699.97
- GST demand	57.15	151.57

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 52 Commitments

Particulars	As at March 31, 2026	As at March 31, 2025
Estimated amounts of contracts remaining to be executed on capital account, net off advances	22,612.90	17,780.76

Note 53 Dividend on Equity Share

Dividends declared by the Company are based on the profit available for distribution. On May 23, 2026, the Board of Directors of the Company have proposed a final dividend of ₹ 0.40 per share in respect of the year ended March 31, 2026 subject to the approval of shareholders at the Annual General Meeting. During the financial year, an amount of ₹ 0.20 per equity share was paid towards final dividend for the year ended March 31, 2025.

Note 54 The Particulars of dues to Micro, Small and Medium Enterprises under Micro, Small and Medium Enterprises Development Act, 2006 ("MSMED Act")

Particulars	As at March 31, 2026	As at March 31, 2025
(a) The principal amount and the interest due thereon (to be shown separately) remaining unpaid to any supplier at the end of each accounting year.	3,082.01	3,227.98
(b) The amount of interest paid by the buyer in terms of section 16 of the MSMED Act, along with the amount of the payment made to the supplier beyond the appointed day during each accounting year.	-	-
(c) The amount of interest due and payable for the year of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED Act.	-	-
(d) The amount of interest accrued and remaining unpaid at the end of each accounting year; and	-	-
(e) The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23 of MSMED Act.	-	-

Note: The above information has been disclosed in respect of parties which have been identified on the basis of the information available with the Company.

Note 55 Payment to Auditors (excluding Goods and Services Tax)

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Statutory audit fee	17.00	17.00
Tax audit and other audits	5.00	5.00
Reimbursement of out-of-pocket expenses	0.81	0.74
Total	**22.81**	**22.74**

Note 56 Events after the Reporting Year

There were no adjusting events occurred subsequent to the balance sheet date and before date of approval of financial statements.

Note 57 Disclosure as per Ind AS 21 'The Effects of Changes in Foreign Exchange Rates'

The amount of exchange differences (net) credit to the statement of profit and loss is ₹ 36.14 Lakhs (March 31, 2025 ₹ 136.24 Lakhs).

Note 58 Disclosure as per Ind AS 23 'Borrowing Costs'

Borrowing costs capitalised during the year is ₹ 607.97 Lakhs (March 31, 2025: ₹ 136.85 Lakhs).

Note 59 Disclosure as per Ind AS 36 'Impairment of Assets'

The Company has reviewed the carrying amount of its tangible and intangible assets (being a cash generating unit) with its future present value of cash flows and there has been no indication of impairment of the carrying amount of the Company's such Assets taking consideration into external and internal sources of information.

Note 60 Fair Value Measurement

Financial assets designated at fair value through profit and loss

Financial assets/ financial liabilities	Fair value as at		Fair value hierarchy	Valuation technique(s) and key input(s)
	For the year ended March 31, 2026	For the year ended March 31, 2025		
Investment in equity through AIF	757.22	-	Level 2	Determination of NAV based on the underlying investments of AIF.
Investment in equity through PMS	570.24	-	Level 2	Quoted prices in active markets for identical assets.
Investment in mutual funds through PMS	693.55	-	Level 2	Net asset value (NAV) for investments in mutual funds declared by mutual fund house.
Investment in mutual funds	7,459.47	4,263.45	Level 2	Net asset value (NAV) for investments in mutual funds declared by mutual fund house.

(In Indian Rupees Lakhs, unless otherwise stated)

Note 60 Fair Value Measurement (Contd.)

Financial assets and Financial Liabilities carried at amortised cost

Particulars	Carrying amount	
	As at March 31, 2026	As at March 31, 2025
Financial assets		
Financial assets carried at amortised cost		
- Cash and bank balances	2,654.70	8,013.90
- Trade receivables	12,860.59	12,112.02
- Other financial assets	324.06	197.34
Total	**15,839.35**	**20,323.26**

Particulars	Carrying amount	
	As at March 31, 2026	As at March 31, 2025
Financial liabilities		
Financial liabilities carried at amortised cost		
- Borrowings	29,821.57	22,671.65
- Lease liabilities	1,438.20	1,696.07
- Trade payables	6,336.50	7,611.87
- Other financial liabilities	4,236.38	5,231.57
Total	**41,832.65**	**37,211.16**

Note 61

In the opinion of the Board of Directors, current assets have a value on realization in the ordinary course of business at least equal to the amount at which they are stated in the balance sheet and provisions for all known / expected liabilities have been made.

Note 62 Confirmation of Trade Receivable and Trade Payables and Other receivables and payables

The balances confirmations of trade receivables, trade payables, advances given, and other financial and non-financial assets and liabilities are received in most of the cases. In a few cases, such balances confirmations are subject to reconciliation. Adjustments, if any, will be accounted for on reconciliation of the same, which in the opinion of the management will not have a material impact.

Note 63

The Company receives security deposits from certain parties on the basis of financial exposure. The repayment of these security deposits is based on the performance and satisfaction of the Company and are repayable at the notice of one year.

Note 64 Audit Trail (Edit Log)

The Company has used accounting software systems for maintaining its books of account for the financial year ended March 31, 2026 which have the feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software systems. Further, during the year no instance of audit trail feature being tampered with was noted in respect of accounting software except that, audit trail feature is not enabled for direct changes to data when using certain access rights. The audit trail has been preserved by the Company as per the statutory requirements for record retention.

Note 65 Analytical Ratios

Sr. No.	Ratio	Numerator	Denominator	As at March 31, 2026	As at March 31, 2025	% Variance
1.	Current ratio (in times)	Current assets	Current liabilities	1.71	2.16	-21.05%
2.	Debt-equity ratio (in times)	Total debt (including current maturities of long-term debts and lease liabilities)	Total equity	0.29	0.23	23.65%
3.	Debt service coverage ratio (in times) (Note a)	Earnings available for debt service = Net profit after taxes + Depreciation + Finance cost	Debt payments including interest payments	1.44	2.08	-30.99%
4.	Return on equity ratio (in %) (Note a)	Net profit after tax	Average of total equity	3.83%	11.98%	-68.04%
5.	Inventory turnover ratio (in times)	Revenue from operations	Average inventories	8.80	9.12	-3.52%

(In Indian Rupees Lakhs, unless otherwise stated)

Note 65 Analytical Ratios (Contd.)

Sr. No.	Ratio	Numerator	Denominator	As at March 31, 2026	As at March 31, 2025	% Variance
6.	Trade receivable turnover ratio (in times)	Revenue from operations	Average trade receivables	11.63	10.62	9.49%
7.	Trade payable turnover ratio (in times)	Cost of material Consumed (after adjusting of input inventory) + Purchase of stock in trade + Other	Average trade payables	17.15	15.78	8.72%
8.	Net capital turnover ratio (in times)	Net Sales	Average working capital (Current assets - Current liabilities)	7.40	7.24	2.20%
9.	Net profit ratio (in %) [Note a]	Net profit after tax	Revenue from operation	2.82%	7.85%	-64.10%
10.	Return on capital employed (in %) [Note a]	Earning before interest and taxes	Capital employed = Tangible net worth + Total debt	3.83%	10.36%	-63.06%
11.	Return on investment (in %) [Note b]	Income generated from invested funds	Average of investments	-2.46%	3.65%	-167.30%

Reasons for variances:

a. Due to reduction in the sale price vis-à-vis increase in cost of material consumed.

b. Due to geopolitical tensions, there was notional loss in value of investments.

Note 66 Additional disclosures relating to the requirement of Schedule III to the Act

a) The Company does not have any benami property, where any proceeding has been initiated or pending against the Company for holding any benami property.

b) The Company has not traded or invested in Crypto currency or Virtual Currency during the financial year.

c) The Company has not granted Loans or Advances in the nature of loan to any promoters, Directors, KMPs and the related parties (As per the Companies Act, 2013), which are repayable on demand or without specifying any terms or year of repayments.

d) The Company has not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (intermediaries) with the understanding that the intermediary shall:

i. Directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of The Company (ultimate beneficiaries) or

ii. Provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries.

e) The Company has not received any fund from any person(s) or entity(ies), including foreign entities (funding party) with the understanding (whether recorded in writing or otherwise) that the Company shall:

i. Directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the funding party (ultimate beneficiaries) or

ii. Provide any guarantee, security or the like on behalf of the ultimate beneficiaries.

f) Expenditure incurred on Corporate Social Responsibilities (CSR)

Details of expenditure on Corporate Social Responsibility (CSR) Activities as per Section 135 of the Act read with Schedule III are as below:

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Gross amount required to be spent by the Company during the year	356.65	355.06
Amount incurred during the year	344.63	383.81
Shortfall/ (excess) at the end of the year	12.01	(28.75)
Total of previous years shortfall/ (excess)	(28.75)	-
Net shortfall/ (excess) at the end of the year	(16.74)	(28.75)
Details of related party transactions, e.g., contribution to a section 8 company controlled by the company in relation to CSR expenditure as per relevant Indian Accounting Standard	-	-
Where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movements in the provision during the year.	-	-

Nature of CSR activities:

Conservation of natural resources, Promotion of Education, Health care, rural development and livelihood interventions, Disaster relief, Digital Literacy amongst others

(In Indian Rupees Lakhs, unless otherwise stated)

Note 66 Additional disclosures relating to the requirement of Schedule III to the Act (Contd.)

In the current financial year, the Company has an excess CSR spent of ₹ 16.74 Lakhs (March 31, 2025 ₹ 28.75 Lakhs) which it proposes to offset against future obligations and has recognised the same as prepaid expenses under note 19 other current assets.

Particulars	In case of Section 135 (5) of Companies Act, 2013			
	For the year ended March 31, 2026			
	Opening Balance	Required to be spent	Actual spent (net off opening excess spent)	Closing balance
CSR spent during the year	28.75	356.65	344.63	16.74

Particulars	In case of Section 135 (5) of Companies Act, 2013			
	For the year ended March 31, 2025			
	Opening Balance	Required to be spent	Actual spent (net off opening excess spent)	Closing balance
CSR spent during the year	-	355.06	383.81	28.75

g) The Company does not have any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as search, survey or any other relevant provisions of the Income-tax Act, 1961).

h) The Company does not have have any subsidiary or associate. Therefore compliance with number of layers prescribed under clause (87) of section 2 of the Act read with the Companies (Restriction of number of layers) Rules, 2017 is not applicable.

i) The Company has not been declared wilful defaulter by any bank or financial institution or government or any government authority.

j) The Company does not have any charges or satisfaction which is yet to be registered with Registrar of Companies (ROC) beyond the statutory year.

k) Quarterly returns or statements of current assets filed by the Company with banks and financial institutions are in agreement with the books of accounts.

l) The Company has not carried out revaluation of items of property, plant and equipment and intangible assets during the year accordingly the disclosure as to whether the revaluation is based on the valuation by a registered valuer as defined under Rule 2 of the Companies (Registered Valuers and Valuation) Rules, 2017 is not applicable.

m) The Company has used the borrowings from banks and financial statements for the specific purpose for which it was obtained.

n) No scheme of arrangement has been approved by the competent authority in terms of Section 230 to 237 of the Companies Act, 2013.

o) The title deeds of all immovable properties (other than immovable properties where the Company is the lessee, and the lease agreements are duly executed in favour of the Company) disclosed in the financial statements included in property, plant and equipment and capital work in progress are held in the name of the Company as at the balance sheet date.

p) The Company does not have any transactions with companies which are struck off under Section 288 of the Companies Act 2013 or Section 560 of Companies Act, 1956 during the year ended March 31, 2026 and the year ended March 31, 2025.

r) The Company has investment property under development. Since the property is under development, in accordance with paragraph 79(e) read with paragraph 53 of Ind AS 40, the fair value cannot presently be measured reliably. Accordingly, the disclosure of fair value as required has not been made.

s) Disclosure as required under section 186(4) of the Act:

Details of investments made are given in notes 8.
The Company has not given any loan and not provided any guarantee and security during the financial year, requiring disclosure under section 186(4) of the Companies Act, 2013.

Notes forming part of the financial statement for the Year ended March 31,2026 Contd

(In Indian Rupees Lakhs, unless otherwise stated)

Note 67

The figures for the previous year have been reclassified / regrouped wherever necessary including for amendments relating to Schedule III of the Companies Act, 2013 for better understanding and comparability.

The figures of the financial statements are represented as in Indian Rupees Lakhs (₹ in Lakhs) upto two decimal places leaving the scope of rounding up variations.

The accompanying notes from an integral part of the financial statements.

for **N Kumar Chhabra and Co.**
Chartered Accountants
ICAI Firm Registration Number 000837N

for and on behalf of **the Board of Directors**

CA. Ashish Chhabra
FCA, Partner
Membership Number 507083
UDIN: 26507083OJQCSN6410
Place: Chandigarh
Date: May 23, 2026

Dr. Ajay Satia
Chairman-Cum Managing Director
DIN: 00850792

Rajinder Kumar Bhandari
Joint Managing Director
DIN: 00732588

Rakesh Kumar Dhuria
Company Secretary
Membership Number: A7149

Rachit Nagpal
Chief Financial Officer
PAN: AMBPN1908P

SATIA INDUSTRIES LIMITED
Reg. Office :Malout — Muktsar Road, VPO: Rupana,
Distt. Sri Muktsar Sahib - 152032
CIN: - L21012PB1980PLC004329

Proxy form

[Pursuant to section 105(6) of the Companies Act, 2013 and rule 19(3) of the Companies (Management and Administration) Rules, 2014]

Name of the Member	
Registered Address	
E-mail Id	
Folio No. / Client Id DP Id	

I/We, being the member (s) of Satia Industries Ltd holding --------------------------- shares---------------- hereby appoint: -

1.Name:..Address:...
E-mail Id:...Signature.., or failing him

2.Name:..Address:...
E-mail Id:...Signature.., or failing him

3.Name:..Address:...
E-mail Id:...Signature.., or failing him

as my/our proxy to attend \and vote (on a poll) for me/us and on my/our behalf at the 45th Annual General Meeting of the Company, to be held on Wednesday 30th day of September, 2026 at 10.30 A.M at The Registered Office of the Company At VPO: Rupana, Malout -Muktsar Road, Distt: Sri Muktsar Sahib-152032, Punjab (India) and any adjournment thereof in respect of such resolutions as are indicated below:

Resolution No	**Resolution**	**Option**	
		For	**Against**
1.	Adoption of Audited Financial Statements for the year ended 31st March, 2026		
2.	To Declare Final dividend for Financial Year 2025-26		
3.	To appoint a director in place of Mr. Chirag Satia, Executive Director (DIN No 03426414) who retires by rotation, being eligible and offer himself for re-appointment.		
4.	To approve and ratify the remuneration payable to M/s Balwinder & Associates, Cost Accountants, Mohali (Firm Registration No. 000201), as Cost Auditors of the Company.		

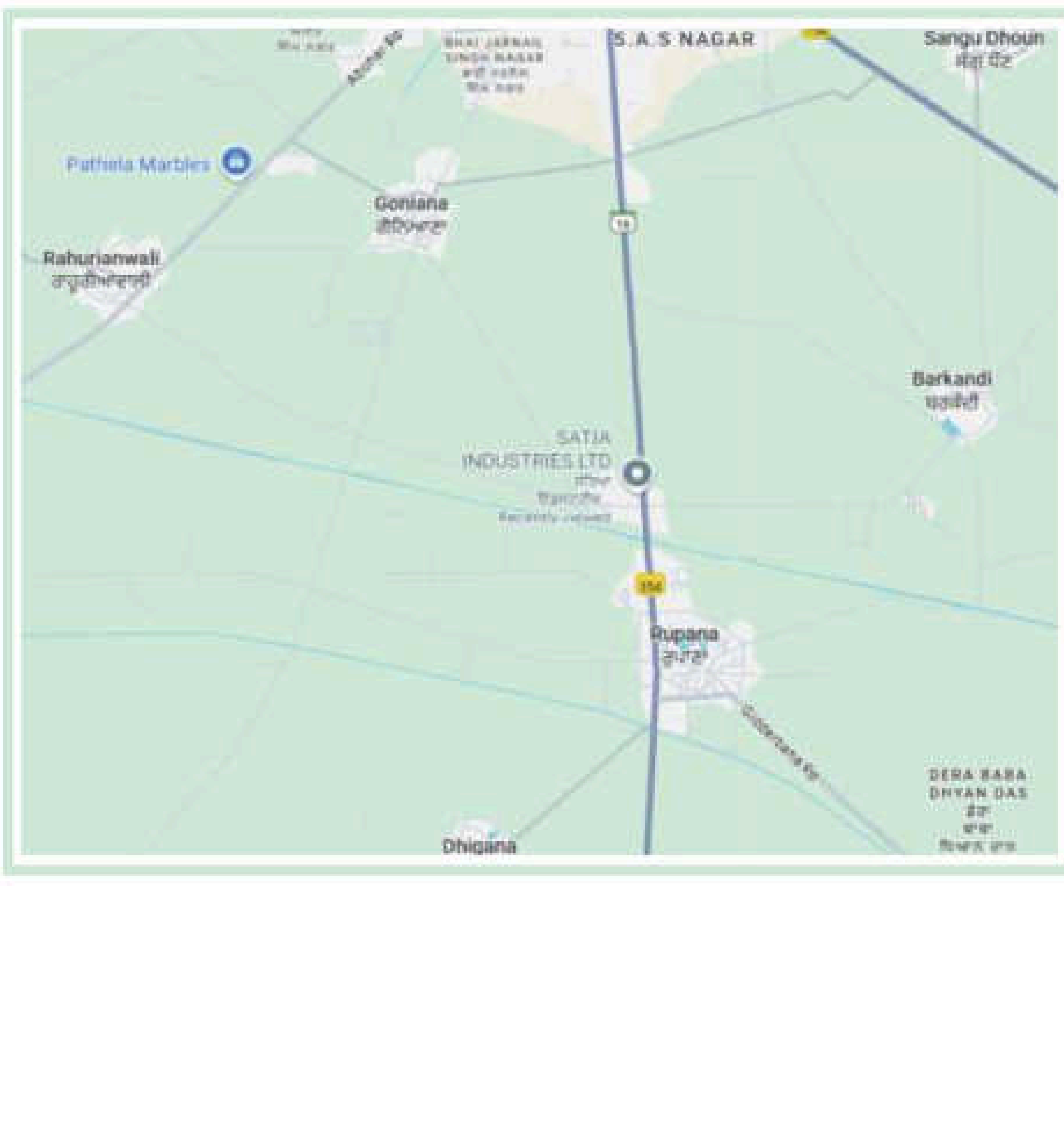
Signed this ____Day of_____________________________________2025

Signature of Shareholder ______________________________Signature of Proxy Holder(s)______________________

1. This form of proxy in order to be effective should be duly completed and deposited at the Registered Office of the Company, not less than 48 hours before the commencement of the Meeting.

2. Shareholders may give their assent or dissent against each resolution.

LOCATION MAP OF
SATIA INDUSTRIES LIMITED



If undelivered please return to:

SATIA INDUSTRIES LIMITED

Malout-Muktsar Road, Village Rupana

Distt. Sri Muktsar Sahib, Punjab-152032